

Tejas Networks (TEJASNET)

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The Secretary

National Stock Exchange of India Ltd

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai – 400 051

NSE Symbol: TEJASNET The Secretary

BSE Limited

P J Towers, Dalal Street,

Fort, Mumbai – 400 001

BSE Scrip Code: 540595

Dear Sir/Madam,

Re: Transcripts - Q1 FY23 Earnings Conference Call

Please find enclosed the transcripts of the Q1 FY23 Earnings Conference Call held on July 25, 2022.

This is for your kind information.

Yours sincerely

For Tejas Networks Limited

N R Ravikrishnan

General Counsel, Chief Compliance Officer

& Company Secretary

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"Tejas Networks Limited

Q1 FY202 3 Earnings Conference Call"

July 25 , 2022

Page 2 of 18 Moderator: Ladies and gentlemen good day and welcome to the Tejas Networks Q 1 FY20 23 Results Conference call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Nayak , MD and CEO. Thank you and over to you Sir!

Sanjay Nayak : Thank you and good afternoon, everyone. Welcome to the Tejas Networks Q1 earnings call. We had uploaded our presentation on the website so I hope you had a chance to download it or at least are able to see it because we will be following the presentation slide by slide .

I am on the first slide which is the key updates for Q1 FY2023 so our net revenues for the quarter were Rs.126 Crores, we had a PAT loss of Rs.7 Crores, cash, and cash equivalent at the end of our quarter was Rs.1739 Crores and of course we do not have any debt at this stage and our order book at the end of Q1 stands at Rs.1158 Crores. In terms of major things that really determine the quarter we continue to have challenges in supply chain, so we want to talk a little bit about that. So basically, we could not ship adequate systems in complete form because of imbalanced inventory that was created due to shortage of certain components despite us having placed adequate purchase orders well in advance to our suppliers. There are challenges in the global industry, and we have been continuing to be impacted by that so specifically what we have done is we have really analyzed all the things which are happening in the supply chain and based on our assessment of what we need to do differently going forward we are making changes in our internal processes and IT tools to better understand the current challenges and ensure more predictable deliveries . Essentially our business model was a very light touch asset light manufacturing where we gave out all our orders to our contract manufacturers and they in turn used to place the orders for the components and so on and assemble everything and give it back to us . What we found out is that just for us to get much more predictability and control because we are getting too many last minute surprises. Now we have upgraded our system where we can have complete visibility into all the components which have been ordered by our EMS suppliers and what the status of arrival of those things are and really be able to make much better informed manufacturing decisions . So, this fundamental systems and processes upgrade that we have done in the quarter we expect should start getting better results as we go forward in the rest of the year . The other impact of supply chain for us has been that component costs have increased continually over the past two years. We are able to buffer some of it in terms of new contracts but many of the deals which were fixed price for example tender deals which were rupee denominated in fixed price in India we do not have any opportunity to increase the prices to our customers as a result our gross margins have definitely been adversely impacted . This is again in a situation which we feel that throughout the later part of this year should start improving, but as of now we do have these challenges on the supply chain side.

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Page 3 of 18 In terms of overall corporate update as you would have read in

the press release a couple of

weeks back, we have inducted two new independent directors in our Board Professor Bhaskar Ramamurthi who till recently was the Director of IIT Madras and also the person who is in charge of the 5G labs that were set up at IIT Madras has joined our Board and Mr . P R Ramesh the Former Chairman of Deloitte India has also joined our Board. The second thing which we have completed as of recently is 63.43 % shares of Saankhya Labs have been acquired and as of July 1 , 2022, Saankhya Labs has become a subsidiary of Tejas Networks. We already started the integration process between the R&D teams and different other programs and the impact of all of this would be seen in terms of accelerating our 5G radio program in line with the market expectations of when things will be required .

The last thing I wanted to highlight was that in last quarter the Department of Telecom announced a variant of the PLI scheme which is called design led manufacturing and that provides an additional 1% incentive on top of what was available but most importantly from an investment perspective and especially capital investment perspective they have allowed R&D manpower costs to be counted. The net effect of all of that is that the amount of capital commitment we can make comfortably to get advantage of this new design led manufacturing scheme will be significantly higher than what we had got approval earlier and the second thing the Department of Telecom has also allowed is to shift the block of five years in which we will get this incentive . So while we were eligible to get incentive in this year because of our investment in the last financial year based on our revenue profile , which we think will be increasing over the next four or five years, we have decided not to avail the incentive of last year

and we will start the block of five years from this year . So the effect of these two would be I would say significantly higher PLI incentive that we will get after we are able to get our current application upgraded to larger capital commitment because of R&D manpower resources being allowed and secondly higher revenues because of the next four or five years we expect that our revenue profile would significantly be on the upswing compared to what it was in the last financial year . That is a quick summary of the overall quarter and again as I mentioned even in the last quarter we are not comfortable and excited about the fact that we are continuing to struggle through the supply chain challenges but we now do believe that combination of advanced ordering , combination of upgrading internal tools and processes and just a little bit better support from these component suppliers should allow us to make sure that the rest of the year we do not see the hiccups that we have seen in Q1 as well .

I am now on the next slide in terms of the details about the financial update so as I mentioned the revenues for Q1 was Rs.125.8 Crores which was a year-on-year decline of 12.8 % compared to last financial year, EBIT was minus Rs.30.7 Crores again that is a year -on-year decline , PBT was again negative at minus 12.9, PAT was minus 6.6 and EPS was minus 0.45. Basically, as you all know we do not view our business on a quarterly basis. We look at it on an annualized basis and while Q1 because of the revenue shortfall correspondingly resulted into a PAT loss. As I mentioned there are two other impacts which we have had is the gross margin pressure continued where we could not get improvements in the gross margin so we are almost at the same level as

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Page 4 of 18 Q4 of last year and I expect that only when the year progresses, we could potentially see improvement but at least that is the situation that we have today . The other thing I want to mention is on the expense side especially on the

R&D investment side. we have not slowed

despite the fact that Q1 was not a good quarter in terms of revenue . We have continued to make sure that all the R&D investments which are required to accelerate our wireless product development in particular both the 4G program that we are working with BSNL and the 5G program for the overall market does not get impacted so on that sense the expenses and the commitments to our investments on the R&D and manufacturing side continue and we expect that as the year progresses the revenues will also catch up with respect to our investment plans. Continuing on the next slide on the financials because of the imbalanced inventory situation our inventory increased almost by around Rs.35 Crores to Rs.40 Crores to Rs.322 Crores . Because again we have imbalanced systems it means many of the cards have come but just because some could not come because of specific component shortages we could not complete the system, but we do again expect that as the inventory starts getting balanced out the inventory level should come down . Receivables are Rs.298 Crores we collected around Rs.141 Crores during the quarter. We also collected some money from BSNL which we had provided for in Q4 of last year during this quarter. Working capital because of the higher inventory level primarily increased by Rs.47 Crores and the cash position increased to Rs.1739 Crores because Panama investments converted the Series A Warrants and invested Rs.712.5 Crores in the company so as a result on the cash side we are comfortable, and we are making investments in line with that our long term vision of what we want to achieve. Clearly in the Q1 because of revenue shortfall we have inventory increases as well as working capital increases.

Going to the next slide in terms of the sales summary so we have two pie charts these are all the same formats we have been sharing in the past so the pie chart on the left hand side shows the breakup between the three segments of the business that we had in last financial year and the pie chart on the right hand side shows the revenue breakup by the customer segments that we track so the run rate business which is India private plus international contributed to 80 % of our Q1, India Government was 20% of Q1 which was a growth compared to last year. In addition, we have won a few large multi -hundred crore tenders which are expected to convert into purchase orders in Q2. India private was 49 % of the total revenues and we did see a year -on-year growth of 21.5%. This is the segment of the business which continues to do well as you all know that the India government business is a little bit dependent on the tenders and when we actually execute but private continues to do well for us. International compared to last Q1 of last financial year was down around 48 % although as a total it is almost in line a little bit shorter than the overall year average. In terms of closing backlog, the revenue and so the orders from India constitutes around Rs.986 Crores and the backlog of orders from international is around Rs.172 Crores.

Going to the next slide this is just again a pictorial view of all the different products and the different segments that we are having our focus on , so on the wireless products which are our steady state business which has been continuing to grow healthily , we have got the optical

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Page 5 of 18 transmission, the broadband access as well as we secured Ethernet IP switches which are used for

safe cities, smart cities and those applications so that is part of the business in terms of run rate as well as new order wins continues to be doing quite well. The wireless products or the new products which constitute the 4G radio network or base stations as we loosely call them both for fixed as well as mobile. And we

have successfully completed the 4G proof of concept trials in the BSNL network. The 5G radios and the satellite communication is something that we have acquired from Saankhya Labs and we are integrating all of those as a part of our integrated product portfolio so a lot of new investments in terms of R&D is going into the 4G and 5G program on the wireless side. While we will continue to invest on an incremental basis on the wireline business which already has a fairly competitive portfolio of products and we will continue to grow healthily as a business so in a sense wireline business continues to be on a growth and profitable mode and wireless business at this stage is really in the investment mode. But we do expect that the wireless revenues especially of the larger kind could start hitting our revenues sooner in which case both those businesses will be independently going. In summary I am on the last slide now. Q1 was a weak quarter because of revenue shortfall specifically because of the component shortages where we could not balance the inventory and ship. We have taken corrective actions which were not originally planned for because the supply chain model in the normal situation was working well with our EMS doing everything but we just have to do a little bit more planning and forecasting on our side and those processes and systems internally have been changed and we expect to have a better management and less of surprises from our supply chain going forward. Order book is healthy. We also have a very strong visibility of new order inflows and hence we expect to accelerate our quarterly revenue growth during the rest of the financial year. On an overall year basis, we still feel confident of significant growth compared to last year. With the success of proof of concept for our 4G RAN we are also well positioned to scale our wireless business and achieve a potentially large size orders for which commercial discussions are on. We are also making R&D investments as well as scaling up our manufacturing operations. Again, we will continue to be in the asset light mode but whether it is processes, people, systems, tools, test equipment, and capabilities, all of that is being done to ensure that as our business scales up significantly in a short period of time, we are ready to actually do manufacturing for those products. We are also continuing to watch the lead times in the industry and taking proactive inventory actions and have coverage for almost next 12 months of revenues in terms of confirmed orders to our suppliers. We already talked about the constitution of the Board which will again continue to make sure that we have a very good set of people to direct us and from a cash perspective again we have a good position so that we can take long term view of our business and continue to focus on things that over the next few years we will ensure that our company grows at a much higher pace than we have done in the past. I would pause right now and actually make it more interactive and open up the floor for questions so we can just start the question and answer session now. Thank you.

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Page 6 of 18 Moderator: Thank you. We will now begin the question and answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Hirenkumar Thakorlal Desai an Individual Investor. Please go ahead.

Hirenkumar T Desai: Good evening. Thanks for giving me the opportunity. I have two questions one short term and one slightly longer term. The first one is our order backlog was Rs.1186 Crores I think at the end of Q4 it has declined and the revenue this quarter is Rs.125 Crores so have we either seen some order cancellation or the order creation in this quarter has been low that is the first question

?

Sanjay Nayak: Hiren you want me to answer one by one or you are going to put the second question as well as first?

Hirenkumar T Desai: Yes the second question is related to the longer term that it has been about a year since Tata invested in Tejas and I assume that the idea is to grow nonlinearly right significantly grow so what is the concrete plan of utilizing the cash that is there because I assume that at around Rs.600 Crores to Rs.700 Crores of revenue kind of we are break even and self sustaining so this money what is our plan to sort of increase investment or how to nonlinearly increase our revenue?

Sanjay Nayak: Sure, so let me start with the first question. No, we did not have any order cancellations in Q1 except that some of the large orders that we are supposed to get in the form of purchase orders just crossed the quarter boundary so they could not come in. So as such could have had a much higher Q1. I would say that the order inflow business win continues to be strong. Yes, Q1 specifically the new order inflow is slightly lower than revenues that we did and hence the backlog decreased but that is one point so as far as the year is concerned, we still continue to believe that the new order inflows and the win ratio is very strong, and we do not have any concern on the cancellation side. The second question that you said which is correct that Tata is now almost invested for a year, we do have plans to grow nonlinearly, in fact we have AGM

tomorrow where we will of course also be sharing some of those thought processes along with the new Chairman. But the point is very simple we believe that our industry in telecom equipment is an industry of scale. Unless we get into top tier category among the global players, we will not have the economies of scale to really be able to play very large so in that side we are basically doing three things in terms of the broad strategy which I articulated I think in one of the earlier earnings calls. Number one is to expand the product portfolio. Our optical and wireline portfolio is very strong, we believe that with the wireless 4G and 5G thing that we are doing it expands the market for us because in India which is a market we do see large opportunities of this kind which are coming together. A big part of the Saankhya Labs acquisition was to make sure that product completeness we have the breadth of portfolio that is required. Part of that strategy was that all OEMs in the world we have seen a lot of the analysis is something that they start getting a lot of success of large kind in their home markets. Hence we are thinking that with the Government of India's Atmanirbhar focus and the opportunities that we are seeing for the new capex cycle in India between 5G and 4G for BSNL. There is a large home market opportunity which we want to maximize and use that opportunity to get to global scale so that is

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Page 7 of 18 the second part of the strategy to really make sure that in the near terms in the next 24 months or so we really start to start getting into large deals in the home market. And the third part of strategy was related to use the Tata ecosystem to get into international markets starting from expanding in the geographies where we are but more importantly getting into accounts where we earlier did not have access to working either as a solution partner or using the relationship that exists to get to that. So I would say the strategy is quite clear except that the execution and the outcome of that strategy we expect will be visible to the investors as this and next year progresses but a lot of those signs of that we hope should be visible in this year itself.

Hirenkumar T Desai: Okay but Sanjay that still does not clearly answer the large amount of cash that we have about how you are going to use?

Sanja

Sanjay Nayak: Yes so, the large amount of cash will be used for three purposes. Number one it gives us the cushion to increase investments into R&D. Number two it gives us an opportunity to scale up our business in much larger play and be able to take longer-term bets whether it is in supply chain, whether it is in securing business of large kinds or making international sales investments and number three it also gives us the ability that as and when we see opportunities to acquire candidates and companies we should be able to do that. Without having the cash position that we have today our ability to take any of these three long term calls gets dramatically diminished. And we have now N. G. Subramaniam as our Chairman, so we are working closely with him and trying to implement our long-term vision into actions as we go along.

Hirenkumar T Desai: Okay just to follow up is there anything on the radar in terms of acquisition if you want to?

Sanjay Nayak: We do not have anything that we can talk about, but the purpose is that the cash is available for both organic as well as inorganic methods.

Hirenkumar T Desai: Okay thanks. All the best.

Moderator: Thank you. The next question is from line of Sanket from Kedia Securities. Please go ahead.

Sanket: Good evening, Sir. Just wanted to understand like what gives us confidence that the supply chain pressure will ease out in the coming year or in next couple of years also because the same has been prolonging since last one year and that has been impacting our results quarter after quarter so how do we make sure we are self sustainable to profitability?

Sanjay Nayak: First of all you are absolutely right that we had expected the supply chain issues to have been behind us by now for sure and unfortunately they are not so we basically have been diving deeper into the core issues and really fixing one by one. So at a macro level if you talk to anybody in the semiconductor industries at least related to the telecom products or the kind of chips that we buy the general concern such as that till the end of this year things are not going to be changing too much. So for example if you place an order on any component supplier you may get a 52-week

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Page 8 of 18 lead time as a committed lead time so that is the situation that is available from a discussion that we had with the suppliers, but even for that to be honest we had actually taken inventory action with more than 52 weeks of lead time. But why are we still not able to do the revenues that we planned for is when we figured out that the EMS companies that we have been working with the way they have been operating and certain kind of things that they have been trying to optimize around did not suit the current situation where the lead times are longer. It was very important and crucial for us to get to the second and third level of details of their systems and processes, integrate them into our IT systems and be able to predictively say where exactly, which component, which is short and which EMS have the y placed the order on time, what is the accepted arrival date, and why we cannot pull that in, etc.,

So I think the internal processes and systems is something which took us a little bit longer to realize and implement but I think we have done that as well so the combination of the two I feel that which I mentioned earlier that we place order for the next 12 months of our requirements gives us comfort that if we are able to better manage our suppliers essentially we should be in a fine shape going forward is our understanding .

Sanket: But do we have the pricing power like you mentioned we are not able to right now pass on the pricing as these are domestically built so going forward also would we have the pricing power, or our margins would be reduced ?

Sanjay Naya

k: I think in the normal situation there are two kinds of businesses that we participate in . One is the tender business where if we had bid in a tender say two years back and it was awarded to us let us say a year back the pricing power in those deals does not exist with us because it is a fixed price deal it was a rupee based thing and there is very little we could do to change that. Any new customer that we are bidding or a new tender we are bidding or any rate contracts with existing customers including large customers of ours when we are renewing, they understand the situation because all other suppliers are also using the price escalation to pass it on to them so in these cases we have been able to pass on the price escalation. Now the question is how much of a blend of the business will happen between new orders where we have increased the price versus older old orders where we have price pressure. The answer is that since we do have a large backlog of last year, lot of it is also fixed rupee price at least for a quarter or two we will see a little bit of a margin pressure till the situation on the supply chain eases off and answer to that is that we should have larger revenues to be able to absorb a slightly lower gross margins so that on an overall basis we can still be achieving profitability .

Sanket: With respect to the DLI incentive which you have mentioned about can you quantify this like what would be the additional benefit to us in the longer term ?

Sanjay Nayak: So yes, so in the earlier scheme we had applied for around Rs.105 Crores of investment which would have given us up to 3.8 or 3.88 times of incentives. We are in the process of upgrading our earlier PLI application to a much larger investment commitment which would potentially mean

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Page 9 of 18 we could get up to 3.8 times our capital investment back in the form of incentive plus we get an extra percentage so we will have two benefits from the new design and manufacturing scheme. One is we will have a much larger capital commitment because R&D manpower is now allowed without actually having to invest significantly differently than what we would have normally done and secondly that larger commitment will give us an opportunity that as a revenue scale much more than what we had originally planned for when we had applied last year we should be able to get the incentive on a larger revenue amount and then the third part is that we will get an extra 1% incentive because we will meet the value addition criteria that has been prescribed in the new DLI scheme for our products so this is how I think the new scheme will or rather the new application will benefit us going forward .

Sanket: Thank s for answering all the questions.

Moderator: Thank you. The next question is from line of Tejas Sheth from Nippon India AMC . Please go ahead.

Tejas Sheth: What is the status on the BSNL order now ?

Sanjay Nayak: Tejas I think as you would have been reading in the newspaper so the technical aspects of concluding the proof of concept trials is going well so our equipment has been in the field for now quite some time and things have progressed quite well and the customer seems to be satisfied with the technical capabilities of our products. In terms of the commercials those discussions are on between the front end system integrator and BSNL and the size of the deal and the price is something that is being worked out . And as soon as those commercials close which we expect should close in this quarter we would get better visibility in terms of the timelines of the orders and the delivery timelines that we will have to give for those orders but all of that is a work in progress and so far things are going in the right direction .

Tejas Sheth: Okay and now with world travel opening up considering that we have be

en suffering from

getting international order because we will not be able to travel is there, we have hired any talent to boost up our international orders ?

Sanjay Nayak: That is a good point because travel is opening up and we are seeing things scale up internationally. We will definitely be making more investments in our international sales from two different angles, in certain geographies where we have been directly addressing the market those geographies are where we are having more investments and we should start seeing the result of that with a time gap of couple of quarters . In the US market we believe that partnership approach with either other group companies or with other OEM that we have done in the past might be a faster way for us to accelerate so we will be revamping the U S markets with that kind

of a strategy again based on the internal strategy discussion we have been having so I would say that international should start ramping up; however, I must also say that I mentioned earlier that we do see very large opportunity in the home market in India across customers and we also want

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Page 10 of 18 to make sure that we do not miss out on those opportunities to scale our business and at least get to high economies of scale in the shortest possible time .

Tejas Sheth: Okay but has the ball started rolling on working with the group companies or it is something which is just on paper as of now ?

Sanjay Nayak: The ball has started rolling . We have been interacting in terms of different applications, different geographies, and some sales models that will work but I think it will just take a little bit of time to get the first success internationally but that is something that I would say multiple engagements across multiple geographies are on.

Tejas Sheth: Okay on the product offering side is there anything which we are looking to achieve over next let us say 12 to 24 months ?

Sanjay Nayak: Yes in fact we have planned to achieve a lot by the way so number one we want to make sure that a very robust 4G system can be delivered for large scale deployments not just in India but in many parts of the world especially in emerging markets still do not have a 4G like India does not have 4G in many pockets I think we see that is a good opportunity or robust field proven 4G system is something that will happen in the next 12 months in terms of large scale deployments . 5G radios that we have been producing in the 5G RAN solutions that we have been producing again we believe should be qualified by customers by the end of this calendar year and should be ready for commercial deployment in the next calendar year as well so these two products alone would open up a very large new addressable market in terms of the wireless side of things which we really have been just kind of playing on the fringes so far . And that is the reason I mentioned that in terms of the R&D investments we are significantly upgrading that . The third element in terms of new product deployment would be through the Saankhya acquisition they have an application for 5G for broadcast application innovative for people who have a TV spectrum who could use that for broadcast on 5G so they are again working with one of the anchor customers and we believe that in the next 12 to 18 months some more application of broadcast 5G across a larger set of operators around the world can open up . So I would say there is a lot of a huge amount of product development and product capabilities are coming out in the company. Just to put all of this in perspective we are trying to do in let us say two years what typically takes five times or ten times as much more time compared to the global competitors against whom we are now competing . So in that sense these are all very, very complex technologies require a huge amount of

field hardening because they have a direct to the user experience . So for example if you have a mobile network or your user experience on the network should be no different than you would build the networks using any other multinational companies ' products who have been in this business for 20 years or maybe longer. The same thing for our fiber to the home products for example which continue to be doing quite well in many of the operators in India and abroad so net-net I would say significant focus on R&D . A lot of resources are needed; a lot of investments are needed . The supply chain situation even for rapid prototyping is making it difficult to launch products faster than what you would have otherwise done but all I can say is

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Page 11 of 18 that a lot of investments is happening in the right direction and things are all coming together in a very satisfactory manner .

Tejas Sheth: Okay yes. Thank you very much.

Moderator: Thank you. The next question is from line of Sangameswar Iyer from Consilium . Please go ahead.

Sangameswar Iyer: I just wanted to check with you the slowdown that we are talking about in the semiconductor industry is that having an impact on the overall fresh order intake that we are seeing because like one of the earlier participants asked the order in flow during the quarter was actually much slower than what we had been seeing in the past few quarters so does this have anything to do with a conscious decision to slowly take orders because of the rising input prices or could you elaborate a bit more as in what has led to this slowdown ?

Sanjay Nayak: First of all, as I mentioned in answer to that question was that I would not read too much into the order inflow for Q1 as I said subsequent to the quarter close alone, we have got significantly large orders . In that sense in my mind there is no real slowdown in the business momentum and it is quite healthy . By the way on the contrary the situation is slightly different . If we had been able to ship out all the stuff that we have backlog of we can definitely have secured a lot more orders so I would say that we could have accelerated our growth but we are limited a little bit by the current situation in supply chain so that is the way I would put it .

Sangameswar Iyer: Secondly in the past few concalls we did always mention that we have been trying to get or garner critical components that would be required and to make sure that shortfalls do not occur but even Q4 and Q1 we have seen that few critical components still elude us and resulting in us not meeting our internal targets as well in terms of fulfilling customer orders, etc., so this new initiative that you spoke about where in you are trying to integrate the supply chain of the vendors along with yours to make sure that the orders are received on time or fulfilled on time how long do you think that this will take in terms of a gestation period before these things formalizes and you are able to take complete control of the whole chain?

Sanjay Nayak: It is a good question Sangam so there are two effects which had hurt us to be honest the first effect as you rightly said that certain specific components are under what is called allocation basis. These are very large companies by the way I am talking of so they are only able to get X amount of components of that kind available from their foundry or semiconductor foundry who is manufacturing that and the same X amount of components are being "allocated" to different system companies like ourselves right. So the problem was to get the maximum share of the allocation for those components and if some of those components go across many products that is really where the efficiency that I talked about comes so assume we are able to get say thousand components allocated and those thousand components are

re used across 20 different cards that we

produce in the company. If you do not do a good job of balancing the use of those thousand

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Page 12 of 18 components we may and we may have by the way a requirement of thousand components on all of those cards so we can consume it on 10 cards or we can consume it on 50 different cards or whatever, so I think what was happening is the optimization. I am just simplifying the problem for you. The optimization of the scarcely available component onto different cards and balancing the inventory was not done being appropriately so the second part of the problem is what is the new thing that we have solved at least in terms of the tools, processes, and systems now so we believe that whatever components are available we will be able to do a much better job of allocating them internally and getting more systems out of the door. The first part of it in terms of getting higher portion of components from our suppliers that is an ongoing discussion. Even as late as last week when we met some of these suppliers who are visiting India we have highlighted the importance of them supporting Tejas and we hope that going forward we should get a better allocation of such components but that is the summary of what has changed and our assessment is that the results of whatever we have done should start being visible from this quarter onwards in terms of better performance on the revenue side.

Sangameswar Iyer: As a followup if you were to back test these tools and systems that we are putting in place with your vendors currently what kind of efficiencies would you have achieved in the last couple of quarters, do you think that instead of Rs.125 Crores run rate you could have clocked Rs.175 Crores to Rs.200 Crores run rate given better efficient utilization of the tools of the components that were available I am just trying to analyze the situation in terms of how much was the shortfall on the internal basis and how much was it because of the external factors which affected everybody?

Sanjay Nayak: It is hard to quantify that because one is connected to the other so as time goes by of course the aging of the orders of those components on our supplies is higher so the chances of them getting fulfilled now is better. Clearly as I articulated that the allocation of those components within the system for us could be done better so it is a little bit hard to quantify what happened in the past. But what we do know that as I mentioned at the end of the Q4 call that we actually had coverage for all the orders that we have for the whole year in advance so we should get those components during the year. So the only thing which we are focusing on right now is that going forward as much of efficiency as we can draw into the system should be put in and we should start seeing tangible output because we do want to make sure that customer orders do not get so late that customers start getting concerned about our ability to deliver and that is something which we are keeping at a high priority.

Sangameswar Iyer: Got it and last question from my end given that a lot of your orders are international orders, currency depreciation does kind of offset a little bit in terms of the input cost increase, etc., but how much of an escalation and input cost can we pass through and how much do we have to absorb?

Sanjay Nayak: I think it is a dynamic situation because depending on which customers do you ship that quarter and what was the profile of that customer was it at the new price or at the old price, I think our

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Page 13 of 18 margins keep changing. As you rightly picked also that in Q1 our percentage of international was lower and our backlog of international actually is still very high, so I think in general our international margin

ns are better than the Indian margin so as we decongest those orders, we expect to see improvement at least in the blend of the margin as well .

Sangameswar Iyer: Is there a pass through available in terms of cost escalation beyond a certain level in all those international orders?

Sanjay Nayak: Yes so the way it works it is not a direct pass -through it is more like a competitive situation with that customer so at any point in time suppose you increase the price by X percentage or Y percentage or whatever it is for the customer , discussion with the customer what is the thing which you can pass on to him while still being competitive . And it is always a push and pull but even with large customers in India we had been able to do the price escalation for certain kind of products for sure and certain others it was a little bit more difficult . But I think there is no one fixed rule that we can pass X percentage to all the things. I know where you are coming from like for example in auto industry people are able to say okay, I am going to pass X percentage price increase on all models of this kind right. Unfortunately, our industry is a little bit more fragmented, and it is a mix of products and mix of customers on the radar screen with respect to competitive situation which comes into play before. Of course the intent is to pass as much as we can and to push back as much as we are getting from our suppliers . But on the supplier side I think to be honest we have not that much leverage at this stage because if we have to prioritize between securing components at slightly higher cost versus just trying to stick to our margins we are prioritizing getting the components . So we have to pay a little bit of spot premium or whatever we are doing that but to the customers to the maximum we can pass we are doing it while being competitive.

Sangameswar Iyer: All the best Sanjay.

Moderator: Thank you. The next question is from line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead.

Mukul Garg: Thank you. Good evening. Sanjay sorry if this was asked earlier because I missed some part of the call but can you just help with a view on the component shortage easing we have seen some companies especially in the LAN space come out and talk about normalization happen at a faster rate which part of your component supply chain is still seeing stretch delivery timelines and what is your view that by when will things go back to a normalized run rate what it was pre -COVID for you in terms of the supply ?

Sanjay Nayak: Mukul if I look at the categories of components where we are having the highest lead time today surprisingly is not the class A large cost chips. It is basically power components for example clocks , powers, and things like that the analog kind of components which basically on an average may cost a few cents to a couple of dollars single digit dollars right. These are the components
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Page 14 of 18 which are currently giving the maximum grief in terms of a category of components. Second one after that is that certain programmable devices of a certain what should I say in nanometer geometry is in a serious short supply because there are only two programmable device guys in the world both of them outsource their manufacturing to there was one in Taiwan and one in Korea. The Korea company basically used that capacity for their internal needs so basically that capacity got dried up. There was only one foundry which was manufacturing these programmable devices . If you talk to anybody in the industry today from the largest OEM whom we work with certain of those devices are under a serious short supply and actually because of our programmable architecture, we do have a significant dependency on those kind of chips so that is the second category. The third category of

chips I think which is easing off, the memories are easing off as we see some of the guys who have captive foundries in -house manufacturing for some of the higher value parts it is easing off because what people by the way are also doing is that the same amount of wafers of a certain technology which were available were repurposed to produce chips with higher average selling prices versus chips with lower selling prices so those are the categories where we have had the maximum grief . Unfortunately in our situation even if you secure 999 components and one is missing you could potentially have an imbalance inventory and not able to ship out. The overall outlook that we have heard from all the semiconductor suppliers is that towards the later part of this calendar year things will start to ease out so what that means is that if you place an order on a chip supplier today they may come back to you with a 52 weeks or 70 weeks lead time but if you are going to place but the chances of that order getting executed in less than 52 weeks or 70 weeks will only be known as the year progresses . It could happen in Q1, it could happen in Q2 but if you are going to place orders in the month of November and December you possibly will have a lead time coming down to 20 weeks or 26 weeks or 16 weeks which is the normal situation so that is how we see the situation where today it is still everybody knows this is the likely scenario but nobody is committing . The later part of the year we will start seeing commitments of lower lead times from suppliers and this is across the Board again as I can see that it is not that Tejas alone problem but supply chain planning guys from different companies that we have been talking to are facing the same situation. If I were to kind of summarize something that Tejas could have done better which we

did not in the past was really not just relying on the EMS suppliers to do all the detailed supply chain management. We took care of the A class items but the B class and C class are ones which I just mentioned are the ones which got us into a slower revenue rate and that is basically probably our global competitors early on and essentially went into NS level of details and tried to do a better job of executing than we did.

Mukul Garg: Understood and so just to take this a step forward for example tomorrow all the power chip scenario or TSMC and Samsung supply constraints are lifted like things are back to normal out of Rs.1100 Crores to Rs.1200 Crores of order book which you have right now plus the flow business which is there what is the current capacity in terms of your own delivery which you can do on a quarterly basis, is there something which is constrained by revenue run rate of maybe

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Page 15 of 18 Rs.300 Crores or Rs.400 Crores is there a constraint from Tejas side which can put a cap there and I am talking about right now?

Sanjay Nayak: Absolutely not. For the next four quarters if you can get half the components that we need and all the orders which we have placed come in we can do all the numbers that we mentioned without any problems at all. What we are also doing which I alluded to in my commentary and I can maybe elaborate a little bit more is that we are expanding our EMS base also in terms of production capacity in anticipation for scaling up our revenue base from significantly larger numbers than what we are today so we have all of those things also lined up so I would say that today in terms of scaling up our revenues from where we are too much, much, much larger numbers I do not think there is any bottleneck. The only bottleneck is the availability of components. The EMS capacity is there, and the production box build capacity is available. We do not see any internal hindrance from a Tejas perspective. We do not have any cash flow issue

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in terms of not being able to place large orders so in that sense the only thing which is holding us back is balanced list of components that we need to complete the orders.

Mukul Garg: Sure, and then one final question. This quarter was there any Tier-1 vendor in US or Europe where you started either trailing out or kind of working your way in given that the supply scenario is limited so maybe the time can be utilized to forge new relationships?

Sanjay Nayak: Nothing major internationally. We did ship for one of the business that we had won last quarter so we shipped to that customer to feed that stuff in Europe to hopefully get that network rolled out but to be honest no we did not have any specific opportunity into a Tier-1 internationally where we could divert some of our available material and get a win there. But the existing accounts which we have we are continuing to at least make sure that their critical deliveries are done and we do not get into a situation where our lack of deliveries hurts our reputation or our growth in the account. Clearly, we can get more business, but we are not losing business because we did not supply per se.

Mukul Garg: Understood. Thanks a lot for taking my questions.

Sanjay Nayak: Since we are at the end of the hour, we can take one last question please.

Moderator: Thank you. The last question will be from the line of Vimal Gohil from Alchemy Capital. Please go ahead.

Vimal Gohil: Thank you for the opportunity. Sir I have two questions. Just firstly a clarification on Saankhya are the other numbers getting reflected in this particular quarter and what is the contribution is here that is question number one and Sir the second question is you spoke about a lot of changes in the process and the systems in order to better track our supply chain systems where will this sort of reflect, will this get reflected more in terms of asset investments or rather balance sheets

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Page 16 of 18 or will this get reflected in our P&L in terms of your investments which will pass through into the P&L so these are my two questions?

Sanjay Nayak: Certainly, Saankhya Labs there is no contribution of Saankhya because as of July 1, 2022, is when we acquired the 63 % stake so starting from this quarter onwards, we will be consolidating the numbers from Saankhya into our books so that is part one of your question. Part two of your question what is the impact and what is the place where you will see the benefit of the changes in the processing systems are coming that should be in the topline. We should be able to do a lot more revenues than we have been able to do in the past couple of quarters. Secondly, we will continue with an asset light model so there is no intention for us to put a big factory and produce everything ourselves. What we are doing is because we have to scale up our manufacturing and capacity, we have signed up new EMS partners who could be producing on behalf of us compared to the current ones that we have so in that sense the measure of our internal processing system is really the revenue impact that we should be able to see better as we go forward but definitely there will be no additional asset buildup. Also, I just wanted to clarify just in case it was not clear that even though we will be applying for a much higher incentive amount and the

investment commitment under the design linked PLI scheme we will not be making any artificial investments in terms of hard capex again so the strategy of manufacturing will still be same. It should be asset light model except that whatever we are investing in manpower and R&D cost will now be counted towards capital investment which will give us a bigger envelope in terms of the incremental sales revenues on which we will get the PLI incentive so in that sense no fundamental change

in the business model except just a better management of the model and in fact it was also a little bit kind of a surprise to us because when the lead time in the industry for components was 12 to 16 weeks our EMS model just worked fine. The process systems were just okay but as those lead times change we really did not react to getting into the second and third level details of our EMS in terms of what were they doing with our orders and how were they ordering because if they were waiting for the longest lead time to order because everybody were just in time and trying to optimize their inventory naturally if we were able to pull in the components we were not getting the benefit of that and we were still seeing a lot of slip ups from their side or decommits from their side so I just feel that some stuff which we did not execute well we have figured out where we are weak and we are trying to strengthen those areas. The results of that should start seeing in the coming quarters onwards.

Vimal Gohil: Thank you Sir. Sir I just have one more question if I may.

Sanjay Nayak: Sure, just another minute so why not.

Vimal Gohil: Just in terms of risk what we understand is that the telecom equipment is a pretty sticky business when we are actually supplying to our customers then that customer probably stays with us for a fairly long period of time because we have the best knowledge of products the service aspect is also taken care of by us given the fact that we have been facing this supply component shortage and these delivery challenges are we risking losing market share to peers who have direct control

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Page 17 of 18 of manufacturing in their hands and if that is the case then how are we going to sort of recoup the lost market share because the customers once they select a vendor it tends to be sticky in our industry correct me if I am wrong Sir? Thank you.

Sanjay Nayak: No, the first part is right that ours is a very sticky business so in that sense as I mentioned earlier that we have not lost any account and we have not lost any order in that sense. Coming back to your second part that compared to competitors who are doing this in house manufacturing I do not think we have any competitors globally now except if I take the Chinese out who do in house manufacturing so even all our global competitors follow almost the same model as us which is outsourced to EMS companies for doing manufacturing, etc., etc. What they could have done which is a possibility is that they manage the supply chain through their EMS much better than what we did A because of their volume buying power, B maybe they have got this learning experience in some previous cycles of component shortages which we are getting it for the first time here so in that sense they may have done a better job of executing however when we look at new wins and new supplies from even our global competitors their lead time commitment for unforecasted orders is no different than ours so in that sense I would not say that we are losing any ground to someone and he has occupied the land and we do not have an opportunity to get the land back. The more likely scenario is that we had a certain market share in an account which we would have in the normal course increased because we always increase market share in an account because of the supply chain shortages maybe we are stuck at the same market share that we were before so what we are trying to do in this scenario is that we are winning new application in the same customer so for example let us say operator A in India was deploying us in X and Y part of the network we are saying hey why not in the Z part of the network and that process of qualification getting selected could be a six month cycle and we are completing all of those cycles to win new applications into existing accounts so

by the time the supply chain

situation eases off we can have another portion of their market share which we are otherwise not getting so I would say we have not lost anything. We have been holding tight probably we have not gained market share which we could have but this is something which we just have to deal with given where we are.

Vimal Gohil: Fair enough Sir. Thank you so much and all the very best. Thank you.

Moderator: Thank you. Due to time constraints, we have reached the end of question and answer session. I would now like to hand the conference over to Mr. Sanjay Nayak for closing comments.

Sanjay Nayak: Thank you everybody. First of all, we had a good set of questions, and I am hoping that we were able to give you a better view of our business. Clearly we have been going through the supply chain challenges for quite some time and it is not very good that we again had a quarter which was not to the level that we had internally planned for but having said that we understand what the challenges are, what issues are and we are working to the best of our abilities to fix those and we hope to see a good result at least on the supply chain side in the coming quarters. The second

thing I want to highlight is the R&D investments especially on the wireless side that we have
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Page 18 of 18 been making. We are very confident of the output of those investments turning in the form of potentially large orders and we believe that those things will also start showing in the results as the year progresses and then the last part I want to kind of mention which is in the context of the questions someone asked right at the beginning that as a part of the Tata Group Company we have a fairly good idea of what the strategy of the company and what are the actions we need to take we have started to execute on that and we should see results coming out but the vision and ambition is very large and part of the whole partnership with Tata to essentially accelerate that and we are confident that we are making the progress in the right direction so that is how I would summarize where we are today and thank you again for being patient in terms of hearing our challenges and look forward to better outcomes from whatever we are doing in the times to come . Thank you.

Moderator: Thank you . On behalf of Tejas Networks that concludes this conference . Thank you for joining us. You may now disconnect your lines.

Call: Oct 2022

October 28, 2022

The Secretary
The Secretary
National Stock Exchange of India Ltd BSE Limited
Exchange Plaza, C/1, Block G, P J Towers, Dalal Street, Fort,
Bandra Kurla Complex, Bandra (East) Mumbai – 400 001
Mumbai – 400 051 BSE Scrip Code: 540595
NSE Symbol: TEJASNET

Dear Sir/ Madam

Transcripts – Q2 FY23 Earnings Conference Call

Please find enclosed the transcripts of the Q2 FY23 Earnings Conference Call held on October 21, 2022.

This is for your kind information.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel and Chief Compliance Officer
and Company Secretary

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"Tejas Networks Limited
Q2 FY '23 Earnings Conference Call "
October 21, 2022

MANAGEMENT : MR. SANJAY NAYAK – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER &
WHOLE TIME DIRECTOR – TEJAS NETWORKS
LIMITED
MR. VENKATESH GADIYAR – CHIEF FINANCIAL
OFFICER – TEJAS NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY
OFFICER – TEJAS NETWORKS LIMITED

MODERATOR : MR. BHUPENDRA TIWARY – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Q2 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities. Thank you, and over to you, sir.

Bhupendra Tiwary: Thank you, Andrew. Good evening, everyone. On behalf of ICICI Securities, we welcome you to Q2 FY '23 Results Conference Call of Tejas Networks Limited. The company is represented by Mr. Sanjay Nayak, who is CEO and Managing Director, Mr. Arnob Roy, who's COO and Whole-time Director, Mr. Venkatesh Gadiyar, who's CFO, and Dr. Kumar N. Sivarajan, who's CTO. We'll begin with the opening comments by the management, post which we'll take up the Q&A session. So over to you, Sanjay.

Sanjay Nayak: Thank you, Bhupendra. And first of all, I wish you all a very happy Diwali, and thank you for joining the earnings call of Tejas Networks. We have uploaded the presentation that I'm going to walk through on our website, and in other places. So I hope you have the chance to either download it or follow it as we discuss.

So I'm on the first slide, which is the key updates of the quarter. In terms of the financial update, our net revenues for the quarter were INR 220 crores. Profit after tax was marginally profitable at INR 1.1 crores. Our cash and cash equivalents are at INR 1,402 crores with no debt. And order book at the end of Q2 has increased to INR 1,455 crores, which is an all-time high for our company.

In terms of key highlights, there are very -very strong Q2 bookings and a lot of new wins. So we had INR 481 crores worth of new order wins across optical products, both in India and outside of India. We're also happy to say that we introduced our wireless products at the India Mobile Congress, our 4G and 5G products. The outlook is looking quite strong. We believe we have a very good opportunity to get large scale wins starting from India. And we also see that there's a lot of push by Government of India to create indigenous telecom ecosystems, and we believe that we have a very good opportunity to take advantage of the supportive policies of government, both in India as well as outside of India.

Supply chain performance and component shortages was something that has been impacting our revenues in the past. While I would say that the things have started to improve, but the global component situation, chip situation, especially for certain kind of components, is still not that good. However, as I mentioned in my last earnings call, we have taken some very proactive internal actions in terms of re-engineering our processes, IT systems, tools and so on and so forth. And as a result of that, we are starting to see good results coming out. So we've crossed INR 200 crores per quarter revenue after a gap of about 10 quarters or 11 quarters. We do expect that and as a result, not only have our revenues improved, we also saw improvement in our gross

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margins. We do expect that as the year progresses, we should see continued improvement in the second half of the year in terms of revenue performance as well.

There's another important thing, which is the design-led PLI incentive scheme, which was launched during the quarter by the Government of India Telecom Department. We had earlier been approved for the PLI scheme for telecom products. This new design-led scheme is a very innovative scheme where all the investments

that are made in R&D, which are capital in nature, including salaries and manpower cost are considered as eligible investments for the PLI policy. Given that, and given our potential for much higher revenues in the future, we have reapplied under this new policy, which is available to us and increase the size of our PLI commitments, which has a fairly large potential for higher incentives. In addition, the design-led PLI gives 1% extra incentive if you're an R&D-led company like ourselves.

We have been increasing our R&D headcount in operations headcount quite substantially in line with the growth that we expect going forward. As a result for the first time in the history of the company, our total employee strength has crossed 1,000 employees. And as you are aware, we have acquired Saankhya Labs and within Saankhya Labs and ourselves, we now have a patent portfolio of 434 patents.

I'm on the next slide, which will continue with the profit highlights of Q2. So the integration of Saankhya Labs is on track. We had earlier acquired 64.4% of Saankhya Labs in July 2022 and for the balance 35.6%, we have filed for amalgamation of Saankhya Labs and Saankhya Strategic with Tejas through the NCLT process as on 30th of September.

What we have already done is that we have integrated the R&D teams of Saankhya and Tejas. And the focus of Saankhya R&D team now is to strengthen and accelerate the development

programs for 5G, radio, cellular broadcasts, satellite communication and other areas like semiconductor chip design. And in addition, Saankhya Labs before the acquisition was also having R&D services for external clients.

We believe that the value of the team and the capabilities that exist in Saankhya are far more valuable and better utilized if we use them for our in-house product development and acceleration of the opportunities that we see in the market. So we would be reducing the focus of Saankhya Labs for an external contract R&D and increasing the focus more on in-house acceleration and in-house development of products for which we see a large market opportunity. There was India Mobile Congress in New Delhi a few weeks back, which was inaugurated by the Prime Minister, and the 5G was launched in the country. During that congress, we showcased end-to-end portfolio of our indigenous products. Some of you might have had an opportunity to be in Delhi and see those, but I can tell you that the kind of product portfolio, the kind of live demo and the capabilities that we showed from hardware to software to chips and to technology domains across wireless, optical and satellite are possibly the best that was available in the

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country. We, of course, were very heartened and honored that the Prime Minister himself visited us and spent significant time understanding all the products and technologies that are available with us.

We also showed a live demonstration of our 5G radios, which are required in the bands, which have been auctioned in India. So we have the 5G radio products as well as some very new innovative technology like direct-to-mobile broadcasting, which is one of the latest technologies that is getting standardized in the world, and we are having a lot of IPR from the Saankhya Labs portfolio as well.

And the icing on the cake was that we won the best designed and made in India Telecom Innovation for our TJ1400, which is a very unique product, which we have been talking about for some time, which can be both, and it can become a base station, it can be then a GPON block, and it can, of course, become a transport product, all from the same hardware and configurable software in the integration.

And recently, we were again the same product has given the best product by Indian Electronics and Semiconductor Association (IESA)

for contribution to India's ESDM sector. So all I can say

is that from a technology angle, from a business angle, we are investing, and we are confident that what we have created in the direction which we are going sets us up quite well for executing and scaling up the company to a much larger level going forward.

The next set of slides, which are a little bit more detailed about the financials, I'll request Venkatesh Gadiyar to walk us through those, and then I'll come back again to the presentation.

Venkatesh Gadiyar: Thank you, Sanjay. Good evening, everyone. This is on the financial update. Q2 revenues were INR 219.9 crores, where we saw a year-on-year increase of about 27.3% and on a half yearly basis, around 9% growth, and while we had a loss on EBIT of INR 4.3 crores for the quarter, we had seen the profitability in terms of PBT and PAT. We had a PBT profit of INR 10.9 crores and a PAT of INR 1.1 crores and EPS of INR 0.07.

And above Q '23 figure includes Saankhya's numbers as well. Saankhya's revenue of INR 13.9 crores for Q2 '23 has been included in revenue above. Similarly, the above EBIT includes Saankhya's EBIT loss of INR 5.7 crores and both the PBT and PAT above includes Saankhya's loss of INR 5.3 crores in Q2 '23.

Key financial indicators. During the quarter, we had a cash outflow from operations of INR 71 crores and net worth has improved to INR 2,548 crores, and there was an increase in the inventory and the closing inventory of INR 399 crores as on 30th September. Inventory has been increased since we could not ship out the complete or unbalanced systems to fulfill the customer's orders due to the critical component shortages. Hopefully, we expect to consume these inventories in the second half of the fiscal year.

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And trade receivables were at INR 380 crores. And we have collected INR 201 crores during Q2. And the working capital has been increased by INR 100 crores, primarily due to the increase in the inventory level. Our cash position as on September 30th is INR 1,402 crores after making a cash investment of INR 284 crores for acquiring a 64.4% stake in Saankhya Labs. And with our healthy cash position of INR 1,402 crores, we are in a good position to execute larger opportunities to scale up our business. And also, I would like to inform you that this quarter, we

had turned profitable.

With this, I will hand over to Sanjay Nayak.

Sanjay Nayak : Thanks, Venkatesh. I'm on the next slide, which gives you the breakup of where our sales is coming from. So as we have been doing in the past, we look at the trend line in terms of the total of last year, and year -to-date, which is the first half of the current year in terms of how the different segments of our business are performing.

So if you really see the run rate business, which is a combination of India private plus international, contributed to 80% of the revenues for the first half of the year . India private was 51% with a year -on-year growth of 35.5%. India Government contributed to 20% of the first half, which represented a year -on-year growth of 66.7%. Out. We do expect that going forward, given all the things that are happening in India in terms of investment as well as favorable environment for domestic companies , we expect that the growth in India will continue to be at quite a significant pace for our business as well.

International was 29% of the total for first half , which on an absolute basis, was a decline of around 30%. So we did around INR 101 crores of international for first half versus INR 200 crores for the whole year last year. So we do expect that as the second half happens and given the backlog situation of more than INR 187 crores that we have for international, we should see improvement on the international revenues for the second half of the year as well.

In terms of

the breakup of the backlog that we have of INR 1,455 crores, India backlog is INR 1,268 crores and international backlog is INR 187 crores of total.

I'll go to the next slide. It is just again a recap of all the different segments of the business or the technology that we are playing into. If you see the chart on the right -hand side , is all the wireline and optical products that we've been having for a while. The DWDM category of our products continues to do extremely well. We are winning a lot of business in India and outside of India as well. The broadband access , which is the GPON portfolio, again has been doing very well for us. And the product that you see on the left -hand side, just over the star is our flagship product, the ultra -converged broadband access, this is the same product that we had earlier used for other applications and now is also being used as a 4G and 5G base station, going forward. And this is the product that we have been trial ing in various networks.

So, and on the left -hand side, we now see that we have a 4G radio product. We have a 5G product, which is both ORAN as well as the normal 3GPP compliant, as well as we have products

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from the satellite IoT and direct -to-mobile broadcasting , which come from the Saankhya Labs portfolio, along with the software -defined radio chipsets that they have. As a result, if you see the richness of our product portfolio from radio to wireless to optical is very rich. The challenge for us is to continue to make sure that we invest and make sure that these products are technically as good as we get in the world. But more importantly, we start generating large business opportunities for the technology and products that we have created, and this is where we are seeing benefits.

Last part of this technology, I wanted to also talk about is the secured Ethernet switches, which are used in smart cities, safe city and other applications, and which again is a part of the business, which is a fragmented business in terms of distribution, but it is starting to aggregate and become a reasonably meaningful business mostly from the Indian customers, which are non -telco customers within the country.

Coming to the next slide, which is the summary slide for me, and then we will, of course, open up for questions because I would like to give more time for that. If I look at it from where we stand, our Q2 performance improved on the revenues and margins. We crossed INR 200 crore revenue threshold after a while. And we expect that we have now finally got a very good handle on supply chain , and we believe that with our own internal processes and systems as well as overall global outlook for supply chain starting to look better , we expect that second half revenue starting from Q3 onwards would continue to see improvement and we should continue to see better revenue performance going forward.

Order book is excellent at INR 1,455 crores. And in addition , which is primarily on our wireline products. Our wireless products, which we launched recently for the 4G and 5G will start generating reasonably meaningful revenues and bookings going forward. We have fairly good visibility to some of the larger orders , and we hope that with those backlog s also coming in, in the near term , we should have a very strong order book to be able to have predictable execution going forward from future quarters as well.

On the product side, we are, again, very proud and confident that our products are world -class. They are award -winning and the successful demonstration of our truly indigenous 5G technology with all kinds of features and capabilities during the IMC and the customer response

that we got from the stakeholders who visited us there has been very encouraging , and we believe that now we are well set to become both wireline a

s well as a wireless company.

We continue to make significant investments in R&D as well as in manufacturing operations because while we can get the orders, we also need to make sure that we can execute them effectively . And we have been investing a lot into upgrading all our systems, processes, capabilities, and we are confident that as the business comes, we should be able to scale up our revenues and manufacturing operations as well.

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The integration of Saankhya Labs is progressing well. They have a very capable team of people and products , and our objective is to take the best advantage of synergizing what they have and what we have together and really build a very -very robust product business going forward. And as Venkatesh said earlier, our cash position is solid. We are confident that we have the capabilities and now the balance sheet to execute large orders and to scale up our business, which is what we've been lining up to do over the last 12 to 18 months.

That's really where I'll pause, and thank you for understanding the details of our business. And now, we will open up for questions for the rest of the hour.

Moderator: Thank you. We will now begin for the question -and-answer -session. Anyone who wishes to ask a question, may please press star and one on your touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.

Pratap Maliwal: I just had a question on the BSNL 4G deal update. So there was a post that the TCS was under the final stage of closing the deal with BSNL for the 4G network, the reported figure to be around the \$2 billion range. So , could we just get an update on the timeline of order, what progress you're making here?

Sanjay Nayak : I think as you have been mentioning, we have been a part of that consortium. We have made very good progress in terms of all aspects of the deal in terms of technology provenness as well as making sure that it's a commercially viable deal. And the process is on, and we do expect that sometime during the current quarter, all of those things should go in the right direction.

Pratap Maliwal: Can we say that maybe in this quarter, and quarter Q3, we should start getting some orders for that particular deal?

Sanjay Nayak: It's very difficult to predict anything from the government. But all I can say is that anything that has to be done from our side in terms of enabling this business with us from a product readiness or commercial viability has been done. And the process is on, and we do hope that we would get an opportunity to close that business at the earliest.

Pratap Maliwal: Okay. Sure, sir. And regarding the order book, so how much of the order book do you have an execution in the remainder for the FY '23? As I believe the seasonality kicks in the later part of the year is feasibly better for us. So how much of the order book would we be executing in the remainder of FY '23?

Sanjay Nayak: Yes. So typically, as you know, we have a fairly heavy second half compared to the first half. In different years, it's been 35 -65, 40 -60, between first half and second half. So I think similar this year, we have the strong second half. What I talked about earlier in terms of getting much better

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handle in terms of supply chain, in terms of planning, processing, internal tools, we do expect that the second half will be strong.

So from the order book that we have, anywhere around 40% or so, we would like to execute subject to, of course, supply chain issues

not coming in the way. And if we see actually are able

to manage it well, the kind of number should be possible. From a customer angle, there's a lot of demand for our products and the soonest we can produce and deliver is something that they would like.

We have taken advance actions quite a while back. The challenge in the supply chain , just since we see here on the topic , is that while certain parts of the component industry are expected to come back to normal starting from next year, but other parts still may have a slightly longer lead time. And unfortunately, in our industry, for example, in our company even if one part, one

component, or one chip gets delayed it has an impact. So we have taken all the actions. We do expect a fairly strong second half in line with what typically happens where we have a bigger second half compared to first half.

But we still would be carefully watching the supply chain situation so it doesn't go out of what we think it should be in terms of improvement and so on.

Pratap Maliwal: Okay. Understood. And just one final question, if I may? The India order book, as I understand, it's 1268 cr. So can we break that up into India Private and India government, the order book, India?

Sanjay Nayak: Usually, we do not break up the order book by customer segment. So we break it up by international. But I can tell you that within the India order book, just to give you the sense of the kind of delivery timeline or pressure that we have on the two aspects of the order book.

The international order book, we typically will have to execute much faster because customers would require those equipment sooner. A significant part of the India order book is more in the form of for example, projects in the critical infrastructure segments like we had announced a deal for Power Grid.

So now Power Grid when the power lines are set up or when the networks are set up, they are more like infrastructure execution projects, which have a slightly normal duration. So the India order book, I would say, will get executed over a slightly larger duration of time. The India private gets executed quite quickly. The India government takes a little bit more time to execute. And that international order book is ideally speaking, if you have the material, they would want it from us immediately. So I think this is how the blend of the delivery of the order book would come into play.

India private, as we said, continues to be a strong segment for us as a tone earlier. India government is, of course, we have a good backlog and a lot of funnel for new business as well.

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And this switch is what I was saying that going forward, even with a larger base, India government would continue to accelerate.

And international on an absolute basis will continue to use increase. But as a percentage, because if India is going to grow at a much faster pace, we will still have a mix where India business will dominate the overall.

Moderator: Thank you. Next question comes from the line of NGN Puranik from Enam. Please go ahead.

NGN Puranik: And very nice to know that you have showcased a 5G radio. It's good to hear an Indian company doing all this. Can you give a sense of how you are going to productionize this, monetize this?

What's the path to glory in this? How will you -- what are the steps forward?

Sanjay Nayak: Certainly, Puranik, First of all, thanks for your words. I really appreciate it. So in fact, just to give you a little bit of thought process and the strategy for building the 5G business, one good thing which Tejas has, which is a very, very big headstart is that a lot of the technology that we have developed, whether it is for wireline, which is optical or 4G or 5G is all integrated. We actually have a product where in the same box or the same shelf, which you saw the picture

earlier, you could make it as a base station, it could be 4G, 5G or you could use in optical. So the good part for us is that with the incumbency that we have, we have shipped more than 750,000 of our systems worldwide. So the incumbency that we have allows us to upgrade some of these networks with newer technologies that we have introduced. So the game plan for wireless is...

NGN Puranik: Perhaps, marginal effort?

Sanjay Nayak: With marginal effort. And that is why if you see the product portfolio that I displayed on my chart, to create a product portfolio of wireline, wireless and radio, and I would encourage you to look at even the biggest names in the world in the telecom OEM industry, probably only one or two companies, maybe one from China and one from Europe, might have the same range of products that we have.

So that gives you the confidence that the efficiency of our R&D processes and systems and maturity is very good. But then coming back to how do you commercialize this and how do you make a good business out of it. So one is that we can upgrade a lot of our products for newer technology.

Our game plan in wireless is to make sure that we initially get a very large beachhead account for 4G and 4G still has long legs and a lot of businesses is out there. And 5G will be a seamless upgrade on the existing product architecture that we have. So we will now take the incumbency of our wireline and optical business to get our feet wet into the wireless business.

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And the incumbency of wireless starting from 4G will be leveraged to seamlessly upgrade to 5G. So from a customer experience, this migration becomes very easy. The maturity of technology, the products, which have been field-hardened for 15 years, running the same software core base. So those are the benefits which we get. In fact, the use case for 5G around the world is using 4G as an anchor. So the networks which have done that is to use 4G as anchor, put 5G on top, look at the markets where 5G has the highest potential, look at the bands where the 5G is going to give the maximum bang for the buck, and go and upgrade those networks seamlessly on a pay-and-grow basis since our product architecture allows it.

So our game plan is in the next 15 months, which is now till end of next calendar year, we will be focusing more on building this 4G anchor base in India upgrading it to 5G in India, it may be in multiple accounts and they'll start engaging during the middle of the year with international customers, and we have a lot of inbound inquiries from customers in Europe, in particular, who are looking to find an alternate to some of the incumbent suppliers from certain countries, whom they would like to replace with new suppliers not just with the guys that they are used to from Europe.

So actually, we have got a "vacuum" to fill in certain markets. And it's our ability to scale up and engage with them and be able to supply them equipment in their labs and in their field, which is coming the way. So we're taking a step-by-step approach, mature the products in India, get your supply chain up, get the products into right shape, size and competitiveness then go outside of India, the opportunities are large. And we believe that this way, we may leverage all the stuff that we have done and really made a good business out of it rather than just building products and then not being able to sell them commercially.

NGN Puranik: So you are now ready with both 4G and 5G?

Sanjay Nayak: Absolutely.

NGN Puranik: And the 5G has happened with the incremental effort?

Sanjay Nayak: 5G, a significant part of the 5G comes from the Saankhya Labs acquisition. They have been working on 5G for quite some time. So we took their technology and their engineers, and we're all working as one team. If you look at the radio architecture, we have really converged so that

a lot of the hardening and a lot of the productization which has happened for the 4G radios that

were already in place, along with the 5G technology and all the different frequencies and different modes of working of Saankhya, we are able to accelerate the two together which individually would have taken a lot more time. So really taking advantage of the best that we have from both sides and accelerating the 5G.

NGN Puranik: So the TCS BSNL deal is extremely critical to both 4G and 5G today for you?

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Sanjay Nayak: Yes. Any anchor customer of this size is very, very important for a company like ours because it just gets us into a step function increase in terms of capabilities as well as deployment opportunities and, of course, revenues.

NGN Puranik: And your own share of economics in this deal will be how much?

Sanjay Nayak: Typically, RAN is a fairly large portion of a network. So as you can see because that's a very large amount of field deployments every site or sell site could potentially have radios of one or two bands or three bands at times. So it's a fairly large opportunity and very significant opportunity to scale up our company in terms of supply chain capabilities, finances and everything else.

NGN Puranik: So in a INR 2,000 crore deal, you will get a share of what? 20%, 50%, 60%, or more?

Sanjay Nayak: I think let the deal happen and then we, of course, will have the share.

NGN Puranik: Let the deal happen, yes. If the deal happens, that's very critical to -- for India and for you and both on the 4G and 5G. That's very important. I have another question. You mentioned a very interesting number that you have 400 IPs combined, you and Saankhya combined, 400 IPs. I think you are an IP company, very few IP companies have your stature. But what I want to understand is, see what happens is, generally, most of the IP companies work on product innovation, new ideas and all that but they get lost on the monetization on the economics.

So I want to understand these 400 IPs, the character of this 400 IPs, potential of these 400 IPs.

In fact, last time also I asked you about how many of them are production IP, sales IP, process IP, defense IP and this will -- for example, if you can explain through for the 4G and 5G creation, what -- how many of these IPs are deployed. If you can give some sense of power of these IPs, so it will get an understanding when they're going to get monetized?

Sanjay Nayak: Yes. So first of all, the good part about our company is that we just don't create IPs for the sake of creating IPs or filing patents. The best part is we actually productize them. So if I look at the

total IP portfolio, it is spread across optical products, Ethernet products, 4G, 5G even and 5G Advanced, which is going to be a part of 6G. Some of the IP Rs also pertain to that because some of the new things which are coming in those standards are being contributed by our teams here in India from India, right? And at even there's a lot of talk that finally for the first time, India has actually contributed to global standards and correspondingly filing the IP.

So I think we have a whole spectrum of IP which is across these four domains that are reached, Optical, Ethernet and 4G and 5G and onwards. Now what we do is all the products that we create, so everything that we build, for example, a transmission box or a 4G radio or a 5G radio or a direct-to-mobile broadcast radio and so on, so there's a lot of happening here of course, embedded into it.

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So as such, we are not in the business of selling the IP R or licensing the IP s to anybody else. They are more for use in our own products, so that we get a differentiation to begin with. And secondly, as you also

mentioned, part of this patent pool is also defensive in nature, because we also need to make sure that we have a reasonable portfolio of IP Rs with us, so that at any point in time, we always have a situation that we can have a fair negotiation with anybody.

So I would say it's a combination of all of that. Our interest in the IP s is to really make products which are world-class, make products, which are really meaningful and differentiated as the customer and at the same time, also protect some of the unique business things that we have done.

NGN Puranik: And you're saying there is a method in the creation of these IP, they have a direction, they have their own proprietary stature in the portfolio, they can add the value? There is -- none of these IPs are did any time done fix when you do an IP audit, perhaps you will know -- if you give some sense of that, that will be awesome?

Sanjay Nayak: Yes. We have not done a formal IP audit. But as said, just to maybe highlight that some of the IP that Saankhya has been creating is actually going into a 6G standard, let's say it, right? So that gives you the sense of the importance of their IP, right, in terms of how would you do a broadcast 5G application in a certain way, let's say, right?

So those are all things are extremely valuable. They will be productized in the form that will be meaningfully useful for a customer to do something new, do something in a different or a clever way, give a differentiation to our product. So that's what our focus is. And really, as I said, I mean, the productization of the R&D or the intellectual talent that we have in the company is something that really is what we focus on, versus just creating a patent portfolio and actions we need to someone.

In that sense, we are -- it's a bit of a similar actually, just to give you the same point, like Saankhya earlier, who used to do a lot of very, very complex R&D services work for certain kind of customers who would love to get stuff done by Saankhya. We believe that the talent and the capabilities are better utilized or accelerating our own products and getting that kind of service revenue is not that meaningful for us.

If you were a services company absolutely, when you are a product company, we see a lot of business opportunities. You see a lot of things that if we have this product today, we could sell it. So we would rather put all our engineers and all our talents in that direction rather than in the short term, maximizing our revenues and providing services to someone else.

NGN Puranik: So if you had to pitch yourself for international opportunity, Europe and the US, how do you -- for a large deal, how do you pitch it different from how do you do it for an Indian company?

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Sanjay Nayak: So clearly, I think it depends on the market and depends on the dynamics of the customers. So I think one other thing I would like to highlight here is that over the past two years, there's a lot of geopolitical situation, which has changed in the world. So earlier on, if you were a new equipment provider, one of the questions someone would ask is, how are you better than company A, from country A or company B from countries -- wherever else, right? And the onus of proving that you are far better than other cost, feature of performance, or technology was a new, right?

Now there's a slightly different conversation, which is, I have to replace equipment from vendor A or B. And I do not want to go to the same set of people who were there before. And I want to get competition in and if they look around in the world, probably we appear to be one of the best set of people or set of products that can give them the confidence and comfort that not only is

this product good enough that it has worked against global competition in India. It has been bought at In

dian price points, and this company continues to do well and the fact that now we are a part of the Tata group and have all the other benefits of the group companies, the confidence and the trust is much higher. So I really feel that in that sense, when now the narrative when we start attacking international deals of the larger kind, is really that we are a very credible alternative to the whole ecosystem, which is 4G, 5G, transmission or whatever than what was earlier.

And if you see some of the commentary that even at a national level from India, which has been said by leaders in our country that for the first time, India now actually has 4G and 5G products, which are world class, and we want to not just become an import of telecom products but become an export hub. So I think that just kind of gives you a sense that the opportunity is coming from different corners and for different reasons. And the fact that we have had success in India is a very good benchmark of confidence because every global player and everybody watching what's happening in India and our success in India is always considered highly valuable, and we do get instant credibility. Where you're handicapped earlier was lack of brand on international markets, lack of local support, lack of a comfort that you guys will be around 5 or 10 years from today.

But with the partnership of the Tata group, I don't think those questions are any more relevant. Of course, we want to mature our products, especially the newer ones like I mentioned on 4G and 5G in India before we go for an all-out things internationally, which is a prudent thing to do given the complexity of the technology.

NGN Puranik: Excellent. One last question on business economics, the bread and butter, livelihood -- this question. When do you think you will get back to 15%, 20% operating margin, which typically a power of IP company. How soon your...

Sanjay Nayak: Yes. So what we would like to compare ourselves, I would say, in the medium term would be try to become the best-in-class among the telecom equipment companies worldwide. Because Tejas Networks Limited
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our comparison with the IT services companies may not be the right comparison because the market and the profit dynamics are slightly different.

NGN Puranik: But comparing an IP company -- no. No.

Sanjay Nayak: Okay. IP company, yes. If I look at a product, global telecom OEM, our target is that in medium term, we should become among the most profitable. And in the long term, not only should we have very large revenue in terms of global market share, we should possibly be the best in class because with an Indian R&D cost advantage with the large home market that we have, which, of course, in the local market here sales costs are lower.

The fact that in India, if you win and you fine-tune your processes to sell products, you can make a lot of margins when you go outside of India, are all positive. So I would say we are thinking right now is rather than optimizing and getting to this profit target in the next one or two quarters, let's invest for the next short period of time, I would say, get the scale, get the size, get the credibility, and after that, it's a very, very straightforward thing because if you can make x percentage of profit in India, you sell outside of India, you can add 10 to 20 points.

And I think that's something that we have done before. And our goal today is to really make sure that we build the company for long term. We build processes, systems, people, talent, manufacturing, cost optimization, so that everything that we do in India is a plus. And that success will really leapfrog us in a very short period of time when we go internationally rather than trying to diffuse our resources in optimizing in the near term.

NGN Puranik: Absolutely. No, that's what I was I'm asking, 2 y

ears down the line, will you be a 25%, 30% margin company?

Sanjay Nayak: I can't give the numbers, but 2 years down the line, we should be definitely among the better run telecom equipment companies in the world.

NGN Puranik: Correct. Because with the power of your IP, you should be a lot more profitable than the rest.

Sanjay Nayak: And then the fact that a lot of it is done from India, which is -- we never took advantage as a country to do a lot more R&D for a lot less. And this is all evident in what we've already done and what we will be doing. So all those basic elements which you articulated are all right, but the reality of that comes with scale. Scale is what we need to get sooner than later, and we're focusing to make that happen. So I think we just play the thing in the right sequence, we are very confident that we will deliver what the potential of the company and country in a larger sense. Since you mentioned that it's important for India to now be a big player in this new ecosystem. I think we feel that we have the best shot to do that.

Moderator : Thank you. Next question comes from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.
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Vimal Gohil: Firstly, it's good to see quarterly improvement in your revenues, congratulations on that, including . So just -- I joined the call a bit late, so please pardon me if I'm making you repeat something. Sir, just on your profitability, I mean, you had guided that some of your fixed cost agreements which you have signed, which are already present in your order book, are already at higher raw material levels -- at higher cost levels so that could have an impact on the margins going forward is what you had indicated last quarter.

But it certainly seems that you have sort of turned the tables around in this quarter despite Saankhya having a loss of about INR 5 crores on the operating level. So just wanted to get a sense on what has led to this positive surprise ease at all if you feel so? And second question was on your international revenues. We have seen a bit of softness. What would you attribute that to? Yes, these are my two questions.

Sanjay Nayak: No. No, fair enough, but I did not answer these questions, so you didn't miss anything. On the first question, yes, you're absolutely right that some of the rupee-denominated contracts in India were fixed price. And given the component cost increases and all that, we did have a challenge. The product mix in the last quarter was a little bit more favorable to us in terms of things where we could get certain costs down or get cost reduction or maybe the margin on those specific deals that we have signed or the things I wouldn't have the exact details in terms of what were these one or two deals that actually made it happen.

But broader base, I think we did do better in terms of improving the margins. One other thing the relation here on the topic of margins. One thing which we also are trying to do is that as we line up for executing at a much larger scale. And I'm again very happy to say that a lot of the global chip suppliers are treating us far more seriously than they would have treated us a year back, let's say, right? Because they do see that what I mentioned earlier that if in a few years' time, there could be a new global OEM was to be emerging, which would potentially be a large-scale company we have a very good shot at being that company. And if that is the case, those chip suppliers are also giving us strategic pricing, strategic delivery timelines, not as good as we would like today because they still are handicapped by their supply chain shortages in terms of fab capacity and so on.

But the way things are unraveling, especially in the last two weeks, how some of the geopolitical developments have happened, we have

reasons to believe that the supply chain situation in terms of chip supplies can potentially only improve from the level that things are, including some of the pressure on pricing can relieve.

But of course, all of that will take time to unravel. So that's one part on the margin side. Second question you had was on the international side. So as you saw, we have a backlog of more than INR 180 -odd crores on the international side. It's again, a situation where we specifically for international customers because in Indian customers suppose we have to ship a x number of systems, you could ship some percentage of x in lot one, and you can do some percentage in lot two. But in international customers of different times, we would prefer all of that equipment to be delivered in a certain way.

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two. But in international customers of different times, we would prefer all of that equipment to be delivered in a certain way.

In this case, if they have any kind of imbalanced inventory, I would not be able to ship it to them. So I would say that at quarter it was just a function of what were the customers that we had to give priority, what are the chips we could manufacture and complete our systems. But as I mentioned earlier, going forward, on an absolute basis, at least international performance in the second half will be better. But as a percentage, if India continues to grow at a very fast pace, either this year as well as next year as a percentage, of course, international will be lower.

And our target is that we are taking one step at a time and get to scale using the volumes of the home market in India. While all the engagements in terms of lab trials and other stuff, the critical customers internationally, we will continue to do. But I must also highlight that our existing customer base continues to do well.

That is the reason the run rate accounts from various international geographies like Africa, Southeast Asia and so on and so forth continue to give us good revenues, but developing Europe and US, which can give us significantly larger revenues, will be something that will take a little bit more of time. And given that the priority is given the amount of opportunities available in

front of us starting from India and larger deals, we just have to make sure that we do a good balance and don't ignore the home market just because it's our home market. I think it's a very valuable home market, and we want to take the best advantage of it.

Vimal Gohil: Understood, sir. That's great news here. So basically, what I would -- the short takeaway would be that going forward, there would be no sequential -- there's sequential improvement that you are showing will sort of continue? Would my assumption be right in terms of top line and profitability?

Sanjay Nayak: Our top line, definitely, we believe that with all the actions that we have taken internally and the external situation seeming to improve, we definitely do believe that the top line situation will continue to improve over the next few quarters. And as scale catches up with us, we also believe that we should start getting better control on our margin and pricing.

And I mean, I would say it will not happen overnight, but the trend definitely looks very positive and upwards for us. And of course, our objective is to make sure that larger deals, of course, come with their own set of challenges and we want to make sure that we are ready to execute because scaling up and getting to the right size and getting to the right capabilities and proveness that is very, very crucial because that really propels us into the larger leads if you can execute these near-term opportunities very well.

Vimal Gohil: Understood. Sir, another one Saankhya. Again, I'm not sure if you addressed it, but just on profitability, what is the outlook there? I mean, while you have indicated in the presentation that

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the integration is on, but are you as confident in Saankhya that Saankhya will be able to be as profitable as Tejas is, going forward?

Sanjay Nayak: So I think, I had mentioned this in the context of Saankhya integration. Saankhya had two businesses before we acquired them. One was services business, very high-end R&D services that they were doing in addition to including their own IP in those services, for clients abroad or in India, or wherever. And that was a reasonably profitable business for Saankhya.

And the second thing Saankhya was doing was developing their own products. Of course, once you have your own products, we have a lot more potential. So we have taken a conscious decision that we want to focus on the second activity a lot more. We would rather take the outstanding talent and the capabilities and use them for not just Saankhya products, but all the 5G stuff that, for example, we talked about.

A lot of the 5G heavy lifting from the capabilities came from the Saankhya team. So rather than focusing on the profitability of Saankhya, we are now looking at Tejas plus Saankhya as one team, one entity, and really creating a portfolio of products and prioritizing the R&D in areas where we see maximum possibilities of revenue scale up and profitability scale up going forward. So we are kind of doing a Tejas-plus Saankhya optimization rather than focusing on Tejas optimization alone and on Saankhya optimization alone. I hope that answers your question.

Vimal Gohil: Right. And sir, lastly, some media reports indicate that we are sort of frontrunners for the large BSNL deal along with, of course, along with TCS. So just to understand this a bit better, the receivables with BSNL that will happen while you are executing this project, how will this get classified? I mean, will TCS, will be provide our services to TCS and then TCS take the receivables on our behalf or will it work the way it used to? Because it is our historical experience has been that typically execution of these contracts as sort of stretched our balance sheet a bit in -- which I'm sure indeed which has happened in the past. So what are we doing so that does not repeat going forwards, when we retain the BSNL contract?

Sanjay Nayak: So first of all, let me tell you that at least whatever we can do from our side as Tejas to be successful in winning large deals, we are doing, as I mentioned earlier, whether it's technical or I think we are playing our part well, and I am confident that at least everything that should be done from our side is being done. In terms of the media reports, we also read the same media that you do. So I guess, when the things actually fructify, we'll all know it.

So that's the second part. Coming to the third party in terms of the financials and the receivables from BSNL, all of us tell you is that the good news is that BSNL is a very well capitalized company right now. They have been given, I believe, from the media report that has been, close to INR 160,000 crores worth of support from the Government of India, which is including a significant amount of cash infusion. So I think as an operator BSNL is a fairly healthy and solid customer. So I don't think we need to worry about that part of it in terms of the receivables.

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Second thing, I must tell you that over the years, we've had a fairly good and detailed working experience of how to work with not just BSNL, but any other PSU operator or even private operator or anybody else in terms of making sure that we follow their processes and systems to the key, because the better you become at that, the lesser the chance of any financial receivables or anything adding up.

The problem comes when the company is financially not solid, which was a case of BSNL in the past. But going forward, with the kind

of government support they've got, we being much more experienced in terms of process and systems, we're working with other consortium partners who are quite mature and experienced in handling large projects, and the government's intent overall to make sure that we create a vibrant and healthy ecosystem from India, which not just does well in India, but does well around the world for India, I think all of those things make us far more confident that we will be disciplined about execution, and we will make sure that whatever profits and whatever financial gains that are got are all done and actually realized. And so we will be using all our experience and all the knowledge to make sure that we execute well on these larger opportunities as and when they cook for us.

Vimal Gohil: Thank you so much for your detailed answers and all the very best.

Sanjay Nayak: We are almost out of time, but if there's one last question since we didn't announce, I'll be happy to take that.

Moderator: The last question comes from the line of Subrata Sarkar from Mount Intra Finance Private Limited.

Subrata Sarkar: This is just a follow-up question, sir. As per whatever product we have, like we have 5G NSA product right now, not SA product or as we are all like a largest Indian operators, telcos have announced for SA kind of 5G setup. So in this context, like how would we fit in or like comment on that, sir?

Sanjay Nayak: I have the pleasure of Dr. Kumar Sivarajan, our CTO. So I think between SA and NSA, as you mentioned, I'll request Kumar give his views on that.

Kumar N. Sivarajan: Yes. Sure. So our 5G products will support both SA and NSA, and our 4G, which is deployed, will be able to work with our 5G in NSA mode. So we are supporting both modes of operations depending on type of the operation.

Sanjay Nayak: And in addition, by the way, the 5G product that we have architected is also going to be compliant to the kind of thing that Kumar spoke. But in addition, even if it's a non-ORAN architecture, we'll be compliant to that as well. So it is really agnostic to the deployment scenario and standard scenario that an operator may choose, and that gives us the flexibility to be in larger number of opportunities than you would have otherwise done, if you were bottled into a

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particular architecture or a particular way of implementation alone. I hope that answers your question.

So thank you. Again, we appreciate you all taking the time just before Diwali. And as I said, this quarter has been a good quarter in terms of getting the momentum in the right direction. The order inflow is good. The order book is very healthy. That is for the wireline part, which gives us confidence that all the work we have done over the years is very, very impactful and getting good.

On top of that, the wireless business is coming as a nice add-on business. And we see good signs of larger opportunities closing. The supply chain and the operation that we have taken a lot of active role in terms of fine-tuning and fixing the systems and processes are all coming together, which showed in terms of the Q2 performance.

And as we mentioned earlier, going forward, we expect to continue to see improvement in those directions. So overall, I think as a company, we are all committed to making sure that we look at the medium and long-term picture, do all the right things and in the short term, make sure that the exertion continues to improve so that the company starts realizing the full potential that we've been working for so many years. So thank you. I wish you all and your families a very, very happy Diwali. And enjoy the upcoming holidays. Thanks again.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

February 13, 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers, Dalal Street,
Fort, Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q3 FY23 Earnings Conference Call

Please find enclosed the transcripts of the Q 3 FY23 Earnings Conference Call held on February 06, 2023 .

Kindly take the above information on record .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

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"Tejas Networks Limited
Q3 FY2023 Earnings Conference Call"

February 06 , 2023

ANALYST : MR. BHUPENDRA TIWARY - ICCI SECURITIES LTD.

MANAGEMENT : MR. SANJAY NAYAK – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR - TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER &
WHOLE TIME DIRECTOR - TEJAS NETWORKS LIMITED
MR. VENKATESH GADIYAR – CHIEF FINANCIAL OFFICER -
TEJAS NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY
OFFICER - TEJAS NETWORKS LIMITED
Tejas Networks Limited
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Page 2 of 19 Moderator: Ladies and gentlemen , good day and welcome to the Tejas Networks Q 3 FY2023 Earnings Conference call hosted by ICICI Securities Limited . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities Limited. Thank you and over to you Sir!

Bhupendra Tiwary : Thank you Faizan. Good evening everyone. Thanks for joining in for the call. From the management we have Mr. Sanjay Nayak, who is Chief Executing Officer & Managing Director of Tejas Networks ; Mr. Arnob Roy, who is Chief Operating Officer & Whole Time Director; Mr. Venkatesh Gadiyar, who is CFO; and Dr. Kumar N Sivarajan, who is CTO. So without much ado I will hand over to Sanjay . Over to you, Sanjay !

Sanjay Nayak : Thank you Bhupendra. Welcome to the Tejas Networks Q3 earnings call. We had uploaded the presentation on our website . I hope you had a chance to review it or download it because I would be going over that presentation during the next course of the call . So I am on slide 1 which says the key updates for Q3 FY2023. On the financial side our net revenues were 275 Crores , which you would see that on consistent basis between Q2 and Q1 we have improving. Loss after tax is around 11 Crores on a consolidated basis. The accounts for Q3 includes the consolidated accounts of Saankhya Labs that we acquired. On a standalone basis we were profitable at around 5 Crores. Cash and cash equivalents are at 1221 Crores and we again continue to be a no debt company and order book at the end of Q3 stands at 1431 Crores , which is quite healthy. In terms of highlights of our business, the optical business which has been the one which has lot of products that we have been working on for many years. The strong momentum continues. In addition to the routine business that we win , we are also L1 in a very large pan India tender for building a backbone for our 4G and 5G winning against global MNCs and we believe this will have a significant revenue potential during next year. The order we expect to close sometime in this quarter and this will possibly be the largest single order for optical networking business for the company till date. On the wireless business side , we have been working on a 4G project again a PAN India project with a large customer in India. All the technical, commercial and all

other

related issues have been closed with the customer and it is just the process that is going through and we again expect the order to come to us in the next few weeks. On the R & D side , in line with our significant increase in product portfolio and our aspirations to become a much larger business , we do need to continue to invest a lot more in our R&D both in wire line as well as wireless products . So we have lot more focus on 4G and 5G and as such we have increased our employee strength to 1250 out of which around 800 are in R&D and which compared to one year back is a 60% increase in head count on R&D compared to 31st December of the previous year . So this just gives you a sense of the significant investment focus we have. Arnob will talk about what are all the key initiatives that are in R&D that we are working on. The supply chain and manufacturing side which is a very important aspect of our business because we have a lot of

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Page 3 of 19 orders , but we are supply constrained for fulfilling customer orders due to shortage of certain chips. While overall the semiconductor shortage situation is improving, there still are many category of chips and there are certain specific components that do have long lead times. We discussed in the previous earnings call that we reengineered a supply chain process and instead of just relying on contract manufactures , we have now got far more better visibility so we upgraded our internal system, processes and tools and of course added more manpower as well , but net effect of all of that is we believe that we have far better control on the situation and given that the lead times for certain components will continue to be more than 52 weeks even during the current calendar year , we do believe that with the inventory action we have taken , with the changes that we have made in our systems and processes , we are confident that we will continue to see revenue improvement . And most importantly we have lined up a lot more production capacity because on the large orders that we are talking of not just in wireless , but also in wire line we do believe that there are significant revenue scale up opportunity in the next financial year and we have signed three new EMS vendors as our contract manufacturing partners. In addition , we have made investments in our internal facility in terms of warehousing , production floor or people so that we can execute these large orders that we are expecting on time and within the criteria that had been set out. In Q3 , we have seen some gross margin pressure . Lot of the deals that we have signed were in rupees and were signed six months, 9 months, 12 months or even earlier so a combination of chip prices for certain kinds having increased and hit us , second is the exchange rate which from the time that we have signed the deal to what we have been supplying right now and third as you see in our total numbers the percentage of revenues in India has been higher. Our international revenues in this quarter have been lower . So the combination of these three things have resulted in growth margins being lower compared to previous quarters. We do believe that going forward we will have much large revenue so that the percentage level of gross margins may be lower , but the volume advantage that we will get because of economies of scale should mitigate that and give us the right amount of profitability that we are looking at despite India business going to be a higher percentage of revenues in the next year. So on an overall

basis between R&D and supply chain , our philosophy is that we are investing in our business both from technology angle and processes , system s and manufacturing angles so that we rather than focusing on very short term profitability for the quarter or s o we would really be focusing on long term profit

ability which should start resulting and be visible starting from next fiscal year itself . So that is the kind of view point we have been taking on our business.

In addition , we also received investment of additi onal 300 Crores from Panatone Fi nvest which is a subsidiary of Tata Sons against the final subscription of serial B warrant for which in today 's board meeting shares have been allotted to them. Post this Panatone would be owning 56.38% of the total share holding in the company. Of course, the additional investment will ensure that our balance sheet gets stronger and we are able to take the right business calls to grow the business for the opportunities that are ahead of us.

Now I am go ing into the next slide which is titled corporate update so we talked about last time that we had applied for the PLI scheme for design -led PLI where we had upgraded our

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Page 4 of 19 application from 100 Crores to 750 Crores of investment commitment. This can result in to maximum eligible PLI incentives of close to 2800 Crores over the next five years of the PLI scheme , subject to of course we getting the higher revenues and so on. So far , we will be meeting the year one requirements for investment as well as the incremental sales and do expect to get the pay outs based on the first year performance itself.

Next is on the product side , the converge d optical products, wireless and optical product s that we have , won the broadband innovation of the year award at the Mobile Breakthrough Award conference in USA last year. We of course are expanding R&D both in Bangalore and other locations , but we do believe that IIT Madras has fairly good amount of talent. Chennai has a lot of talent and we have set up a n R&D fac ility in IIT Madras Research Park where we can actually now hire local talent and augment the team that we have in Bangalore as well as in G urgaon and Mumbai. On the patent side we have increased our portfolio to 443 patents between Tejas and Saankhya and later this month we will be showcasing lot of our products at the Mobile World Congress in Barcelona both in terms of the new 4G and 5G product s as well the optical and xPON products that we have.

Saankhya labs integration is on track. We had acquired 64. 4% in July of last calendar year and for the balance we filed for the amalgamation through the NCLT process , which is underway. In line with synchronizing things much better we have transferred 169 people from Saankhya and now they are part of Tejas and ar e reported in the Tejas financials and this will of course strengthen the 5G radio programs in time to market some of the new products in the wireless side and the Saankhya team which is the subsidiary at this stage continues to focus on the 5G broadcast a nd satellite communication and fabless chip which we are designing for use in 5G and 6G products.

On the Q3 financial update in terms of details , I would ask Gadiyar to walk us through the next couple of sides .

Venkatesh Gadiyar : Thank you San jay. Good evening everyone. You are in slide Q3 FY2023 financial update. As Sanjay just mentioned despite of our supply chain challenges we had our quarterly revenue consistently grew over the three quarters. The consolidated revenues for Q3 was 274.6 Cror es a year on year growth of 156.4% and for Q3 the EBIT loss was 21.3 Crores and the PBT loss of 5.1 Crores and a PAT loss of 10.9 Crores . And similarly for the nine month s, the revenues were 620.3 Crores , on a year on year basis the growth was 46.3%. EBIT loss of 56.3 Crores. PBT loss of 7.1 Crores and a PAT loss of 16.4 Crores. It is important to note that on a standalone basis Tejas had a revenue of Rs.253 Crores and PAT profit of 5 Crores in Q3 2023 and standalone basis for 9 months we have crosse d last year 's FY revenue . And typically Q4 revenues will be large in nature . In the above

revenue s, the Saankhya revenue for Q3 was 20.9 Crores and for the previous 9 months it was 34.9 Crores and Saankhya EBIT loss of 14.5 Crores and for 9 month EBIT loss of 20 .1 Crores and the Saankhya PBT loss of 13.5 Crores in Q3 and 18.8 Crores for the 9 months.

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Page 5 of 19 Next slide , we are in Q3 FY2023 key financial indicator s. The cash outflow from operations for the quarter was 114 Crores. The net worth was 2567. Inventory h as increased from 39 9 Crores to 494 Crores and that is a n increase of 95 Crores during the quarter. It has primarily increased because we could not ship the complete or balance d system due to the critical components shortages we had and also , we have secur ed some long lead inventory in anticipation of the expected order requiring faster delivery of the products . The trade receivables have moved up

from 380 Crores to 500 Crores and despite we have collected about 215 Crores during Q3. The net working capital has gone up from 639 Crores to 766 Crores, primarily due to the increase in inventory and receivables. Finally, the cash equivalent as of 31 December 2022 stood at 1221 Crores. Post the quarter end, on February 3, 2023, we received an investment of 300 Crores from Panatone towards final subscription of series B warrant for which the allotment of shares have been taken place today. The strong cash in hand and strong balance sheet will enable us to execute large opportunities and scale up our business going forward. With this I will hand over to Sanjay now.

Sanjay Nayak : I am on the next slide which is the sales breakup on a cumulative basis for the first 9 months. So, if you see the chart on the left hand side, it is the total FY2022 revenue breakup between India government, India private and international and the chart on the right hand side gives the corresponding number for the 9 months period. So, if you see we have done 620 Crores year to date. If I look at the run rate business which is India private plus international during the 9 months contributed to 76% of the total. India government was 24% of 9 months cumulative revenues, which constitutes a year on year growth of 139%. India private was 54% of the 9 month total which is year on year growth of 83% and international was 22% of 9 months which is a decline of 24.1%, which is what I had mentioned earlier that we did have a decline on the international side. On the backlog that we have, of the total backlog India is 1189 Crores and international is 242 Crores. So one of the things we expect that Q4 we should have significantly higher international revenues part of it is because to the international customers we are expected to ship complete systems in most cases and we cannot ship part inventory so if something was missing we had to hold back those shipments so we do expect international to improve in Q4. If I were to look at the sales outlook going forward, our focus if I would to say over the medium term would be to really expand the business volumes and achieve economies of scale at the earliest possible. What this really means is that we have to grow the top line much more aggressively and the opportunities are clearly visible to us not just for wireless business, but also for wireline business and as a result, we do see that given all the growth opportunities in India, the capex push in India, the Atmanirbhar agenda and our own positioning in all of that we do see that there is a very large revenue opportunity in India in the next four to eight quarters. And we are well leveraged to take advantage of that. So once again the market share in India we should get the economies of scale. For example on the large order that we have been working on using that as a volume we have now been able to derive cost advantages for the rest of the business as well. So what is likely to happen going forward

is that on a percentage basis while our gross margins may look challenged, but at a profitability level, at the EBITDA level or PAT level we expect things to continue to expand and achieve closer to the long term business model that we would like to Tejas Networks Limited
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Page 6 of 19 see. So I just want to kind of call that out that while on an absolute basis international will continue to grow, the growth of India on a relative basis will be much faster hence the percentage of international contribution in our business will be reduced both this fiscal year as you have seen as well in the next financial year. One other thing was that in terms of this financial year that while we have a backlog of international which will again as I said make sure that the international revenues come up in Q4. The challenge for growing many new customers in the near term was that we did not have enough inventory coverage to give them deliveries in a short term period of time. And if required a very long delivery period, they had less motivation to shift from their existing suppliers. So we really kind of focused more on retaining the international customers that we have rather than going after to many new customer wins. However, with the supply chain situation coming under control both because of internal action as well as macro improvements in the overall semiconductor situation, we will be changing that and the growth on the wireline business for international exports during the next fiscal year will continue. Wireless of course we will continue to focus more on India to begin with and then go international in the next calendar year so I am kind of wanted to give a broader view of the sales strategy that we are thinking from a business perspective. At this point I will ask Arnob to go over the next two slides both in terms of just a recap of the portfolio of the different segments and from an R&D investment perspective what are we doing to kind of make our portfolio more competitive and catch up on things where we may not already be there.

Arnob Roy : Thanks Sanjay. As you are all aware our conventional business and our product line has been in wirelines. We have a very strong end to end portfolio of products from access, aggregation to the core which are used for building optical networks for many different applications. However, the past few years, through our investment in wireless technologies and our recent acquisition we have also acquired fairly comprehensive wireless portfolio 4G, 5G base stations, broadcast radio heads and satellite communication products all of which put together give us a fairly large additional addressable market to grow our business. Together with all of this I think one of our few big differentiators is our end to end network management system which is very unique in

terms of being able to manage an end to end network across multiple technologies and multiple layers. We are in a technology business where technology is consistently evolving and with significant R&D investments to make sure that we are upgrading technology products and staying competitive. So in the next slide I will kind of give you a flavor of where our R&D investments are going in right now. So in the area of wire line products, for the long haul equipments the WDM, OTN we are investing a lot in higher capacity long-haul transmission and OTN switching where the data traffic capacity over transmission and switching is going up significantly year over year. For the fiber to the home for the PON technologies we already have a very comprehensive portfolio of 2.5 gig and 10 gig PON. Now we are evolving our portfolio to grow to 25 gig and 50 gig PON so that will enhance significant capacities in the access network which will enable many more applications than what FTTx serves today. For packet switching and transport again

we are investing in higher capacities within fabrics. We are addressing metro capacity growth and also investing a lot in software protocols for the next generation mobile back haul application. For the wireless products we are expanding our range of TDD, FDD radios

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Page 7 of 19 supporting 4G and 5G in low and mid bands including massive MIMO configurations. We are also investing in evolving our broadcast radio head solutions for direct to mobile and data distribution as a service applications. And finally we are also upgrading our RAN solutions to support the latest 3GPP releases and also achieve ORAN compliance. We are investing in both the standards in terms of our RAN product development. I talked about our management software as a strength as this being multi layer, multi technology solution and we are investing a lot in building intelligence in our management software solutions to be able to manage this network more efficiently. One of the areas of investment is our AI based network failure prediction engine given the visibility of our network management software across the network, across multiple layers we have a unique opportunity of correlating all the events and data which can be extracted from the network at all levels and to be able to predict network failures that can happen based on the events and alarms that we see today. So we expect this to be a huge benefit to operators going forward in terms of maintaining their network proactively. We are also evolving our management software to make it more affordable for smaller vendor using cloud based, NFV as a service product. We are also investing in management software for making radio networks more efficient by developing intelligent radio mapping and control technologies for interference reduction and across power savings. With the acquisition of Saankhya, we also acquired a lot of semiconductor design capabilities and IPR and the investments going on over there is one of the important ones with developing the next generation television broadcast standard. ATSC 3.0 based receivers, modulation-demodulation chips and also the development of next generation software defined radio processors for 5G, 6G radio devices. So with all this investment we are taking over portfolio and our products and technology to the next generation and we hope to see significant customer traction in using all the upgrades in our products. Sanjay Nayak: Thank you Arnob. On the last slide just to summarize and we will open for questions. So again if you see that we have seen consistent improvement in revenues with better supply chain management in terms of internal processes and of course while the external environment will stay challenging for some more time, at least on a few chips, we have figured out how we can manage the situation better. Our order book is good and the pipeline of new orders both for optical as well as 4G is quite significant and substantial so we expect that we will accelerate our quarterly revenue growth to quite good levels and next financial year, we expect to achieve serious economies of scale in terms of growth of the business. We continue to invest in R&D to improve our time to market for our 4G and 5G products. We have scaled up all our manufacturing capacity between what we needed to do internally in Tejas and externally with other EMS partners and the local vendor ecosystem and we are confident that we can execute any large order that we are expecting on time. And the Saankhya integration is progressing well. Cash flow position is good and with the additional 300 Crores from Panatone, from a balance sheet angle we are in a very good shape. In summary, our focus and our efforts in business is to scale up to global levels very quickly and all the proactive investments are in place and I can mention that with everything

we have accomplished in terms of progress during the quarter, I can confidently say that we are on track on achieving our objectives of scaling up the business in a short period

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Page 8 of 19 of time. So, thank you and maybe this is a good time to open up to questions and we will be happy to answer specific questions that you may have.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the

line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead.

Mukul Garg: Thank you. Hi Sanjay good evening. So couple of questions from my end first was one the philosophy in terms of operating expenditure. Clearly as you highlighted there were lead time impacts on the inventory cost what really is kind of keeping the semi conductor cost still elevated or wait time like almost a year given that we are hearing from multiple semi conductor companies that they are now running into a oversupply kind of scenario and also in terms of the R&D investments which you again indicated , how should we see the impact of that on the profitability side . I think it is fair to invest and kind of come up with a good portfolio , but can you give a good indication of like how we should kind of look at that from a profitability perspective is it something which we kind of weigh on margins for the next one to years or that can be absorbed far earlier than that.

Sanjay Nayak: So let me answer your first question so in general yes semiconductor supply situation is improving . But there are two categories of semiconductors where there are still problems there. One is the analog and power system kind of things. There are few specific companies I would not tell the names, but whose parts still have a lead time of more than 52 weeks . So that is one area where you could have done and they may not cost a lot more but they do influence whether your systems gets complete or it remains incomplete till those particular parts come. We do believe that as this calendar year progresses those things will also improve. The second category of semiconductor chips which are digital chips where there is still a challenge in shortage or is that lot of semiconductor capacity of the older nodes which is more than 28 nanometers or 28 nanometers and above was shifted for newer semiconductor node technology. However, the demand for those things are still there and hence there is backlog of those parts which sometime again block the rest of the supply chain as well . So given these two categories of semiconductors we do believe that we have to continue to be more proactive and more advanced in terms of planning action. As regarding the cost is concerned , yes for semiconductor components like memory chips and others there is cooling off both in terms of lead time you can literally buy them in spot as well as in terms of costs I think there is a lot more competition and capacity available but for the specialized chips which go into our kind of products, I do not think that tipping point has come as yet. As the year progresses , we are seeing improvement signs but given that we have to do planning for next fiscal year almost right now , it is prudent for us to take actions on those which is what we have taken. So I would say that the supply situation will continue to improve. We made progress and we will continue to do far better in Q4 and Q1 and so on and so forth but I would still be a little bit cautious in terms of saying that everything is all under control. The second question you had in terms of yes we are increasing R&D investments . If we have to compete with the best in the world we have to have the best products and this requires investments . So when will that investment come into play and when do we see benefits of that to Tejas Networks Limited

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Page 9 of 19 the company and to the investors. I think we will start seeing the benefit of that as early as next fiscal year itself . So while if you see one of the good parts of our business and the product business in general is that our costs which are R&D costs in primary terms if you saw we have 800 out of 1250 people are in R&D. They are almost quasi -fixed in nature so as long as we continue to increase the revenue significantly that percentage of R&D cost or all our operating costs why just R&D, SG &A and everything else will start diminishing quite significantly. On an absolute basis it may increase but it will significantly increase the revenues on a relative basis the percentage will quite dramatically reduce. So we do expect that next fiscal year itself again on the consolidated basis because our revenue base is small, I think the contribution of Saankhya once we consolidated the accounts had a negative financial impact , but once the revenue number scales up, I do believe that the profitability will start showing up . So I would say that next year itself we should see a significant improvement in profitability because of the scale of business and despite the fact that we are anticipating and planning that the percentage GM will be lower than what we have been historically operating at but the absolute number of gross profit will more than compensate and give us the economies of scale which I talked about earlier . So short answer is whether the R&D investments, the manufacturing investments and all the investments which we made during this fiscal year are in-line with the business that we expect to scale up starting from Q4 itself in some way and then continuing over the next fiscal and the fiscal after and so on . So I think we are prudent about making sure that we are investing in stuff that should give us decent returns in the medium term itself .

Mukul Garg: Got it and just one more question the L1 which we are on the optical side it is interesting to see us come back very aggressively on optics but is it the same customer like now which given that it is an L1 is it fair to assume that let us say public customer and 4G and 5G indicate that right it will be the same customer where we are looking at radios ?

Sanjay Nayak: For confidentiality reason of course, we cannot name the customer as yet . But all I can say is that it was an open bid for all the global competitors to bid into and on the strength of our product and

everything else I think we are L1. And as I said it is a very, very large deal the largest that we ever have ever had in opticals so that again gives us a good cushion in terms of revenues as well as profitability going forward.

Mukul Garg: So that basically means that next year the public sector will be a fairly large portion of our revenues if you know both the orders kind of go through ?

Sanjay Nayak: Potentially yes.

Mukul Garg: Got it. Thanks. I will get back into the queue. Thank you.

Moderator: Thank you. The next question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited . Please go ahead.

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Page 10 of 19 Vimal Gohil: Thank you for the opportunity sir and very heartening to see the improvement in the news despite challenging circumstances . Sir my question on your L1 disclosure has been answered? On the second question is on our operations and supply chain ? I wanted to sort of have your view ? It has been almost two years since we have been crackling with this issue ? In your opinion has this issue sort of panned out in line with your estimate let us say whatever you thought let us say at the end of last year to where we are currently ? How has the situation been? Could it have been a bit better than what where we are or we are probably worse off?

Sanjay Nayak: So with the wisdom of hindsight s

ince you asked that compared to what we expected it to last year versus this year. So I think there are two parts of the supply chain improvement that we are finally seeing . One part is as I said the external environment is certainly improving . Certain category of semiconductor components the lead times have reduced but there still are certain category of components where the lead times have not reduced as much as they should have and unfortunately in our business the weakest link dominates so even if there are few parts which are not available, it chokes the entire supply chain . So I think in that sense we had anticipated that things could be better by now but they are in most cases but there are still some cases where they are not there . The second part of the question is, if we knew this one year back we would have taken more aggressive procurement action for those parts and said let us secure not for 52 weeks but for 80 weeks because that is what it takes . So it was always a balance between how much of inventory risk you take in terms of ordering 12 months in advance, 15 months in advance when you do not have a direct visibility into the business . So I think that balance of judgment of course if I were to say with the wisdom of hindsight I would say that yes some parts did not come back in time as much as we expect . But there is a second aspect which I think I had articulated in a little bit more detail in the last earnings call that we were working in a turnkey model with the EMS companies . And we figured out that if the EMS company saw that the lead time for certain components is 52 weeks ahead many other components they would not order because that is how their tools and systems work. Hence many other parts which would have say 30 weeks or 20 weeks lead time they would not order till the component with the 52 week lead time has visibility. Whereas with our efforts we were able to pull the component from 52 weeks down to say 40 weeks but then the other material was not available so what we have done and which is what I mentioned that we have reengineered supply chain . Now we have entire visibility through our MRP system and our planning system into the EMS systems so that we can see the end -to-end problem and actually solve it up front which is why we have been able to see some improvement in last quarter in Q2 and a little bit better improvement in Q3 and hopefully a lot more improvement in Q4. So essentially as a company , we were told to completely rely on EMS companies to do all the supply chain management which we felt that in the turbulent times that we have been living in the past two years they have not been able to respond as effectively . And it is not just a problem for us but anybody who did not look at the end -to-end supply chain ran into this problem . So again with the wisdom of hindsight if we would have figured this out a year and a half back we would have been in far better shape . We figured out that we needed to do things differently about six months back and in the last six months I am happy to say that we have a good handle on the problem so going forward we do believe that we have far better

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Page 11 of 19 visibility into every single component, where the problems are, where the weak areas are and we are finding a way to manage it . So net, net I would say we could have anticipated better but where we are today I think we now know what needs to get done and again , one last part I did not precisely say that is for executing the large orders going forward, we would be using a model where we will use a lot more EMS but the component procurement will be done by us . And we would be giving them a conversion on a job work basis versus on a turnkey basis that we have been doing historically . And of course to do that we have sewed up with the suppliers adequate

payment terms so that it does not at all come back and challenge us in terms of a working capital flow. So those are all the changes in supply chain which I think has been done. We are kind of also were in a unique situation because in the electronics industry if you are a very large company, you got the right kind of attention from the suppliers and you were able to manage things a little bit better. If you are a very small company, your needs were too little so it could have been managed from pocket change but for midsize companies like us, we are kind of not getting the right amount of attention. The EMS guys did not do the right things in terms of processes and systems and we came back with a revenue shortfall, because revenue shortfall also had an impact. Because we could have won a lot more business if we had cleared backlog of orders. So when I say with confidence that our wireline business is quite healthy, I mean actually I can see that a lot of run rate customers could have given us a lot more orders. We could have won international deals and said okay if you supply in time, I will win that deal but we were handicapped on those and I feel that having solved the supply chain issues in a reasonably holistic way by now, we feel confident that going forward we should see less surprises on this account.

Vimal Gohil: Thank you Sir. That was very detailed. I have a two part questions on your financials? Firstly on your gross margins, we have historically comfortably operated at 40% to 45%? We are way below that at this point in time so your comment about your gross margins remaining in pressure and I hope that is not very structural in nature that is point number one. And the second point is on our balance sheet, so if I were to look at our cash and cash equivalents in Q4 we were at about Rs.1100 Crores. Since then we have received roughly Rs.1000 Crores of capital from our parent and despite that our cash accretion if you look at our net cash where we are since March, it is just about higher by about Rs.100 Crores and our working capital has gone up by roughly Rs.300 Crores so if you can just help us understand the math over there?

Sanjay Nayak: Okay so let me answer the gross margins question first. So for the wireline business I do expect our gross margins to come back to normal levels starting from next fiscal year because just the way things are happening I feel that the dip that we had in this quarter or in the near term would be offset by all the other actions that we have in place. So the wireline gross margins or the optical gross margins should be close to our historical numbers during the next fiscal year. The wireless which is the new business that we are entering and especially if you are going to start off with one large order naturally we will not be in the same gross margin level that we will achieve in the wireline business so as a percentage the gross margin will be lower but that would be more than offset by the volume of the business. So on a volume basis at a gross profit level on an

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Page 12 of 19 absolute basis we feel comfortable that we will have enough gross profit to sustain all the investments and also deliver profits at the end of the picture. So that is kind of the view I would see that our wireline business will be back to normal levels, wireless business will be new. Now coming back to the working capital thing and Venkatesh can add to that as well. Basically in the near term what has happened is our focus because of the imbalance in inventory situation, our inventory levels if you really see over the last nine months have gone up. Part of it is what I already described in the context of supply chain. So once the inventory starts becoming smooth and we are able to get that going, we should be able to get at least the working capital on a

normalized basis come to normal levels. A gain, then what is going to happen is if our business volumes increase quite significantly which is what we are expecting, we have to make sure that the payable and receivable gap assuming their inventory happens on a smooth flow the payable and receivable is managed. We have done all the advanced working of all of that and we feel confident and comfortable that there will be no working capital stress on the system and the balance sheet that we have as-is should be quite adequate to increase our revenues to quite significant levels as we are anticipating. Venkatesh you want to add anything or is any part of your question did not get answered Venkatesh can.

Vimal Gohil: Yes sir I just wanted to understand what has happened in the last LTM? On a LTM basis if you can just help me understand the cash accretion because if I were to look at your cash as on Q4 it was about Rs.1100 Crores? Right now it is Rs.1200 Crores after your capital infusion of roughly Rs.1000 Crores in the middle of these four quarters, so your working capital has increased by roughly Rs.300 Crores? There is hardly any capex?

Venkatesh Gadiyar: Okay so I think two things. We invested in Saankhya so there was a cash outflow that is around Rs.284 Crores. That was in Q2 of this fiscal year and as Sanjay was mentioning the net working capital increase was primarily due to the inventory which we had piled up in the last several quarters just to secure the long lead of inventory in anticipation of expected orders and the imbalance inventory in the system. Also, the cash position of 1,221 Crores is as on Dec 31, 2022 and does not include the latest infusion of 300 Crores from Panatone in Feb 2023.

Vimal Gohil: Understood Sir. Thank you so much and all the very best.

Moderator: Thank you. The next question is from the line of Sangameswar Iyer from Consilium Investment Management. Please go ahead.

Sangameswar Iyer: Good to see two consecutive quarters at 200 plus in revenue. My question here is to understand the Saankhya bit here in terms of operations? Is this Rs.40 odd Crores is that the fixed cost out there? When I look at the standalone business and the consol business there is about Rs.20 Crores revenue? We are doing Rs.15 Crores EBIT loss so is this something that is fixed and which on scalability will be covered up or is there any one time that is involved a one time cost that is also involved here which we need to take into consideration?

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Page 13 of 19 Sanjay Nayak: Yes actually good you asked that question Sangameswar so in October actually there is a onetime

I would not say onetime but once we as a part of the Saankhya acquisition we had to issue RSU to Saankhya's employees right as part of the transaction deal so the non cash charge of RSU between Saankhya and Tejas, what is the Q3 RSU charge.

Venkatesh Gadiyar: For the Saankhya it was around Rs.15 Crores.

Sanjay Nayak: So Rs.15 Crores of the expense that is shown on Saankhya's expense for this quarter is on account of noncash charge of RSU that has been issued to them. From a cost structuring perspective the significant costs of the Saankhya team which is 169 people we have already transferred them to Tejas so if you see the corresponding cost of Tejas on absolute basis when you look at our R&D cost and others have increased. So we expect the Saankhya from an overall angle in another three or four quarters it should be over but the way to think of the Saankhya business is as follows. They have an existing business which is on broadcast and some of the other selling of the chips which is currently the main revenue source, we need to find ways to increase that. The prospective investment that they were making on 5G is what is now a part of the Tejas ecosystem and one thing I did not mention sorry

but I should mention now is that part

of the 4G deal that we are working on in the same order there will also be an additional portion for upgrade to 5G so in a sense it will be a deal that would be for 4G and 5G and hence it is important for us to accelerate those programs and also release 5G and then we talk of the closure of technical and commercial that is on account of both 4G and 5G. So I think we are investing on the 5G side using the Saankhya team in Tejas along with what we are doing so that the total product focus in the time to market is improved. So coming back standalone Saankhya which you are seeing the finance will continue to increase revenues from the broadcast and the chip side and everything else has come into Tejas for now.

Sangameswar Iyer: So excluding the RSU which is like one time, it will not be there every quarter right so when you look at that Saankhya at Rs.20 Crores revenue run rate is breaking even at the EBIT level?

Sanjay Nayak: Yes ball park Saankhya was breaking even that is what the objective is because the standalone Saankhya entity we wanted to be at least at a breakeven level so that they can continue that business. And all the larger investments which are getting made will be there. So RSU in that sense is I would not say exactly one time but of course when you assign it, in year 1 the numbers are higher and going forward of course it would reduce as per the charge because it is a non-cash transaction.

Sangameswar Iyer: Correct so at the end of Q2 during September quarter we did mention that 40% of the then order backlog which was around Rs.1400 Crores would get executed by this yearend right which wherein we are halfway through with Rs.275 Crores in Q3 revenue on the standalone so how is the traction going ahead and in terms of the availability of your key components, etc., do we see that what we saw or what we guided for at the end of Q2 should stand good set in terms of overall execution or is there any hiccup or any headwinds there A and B because of the inventory

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Page 14 of 19 of close to Rs.100 Crores that has got added in this quarter because of finished products not shipped in time, etc., was it finished products or was there waiting for some components to be received before it will be finished I mean just trying to understand the cost component or gross margin dynamics in Q4 and going forward?

Sanjay Nayak: So first question yes we are on track. Q4 typically has been a good quarter for us and we expect to see the same. Especially now with the supply chain situation under more control than it was in the past so we should be seeing a continual improvement in Q4 revenues compared to Q3. So compared to what we had guided at the end of Q2 that from the backlog we will be able to ship, I think that looks fine. And in terms of the inventory buildup that you talked about Rs.100 Crores there are two elements so when we say imbalance inventory it is in two forms so think of some of products in real life so suppose a system has 10 different kinds of cards. We may have built nine cards and everything else is ready. On the tenth card there is one chip which has not come or we had demand for thousand and we only got 500. But we cannot wait for all the others to be not manufactured because then you would be waiting so when we talk of imbalance inventory it is of how the quasi finished goods which is at the PCB assembled level which is there so that is part

one. The second part is for the anticipated order we do expect that we will get some pressure potentially to supply in this quarter itself some of the wireless stuff at least for a minimum number of sites so we have also procured the chips and the others and of course trying to avoid procuring all the material but at least the long lead one has been procured so that in case we are required

to supply at least some in initial quantities or test quantities in this quarter we should be ready to do that. And should have to start from zero because the success of the project and success of our execution is on being able to do things very fast. So those are the two combinations why the inventory went up in this quarter.

Sangameswar Iyer: Got it and finally if I may in terms of your international business we used to have a very strong international business earlier when domestic private was not doing that well but now with order book swelling predominantly on the domestic side be it private or the government we are seeing that there is a stagnation on the international front? Is there any strategy that you are looking at any way to kick start or take it to the next level so that the growth is uniform or at least there is a good backup growth coming from the international also because the order book is not swelling that much there as compared to the domestic front?

Sanjay Nayak: A good observation Sangam. So there are two things we are doing for the wireline business which is let us call where we have mature products which are proven and all that we were supply constrained even for the orders in hand. So winning new international customers and giving them a very long lead delivery commitment would not have served our cause well at all. In fact we are even for the existing customers run rate customers internationally as I mentioned earlier if we fulfill the order we get a lot more orders. So I think what we believe is that by fixing the challenges around supply chain we think we are in a much better position to go back and get more orders from existing customers internationally for our wireline products and also target new customers. So that effort in terms of business development effort is on, but I think pushing it to a

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Page 15 of 19 business closure. So we do expect that on an absolute basis international orders and revenues next fiscal year will be better than this year, but that would primarily be on account of the wireline products. Now the wireless products as I said even in the earlier call that our first priority is that a couple of large anchor deals in India, which is where we will supply the products, get all our processes, systems, product maturity, scale everything established and in the second half of this calendar year we will start testing our wireless products in the labs of various operators around the world with whom we are in constant touch. So we believe that later part of this calendar year we would get qualified. We would be I will not say selected or secure orders but at least be in the fray to secure orders so that as things settle with respect to our execution capabilities and all the product capabilities that are supposed to be in place, we can actually start closing international deals and actually start supplying. Because once we win then you have to supply and execute. So I would say wireline business will grow next year and all the action is in place for example revamping different territories, adding things there and so on. Wireless will be still domestic focus at least for this calendar year in terms of business revenues. Business development yes but revenues will still be so if I blend the two together international as a percentage of total will be lower next year compared to before. If you remember at some stage we were at 40% international and 60% India but that number will be less. And plus I would say that among other economies at least India is still in a very strong capex mode and it is a home market for us and all the experiences of anybody who has scaled up a telecom OEM company to global levels one of the recipes for success has been dominance in the home market. So given that our home market is scaling up quite well with 4G, 5G

and FTTX investments we are right

there. We are getting stuff done. We believe that we want to continue to not miss out on the India opportunity to begin with while keeping our eyes internationally which may have other challenges in terms of which economies are spending or not spending and so on. So that is the way I would calibrate ourselves but if I were to say calendar 2024 onward we should start ramping up international business quite significantly again.

Sangameswar Iyer: Got it and what percentage of your order backlog would get executed over the next 12 months?

Sanjay Nayak: I think around 70% is what I think should get executed. 70% to 75% depending on what it is.

And if I were to take Q4 of this year and next fiscal year around 70% would be the number.

Sangameswar Iyer: Got it great. Thanks a lot Sanjay and all the best.

Moderator: Thank you. The next question is from the line of Sugandhi Sud from Incred Ass et Management. Please go ahead.

Sugandhi Sud: So thanks for taking my question. I wanted to understand your outlook on profitability? You have mentioned and in absolute terms the volume of business would make up for the additional investments? Just to get clarity how much of that profit contribution, are we making in some benefit from the PLI incentives and from other income or are we completely talking on core

operational level this breakeven of incremental investments whether it is in R&D business
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Page 16 of 19 development and the delta that we are going to get at the gross margin level from the business mix changing so if I were to set aside the nonoperational income would there still be a delta the additional investments be made up by the additional gross profit that we make ?

Sanjay Nayak: Absolutely in fact the way we are running our business is to make sure that the core business is independent of the PLI incentives or anything else should be healthy. It should generate our steady state business model profits which we have achieved in the past and PLI and other incentives should be on top of it, although they can be quite substantial and meaningful but the investment philosophy is that our core business should be healthy, it should grow, it should show the right kind of PAT percentage and EBITDA percentage and the PLI incentive will only be adding on top of it so yes I would say that is the way we view our business.

Sugandhi Sud: So is it possible to give a kind of range of EBIT margin that you are targeting you would be calibrating your investments to and I know that it has to be front loaded at least on the commercial side you would have some criteria of how far you are willing to negotiate with a certain margin percentage and like you kind of given us some kind of indication on historical basis ? Is that sort of the range that you are hoping to fall within ?

Sanjay Nayak: Yes I think historically I think a couple of years back I think we were at a EBITDA level of around 15 % if I am not mistaken Venkatesh can correct me and I am not saying that we will achieve it next year itself but with the investments that we are making I think in the medium term, which is between next year and the following, I think we should be able to reach our EBITDA levels at that level. By the way this is on the core business and if the PLI incentives get added in hopefully we should reach it sooner than otherwise so that is the way to think about it.

Sugandhi Sud: Sure and also you mentioned that with your wireless customers there is an element of 5G also involved there so is it something that is in discussion phase with the customer and is it going to be a non-standalone network ?

Sanjay Nayak: No so it is more in the discussion stage so as a part of the bid we had also added or they had requested us to add for certain percentage of the sites where their equipment can

be upgraded to

give 5G services on the same bands for which they have currently got the spectrum so that is where we have closed the conversations with them. So I think it will be a part of the potential rollout order that they will give at different points in time during the year sure.

Sugandhi Sud: Then could you give us an idea of the pace of investment ? You have mentioned that as early as next quarter you will have to make the inventory available for the wireless shipment so could you give us an idea of the pace of this contract whether it is ...

Sanjay Nayak: The customer wants a deployment ASAP but if I look at what is required in the tender within 21 months from the date of the order, we should have completed these supplies. They want us to do it faster hopefully. We are also I mean technically geared up to do at a faster pace but it is a function of how the rollouts happen and all that so I would say primarily between next fiscal year

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Page 17 of 19 and the year after those two fiscal years we should be able to execute all the orders including the 5G upgrade which will start at a later part of this calendar year or early next year.

Sugandhi Sud: Sure and I just noticed that your order information that you provide there, there is a slight dip in the domestic order book ? Is that a drop from the Q2 number that you had reported and you had mentioned some government orders that you have received which are wireline in nature so has there been many change there ?

Sanjay Nayak: So I think if I look at, I am assuming you are alluding to the backlog that we have at the end of Q3 India part. That just could be that we have shipped more of the India customers and less of the international customers during Q3. And by the way in terms of the order book when I mentioned that we are L1 in another wireline tender we do not yet count that into our order book because till we get the purchase order in our hand it is still a prospect and not a firm order in that sense.

Sugandhi Sud: Thank you. That is very helpful and finally on international order book is it largely driven by Tejas's legacy business or it is Saankhya material portion of that ?

Sanjay Nayak: No it is mostly Tejas's historical business. There is some element of Saankhya order book which I think which we also mentioned but significant part of this is the Tejas business.

Sugandhi Sud: Sure thank you. That is very helpful.

Sanjay Nayak: I think we are almost out of time or have actually overrun on time so we may take one last question maybe.

Moderator: Yes Sir. The next question is from the line of Naveen Bothra from Subh Labh Research. Please go ahead.

Naveen Bothra: Congratulations for continuous improvements in our operating performance and the investments

we are making in the 5G side to increase 5G as well as EMS side to increase our capacity for the upcoming orders ? My question is to Mr. Arnob , he talked about the management software solutions and as well as the DaaS and MaaS on cloud -based platforms so my question will be if you can throw more light on these service expected service revenue how do you see it panning out in the coming quarters this service side of business software?

Arnob Roy: Well we cannot quantify in terms of absolute numbers for the service. We have a lot of interest from a lot of operators. The smaller ICPs are looking at a solution like this and are ready to engage so we are working out a commercial model with them in terms of how the subscription would be paid for . So I do not have any absolute numbers right now so we are working with the business model. For the DaaS the data distribution as a service that is again in early stages of customer engagement into how to take this forward because this will be targeted towards some specific application segments where data distribution over wire

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Page 18 of 19 will be very relevant. There are a few sectors that we are engaging in with these partners who have the infrastructure, who have the spectrum etc., so that too is still at an early stage but the market opportunity looks quite big over there, especially in terms of international business , but we are not yet in a position to quantify those numbers .

Sanjay Nayak: Yes I mean the flavor of the kind of technology that we are working on which Arnob had articulated was also to give a sense because from an investor perspective two questions get asked to us many times. One is are we investing enough and second thing is what are you actually investing into so we just wanted to give a feeling of both of those areas that these are the technology areas we are investing. We are continuing to increase our investments. I think we will have to do a lot more investments as we go forward but I think with the scale business that we are thinking of right now of achieving we should be able to absorb those R&D investments in a meaningful way like one of the persons who had asked the earlier question so that is really the way we are seeing things .

Naveen Bothra: So apart from the hardware revenue we do see a service revenue scaling up in the future that is quite nice Sir and a question to Mr. Sanjay regarding the PLI incentive and the size of opportunity we are seeing in this space for the coming four to five years as we have got the approval for Rs.750 Crores the highest approval almost 25 % of the scheme incentive we have got the approval for so if you can throw some more light the calculations will be as per the earlier concalls or some difference will also be there?

Sanjay Nayak: With the design-led PLI as I had mentioned in the earlier con call we get 1% extra incentive compared to the other PLI so this is the only PLI scheme of the Government of India where there is a design-led incentive and they give 1% extra for design in India products which we qualify so your observations are absolutely right Mr. Naveen , that the Rs.750 Crores we have that is subject to. So on the investment part , now that our R&D investments or the manpower investment is also counted as a capital investment , we are confident that the investment commitment of Rs.750 Crores will be met without breaking the discipline or the financial model of the company. The second aspect in terms of the incentives that can accrue I think the calculation we had done could come to something like Rs.2800 Crores of incentives over the five year scheme period for us so if we are able to scale up our revenues we do see that as an opportunity to secure those incentives . And as I mentioned in one of the earlier questions we are still designing our base business such that the investments and the returns should be good on their own merit and the PLI incentives will top up those and help us have a bigger envelope of profitability as well as for making more investments to accelerate the growth so yes all the calculations and all the assumptions about the design-led PLI we had articulated earlier are still intact and we do expect that the year one we will meet the thresholds and at least be eligible to claim some incentives based on incremental revenues and investment made .

Naveen Bothra: So first year will be this financial year only?
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Page 19 of 19 Sanjay Nayak: The first year will be this financial year , yes right .

Naveen Bothra: Okay thank you very much. Thank you and all the very best and we look forward to seeing the BSNL order very soon in the coming two or three weeks because it is getting quite late . Thank you Sir. Thank you very much .

Sanjay Nayak: Thank you again and I guess I will hand it over to the moderator .
Moderator

or: Thank you. That was the last question for today. I would now like to hand the conference over to the management for closing comments.

Sanjay Nayak: Thank you everybody. I guess we had a very insightful set of questions. We tried our best to give

you as much insight as we could. All I can say is that from a business angle we feel quite positive that all the efforts that we have been making over the last several years and more recently in the last few quarters to upgrade our technology, to upgrade our processes, systems, manpower and lining up to build a good fast-growing profitable business, I think we have made a good amount of progress. The supply chain situation which was constraining us is also coming under control. I would not say it is 100% under control but it is progressing in the right direction so I would say we are quite positive and confident about the potential of the company and look forward to a solid execution going forward so that we can realize all the opportunities for which we have been lining up things. So thank you once again and thanks for your patience and commitment to Tejas.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2023

April 26, 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY23 Earnings Conference Call

Please find enclosed the transcripts of the Q 4 FY23 Earnings Conference Call held on April 21 , 2023.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary
Page 1 of 19

"Tejas Networks Limited
Q4 FY2023 Earnings Conference Call"
April 21, 2023

MANAGEMENT : MR. SANJAY NAYAK – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – TEJAS NETWORKS
LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. VENKATESH GADIYAR – CHIEF FINANCIAL OFFICER
– TEJAS NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY
OFFICER – TEJAS NETWORKS LIMITED
MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – DESIGNATE – TEJAS NETWORKS
LIMITED

MODERATOR : MR. BHUPENDRA TIWARY – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Q 4 FY2023 Earnings Conference call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhupendra Tiwary from ICICI Securities Limited. Thank you and over to you sir.

Bhupendra Tiwary : Thank you Darwin . First of all , hello . Good evening everyone. Really sorry for the delay, but we'll just begin. So on behalf of ICICI Securities we welcome you to the Q4 FY23 results conference call of Tejas Networks. From the management we have Mr. Sanjay Nayak, who is CEO and MD; Mr. Anand Athreya, who is CEO & MD Designate; Mr. Arnob Roy, who is COO and Whole Time Director; Mr. Venkatesh Gadiyar, who is CFO; and Dr. Kumar N Sivarajan, who is CTO. So without much ado , I will hand over to Sanjay for the opening remarks, post which we'll take a quick Q&A. Over to you, Sanjay .

Sanjay Nayak: Thank you, Bhupendra, and welcome to Tejas Networks' earning call. Good evening, everybody. We had updated our presentation that I'm going to walk through on our website. I hope you had a chance to download that, because I will be walking through that. So first of all, just a quick update on the quarter. I'm on the first slide in terms of the key updates for Q4.

So, for Q4, our net revenues was INR299 crores, and for the whole year, it was INR920 crores, which was an increase on 67 % for the full year, and 136 % on a quarter -on-quarter basis for Q4.

And as we mentioned in our press release, this is the highest ever annual revenues that the company had till date . So I think we had a fairly strong year.

In terms of profitability, we had a loss after tax of INR11 crores for the quarter, and INR36 crores for the whole year. I'll give a little bit of commentary about what the thought process in terms of investment and go-forward plan is a little bit later in the presentation. This is on a consolidated basis. On a standalone basis, Tejas is profitable even on the whole year basis as well. Our cash and cash equivalents at INR 1306 crores, and we again have no debt. And the order book at the end of Q4 is again at an all-time high of INR1,934 crores .

In terms of key highlights of the business, on the wireline business, which is our optical transmission products that are our historical products as I would say, we seem to – we continue to see a very strong business momentum, a lot of new wins, which is pretty much all our order book at this point in time is of our wireline business. Recently, you would have seen an announcement that we won a Pan India router tender for around INR696 crores against all the top global companies who make routing products. So I think this was a very good win for us because it gives us a lot of scale in terms of that kind of a product line as well.

On the wireless business, the 4G projects, many of you are aware of the stuff that we've been working for a large project in India. We are well positioned from a preparedness angle as well as from all the technology , as well as the proof of concept and all those other things. And there was a

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requirement to initially ship 200 sites, which is more than 600 radios for a few cities in North India, which we successfully completed in the month of March. So that basically gave us a way to prime up our supply chain and all the other processes and systems so that we are well geared as we volume scale up with the large order that we are expecting.

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From a supply chain angle, which has been a challenge for a lot of the companies around the world because of the semiconductor component shortage, again, I had mentioned in the earlier calls earlier in the year that we were making some structural changes in terms of our internal processes and systems to basically better handle the challenges that the supply chain was presenting to us. And again, I'm saying that we made a lot of progress during the year, which resulted in four consecutive quarters of Q-on-Q and Y-on-Y growth.

In addition, we have been doing a lot of work over the last six to nine months in terms of expanding our manufacturing capacity , so that we should be able to not only secure the large backlog of orders that we have, and we hope to win new orders even on optical as the year passes by, but also the large wireless order that we are expecting. In line with that and in our own strategy, it still continues to be the same, which is to be having an asset-light model for manufacturing. And we have signed up four new EMS partners so that we have enough manufacturing capacity available. Once we are able to get the components in play, and we have again taken inventory actions to ensure that all the long-lead components which are going to be required are ordered so that we can make the supplies as required by the customer in time.

So overall, I would say the preparedness from a supply chain angle with respect to internal process

systems, external EMS partners and taking longer inventory actions gives us a lot of confidence that as the year progresses and as the orders start flowing in addition, we will be able to scale up and continue to make the supplies, while still maintaining our basic DNA of having an asset -light model of manufacturing.

From an investment perspective, we have continued to hire a lot in R&D and supply chain, and also the field support, which is going to be required for large rollouts of the things that we are looking at and with the larger volume of business that we have. So , our headcount during the financial year increased to 1,305 people, which is a 41% year -on-year growth.

One other thing I wanted to highlight, which we kind of mentioned in our results, is that this is the first year in which, as you are aware, we had a desi gn-linked PLI incentive for which our application was approved for a total of INR750 crores of investment. We had a certain commitment to invest in terms of capital investment for year one, which we have made. There's a certain minimum revenue that we are supposed to get, which we believe we have done. So we'll be looking at all of those aspects in filing for the claiming of PLI benefits, which could potentially be in the tune of INR32 crores or so, which, since we have not yet filed the application, we hav e not recognized that profit in terms of that incentive in our FY23 financials.

In terms of a few other things which I think are interesting and important for your company, as a company, we were given the Telecom Person of the Year Award by Voice & Data Magazine, which is the leading Telecom Journal in the country, for development and commercialization of indigenous 4G telecom stack, and this was conferred upon us along with TCS, C-DoT and BSNL.

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So this is, again, a proud moment for the country because what Tejas has been doing in terms of building end -to-end telecom product stack, whether it's from optical to fiber access in terms of GPON and now 4G and 5G, is something that really is giving us a lot of confidence, both as a company and as a country, that we are ready to scale up and become a global player in the telecom OEM space. We also received a few more awards in terms of most valued vendor partner from ELCITA, Bangalore and others. During t he quarter, 18 patents were granted, so the total grant is up to 217 and betwee

n Tejas and Sa ankhy a, we have now filed a cumulative around 445 global patents.

Coming to the next slide, in terms of a few key corporate updates, starting from the first one, which I believe many of you would have read the press release towards the end of March, I made an announcement to voluntarily step down and take retirement from the company by the next AGM, and although it might , to some of you, sound as a sudd en decision, I just want to give you confidence that this was something that I had been planning for about a year.

The whole objective was that we made a long -term strategic plan for the company, we made sure that what needs to be done over the next three to five years to take the company to among the top global OEMs in the world, and my objective was to make sure that before I announce my retirement and step down, the company should be in a very, very strong footing and our foundation should be rock solid. As you can see, we had the best ever year in terms of booking s, revenues, and the foundation today is ready that we can scale up on an exponential basis in terms of the revenue opportunities that are coming up.

From a pers onal commitment, and many of you know me and have seen me operate, I've been working very intensely and with a lot of passion for 23 years from founding the company to where it is today, and it was difficult for me to make the commitment for another five y ears and say that this is the intensity with which I can carry on. In that sense, this was a very good time to start transitioning, and I'm very happy that the vision and the execution that we have will be continued, and that is really where the whole thou ght process came together.

I'm also happy to introduce Anand At hreya, who is with me here, who is the CEO and MD - Designate, who has joined us early April. We've been working together on the transition, and he's really picking up a lot of the stuff. Anand actually comes with a very strong industry background. He was in the US for many years, and in Juniper Networks, which is one of the best companies in our industry in terms of technology, he was with Juniper US for 18 years and served as their Executive VP and Chief Development Officer prior to joining Tejas.

The best part is that Anand brings in a lot of global experience, and having done things from the US side, the DNA of Tejas in terms of people like Arn ob, Kumar, Gad iyar, who are all my Co-Founders and the rest of the team, we have a very stro ng DNA from how to build a company from India and get to the state that we have. So I think it's a great combination to put together, and I feel very comfortable that going forward there will be a lot of continuity of vision and execution, and the company is in very good hand s. Probably this is a good time for me to say that, yes, things are looking good. We have a lot of momentum, and the transition can be planned effectively.

Maybe I'll ask Anand to say a few words from his side, because he's not been o n the earnings call

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before. So Anand, over to you.

Anand Athreya: Thanks, Sanjay. Good evening. So I'm very excited to join Tejas. As Sanjay mentioned, we are at an inflection point where the company has come a long way over 23 years and with solid footing. There's a lot of growth opportunity. I'm excited to be part of that journey to ensure that we build a world-class OEM equipment company, both telecom and networking, from India. So looking forward to working with you guys in the coming quarters and years. Thanks, Sanjay.

Sanjay Nayak: Thank you, Anand. A couple of other updates from a corporate angle. Ms. Alice Vaidyan, who was the earlier Managing Director of GIC of India, really has a lot of rich experience. She also joined us as an Independent Director post the retirement of Ambassador, Leela Ponappa, who's retired earlier in this quarter.

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d also from a rating perspective, ICRA has reaffirmed our long-term and short-term rating to A+ and A 1+, respectively as on March 31st. And we have INR560 crores of banking facilities that can be made available.

Going to the next slide, I'm going to request Venkatesh Gadiyar just to walk us through a couple of slides. I might add in a few comments after he gives you a brief summary of the numbers from the growth angle and so on.

Venkatesh Gadiyar: Thank you, Sanjay. Good evening, everyone. We are in the slide Q4, FY'23 financial update. We have been growing on the revenues consecutively for the last four quarters. Q4 revenues were INR299 crores, year-on-year increase of 136 percentage. And we had a EBIT loss of INR43.7 crores and a PBT loss of INR27 crores and a PAT loss of INR11.5 crores for the quarter, and the EPS of minus 0.70 paisa.

And for the year-end, the revenues were INR919.6 crores, which we saw a growth of year-on-year growth of 67 percentage and EBIT loss of 108 crores and a PBT loss of INR43 crores and a PAT loss of INR36 crores and an EPS of negative INR2.46 paisa. And while we are on the PAT loss for a consolidated basis, on a standalone basis, Tejas had a revenue of INR869 crores and had a PAT profit of – a profit after tax of INR3 crores in FY '23.

And the revenues in the INR919 crores of revenues for the FY23, around INR50 crores the revenue came from Saankhya. Similarly, EBIT and PBT of INR34 crores, which came – the loss of INR34 crores, which came from Saankhya. Similarly, PAT loss of INR23 crores includes from Saankhya. And also, the EBIT, PBT, and PAT of FY'23 includes the amortization cost of around INR13 crores which is as per the purchase price allocation which we have done on the acquisition of the Saankhya Labs towards the valuation of the technology assets that we have acquired.

Sanjay Nayak: Just one comment I wanted to add to what Venkatesh just mentioned is that, on an overall year basis and we have been communicating during the year as well is that, our gross margin as a percentage did see a dip compared to what our historical numbers were and what it was in the previous year. And the reason for that, as we had recounted earlier, was that the input cost, which is the semiconductor costs have increased quite significantly. And since some of our contracts were fixed-price contracts and we did not have an ability, which is what was coming out of our backlog, Tejas Networks Limited

we did not have the ability to reprice those contracts. And hence, our margin pressure was there because our input cost increased and the prices on the other side were fixed.

The second reason, again, for a GM (Gross Margin) percentage reduction was that while on an overall basis our international business was almost flat year-on-year, and as we have earlier mentioned, the margins internationally are significantly higher than the margins in India. And since the international business as a percentage of total did not increase in the same ratio that the overall business increased, that again contributed to a slight reduction in the margins.

The third point is that at the beginning of the year itself we had made a plan that we were going to be using FY'23 as a year of investment. And the sandbox we are working with is to invest as much as possible while being at least nominally profitable so that we could actually make investment for the long-term growth, which is what we will be seeing in the coming years.

And so, we invested a lot more in R&D, a lot more in terms of supply chain, a lot more in terms of sales or support and all the other functions. Some of those things also came into place, and from an internal discipline perspective we believe that we were able to accomplish those objectives. And as Venkatesh said, that on a consolidated basis we did have losses coming from the Saankhya

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acquisition, and some of them are based because of noncash charge on the account of RSUs that we granted them as a part of the merger process.

So again, all I wanted to say is that there was a gross margin pressure on the optical business or the

wireline business going forward, we believe that we should be able to come back to the gross margin that we used to do historically. We have done a lot of efforts within the company in terms of cost reduction and renegotiation of prices, and we made a lot of progress on that. So hence I think going forward I think we should be able to see a positive margin trend during FY'24 on the optical business. I'll make a comment to you about the wireless business separately.

Venkatesh Gadiyar : Yes, thank you Sanjay. The balance sheet fund and the cash flow fund, we had for Q4 FY2023 our cash outflow from operations was about 133 crores, and the inventories went up to 647 crores from 494 crores as we had to secure some of the long lead components in anticipation of some expected orders that are required for a faster delivery. Since we have increased our inventory, and trade receivables have gone slightly up from 500 crores to 518 crores. We had collected about 287 crores during Q4.

And the net working capital has increased to 944 crores, and the cash and cash equivalents has gone up from 1,221 crores as of December 31, 2022 to 1,306 crores, and this includes rupees 300 crores receipt from Panatone towards the final subscription of Series B warrants during the quarter. And with this healthy cash position of 1,306 crores, we are now confident to execute large orders and to scale up business in the going future.

Sanjay Nayak : Okay, thanks Venkatesh for running through the numbers. I'm again coming back to the slide FY23 sales update. This is a chart we've been using, and I'm sure some of you are familiar with this. So, the chart on the left-hand side is the breakup of our business from the three categories, which is India Government, India Private, and International, and the chart on the right-hand side is the corresponding number for FY23.

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As you also know that we count the India Private and International as a run rate business, so on an absolute basis the run rate business of course has increased quite a bit, but percentage wise it was 83% in FY'22 whereas in FY'23 it's 74%. Within the segments, India Government was 26% of total, and had a year-on-year growth of 158.2%, India Private was 50% of the total, and again had a very healthy year-on-year growth of 79.3%. International was 24% of the total, and year-on-year was only 8.5%.

If you recall in the earlier conversations during the year, we had also mentioned that international business for the year will be soft. The reason for that was twofold. Number one was there was intense focus from a delivery and execution angle and many other things within the stuff that we are seeing within India, because there was a very large set of opportunities opening up.

The second challenge for us is that when we win new customers internationally, they have expectations in terms of shorter delivery times, and given the inventory situation, we were not in a position to be able to commit to that. So winning customers and not being able to deliver would not have been a good strategy. So I think consciously we had a little bit of a diluted focus internationally, and I'll of course talk about what the game plan for FY24 is.

So, net-net, overall business grew heavily, each segment grew decent. At the end of the year, we have a 1934 crores backlog, out of which India has 1734 crores and international has around 200 crores. From the backlog that we have, we believe around 70% of the backlog would be executable for FY'24. And again, just to clarify, this backlog does not contain any of the larger wireless deals that a

re 4G deals that we are currently working on.

So going forward, how should we look at FY'24, we will continue to see very large growth opportunities in India, both with our optical products as well as the 4G and 5G products. This will give us two benefits. It will really help us expand our business volumes. So, we'll finally be getting economies of scale, which are of the global size.

And second benefit will be that in the wireless area, where we haven't had large footprints anywhere in the world, this gives us an opportunity to have a large anchor customer around which I think the kind of interest which we are getting from other global players or global customers has been very high. People are looking at our ability to execute this project well, which will open up a lot of doors in the Western markets that we talked about earlier.

On the optical side, which are, I would say, reasonably mature products, we will increase our international focus this year, and we believe with the supply chain situation getting better than what it was last year. We do expect that on an absolute basis, international revenues for the wireline business will grow quite healthily in FY'24, which again, you know, will be good. But on an overall percentage of business, assuming that the India business will be growing much, much faster, the percentage of international, as a percentage of total will be lower, while on an absolute basis it will be higher.

A little bit on the gross margin commentary for what we expect next year. I would say that on a percentage basis, the gross margin next year would continue to be lower than our average in the many past years. Optical or the Wireline margin will be almost back to what it was before. Wireless

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margin for the initial period of time, because we are going from low volumes to high volumes in the first year, we would see that margins will be reasonable, but not very high. So, on an overall basis, the percentage here will be lower, but that will be more than compensated by the much higher volume of business that we expect in FY'24. So, this will again result in improvement in both EBITDA as well as PAT from the current year to the next year level in a meaningful way.

Going to the next slide, this is again almost the same slide that you've seen in the past in terms of our product portfolio, where we have a very, very rich portfolio of products from optical transmission to FTTX, which is GPON and broadband access. And now we have, of course, got the 4G and 5G base stations. So, one other thing which I just wanted to call out, which you would have seen in the center, in a piece of the whole thing, center set of products, is that the carrier routing products, which was not something that we were shipping in large scale, we have now started doing quite well.

So, this opens up another front for us in terms of being able to address slightly higher percentage of the capex, which is the transport capex, whether it is in terms of optical transport or packet transport or packet routing for the service provider market that we should be able to get. And the BSNL deal that we had announced essentially gives us that good scale in terms of taking the product not just for one customer, but to many, many customers in a larger volume.

I will not go into the details of that, but just the comprehensiveness of our product portfolio gives us confidence that many of these products are now reaching a maturity which are of global quality, global scale in terms of technology. And now we are going to start taking those products, the optical and the wireline products for global markets, while the wireless products for this fiscal year will be focused more on the Indian side. And then once we reach maturity, we will start engaging with customers later part of this fiscal year to be able to create a larger revenue and

pipeline for next
fiscal year.

Coming back to my last slide, after which we will of course open it up for questions and answers. This is a key takeaway slide. I'm sure there's a lot of information we've passed. But if I were to kind of quickly summarize, we really closed FY'23 with the highest ever revenues and highest ever order book and bookings with four quarters of consecutive growth in terms of Quarter-on-Quarter and Year-on-Year.

So, the supply chain management issues, while I would not say are 100 percent behind us, but are under reasonable amount of control, there are still odd components which have long lead problems which we are continuing to monitor. But what directionally is very clear is that as the year progresses, the supply chain issues will be behind us and it will boil down to our ability to win a lot of business and then execute it well.

With a healthy order book of Rs 1934 crores and a good visibility of new orders in the pipeline, we expect to significantly accelerate our revenue growth in FY24 and beyond. We have scaled up our manufacturing capacity and are well geared to execute large orders, so I don't think that's going to be an issue. As long as we are able to get the orders and we are able to secure the components for which we have taken action, the manufacturing at quality and scale is not going to be a challenge.

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And we are a technology-driven company. We always want to be ahead of the curve. We have in the traditional wireline products, we are state-of-the-art in almost everything that we do. In the wireless products, we've been catching up very, very fast and we want to make sure that in a short period of time, that is another area where we step up to the plate. And correspondingly, we have to increase our investments in R&D, supply chain, field support, and so on and so forth, basically to ensure that all the plans that we have are executed well.

And as Venkatesh mentioned, from a cash position, we have a healthy cash position. We have looked at the cash flow planning for executing larger orders, talked to the suppliers in terms of the right kind of payment terms and so on. And we are confident that without stressing our working capital in any undue way, we have the ability and wherewithal to execute and scale up the company to quite a large-sized business. And that's something that gives us a good amount of confidence in terms of the strength and the foundation that we have and the exciting future that lies ahead of us.

And that's really where I would stop and we will then maybe take questions. And if you can also address whom the question is for, we will direct it to the right person. Thank you.

Moderator: Thank you very much. The first question is from the line of Vimal Gohil from Alchemy Capital Management, Private Limited. Please go ahead.

Vimal Gohil: Yes, thank you for the opportunity. Firstly, Sanjay sir, thank you so much and best wishes for all your future endeavors. It has been a pleasure interacting with you. And I just take this opportunity to welcome Mr.

Anand Athreya and also wish him all the very best for your new role.

So my first question was on margins. You said that the gross margins for FY'24 would be lower as compared to what we have achieved for FY'23. But on the operating side, with all the investments that we have made in FY'23, would you expect some kind of operating because we are also expecting very, very large ramp up in revenues. So do you expect some of the gross margin pressure to be offset in operating margins?

And separately, what is the steady state margin after all the challenges in the wireless segment that you're seeing, after all the challenges are met with? What is the steady state margin that you see, gross margin do you see in the longer run for the business? Thanks. I have a few follow ups after that.

Sanjay Nayak : First of all, thank you, Vimal. Thank you for your kind words and I appreciate that. In terms of the basic question is that in terms of gross margins in next fiscal year compared to this fiscal year, so clearly what I said is that the volume advantage that we get, volume scale, will more than compensate on an EBITDA and PAT basis for the percentage reduction in gross margin.

And again, if I look at the gross margin percentage that we had this year, next year as I said, you know, optical, if I were to say what I meant is that if I look at the historical gross margin, we were at much higher level when we were doing wire line business alone, which would be probably around FY'18, FY'19, FY'17 kind of time period that we were there.

So I think at that stage, the gross margin that we had were around 38% to 40%, which is net of revenues and cost of material and manufacturing cost. So for the optical business, which is the business that we are

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also scaling up quite significantly as you would have seen this year and in the outlook for next year, we expect to reach almost similar to those levels, at least in the second half of FY24 and definitely in the following financial year (FY25).

The wireless business, which is the one which we are starting off, will have a relatively lower percentage of gross margins, but the volume economics will be such large that at the EBITDA level, I don't think there should be any dilution in that. So in that sense, I would say that if I were to look at the blended gross margins of the company, what it was this year, there's a likely chance that this year, I mean, it's the last fiscal year, there's a likely chance that this fiscal year, we should be similar level, a little bit up and down. When we look at the following fiscal year, which is FY 25, clearly the optical margins would already be up there in terms of what was our historical average. And on the wireless margin, we will continue to see improvements as the initial volumes get replaced by steady state larger volumes.

Vimal Gohil: Right. Sir, on the revenue front, you have booked almost INR2 000 crores worth of orders. Now given the fact that the order tenure is roughly one year, would you expect that the company would reach a similar run rate of about INR2,000 crores to INR2,200 crores in the next year? Would it be a fair assessment?

Sanjay Nayak : So I think we should look at our business under two buckets. One is the optical and the wireline business, which is, what I would say has been the product that we've been working for so many years. So the revenues this year, which is the FY 23 revenues, almost all of it was the wireline revenues, right? And the new business that we have won is again almost of the current wireline products. So that business itself is literally, if you see growing 60% this year, backlog is really accelerating. And we also feel that that part of the business will continue to do well. And of course, there are opportunities to also scale that up on an international basis, which we did not have much traction last year.

On top of this, we will have the 4G and 5G wireless business, which has not yet started to play in. And as many of you are aware, we are working on some large deals in India, which we believe should be around the corner. And once they come in, that would be a completely different revenue stream and of a much larger size. So those two together, I think, give us a benefit where in the near-term, the wireline business will have almost steady state gross margin level. Wireless business will give us volume, but with a slightly lower margin. The blended thing will still give us very healthy outlook in terms of improving our EBITDA as well as profitability.

Vimal Gohil: Understood. If I may, one question for Mr. Anand Athreya. Sir, what really attracted you towards the Indian

telecom equipment industry? And how is it that you plan to differentiate Tejas networks vis-a-vis very, very large global players which are currently operating as your peers? Thank you. That would be all from my side.

Anand Athreya : Thanks, Vimal. So I think what attracted me to Tejas, Tejas has been trailblazing for so many years. And as I said before, I think we are at an inflection point. This is India's decade, if not it's India's century. So I think there is tremendous growth opportunity to make stuff out of India for the world. And that's what excited me to come back and join Tejas.

I built the Juniper Network India facility to be a world-class center. So I think we can repeat a lot of that, take all the great work that Sanjay and team have done to a global level. So that's what gives me the excitement to come here.

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Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal Financial Services. Please go ahead.

Mukul Garg: Yes, thank you. First of all, Sanjay, thank you so much for your untiring effort for the last 23 years. I really miss our frequent chats on the telephone equipment space. And at the same time, Anand, welcome. Congratulations for taking over. Looking forward to interacting with you going forward and learning a lot about how to kind of take the company forward.

Two questions from my side. First question, I just want to get some sense from either you or a few in terms of the wind from BSNL on the carrier router side. Sanjay, while you mentioned a lot of areas for FY'24, I got a feeling that this is still as of now only BSNL type of thing which you guys are seeing for this year. How should we look at this, given that this will kind of open up almost a newer segment for you in terms of opportunity and replicability at more private or global level?

And the second question for Anand, Anand, as things stand right now, which are the key areas within Tejas which you would tap into first in terms of low hanging fruit to change the company or take it forward? And how do you see opportunities for the company kind of develop over the next three to five years? Thank you.

Sanjay Nayak: So let me answer the first one and then I'll ask Anand to answer the second one. So really, if you see the one thing which has worked well for Tejas over the years and actually for most companies of our kind in the world, no matter where you're located, is that you develop pieces of new technology or enhance your products with new capabilities. And you need to get one large anchor customer to kind of take your really good product, which is at low volumes, into a mature product which can be built at high volumes at scale and then of course it reduces the cost.

It allows you to spend more money on R&D to complete the feature set to a complete angle. So that is a recipe, if you see, we followed for many products like FTT X. Our first customer was BharatNet. And then we of course replicated that success across many others. Same thing for wireless. We believe that we'll have one large anchor customer and replicate that success once we mature and build the technology. In that sense, clearly, when I mentioned earlier, that if you look at the optical transport part of the business, and by the way, just to give you the sense of scale, the optical transport and FTT X are together as a segment worldwide is almost the same size as 4G and 5G base station size. So I think we have products in that area which are quite mature, but the nature of what goes into transport continues to evolve.

So for example, earlier it used to be only TDM kind of stuff, then we had packet and we have WDM, now there's packet and WDM, then there's a lot of routing technology which is coming in because what is moving around is packet. So I think it was important for us to incorporate all of those t

technologies into our

products, or rather include all those technologies into our products, which we have. So in that sense, the clear direction and the strategy is that you scale the product, you make it very, very feature-rich, and not just for one customer, but for all the customers.

I mean, as a product company, we definitely don't make products for one company. We kind of had already doing, selling this in lower volumes in smaller operators, but once you've got a large -size deal, it really helps us scale up and go after much, much larger customers around the world. For the second part, in terms

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of low -hanging fruits and stuff, Anand, you can focus on all the – you've just been in the company three weeks now, but take a stab.

Anand Atherya: Sure. Thanks, Sanjay. So, Mukul, my first focus is to ensure that we deliver on the optical business. It is very stable, and then we have enough orders to go fulfill, so ensure that supply chain and manufacturing are all aligned to deliver. That's number one. The second is to ensure that we deliver on the wireless, so there's 4G and 5G. So that's been my initial focus. Then working with Sanjay and team here on how do we evolve strategy, so there's a lot of discussions happening, and I think it's not going to be disruptive, but it's going to be evolutionary to make this into a global telecom and networking company.

Mukul Garg: Understood. Thanks for answering my question, and I'm looking forward to interacting going forward. Thank you.

Moderator: Thank you. The next question is from the line of B Suresh from Burrans Financials. Please go ahead.

B Suresh: Good evening, sir. I'm giving the opportunity. Welcome for a new CEO. Sir, one question, sir, a small question. Yes. So, you are marketing in exhibitions, conducting in USA, so WiFi products, optical products, and go for another company I see in the Twitter, Valiant Communications, is a cybersecurity product. This product is, it does have Valiant. How do they bring the sharing of that product sir?

Sanjay Nayak : So, we do use some of Valiant products , for example, as a partner in some of the power sector kind of a thing where they take some of our products and complete the solution and vice versa. In that sense, I think, we try to work with adjacent players in case a solution is required and that's the context in which it happens. But from our perspective, we don't, you know, rebrand anybody's product. We always sell our own products. And at times, you know, in the past as well, we have had some of the global players, take our

products and, you know, we are OEM suppliers to them.

B Suresh: That product, you get revenue, sharing, any sharing revenue?

Sanjay Nayak : No, I think if we sell our products, anybody else for that matter could just be a reseller. So, I don't think there's any revenue share perspective. I mean, we own all the products that we have and sometimes it could be a reseller relationship, sometimes it could be a channel, sometimes it could be co-selling. So that's the way usually it works out.

B Suresh : That company, Saankhya type of, you can, you are a subsidiary or not? You are not any, you are a future merger with the company?

Sanjay Nayak: Yes, Saankhya labs is a subsidiary of Tejas. We own around 65% of the company and the remaining 35%, our intent is to complete ownership of 100% of Saankhya labs. And that would be done through a merger process that we have triggered. We expect in the next few quarters, the merger process to get over. So operationally, we are working extremely closely with Saankhya already. But from a legal entity perspective, the 65% ownership will go to 100% ownership as a part of the merger process which goes through the NCLT and all the usual approval cycles.

B Suresh: Any small stake in Valiant sir, you are having? Tejas having?

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Sanjay Nayak: No, we don't have any such stakes.

B Suresh: In future, you can take that product in future in acquiring that brand?

Sanjay Nayak: Yes, I mean, if we do anything ever, we will definitely inform everybody. But at this stage, we are not doing anything like that. I mean, we are really focusing on developing our own products. And we have a fairly significant focus in terms of the opportunities at hand, which is what we are laser focused to execute. So, in that sense, from our perspective, we have a lot on our plate and we need to make sure that we do a good job fulfilling that.

B Suresh: The other product is a channel partner company. Are products actually you are any further your big orders coming?

Sanjay Nayak: Yes, we can talk to them. Just in the spirit of other people on the call may have a question, what I request you that offline, you can work through Santosh and we can address a lot of your questions giving some opportunities to others to also ask the questions.

B Suresh: Okay, thank you. Thank you.

Moderator: We have the next question from the line of Vivek Namasivayam, an individual investor. Please go ahead.

Vivek Namasivayam: Yes, thank you. The question is around the private or the corporate market in India. You're making a lot of

strides in the government side, but on the private, do you think there will be a similar impact on a call to some of the large projects that you're working on in the private sector and thereby see holistic growth for your company? Thank you.

Sanjay Nayak: No, good question. First of all, if you see our numbers, I think the private grew quite healthily last year from around 50 -- almost close to 80%. So, if I were to look at again, I would divide the problem into two. For the optical products and the FTTX products, we do see good momentum already in the private sector. Clearly, we can do better. I think some of the supply chain issues held us back because many of these are run rate customers and only after you complete the previous order that you kind of get the next order. So, I would say that on the existing wire line, which is optical and FTTX products, we will continue to see good traction in the private accounts in India.

The wireless products, which is a new product that is coming out in terms of scale, our initial focus will be to kind of get maybe one anchor customer. But we are very confident that as the product, -- reaches the right amount of maturity in terms of supply chain, processes, systems, technology, and so on, we will be able to have opportunities with private players in India, at least, -- a few private players in India, I wouldn't say all of them, for the wireless portion specifically, where they are closely watching what we are doing. We haven't had the opportunity to get into deeper engagements just because of our focus today, but as the year progresses, maybe Q3, Q4 of the year, almost like Q4 of the year, we think there could be engagements with the private operator. And eventually, we have good reasons to believe that even on the wireless side, we should start getting some breaks into private operators because they are closely watching all the stuff that we're doing.

Moderator: The next question is from the line of Hiran Kumar Thakurlal Desai, an individual investor. Please go ahead.

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Hiran Thakurlal Desai: Yes. So first of all, I would like to give a big thanks to Sanjay, who has navigated the SIP for 23 years, and

I have seen him from those quarters. A big thanks to Sanjay. And I wish him well for the future. And welcome to Anand. One of the questions is just a clarification. Last quarter, there was an announcement of we've being L1 in one of the BSNL backhaul projects. I just want to get a clarification whether that is same

as the INR696 crores router order that

you announced, or is it different?

Sanjay Nayak: Thanks, Hiran. First of all, thanks for your kind words. Good to talk to you again. Yes, it is the same order. Last quarter, since we had not physically got the order in our hand, but we were declared L1, it was not appropriate for us to specifically call out the customer. But as soon as we got the order, we did announce.

Yes, it is the same order, which is the backhaul order for the BSNL pan India rollout. Yes.

Hiran Thakurlal Desai: The second thing is, I mean, we have been getting reports about the 4G being deployed in a few locations.

So, is there anything which is sort of holding up the final order? I'm sure you will announce once you get it.

Sanjay Nayak: Yes. You know, all these things, the way it works is I think we have done everything from our side that needed to be done in terms of techno commercial, even now demonstrating adequate capacity to produce in time and deliver and rollout, etc., etc. But given the scale size of these things, they do take their time in their own process. We believe those things should come to a fruition soon. I'm reading the same newspaper that you do. And I believe things should happen sooner than later.

Hiran Thakurlal Desai: Okay. Okay. Thanks. And all the best to Sanjay and Anand both. Yes. Thanks.

Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Yes. Just one clarification. This is in conjunction with the previous question on the BSNL order. So as per press, this is supposed to be a 26,000 -crore order. So, would my assumption be correct if I would say that this 696 crore is for a period of one, one or one and a half years? Because if you look at the tenure of order, it is an order for about 10 odd years. So of course, our project will go on for about two, two and a half years or maybe three years at least until we sort of supply almost all of the equipment. So, the 696 crores will be for the next one or one and a half year, right? Or is it the total order size?

Sanjay Nayak: Let me clarify. There's a little bit of a confusion which might have inadvertently prompted. So, the 696-crore order is for our optical products, which is the wireline products, which -- if you want to think from a simplistic angle, this is the stuff we've been doing for the last many, many years, right? Except it's of course, new technology and all of that stuff. So, this is an order which will get executed pretty much -- in almost in this fiscal year and some of the residue might go into a quarter of next fiscal year, but almost let's say in the next 12 months. So, this is one step which is different. The other order that, you mentioned some numbers and all that, which is for the 4G, which is for the wireless rollout, which is the pan India rollout. Even that project, a significant part will be rolled out in the next 24. First of all, these are two different projects. So, the one which I talked about is a different project. It's a separate deal. It's over.

The next one will be the 4G rollout, which will be the pan India rollout. That would again, once the order comes, has to be completed within a period of two years. In that sense, the revenue intensity that will grow for the company, starting from this fiscal year and next fiscal year, and which is what I alluded to when I

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mentioned earlier on that, I see significant revenue momentum for the next two fiscal years, which is this and next year, already in place. So, in that sense, a large part of the wireless rollout will also be completed between this and next fiscal year.

And that is why, I overemphasized in terms of our preparedness of manufacturing capacity, rollout, technology, supply chain, cash flows because for a company which is just going to have a potentially exponential growth this

is and next year, we needed to be ready on our accounts. So these are just 2 different projects and the time line for execution will be much shorter than what we are thinking.

The AMC portion, which is maintenance and support contracts will run over for many years include -- what you said is for 10 years, but the majority of the supply will be completed in the -- for the first order in this year itself, which is the wireless order -- a wireline order, and the wireless order also will be completed over a period of 24 months.

Vimal Gohil Understood, sir. So these are 2 separate orders, the one which you have reported in your press release and the one which has been spoken in the media are 2 separate ones?

Sanjay Nayak: Absolutely.

Moderator: We have the next question from the line of Narasimha Murthy from CloudOrange Systems.

Narasimha Murthy: My question is what the status of BSNL receivables because in one of the interviews, sometime back, you said it would be materialized in the current financial year 2023? Thank you.

Sanjay Nayak: So, we have received a significant amount of receivables from BSNL, Venkatesh can dig out the numbers. But -- so many of the stuff from older products, which was stuck in receivables has actually come during the year. And actually, the receivable from BSNL reduced quite a bit during the year. So in that sense, whatever we had told earlier has actually happened.

Some of the ECL provisioning, which has been reversed, is on account of the collections that we have made during the fiscal year. During the year, I would say, lot of the older collections have come in. There's still some residual left, but we are very confident that, that will come in as well. And again, I think on an overall

life cycle basis for the company, our collection track record has been extremely good and we've hardly had situations where we haven't collected from the customers.

So even though the BSNL thing, it did take a little bit longer than what we would have ideally liked it to be, but a lot of that collection is coming.

Moderator: The next question is from the line of Yadhav, an individual investor. Please go ahead.

Yadhav: Hi, thanks for taking my question. So my first question is around the margin. So, in the call previously, it was told that one of the major reasons why we posted loss was because a few of our contracts were basically fixed contracts, as in the price of input materials went up, but we were not able to pass it on to the customer.

So, I just want to know the major orders which we are winning now, what kind of contracts is it having? Is it a fixed contract or will it be variable?

Sanjay Nayak : So the good news is that a lot of the business that -- once we saw the trend of costs increasing during FY Tejas Networks Limited

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'22 and FY '23, we, of course, any new bid which we put in or any new rate contracts that we signed with the customer was already incorporating the increased costs. In that sense, a lot of the new business that we have won already accounts for the appropriate increase in the component costs.

So the confidence that we mentioned that -- so that's one part. The second part was that we also have done a lot of work using our larger buying power, if I were to say, based on the projected volume of business that we see in the next couple of years, to go back to many of our suppliers and renegotiate the pricing to a much more competitive level than we ever got before.

So the combination of those 2 things, which is all the new bids were done at a price where we were comfortable with the margins and being able to do significant cost reduction in our products to be able to recover the margins that we potentially lost because of cost increase gives us the confidence that at least in the optical and the wire line business starting from Q2 onwards, which would almost be back to our health

hy

margin that we were there before.

As far as the wireless business, again, is concerned, when we bid and the price that we have closed with the large order already accounted for the current costs. In that sense, we are quite aware of the costs and even in the wider stock, but we are also cognizant of the exchange rates that has happened, and we have factored all of that into account, pricing the bid. And this is which we have confidence again that the volumes will be more than compensating with the -- in terms of the percentage gross margins. So that on the overall basis, I think the EBITDA impact will continue to show healthy growth on a year-on-year basis.

Yadhav: Okay. I have one last question. So out of this, the order book of INR 1,900 -odd crores there is -- does the BSNL -- I mean, does the Tejas - TCS joint implementation for BSNL 4G, is that also accounted or is that...

Sanjay Nayak : No. There was a very small portion of about 200 sites, which we had done through a consortium or partner.

But that's almost insignificant in the total value of the order. So, the order book that we report is always physical POs that we have got, not tenders that we have won or will be likely to win or rate contracts that continue to give us new business.

Yadhav: Okay. Thank you very much. Wishing you a very happy retirement.

Moderator: The next question is from the line of Naveen Bothra from Subh Labh Research. Please go ahead.

Naveen Bothra : Good evening Sanjay Sir, good evening Anand, sir, welcome you to Tejas and being CEO Designate.

Sanjay

ji, we'll miss you very much since you founded the company, and we have lot of emotions with you. Wish you all the very well. Sir, my question is from the Saankhya side. I would like to have a couple of questions regarding the merger integration status if you can say that -- because we are not hearing much on this side. If you can briefly tell us what is the current status?

And from the second, the offerings of Saankhya side, what are the status response we are getting on the D2M side. We are presently doing in India as well as in international markets regarding D2M and ATSC 3.0 technology. If you can talk about the status of all the Saankhya product, it will be helpful, sir.

Sanjay Nayak : Thank you, Naveen. First of all, nice to talk to you again. In terms of the merger status of Saankhya, we've got all the approvals from the stock exchanges, and now we have filed it with SEBI. And I think as soon as we get all the clearances, we will take into NCLT. So I would say, over the next few quarters, likely maybe Tejas Networks Limited

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by the end of this fiscal year or thereabouts, the merger process for the remaining 35% share will be completed.

Coming back to the second question in terms of the focus of Saankhya and how that business progressing including D2M, you rightly said that there are 3 segments which -- so I just wanted to call out that a lot of the 5G efforts in terms of the radio work, which was happening in Saankhya, that team, we have already transferred to Tejas as on 1st October . And in fact part of the Tejas financials already include the additional cost of that deal, which is what I mentioned in terms of increasing the -- a lot of the cost for this fiscal year. The second thing is the broadcast business, which is D2M is one part in India and in US, there are other

opportunities that we are working on. So the broadcast aspect of 5G, which has a lot of very interesting applications, there is a lot of traction happening. And this financial year, we believe that we should start seeing meaningful revenues from that part of the business of Saankhya as well.

Secondly, you also talked about the chip business of Saankhya. So I think Saankhya has applied for the chip development project, which is going on in the company as a part of the semiconductor DLI scheme and TTDF scheme

so that we can also get the support from there. So the broadcast part of the business is going to get into a reasonable revenue stream in this fiscal year. There's satellite, which is SATCOM business, which was also smallish last year, but we see some very interesting large opportunities in terms of the satellite IoT product that they have, which should be getting into larger volumes this year.

The chip development would be a development effort from an R&D perspective this year and it will be some time in terms of -- when it gets into production in terms of the external revenues, etcetera. That I would say, would be the status of the things in Saankhya. We are excited about all the good work happening there. And of course, it was important to realign the resources as well as the directions in the best interests of the combined companies, which is what we have essentially done.

Naveen Bothra: Okay. Thank you...

Sanjay Nayak: Moderator, since we are almost to the end of the hour, we can take maybe last 1 or 2 questions.

Moderator: We will take the last question from the line of Godwin S Fernandez from H yra Placements. Please go ahead.

Godwin Fernandez: Thank s for taking my question. Sir, I was looking into the presentation, your employee count has gone dramatically high. I just wanted to know what makes you to hire these much of employees on a year to year, whether you're finding any difficulty for this technology or if you can kindly put up the thought process behind such huge recruitments are being made?

Sanjay Nayak : So first of all, Godwin, I must tell you that as a product company today, we are focusing on many different technologies, on the optical transmission technology, on the FTTH technology and now on the 4G and 5G base stations. And if you look , relatively speaking, there's a lot of efficiency of execution and how we do things in a very clever way within Tejas compared to the corresponding global competitors of ours possibly at 10x our size, if not more.

The reason we are able to do a lot more with lot less is because of the way we have defined our architecture in terms of software -defined hardware architecture where everything is on an incremental basis. We are able to do a lot of design reuse. We're able to really use the same thing in many, many different forms and Tejas Networks Limited

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shapes. So I think in that sense, the headcount increase, in my mind, is something that will continue to grow and accelerate because if we're going to be aspiring to become one of the top global OEMs, we have to become a top tier in terms of R&D, in terms of new technology investments and so on.

In that sense, I think, the hiring will continue, and we will really continue to scale up that. The second part, which I think partly you asked was also that how do we get such people . as a product company, I think we have two streams. We have set up for the entry level or junior level 0 to 2, 3 years. We have set up something called Tejas Academy, which is think of it as a boot camp for taking extremely bright people, who may or may not have the exact direct relevant exposure into the things we do.

But over a period of 3 to 6 months, we give them through a boot camp, which makes sure that when they come out of Tejas Academy, which is the in-house academy, they can really be very productive directly on the project. And in the middle and senior level, I think with the kind of aspiration we have, the kind of success we are seeing, I'm actually very happy to say some of our global competitors are also quite commending the work that Tejas has been able to do in developing new products, get things to scale, get things to global levels in such a short period of time.

So we do see there's a lot of, I would say, interest from -- in the mid and senior level talent working at least in India, in many of our competitor

s companies to potentially find a way that we can engage. So overall, I would say, we are seeing a very interesting funnel of new talent coming into the company. We have the -- now with the revenue scaling up and profitability scaling up, we have the slack available to invest the right amount of dollars or rupees into the R&D effort so that as a technology company, not only should we increase revenues and profitability in the near term, but also invest to make sure that on a long-term basis, we are really coming out tops in whatever things we do. In that sense, I think manpower is our most important asset, and we'll continue to grow in that.

Godwin Fernandez: Thank you very much sir.

Moderator: I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Sanjay Nayak : Thank you again. I think we had a very interesting set of questions, and we all summarized it in terms of where the company is today. We have come a long way in the last 23 years. The companies that in every dimension, I think we have really scaled very good level. The foundation, I believe, is rock solid. We are very well geared up in terms of the exciting opportunities that lie ahead of us.

There's a lot of continuity in terms of the team as well as the thought process and the aspirations. And -- I mean I'm very happy and confident that as I look forward to my retirement, the company is in the best

possible shape and we really do look forward to a very, very exciting times ahead. And again, I want to thank all of you with whom I have interacted many, many times and we look forward to continued success for our company. And thank you again, and thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

June 27 , 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Transcripts of the 23rd Annual General Meeting

Please find enclosed the transcript of the 23rd Annual General Meeting of the Company held on June 20 , 2023.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary
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"Tejas Networks Limited "
23rd Annual General Meeting
June 20, 2023

Management : Mr. N. Ganapathy Subramaniam – Chairman
Mr. Chandrashekhar Bhaskar Bhavare – Independent Director and
Chairman, Audit Committee
Mr. P. R. Ramesh – Independent Director, Chairman, Risk
Management Committee and NRC.
Shri. A. S. Lakshminarayanan – Non-Executive and Non-Independent
Director.
Mrs. Alice G. Vaidyan – Independent Director
Professor Bhaskar Ramamurthy – Independent Director, Chairman,
Stakeholders Relationship Committee
Mr. Sanjay Nayak – Chief Executive Officer and Managing Director
Mr. Anand Athreya – Chief Executive Officer and Managing Director
Designate
Mr. Arnob Roy – Chief Operating Officer and Executive Director
Mr. Venkatesh Gadigal – Chief Financial Officer
Mr. N. R. Ravikrishnan – Company Secretary
Mr. Darshan – Messrs. Price Waterhouse , Chartered Accountants, LLP
Mr. Niraj – Internal Auditor, Singhvi Dev and Unni, LLP
Mr. C. Dwarakanath – Secretarial Auditor, Practising Company
Secretaries
Mr. Krishna Murthy – Cost Auditor, GNV and Associates

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Moderator: Dear shareholders, good afternoon and very warm welcome to the 23rd Annual General Meeting of Tejas Networks Limited through video conferencing or other audio -visual facilities. As a reminder, for the smooth conduct of the meeting, the shareholders will be in the mute mode and audio and video will be opened when they will speak at the AGM as per the pre -registration. Please note that, for the requirements, the proceedings of the Annual General Meeting will be recorded and available on the website of the company. I now hand over the proceedings to Mr. N. Ganapathy Subramaniam, Chairman of Tejas Networks Limited. Over to you, sir.

N G Subramaniam: Thank you, moderator. Good afternoon, everyone. I welcome the shareholders to the 23rd Annual General Meeting. Hope all of you are doing great. This meeting is being held through video conference in accordance with the circular issued by the Ministry of Corporate Affairs and SEBI. Participation of shareholders through video conference is being reckoned for the purpose of quorum as per the circulars issued by the MCA and SEBI. The quorum being present, I call this meeting to order.

Before we start the main proceedings of the meeting, I take great pleasure in introducing my fellow directors who are joining this Annual General Meeting through video conference. Firstly, Mr. Chandrashekhar Bhaskar Bhawe, Independent Director and Chairman, Audit Committee. Mr. P. R. Ramesh, Independent Director, Chairman, Risk Management Committee and NRC. Shri. A. S. Lakshminarayanan, Non -Executive and Non -Independent Director. Mrs. Alice G. Vaidyan, Independent Director. Professor Bhaskar Ramamurthy, Independent Director, Chairman, Stakeholders Relationship Committee. Sanjay Nayak, MD and CEO. Anand Athreya, CEO and MD Designate. Arun Roy, COO and Executive Director. Mr. Venkatesh Gadiyar, Chief Financial Officer and Mr. N. R. Ravikrishnan, Company Secretary. I confirm that the Chairperson of Audit Committee, Mr. Chandrashekhar Bhaskar Bhawe and Chairperson of the Stakeholders Relationship Committee, Professor Bhaskar Ramamurthy are present for the meeting through the video conference.

I also confirm that the statutory auditors, Mr. Darshan from Messrs. Pricewaterhouse, Chartered Accountants, LLP. Internal Auditor, Mr. Niraj Singhvi from Singhvi Dev and Unni, LLP. Secretarial Auditor, Mr. C. Dwarakanath, Practising Company Secretary. Cost Auditor, Krishna Murthy, GNV and Associates are present for the meeting through video conference. I now request the Company Secretary, Mr. N. R. Ravikrishnan to provide general instructions to the shareholders regarding participation in this Annual General Meeting. Over to you, Ravi.

N R Ravikrishnan: Thank you. Good morning, good afternoon and good evening wherever you are. Shareholders may note that this Annual General Meeting is being held through video conference in accordance with the Companies Act and Circulars issued by the Ministry of Corporate Affairs in SEBI. Facility for joining this meeting through video conference or other audio -visual means is made available for the shareholders. The Company also provided webcast facility to view the live proceedings of this Annual General Meeting on the Company's website.

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The register of directors and key managerial personnel and register of contracts or arrangements has been made available electronically for inspection by the shareholders during the AGM. Shareholders seeking to inspect such documents can send the request to agm@tejasnetworks.com. As the AGM is being held through video conference, the facility for appointment of proxies by the shareholders is not applicable and hence a proxy register for inspection is not available. The Company has received requests from few shareholders to register themselves

as speakers at the meeting.

Accordingly, the floor will be open for the shareholders to ask questions or express their views. The moderator will facilitate this session once the Chairman opens the floor for questions and answers. It may be noted that the Company reserves the right to limit the number of shareholders asking questions depending upon the availability of the time at the AGM. The Company has provided the facility to cast votes electronically on all resolutions set forth in the notice. Shareholders who have not cast their votes yet electronically and who are not participating in this meeting will have an opportunity to cast their votes during the meeting or through e -voting system provided by NSDL.

Shareholders can click the vote tab on the video screen to avail this feature. Shareholders are requested to refer to the instructions provided in the notice or appearing on the video conference page for a seamless participation through video conference. In case shareholders face any difficulty, they may reach out on the helpline numbers. Shareholders may kindly note that the AGM is recorded. Thank you very much.

N G Subramaniam: Thank you, Ravi. The Company has taken all feasible efforts under the current circumstances to enable shareholders to participate through video conference and vote at the AGM. I thank all the shareholders, colleagues on the Board, auditors and the management team for joining this meeting over video conference.

Moderator: Thank you. I now request Mr. N. Ganapathy Subramaniam, Chairman, to address the shareholders. Over to you, sir.

N G Subramaniam: Dear shareholders, good afternoon. As your chairperson, I take pleasure in welcoming you all to the Company's 23rd Annual General Meeting. On behalf of the Board of Directors and everyone at Tejas Networks Limited., I would like to thank you for the trust and confidence that you have placed and look forward to your continued support to the Board of Directors and the management. The annual report for the year ended 31st March 2023, along with the Director's report and audited annual accounts of the Company have been shared with you and may I request that these be taken as read.

I would now like to outline the salient aspects of your Company's financial and operational performance for the financial year 2022 -23 and I will also follow it up with an overview of the overall business environment for your Company. Let me first cover the performance highlights.

During FY23, we successfully navigated several supply chain challenges, continued our

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investments in the wireless product development and successfully participated in the proof of concept phase of BSNL 4G, 5G opportunity.

The summary of our FY23 financial performance on a consolidated basis is as follows. Net revenue was at INR919.6 crores and year -on-year growth of 67%. The loss after tax was INR36.4 crores. Net working capital increased to INR935 crores, mainly due to increased inventory levels. Our order book at the year -end was INR1,934 crores, mainly driven by optical product wins. INR1,306 crores in cash and cash equivalents with no debt. During the year, we significantly expanded our manufacturing capacity by signing up four new EMS partners in India.

So that we not only are geared to successfully execute the orders on hand, but also lay the foundation to scale our business for the coming years. Your company has also been declared eligible under the design -linked PLI scheme and our investment outlay under this scheme for this period is expected to be INR750 crores. The integration of Saankhya Labs with Tejas is progressing well in line with our strategic transformation agenda.

The transformation would lead to your company becoming a telecom OEM of significance by
A. building reliable and high -performing telecom equipment B. the products are differentiated

by being software -driven and C. with a strong sense of innovation towards our sustainability goals. Becoming a global telecom OEM requires deep expertise in multiple domains, a strong product management function, commitment to international standards, both for contribution and to adoption, and a long -term investment outlook with solid customer endorsements.

I am pleased to inform you that your company is maturing in all these dimensions. We continued our research and innovation journey during the FY23. As of March 31, 2023, Tejas and Saankhya had cumulatively filed 445 global patent applications and owned a rich portfolio of 330 plus semiconductor -related IPs. You will also be happy to know that your company has developed a comprehensive portfolio of end -to-end optical, GPON, and 4G, 5G products. These products have been installed internationally and have garnered numerous global awards for innovation.

Our flagship product, TJ1400UCB, was selected as the broadband innovation of the year at the 6th Mobile Breakthrough Awards in California, USA from over 2,700 nominations. TJ1400UCB was also recognized as the best Made-in-India telecom innovation at the 2022 India Mobile Congress. TJ1400UCB is a unique product that converges multiple functions such as 4G /5G RAN, GPON /XGSPON, OLT for fiber broadband access and MPLS -TP/MPLS -based 4G, 5G backhaul in a compact shelf. Moving on to our people and community, as an R&D driven company, hiring and retaining premier technical talent is critical to the company's long -term success.

In FY23, we continue to accelerate hiring across all key functions to support our growth plans. As of 31st March 2023, on a standalone basis, the company had 1,305 employees on its rolls, which is a 41% increase over the last fiscal. Over 60% of the employees are in R&D. As an environmentally responsible company, we are committed to adopting global best practices in environmental, social and governance areas and ensure long -term value creation for all the

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stakeholders. We have plans to use full solar power generation for our manufacturing facility in Bangalore, which we hope to commission during the current financial year.

Let me move on to give you some business outlook for the next 12 to 18 months. I would like to take this opportunity to provide you an update firstly on the progress we have made in our trials with Bharat Sanchar Nigam Limited for our 4G, 5G radios. These products have undergone rigorous testing in real network environments, focusing on critical key performance indicators such as coverage, capacity and experience. As a consortium partner, we are actively contributing to the development of one of the most advanced 4G, 5G mobile networks in the country.

The future of networks is largely expected to be non-proprietary and programmable. That will make the network intelligent on the edge and that opens up a lot of possibilities. This will also disaggregate the network elements and innovations such as Open RAN will gain further ground. Our investments and resulting product architecture is keeping some of these advancements in mind. Telcos and enterprises worldwide are re-looking at alternative products for making their network intelligent, secured and reliable with a tremendous focus on return on investment, ability to personalize and bundle products and services.

All these will certainly create international opportunities for your company that will enable Tejas to gain global economies of scale to compete effectively in India and abroad. The company needs to do this with a lot of responsibilities and this is no doubt going to put enormous onus on the Tejas team and we are fully prepared to scale up our operations on multiple fronts. On behalf of the Board of Directors of Tejas Networks, I would like to extend our heartfelt gratitude to the respective

governments, Department of Telecommunications, nodal agencies in India and abroad for their support.

Our appreciation also goes out to our valued customers, passionate employees, supportive shareholders, reliable suppliers and our bankers for their diligence. I would also like to record my appreciation for my fellow directors for their valuable guidance to me and the company. A special thanks to Ambassador Madam Leela Ponnappa who had been your director for a long time and just earlier in the year retired as a director of your company. We are genuinely thrilled about our prospects and as we execute on our strategy, we are confident of delivering positive outcomes for all our stakeholders in the years to come. Thank you.

Moderator: Thank you, sir. I now request Mr. Sanjay Nayak, CEO and MD to address the shareholders with a presentation. Over to you, sir. Thank you.

Sanjay Nayak: First of all, thank you for, Chairman sir, to give the overall view of the company and the future that lies ahead of us. I will take you through some of the salient accomplishments of last year, the foundation that we have created for future and how do we perceive the future for us. In terms of FY23, I think it was a solid year of performance. In all dimensions, I think we did very well. We had the highest ever net revenues of INR920 crores, which was a year-over-year growth of 67%.

And more importantly, we delivered four consecutive quarters of Q-on-Q as well as Y-on-Y growth. And we also successfully navigated the global chip shortage, which was affecting many Tejas Networks Limited

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players in the electronics industry. In terms of focus, the company wanted to really make sure that we used the year to create a solid platform, and we really invested a lot of our profits back into the business in terms of generating the growth momentum as well as building the capabilities for future. In terms of the order book, which was a good indication of the competitiveness of our products and the success we are having in terms of customers, we again had a year-over-year growth of 65%.

And primarily, as our Chairman had pointed out, it was on the back of optical and data networking products that we have in the company. We also had the highest ever single purchase order of INR696 crores that we won during the year, and that was for one of the router products that we have done for a Pan India rollout. We also had a successful engagement with our customers and completed the proof of concept as well as the initial supplies for 200 sites for a Pan India 4G network. And that, again, as our Chairman had pointed out, is very, very complex technologies, and your company came out with flying colors in terms of meeting all the critical performance criteria.

As a part of the consortium that we are building the BSNL, we will be supplying the radio equipment or the radio base stations for both 4G and 5G for the entire 100,000-site project, which is expected to be rolled out or completed within the next 18 to 24 months. We are also among the first companies and among the largest applicants of the design-linked PLI scheme of the Government of India, and again, we have made a INR750 crores commitment in terms of

capex, which includes R&D.

And I am again very pleased to say that the first -year criteria or the eligibility conditions for both investments as well as revenues were met by your company, and we will be applying for getting the incentives in the coming quarters. From a balance sheet perspective, thanks to the investments from the Tata Sons, which is Pan atone Finvest, we have a very strong balance sheet. We have 1,306 crores of cash and cash equivalents, no debt, and that gives us a very, very solid financial foundation to be able to scale up our business and achieve the success that we are looking forward to in the coming years.

So if you really see what w

e did at the next level in terms of commitment to the growth and commitment to the future, we really built a very solid platform for growth. Manpower, R&D, our team, our technology, that is really a core of our company, and we have really continued to invest in R&D. We now have 1,305 employees, which is a 41% year -on-year growth, and on top of that we also have additional around 150 employees working in our subsidiary Sa ankhy Labs. And R&D was around 28% of our total overall expenses in terms of revenues, and which is among the highest among all listed companies in the country.

We also set up that we need to hire very, very high -quality talent for our R&D teams on a continual basis because we have a lot of exciting projects and commitments to complete, and we have set up a Tejas Academy, which is basically a boot camp where we hire exceptionally talented people, put them into a very, very strong training environment on real -life projects so that they can come in and start working and contributing to projects as early as within a quarter of joining in.

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And we have again been focusing on IPR and patents, and we have 445 patents between Tejas and Saankhya . We expanded our product portfolio during the year. The advanced IP /MPLS routing products were released to the market , and that led to one of the largest wins that I talked about a few minutes back. Our 4G, 5G, multiband, high -powered radios and base stations were again released in record time, and again, the time it takes to mature and develop these complex products, I'm very proud to say that your company has done in a very short period of time compared to what other global players have taken over the years.

We also upgraded our FTTX portfolio for multipon and software as a service for certain kind of customers so that our XPON applications can get a much wider market appeal. While a lot of business is coming in, a lot of orders are flowing in, we needed to make sure that we scale up our manufacturing operations to be able to deliver significantly larger volumes of products that we have ever done in the past.

And in that aspect, we have had a very asset -light model of manufacturing, so we have signed up four new EMS partners who are contract manufacturers, both spread between south as well as north of India from a geographical diversity point of view, and we are very confident that whatever capacity that we need to scale up to fulfil our customer commitments, we have already built that. On top of that, we have really re -engineered a lot of internal processes and are working with external partners to make sure that our efficiency of overall supply chain improves quite significantly, including that of cost reductions, because we wanted to make sure that from last year we are able to improve our margins this year as well.

We have also taken advanced inventory actions, because there are still certain components which have long lead times, and we have covered for that. Again, the objective being that whatever customer commitments we have, we should be able to meet them comfortably. And internally in Bangalore, we are setting up a new manufacturing production and warehousing capabilities in the existing campus where we currently have, and that will allow us to make sure that for the next few years we have enough capacity in -house to be able to do all the kind of system assembly and manufacturing that is required.

And again, we acquired Saankhya Labs last year. The amalgamation process is going on. The 5G teams have already been integrated and are working extremely well together. We are also getting a lot more products which are in the adjacent areas, such as broadcast, direct to mobile, as well as satellite IoT, and we are quite excited about the in -house chip design capabilities that have also come along with the acquisition of

Saankhya . If you see this chart, it is a very

interesting chart in terms of the different elements of a product that go in building a telecom network.

So if you really see, we are covered on all the bases, whether it is optical transmission, wireless, as well as satellites. So if you see on the left -hand side, we are doing 4G and 5G base stations, which is the, you know, which is the radios that go in building a wireless network, along with

all the FTTX technologies. So when you are having a high-speed broadband at your home or in the office, you are using GPON and XGSPON technology, so we have that. And of course, the traditional Ethernet and Fast Ethernet or Gigabit Ethernet technologies we have.

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So any form of access, whether wireline, wireless, or satellite, is something that we already have in the company. The transport architecture, which is for metros, as well as high-capacity backbones, was something which has been a strong point of the company, and we've been continuing to augment that to make sure that we are state-of-the-art from going up to 600 gig of lambda and going further in the years to come. Net-net, all of this positions us in a very unique position that there are only a handful of companies in the world who have such a rich portfolio of products which can be used to build end-to-end telecom networks.

Additionally, as our chairman had pointed out, the world needs today a lot of trusted telecom products. And I think with the kind of capabilities we have built in, the kind of investments we have made, both in the wireline side as well as wireless side, we have a very, very mature and very exhaustive portfolio of telecom products that can be used to build trusted networks. Another effect of all the R&D investments we've been making and made during the last fiscal year is an addressable market on a worldwide basis which is around \$67 billion in 2022 and expected to go to around \$86.6 billion in 2028, out of which the wireless will be from \$45 billion going to \$50 billion, and wireline, which is where we have quite a good mature product, is going to grow from \$22 billion to \$36 billion.

So naturally, as you can see from a strategy point of view, our objective is that the matured wireline products that we have today, we need to go and get a lot more percentage of market share worldwide, and wireless products, as we start getting more traction in India with the rollout that are visible, we should be able to again go after the large addressable market that we have around the world. The next slide just kind of gives you a quick summary of what does this foundation really mean in terms of success of a company, because in our industry, the entry barriers are very high.

And for our company, we have really done a lot of things over the years, which have really become a rock solid foundation. So cumulatively, we have done more than 9,000 crores of sales with 3,000 crores international, we have equipment in more than 75 countries, and more than 500 networks. We are market leaders in the GPON area. And I'm very confident in the years to come, there'll be a few more areas of technology where we'll easily get into top 10. We have now a rich portfolio of technology from optical transmission to broadband access to switches, routers, 4G and 5G radios.

And of course, all our products are award winning. I mean, as our chairman had pointed out, we really have focused on innovation. And we have more than 50 products of different kinds, 3 million lines of code, 30 prestigious awards that have won for our products. More than 60% of our team is in R&D, that gives you the kind of commitment we have. And again, by filing patents and all the things that we have, and a unique software defined hardware architecture, which allows us to build products much faster, mature them much faster by using a common

on technology

architecture is something that your company has a very, very strong foundation.

Our team remains our strength. And when I say our team, it's not just the R&D, but R&D, supply chain, sales, support, these are all things which are required to be a well-rounded company on a global arena. And I'm very confident that the processes and systems are in place. And from a shareholder value creation, as you know, we are the first deep tech product company, which

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went from being a startup to an IPO. And since our IPO, our market cap has, you know, grown more than four times. And that again, you know, shows our commitment to building shareholder and all stakeholder value.

Net-net, we clearly see an opportunity to build a global telecom and networking OEM from India for the world. A couple of other things, since we are talking about the world, is that it's very important for us to make sure that our brand is recognized worldwide, customers feel comfortable doing business, customers feel excited of doing business with a company like Tejas, because of the innovation, because of the strength, because of our success in India, which is probably world's toughest market in terms of winning new business.

So we have been participating in all the global events and got tremendous response during the last year, whether it be the Mobile World Congress in Barcelona, the Indian Mobile Congress in

New Delhi, or all the trade shows in US, Africa, and many other parts of the world. And again, in terms of awards, I think when global, you know, foundations and agencies recognize what we have done, it gives us a lot of encouragement that we are on the right track.

And we really won a lot of awards, both for Tejas as well as Saankhya from the broadband innovation of the year to the best Indian product at Indian Mobile Congress, the Techno vision Award from Indian Semiconductor Association, Telecom Person of the Year Award from Voice and Data, the Pathbreaker of the Year Award from Dataquest, and our Saankhya team also won very, very prestigious award like the Mark Richer Medal, Industry Medal from ATSC Corporation in the US, the Hall of Fame 2022 from TSDSI, and the CEO Award World Marketing Congress.

So this again gives us a good comfort and sense that we are all heading in the right direction, and the world is starting to look up at the potential of Tejas as a global company. In terms of the fundamental growth drivers for the business, which keep us quite excited, number one is really the 4G and 5G rollouts which are happening around the world. While India had some success in 5G in terms of initial rollouts, I'm pretty sure that there's a long runway, there are a lot of new use cases which will come up.

There are many, many other markets in the world, which are starting to go on the 5G journey and finding the right use cases, and I'm very confident that our company will be ready with our products and be able to address those markets. 4G is still a very, very relevant technology for many applications around the world, and many markets are still finding that 4G is possibly a very attractive technology from getting the customer experience as well as making a financial success out of the networks, and we are very confident that in those areas, all the deployment, both from wireless side as well as the backhaul that you will need because the amount of data that will be generated on the networks will be very high, will create a new capex cycle on wireline and wireless, which we are excited about.

Number two, as you all know, we are all used to now getting a higher and higher amount of bandwidth at our homes and our offices, which basically creates a need for technology like GPON, which many of you have at your homes, and if not, it will be going there soon. For example, India only has less than 10 or 15% broadband

and penetration, and over the next few years,
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it is expected to go to about 30% to 35%. So that again presents a very large growth opportunity for us.

The third interesting thing happening around the world, especially from an international market perspective, is what we call the rip and replace opportunity. Many countries in the western world and many other parts of the world have realized that telecom infrastructure is a very critical asset that needs to be only built on trusted products. So there is a mandate by various governments around the world where they are asked to rip and replace equipment from certain countries and replace it by trusted telecom products. India as a country over the years has earned a lot of respect worldwide for creating such products, and we are very confident that this gives us a large customer pool in many, many markets.

Another aspect where our company has been seeing a lot of success and we are among the global leaders in this space is the utility segments, the networks of rail, power, oil and gas, defence, smart cities, safe cities. This again, the backbone of all of these applications is a very robust and trusted telecom infrastructure. The utility networks typically are a little bit slow to move in terms of transitioning to new technologies, and again we have all the technologies available to address this very, very high growth segments around the world.

And last and very, very important from another angle is the home market. India is among the largest home market in the world for telecom, and the focus of government for being Atmanirbhar in telecom products is something that is very, very good for our company and we are playing a very critical role in helping India achieve the mission of being Atmanirbhar in terms of telecom products.

In terms of the big picture in the strategy, and this is something we have been sharing, so our vision is very simple, to create a global scale telecom and networking product company from India. There are three pillars of our strategy. First is the products. We have to create state-of-the-art products for building end-to-end networks, whether we do it with augmentation of in-house talent or through external acquisition, both of those options we have been doing and will continue to do so.

Sales strategy, we got to use India's large home market and we have seen around the world all successful global OEMs over the last 25 years have leveraged their home market success to go global, and I think with us being in India and getting the economies of scale is something that we are very excited about and we are well on track to achieve that. International markets I already

talked about that there is a market pull for trusted telecom products and we have a very wide range of products that can help us achieve that.

And last part of the strategy is really to have rock-solid operational capabilities. We should be able to manufacture at scale, at cost, with highest quality and in time, and the schemes like PLI scheme that we have from Government of India definitely make us a lot more competitive in terms of manufacturing within the country and we believe that we have made enough investments and will continue to do so, both in terms of facilities, people, processes, so that we are able to scale up and do that.

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So in terms of our FY '25 or '24 goals, we really want to make sure that we execute on the significant portion of the order book that we started the year with. We are already seeing a lot of new orders, especially for the BSNL Pan India 4G network which will again be rolled-out in the next 18 months to 24 months. And we want to really start planting a lot more seeds aggressively for the international expansion of our products which are already matured and really use the Ta

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brand and the global relationships to get that and make sure that we continue to invest in R&D, supply chain and sales and support teams, so that as our business grows, we are ready to execute that success.

In summary, I really see an extremely exciting future for our company. FY '23 was a fantastic year in terms of growth. Our healthy order book in terms of the business that we won and the business that we will be getting soon in terms of the new orders gives us a very good revenue momentum for not only FY '24 but for FY '25 as well. Our product portfolio has been expanded, especially with the introduction of 4G, 5G RAN and the IP/MPLS router that we added last year. And we have also scaled up our R&D as well as manufacturing capacity to be able to deliver on what we have. And last but not the least, you need a lot of cash and strong balance sheet to do that and we have already got that with the association and the investment from the Tata Sons and Tata Group.

And I am again very happy to say that, as you may have heard and seen, I have also announced my retirement from the board of the company. But this transition has been very smooth. Over the last one quarter, I have been working with Anand who has joined us on April 1, and we are trying to make sure that the transition of the company, the leadership happens very smoothly. And at this point in time, I also want to thank all the investors, all the shareholders, all the Board of Directors, current as well as past, all the employees, management, everybody that I have worked with and everybody who has put a lot of trust and confidence in me.

And it has been a pride and a privilege to lead Tejas over the last 23 years. And under the able guidance of the Tata Group, led by our Chairman, NGS, I am very, very excited, confident that our company is poised for a lot of success and a lot of growth and we will become an iconic company in the times to come. And we will clearly make sure that from India we created a world-class OEM which is not just successful for India but for the world. Thank you very much.

N G Subramaniam: Thank you Sanjay for a comprehensive coverage on the company's performance, strategy, vision and the goals that you have set for us for FY '24. On behalf of my fellow Directors and everyone at Tejas and our shareholders, I would like to take this opportunity to recognize the outstanding contribution made by Mr. Sanjay Nayak during his tenure of 23 years with Tejas Networks. And on the same count, I also take the opportunity to welcome Anand Atreya as someone who is stepping into Sanjay's shoes with your consent, with your concurrence and approvals. All the best to both of them for their future.

I now request Ravi, Company Secretary, to provide a summary of the auditor's report.

N R Ravikrishnan: The Statutory Auditors, M/s. Price Waterhouse & Co Chartered Accountant LLP and the Secretary Auditors, Mr. C. Dwaraknath, Practicing Company Secretary has expressed unqualified opinion in the respective audit reports for the financial year 2022 -23. There were no

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qualifications, observations or adverse comments on the financial statements on matters which have any material bearing on the functioning of the company. The Statutory Auditors' Report on standalone financial statements and consolidated financial statements are available in the annual report. The Secretary Auditor's report is also enclosed as Annexure V to the Board's report of the annual report. Thank you, Mr. Chairman.

N G Subramaniam: Thank you, Ravi. As the notice is already circulated to all the shareholders, with the consent of the shareholders, I take the notice convening the meeting as read. Before we proceed, I am

pleased to bring to your notice that as required under the Companies Act 2013, the company had provided you all the facility to cast your vote elec

tronically on all resolutions set forth in the

notice. Shareholders who have not cast their vote electronically and who are participating in this meeting will have an opportunity to cast your votes through the e-voting system provided by NSDL. Shareholders may please note that there will be no voting by show of hands. Further, shareholders can seek clarifications and or offer comments on items of business, if any.

The results of the AGM resolutions shall be declared not later than two working days from the conclusion of the AGM of the company. We now take up the resolutions as set forth in the notice.

The floor will be open for any questions by shareholders after all the resolutions are tabled.

Item number one, adoption of audited standalone financial statements. The audited standalone financial statements of the company for the financial year ended 31, March 2023, together with the reports of the Board of Directors and auditors thereon.

Item number two, adoption of audited consolidated financial statements. The audited consolidated financial statements of the company and its subsidiaries for the financial year ended March 31, 2023, together with the report of the auditors thereon.

May I request my fellow Director, Professor Bhaskar Ramamurthi to call out the item number three, please.

Bhaskar Ramamurthi: Thank you. Item number three, appointment of N. Ganapathy Subramaniam, DIN number 07006215 as a Director liable to retire by rotation of the company.

N G Subramaniam: Thank you, Professor Ramamurthi. Item number four, appointment of Alice G Vaidyan, DIN number 07394437 as a Non-Executive Independent Director of the company.

Item number five, appointment of Mr. Anand S. Athreya, DIN number 10118880 as a Director of the company.

Item number six, appointment of Anand S. Athreya, DIN number 10118880 as Executive Director, Managing Director and CEO designated from April 21, 2023 to June 20, 2023 and as Managing Director and CEO from June 21, 2023 till April 20, 2028.

Item number seven, material related party transactions with Tata Communications Limited, a related party of the company. The proposal is to approve the entering of the material related party transactions with Tata Communications Limited, a related party of the company subject to a maximum of INR500 crores to be entered for the financial year 2023-'24.

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Item number eight, material related party transactions with Tata Consultancy Services Limited, a related party of the company. The proposal is to approve the entering of the material related party transactions with Tata Consultancy Services Limited, a related party of the company subject to a maximum of INR15,000 crores to be entered for the financial year 2023-'24.

Item number nine, ratification of the remuneration of cost auditors.

Item number 10, appointment of branch auditors. The text of the resolutions along with the explanatory statement is provided in the notice circulated to the shareholders.

May I request the Company Secretary to take the proceedings forward.

N R Ravikrishnan: Dear shareholders, thank you for joining our 23rd AGM today and for taking time to participate in today's AGM. Before we go live with the question-and-answer-session, here are some points to note for your convenience. Kindly turn on your video and when you are projected on the broadcast screen, unmute yourself and proceed to ask the questions. Please mention your name fully and number and location from where you are joining. Each shareholder has two minutes for the questions. To order the petitions, the board can respond to all questions at the end. Once when you have asked the questions, you can log off and continue to watch the proceedings.

Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question-and-answer-session. Request everyone to please remain conne

cted. While the speaker shareholders assemble. We

take the first question from speaker shareholder, Mr. Arun Kumar Boppana. We request you to accept the prompt on your screen and unmute your audio and video and you may proceed with your question.

Arun Boppana: Namaskar to everybody there. Good afternoon, everybody. Sir, ours is a networking company and communication company. There is hardly any networking from the Secretarial Department or communication. I would have been happy had somebody called me from the Secretarial Department asking for my questions or giving my speaker serial number and etcetera. Nobody called. I think they must watch our Tata Elxsi meeting. I think Cauveri Sriram does it excellently. Because I found something missing. Tata's name is missing before the Tejas and Tata's culture also.

We have treated with so much -- we are pampered so much, NGS sir, you know that. You have been seeing me in Bombay for the past 20 years. We expect the same pampering. I will never ask any Favor from you. Sanjay Nayak's speech was fantastic, as good as Narendra bhai Modi's so powerful. I am proud of it. Thank you, Sanjay, for all your services. I welcome Anand too. An AGM is a perfect place for all of us to share our experiences and be happy with a lot of smiles. It is not that we complain about anything. But this kind of networking and communication is important in Tata companies. Compliments for developing and manufacturing India. I think Modi sir will be too happy. A strong emphasis on R&D investments in cutting edge technology and for innovative solutions. And for customizing offerings to meet specific customer requirements. Addressing unique challenges for India, which there are plenty.

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And my question, sir. Digital India, Bharat Net, our USP and optical network solutions. How favourable is it for Tejas? Because Indian economy is growing with a lot of opportunities. Your comments on that. And with economic survey forecast, our healthy GDP of 6.8%. How does Tejas use the digital mission transformation to stay competitive and adapt to evolving technologies?

In today's world of scams and cybercrimes, sir, regulations are required to avoid. But cybercriminals are ruthless, shameless and faceless too. Can Tejas help the victims of cybercrimes? And what are the investments for cyber security? Plans to explore uncharted territories? Are we doing enough? Staying at the forefront of these emerging technologies and investing in R&D for various segments in telecom sector. And to stay competitive with advanced technologies too.

How does Tejas use AI, Machine Learning, 5G for intelligent solutions across businesses? What are Tejas plans in emerging markets such as Southeast Asia, Africa, etcetera? What are Tejas plans for skill mismatch with new age courses like coding, AI, robotics? What are plans for telemedicine, patient monitoring for health care solutions for good outcomes? How does Tejas provide efficient, scalable, cost-effective solutions for high speed transmission and growing bandwidth demand for usability and accessibility?

How is Tejas prepared for domestic and international competition in terms of market share and pricing? Tejas plans for the automated cars, advanced driver assistance systems for seamless connectivity and communication. What is the specialization designing and manufacturing of optical network products? And Tejas plans to improve further broadcasting engineering. Video streaming is important because I think video streaming is going to be the order of the day for AGMs with multi-screen solutions too. Will Tejas stay to provide cost-effective networking solutions with leverage on optical network, offering competitive pricing without compromising on quality or performance? And what are plans to make products attractive to service providers in emerging markets?

In conclusion, sir, the potential is huge. We are merely scratching the surface of the potential. I wish Tejas all the best and next AGM, I'm sure Tata's name will be there with the Tata's culture. Thank you very much. Namaskaram.

N G Subramaniam: Thank you, sir.

Moderator: Thank you. We take the next question from speaker shareholder, Mr. Vivek N. Mr. Vivek, kindly unmute your audio and you may proceed with your question.

Vivek N: Thank you very much for this opportunity. At this juncture, we are privileged to be led by the management that we have at Tejas Networks. A special mention for Mr. Sanjay's contribution over the years to build it to a company that we are very proud of as Indians and to Mr. Anand for the journey ahead. I'd like to address Mr. NGS, your statements are always a rallying call for what this company and this industry should be for India. You mentioned that we would like to see this company Tejas as a top 5 company globally in the telecom OEM telecom space.

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Sir, with the kind of transformation projects that we have won at BSNL, which will change the face of India, we have this huge tailwind of business. But going forward, how do you see the balance between government projects like BSNL and the corporate kind of projects that we have, both domestic and international? Further, are we looking to actively back customers only after the rollout of the BSNL 4G, 5G or will it be parallel?

And if you can give us a sense of the roadmap of revenue for what we see right now, we are close to being a \$1 billion supply company in the next two years thanks to the BSNL project.

But if you want to be a top 4, top 5 company, which is around \$14 billion to \$15 billion company, where do you see that scaling coming from and what should we as supporters of the company expect to look forward to? All the very best to the team at Tejas. Thank you.

N G Subramaniam: Thank you, Mr. Vivek.

Moderator: Thank you. Our next speaker member, Mr. Sadanand Shastri, who had registered to ask a question. However, he is not connected. So we move to our next speaker shareholder, Mr.

Ramasamy Vasudev. Sir, we request you to kindly accept the prompt on your screen. You may unmute your audio and video and you may proceed with your question.

Ramasamy Vasudev: Namaskaram, sir. How are you? Sanjay Nayak, other board members and team at Tejas. I am Ramasamy speaking from Delhi. Sanjay, I used to cherish the memories of meeting you since the physical AGM days. I met him once or twice in the physical AGM. I will continue to cherish it. Mr. Sanjay, we will miss you greatly. All the good work done by you, it is paying off now. So again, welcome, Mr. Anand. I hope you take forward the legacy of the company and you sail the company to the greater side. So congratulations on the nice annual report. Mr. Ravi and his team has done a good work on it.

So, Mr. Chairman, my only one question to you is, BSNL, we have been told about the modus operandi as to how the company's operation will be taken care of etcetera, now that the numbers are missing here, in the next 18 months to 24 months, where are we, you know, how are we placed in the numbers? And we are talking in the annual report that BSNL order will create global opportunities for us as to how we are taking the global opportunity from the BSNL order. So one suggestion to the Chairman, sir, as you are aware, investor AGM, if we could attend the meeting physically, it gives a lot of opportunity for us to meet all our senior colleagues etcetera, and networking etcetera.

And if we organize a physical Annual Investor Day, it will enable us to showcase ourselves to the investor community, HMs, MFIs, Dis, etcetera. And it will give an opportunity for us also to meet our new investors. So since the physical AGM is missing, we are all missing this and we have to be satisfied with

the video interaction only. Where there is, it is not two way, it is just one way communication. You listen to us and we listen to you. So the physical touch is missing. So we propose for a physical Investor Annual Day, sir. So, I have already voted in favour of all the resolutions. Thanks to Mr. Ravi and his team for the flawless participation in this meeting. Thanks a lot for the opportunity, sir. Namaskar and Jai Hind, sir. All the team members.

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N G Subramaniam: Thank you, sir.

Moderator: Thank you. We now move to our next speaker shareholder, Mr. Naveen Bothra. Mr. Naveen, we request you to kindly accept the prompt on your screen. You may unmute your audio and video and proceed with the question.

Naveen Bothra: Very warm wishes and greetings to our respected Chairman NGS, MD and CEO, Mr. Sanjay Nayak, Lakshmi sir and other distinguished board members and management team of Tejas.

Naveen Bothra attending the 23rd AGM virtually from Delhi. I would request Chairman sir, to kindly consider if it is feasible to have hybrid AGM from next year onward so that we can have opportunity to meet and interact with the management and have views about the company before the AGM or after the AGM. We look forward to that from next year onward. If it is feasible, we can also have it in hybrid.

Very warm send-off to Mr. Sanjay Nayak, founding member and managing director who has nurtured Tejas from the initial stage. You were always available to investors, Mr. Sanjay sir, and we will miss you. It is our pleasure to welcome our incoming CEO and MD, Mr. Anand at Tejas. Welcome, Mr. Anand, to Tejas family. A long way to go.

First of all, I would like to congratulate the team Tejas led by Mr. Sanjay Nayak. Under your able guidance Chairman sir, for getting the prestigious large order along with TCS from the BSNL for founding one of the most modern 4G, 5G networks in the country and on the solid operational performance for the financial year ended FY '22 -FY '23 with highest ever order book and also for various awards and accolades won and received during the year.

Just in lighter vein, Yeh Dil Mange More. I have the following points for your consideration. You have already in your Chairman's speech as well as Mr. Sanjay has outlined in his presentation quite comprehensively about the strategy to be a global telecom and networking product company, I would not like to repeat this query and will come to the next one about the Saankhya Lab. Saankhya Lab, a kudos to team at Saankhya for winning the prestigious ATSC Research Medal Award recently for our pioneering D2M solution. Congratulations to team Saankhya.

My curiosity remains around the Saankhya's product, our D2M solution. We are doing pilot project with Prasar Bharti in Bengaluru. In Delhi, it is continuing. . I would like to have your considered views about the opportunities for this D2M solution being a convergent solution in between the broadcast and the telecom sector. What are the opportunities we see in the Indian market as well as in the international market?

I think, we have done some pilots internationally also with Sinclair US, and about our broadcasting and other capabilities in Saankhya. Also, one of the good things that semiconductor and electronic policy in India is getting ready for future leap ahead. We have fab less chip design capabilities at Saankhya. We would like to have your views regarding all these two three possibilities of the product solutions we have at Saankhya, D2M. Our capabilities at

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semiconductor and fab less chip design would like to have your considered views for the benefit of all the shareholders.

Being a technology veteran, we consider the investor community and industry at large would like to -- recognize you as a technology veteran. We would like to

have your thoughts on the

short term impact of the generative AI hulla-bulla going on . It is definitely going to have some short term impact, and how it will impact our company business in the short run? And we are planning to leverage this in the long term.

Does this mean that the generative AI will need huge lot of training and a lot of models are coming? This will need huge processing power also. As a company being in the telecom equipment and networking products company, what are the positive impacts it will create for us new opportunities? We would like to have your views.

Just to conclude, I wish the management team, all the very best in the coming times ahead. I have already voted in favour of all the time resolutions and also propose a vote of thanks to the board. Thanks to Mr. Ravikrishnan, our Company Secretary and IR team for smoothly coordinating this flawless participation in the meeting. Thank you very much, sir. Thank you.

N G Subramaniam: Thank you, Mr. Bothra.

Moderator: Thank you so much. We now move to our next speaker member, Ms. Celestine Elizabeth Mascarenhas. We ask you to accept the prompt on your screen. May I unmute your audio and video and you can proceed with your question.

Celestine Mascarenhas: Respected Chairman, other members of the board, my fellow shareholders, I am Mrs. C.E. Mascarenhas. I am speaking from Mumbai. First of all, I thank the secretarial team for sending me an e -annual report, but I would have been very happy if I would get a physical report because the lot of things I was just going on the screen and many times my eyes started watering. So, if it is possible, please send me a physical copy because this company looks very, very interesting to me among all the Tata groups, which is acquired recently. This is the young baby of the Tatas and I wish to see next time or at least on the 25th AGM that it should be Tata Tejas. I hope I can see such a name. Anyway, it's the board's decision.

I also like the way Sanjay Nayak did the presentation, which was really excellent. And if you could send on my email that presentation, it would enlighten more on what is happening on telecom and all. Next, thanks for the platform and also for this occasion to speak. The revenue is up this year and also operational profit, but PBT backed down, so therefore no dividend. I don't know, maybe on the 25, we may get, because capital is very much required because there's a lot of growth story.

Next, I congratulate for all the awards, prestigious awards for innovation as documented on page 46. Keep it up. And I would like to know anything we have won in the ESG platform. Have we applied? Because nowadays ESG is becoming more and more important. And if it is on ESG platform, there is more sort of market capitalization going. So could you throw some light on that?

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Now we are building next generation telecom networks for India and for the old and mostly R&D driven telecom equipment's , a company founded by the Techno plus . I would like to know, you said some figure stuff, but I would like to know, whether what is the attrition level in the R&D, because these people, these persons are very highly sort of innovative. So if you could throw some light on the attrition level.

Now on this developed and comprehensive portfolio end -to-end optical GPON and XGS -PON and 5G, 4G and 5G provider, which are installed internationally and locally. So what sort of

margin we enjoy, internationally is much better or locally is much better, because this is some business, which is still we have to understand. Now we are under the PLI scheme, that's what I read, I could not just make out. I would like to know, how much amount we have received under the PLI scheme and which sort of platform, like which sort of device, we have received this PLI. We have an, next one is we have an order book of

of INR1,934 crores. How long this will be executed, how many months or how many years and what is the, and whether there is in the last three months fresh orders received. See 76% of our business is in India. So where do we wish to take further? Next one is, we have 1,305 employees, how many of that is women? We have this product wireless, in wireless 4G, 5G and in network management, wireline FTTx optical transport switches and routers. I would like to know in which, there is lot of demand in this three lines, there is more products, but three lines main, which are the most demand and where we are having good margins.

Then next one we have done 445 patents and 330 plus silicon IP's. How many more are there in the piping? Who is our main competitor? We have huge international opportunity as given on page 23, page 25. How are we going to grab these opportunities? Any further acquisition for inorganic growth as we have already taken two Saankhya and another one. So what is the view further acquisition?

Next is, we have taken BSNL. What about the MTNL? Because I have this BSNL is not listed, I have MTNL and I am thinking, when this something big change can happen in MTNL as it is rich in property, real estate. So rest, I many of my speakers have asked lot of questions and I was just hearing them and I am just anxious to hear about the answers. So I wish my company all the best. I wish, we grow and we see Tata's. Of course Tata's means there is real trust. So nothing we have to.

So we will also see you in Tata Elxsi. Cauveri will always call us out but here some more this thing because I am also attending for the first time Tejas, so next year, I probably our secretarial team will phone, have you got any questions? So we can many of the things no need of asking but we can get from the secretarial team, some of the answers. With this, I wish you all the best. Most important I wish the entire team very good health because where there is health, there is wealth. Thank you so much and wish to see you next year.

N G Subramaniam: Thank you madam.

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Moderator: Thank you so much. We will now request the next speaker shareholder Mr. Bharat Raj to kindly accept the prompt on your screen. You may unmute your audio and video and you may proceed with your question. You can please go ahead.

Bharat Raj: Yes, very good afternoon sir. I am Bharat Raj from Hyderabad. First of all I am very proud to associate with Tejas network sir. Sir, nice presentation given by our MD and CEO. Sir, he has given the total picture of our company sir. Sir, in present scenario the 5G, Indian government is encouraging the 5G sir. So how are you facing the challenges in the market sir? Because every city requires 5G network. So how do you face the challenge sir? We are the number one in the market. So how is this government is planning to in 2030 to make the entire country 5G? So only five cities or six cities are providing the 5G network. So how do you face the challenge? Are we ready to face the challenge, sir?

I thank my company for sending annual report sir. Thanks for [ABC]. Mr. Chairman, what can I say sir? Thanks for giving me this opportunity sir. Please look after the hospitality sir. I am very happy sir. I will come and visit you personally sir. Next year please conduct the AGM physically. Thank you Mr. Chairman and I hope next year you will come with a dividend and a very good dividend pay-out for the shareholders. My best wishes to you sir. Take care. God bless you. Be safe. Be healthy sir.

N G Subramaniam: Thank you Mr. Bharat Raj.

Bharat Raj: Thank you.

Moderator: That was the last question. I now request Chairman sir, to proceed with the answers. Over to you sir.

N G Subramaniam: Thank you and thank you all the shareholders, who have spoken and at the outset, I want to sincerely thank all of you for being

being here and also providing your best wishes and blessings, to the company and the management team and it is really humbling to see the kind of support that, you have all given us. Firstly, I think Mr. Boppana, thank you for your continued patronage and

yes indeed that, we have been interacting over several meetings and several years. Yes, I think the secretarial team will do their best to network with you, even better than what they did this year. I think the first question that, you had asked, you have asked a lot of questions. Hopefully some of these questions were answered by the presentation that Sanjay made but let me try and cover as many as possible.

Digital India, it is and the related opportunities that present for your company is quite good and Sanjay in his presentation also alluded to this, the fact that look, we have only 10% to 15% of broadband penetration in India and there is a huge opportunity on that count and plus the utility segment, rail, power and other areas are also giving us huge opportunities to penetrate with our products and services.

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Overall, the environment that has been created for a digital India and the vision that is provided by the government and the push towards an Atmanirbhar initiative to ensure that the networks and the network equipment's are secured, robust and all the components are coming from trusted sources and some of those things are very important and all this means that, we have a huge responsibility on TCS and which is what our products are being worked upon.

Products rightfully have been installed in more than 75 plus countries including in almost every telecom network, whether it is with BSNL or Airtel or Jio and others, Tejas equipment's are in place and they are working flawlessly and with the desired level of ruggedness. So, we have a huge opportunity to capture the market that is posed in India, which is what rightfully in the strategy, Sanjay presented as a home market penetration. We will be a specific and special focus towards the same.

Cybercrimes, I am not sure whether we can help the victims per se, but then as a part of our business, the equipment's that, we roll out are secured. There are logs that, we keep generating and as per the requirements of our clients or the regulators or the government agencies, if there is a requirement to provide the necessary logs to facilitate such investigations, we will be able to do it and the equipment's are all coming up with has certain inbuilt features for doing such analysis, preventing some of this, predicting some of this and so and so on.

You talked about investments that, we are making in certain advanced technologies including AI and ML. Our focus is clearly on building a very strong network equipment, whether it is required for the telcos or required for the enterprises, including the base stations and the radio access networks, RAN as we call it and then the routers, the switches that, we provide and the overall end-to-end solution that, we offer is something that we want to make sure that it is future proof and it is programmable and architecturally, it is something that is compatible and interoperable with any other equipment that conforms to international standards.

So, our focus is really about investing in technology, investing in standards and with more and more of these equipment are going to be software driven and programmable, the opportunity to collect data and compute on the edge and make analytics around the equipment on the edge is huge, which is the direction in which the modern networks are all being deployed, which is the direction in which, that standards are also evolving.

So, at Tejas, we have built certain capabilities on the edge in terms of our equipment's that we deploy into the network and we provide those feeds into tools, which are really capable of performing

such analytics in terms of optimizing the network and making sure, the network itself is composed as required by the network provider. Yes, the emerging markets is something, which is a focus for us.

As we outlined earlier, we are already servicing equipment's in over 75 countries. We support about 500 plus networks. There is a Tejas team, which is providing on-call support for any of these networks, which comes around the globe across time zones on 24x7 basis. And the products are very stable and works as I said with the required ruggedness. So, the team is doing an excellent job in terms of keeping the equipment's running all the time.

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The skill mismatch is something that, is evident, in every, any technology industry and not just to Tejas alone. So, there is a continuous up-skilling, the thrust on our employees to take up the required skills, required training is something that is there and the management has a dedicated training facility in Bangalore, where everyone goes through periodic training programs, in addition to the technology skills that are available on a digital basis, right. That includes usability and so on, everything else included in this.

With respect to your question on patient monitoring, healthcare and some of those other domains, the way that we have looked at this particular business is across three dimensions. The first dimension is the network that, we offer for the telcos. The second dimension is the equipment's that we provide for enterprises for their own private networks. And then the third dimension is the vertical domain applications, which could be leveraging the network components and then building software and technologies for, let us say, improving the yield for agriculture or health, patient care and their remote health interventions and so on.

So, there is a verticalization that is possible, but at this point in time, Tejas as a company is extremely focused on dimension one and dimension two and enable the software providers and other companies to build such vertical applications on top of the networks at this stage. And we intend to partner with some of those companies, who have these vertical solutions, so that when we go to market for enterprises, there is an opportunity to bundle our network components and software solutions together. And this is pretty much work in progress. So, hopefully, we are in a position to give you a more recent update in the upcoming AGMs.

Both domestic and international markets are our focus and specifically for dimension one and dimension two that, we articulated. With reference to automated cars and others, we have not ventured into this particular field as yet. While there are capabilities that, we have built on IoT and related areas, but specifically, we are not focusing at present on, let us say, electric vehicles or automated components and so on. And this is an area that is something that we need to explore.

But we have got enough things on our hand to ensure that, the equipment's that we provide for 4G, 5G and looking into the 6G, there is a solid amount of heavy lifting that, the company has to do, both in terms of building products, testing it and branding it and taking it to market.

Not to mention about broadcast capability, the convergence of broadcast and broadband is something is on the anvil. And there are companies that, they are trying to see that, they need to be converging. International standards are all evolving for such convergence. But from a Tejas and Saankhya perspective, we have got a very good broadcast solution.

Saankhya has been doing some pilots in India as well as in Latin America and the United States in close association and cooperation with our client and investor Sinclair in Saankhya Labs. And these are very capable and very competent people and who have designed solutions, which is having

its own value proposition to even telcos. For example, the spectrum utilization by the telcos can be effectively used and optimized by simply offloading some of the video contents and video usage, for example, to the direct to mobile kind of a situation.

So, these are still under discussions, regulations need to evolve in country, in many countries, including India. And we are closely watching this space and we are working with all the

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stakeholders to see how convergence can lead to better digital inclusion and in India as well as elsewhere.

So, clearly, we have to make our products attractive, we have to make our products compliant, and we have to be leaning forward and ensuring that, we set the standards and define the standards, contribute to the standards, both regionally and internationally, and being making our products compliant. So, thank you for asking such a very comprehensive list of questions and it also gave us a feeling that, we are doing a lot of work.

Second is, Mr. Vivek, thank you for your question. I think, you used the word headwind and tailwind. That's the right way to put it. It's just not the tailwind that we have with BSNL. We also have the headwind because it's a very huge responsibility, huge opportunity, a lot of work involved in rolling out a pan-India basis, the 4G, 5G, network, right. I think it's, the BSNL is looking at deploying over 1,00,000 sites in which, the 4G and 5G networks will have to be made available and that work has just commenced and the BSNL as such has delivered the advanced purchase order for the TCS-led consortium in which, your company is a member.

And the next 12, 18, 24 months is what, we have to clearly work with BSNL and also manufacture the radios in the required band and in required quantities and with the required quality and ensure that, the whole network is rolled out, planned, and there is a work has just commenced in all that front. We are working very closely with BSNL in making that possible. Now, with respect to 4G, 5G penetration across India is the responsibility of not just the BSNL but other telcos and operators and there's a huge opportunity for your company to provide equipment's and the second question, you have asked for is also as, if you have to become a top five telcos company and, you have talked about revenues but in terms of product capabilities is the other thing.

And by looking at BSNL, think if we successfully execute BSNL, there is a, it is a huge reference in terms of, there are not many networks across the world, which has such a deep penetration in and deep volumes, very high volumes, connect and then the complexities of both voice, data and

everything else, right. So, think that gives the license for Tejas to go and truly claim its place in the international market and there is also another question with some, which maybe I will answer it there related to this but overall it is a great opportunity for the company and we are staying focused in making sure that, the products are compliant, products are attractive, competitive and of superior quality so that, we take Tejas to where it truly belongs.

The next question was from Mr. Ramasamy Vasudev. Thank you, sir. Thank you for asking the questions. Your suggestion on physical annual investor day is appreciated. We used to do it and we have done more so on a one-on-one or a remote basis during the last two years, three years for the, due to the pandemic. We take forward your suggestions and we hope to conduct a physical annual investor day in the near future. In terms of the revenue profile and how it will happen, for BSNL over the next 18 to 24 months, it is still work in progress for us. We are awaiting the detailed purchase orders from BSNL to the consortium and then consortium to the Tejas and started to put some plans on this but as more things, we get to know

about it, we will

surely share some of those things in our quarterly results as we speak.

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The next one, shareholder, Mr. Naveen Bothra, again thank you, sir. You have been a tremendous source of support, motivation for us. You keep calling us, whenever you are in Bangalore, you try to meet with us and so your support and your words during our interactions, the insights that you give us are extremely valuable. We really appreciate that. We also miss some of the physical AGMs and we hope that, we can do it as a physical AGM or a hybrid AGM next year. But we will see, how it turns out and then, we really look forward to seeing some of you in person as well.

The Saankhya Labs pilot project that you alluded to on satellite communications and direct to mobile is progressing well, both with Prasara Bharati as well as in other countries as I mentioned. But then these are new areas, standards are evolving and the ATSC 3.0 standards is something in which you know that Saankhya Labs, the work that they have done is extremely interesting and they also won an award, earlier this week for the innovation that they have achieved in adopting ATSC and supporting ATSC 3.0 standards in their solution as well as in the chipsets. So as I mentioned that, the broadcast broadband convergence is emerging and there is an opportunity and all the stakeholders have to come together including regulators. On that basis we will see, how this particular business pans out. But I can assure you that, both Tejas Networks and Saankhya Labs are extremely well positioned to leverage such opportunities that will emerge both in emerging and established countries.

And you also talked about fabless chip design capability that Saankhya has. Yes, indeed they have a very good capability in designing chips and they have produced three or four generations of the chip that they called as Himalaya chip as the brand in which, they launched it. It is very promising and they have used those chips in producing some of those solutions, specifically satellite IoT based solutions and so on.

Now we at Tejas, we are also looking at the possibility of embracing that chip or enhancing that chip to the needs of the 5G radios and 6G radios as we embark on our product development. And that is a natural synergy that we will have to establish and also work with other enterprises and other use cases, where such a chip and the differentiated chip it has in terms of a lower power consumptions and so on, is something that it has some certain applicability's.

Yes, it may even be considered for let us say producing central compute type of solutions for EV automakers and so on. There are some of these pointers are there, which, we have to see whether we want to go in that direction or clearly focus on the chip development itself specifically for benefiting Tejas in terms of the 5G, 6G, in which case that will be a – certainly be a priority.

Generative AI is a very fast evolving thing, sir. And I do not want to express anything loosely on this and there have been lots of news items, and many people have commented on it. But sufficient to say that it is going to be a – create enormous opportunities for improving one's efficiencies, one's effectiveness both internally and externally. There is going to be a huge amount of learning for us. But at any point in time, whatever we use generative AI for, we as an organization or I as an individual, we need to be on control of what I am going to be using and how that is going to be put to use responsibly.

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And there is a lot of work that is going on, a lot of people have talked about it for wide consumer

usage and enterprise usage. And it will be interesting to see, how the enterprise usage is evolving and what kind of competitive pricing mechanisms that will emerge

for these generative AI tools

before it becomes mainstream, in terms of enterprises.

But at Tejas, we have been adopting AI, ML to continuously optimize our own equipments and the way that it functions, the way it self -optimizes, the way it self -heals and also, improve the efficiency of the network itself. For example, when absolutely there is no traffic, can we switch off the mobile towers and radios in standby mode so that power consumption is less, so it contributes to the overall green goals of the network provider and so on. So, many such things that one can look at, but it is all, work in progress, some are rolled out, but architecturally, the equipments are enabled with the required level of AI and ML and to an extent, deep learning as we proceed in this direction.

And then I move on to Madam Mascaranhas. You know, thank you, ma'am, for your wholesome wishes for the company and we will ensure that we try and give you a physical report of Tejas annual report. This one, as well as in the upcoming – for the upcoming AGMs, we will connect with you and provide a physical copy of the report.

The copy of the presentation Mr. Sanjay Nayak made will also be made available to you. I am requesting the secretarial team to see that you get this. The sustainability and agenda and sustainability goals that you had asked for, lot of things, work is going on, ma'am, it is still work in progress as we outlined briefly. We want to make sure that to begin with, you know, our – we use renewable energy to the maximum for our own internal consumption and to that extent, I think, all our manufacturing facilities, the goal is to have solar powered manufacturing facilities, hopefully in the next 12 to 18 months, as a first step.

The overarching goal for Tejas as a company to be carbon neutral and eventually becoming net zero, these are things that, we are still thinking internally and we will come up with a comprehensive ESG plan in this year. And while we have put in place that our products will become – will be having certain green and sustainability goals as it was outlined in Mr. Sanjay Nayak's presentation.

I think the women employee's percentage is...

Sanjay Nayak: So, it is around 200 out of the 1,300, which is around 17%, 18% percent.

N G Subramaniam: Yeah, it is about 17%, 18% is what we have as out of the 1,305 employees we have. And then attrition that you had asked for, it is about approximately about 20% in the R&D segment.

Sanjay Nayak: Actually, last year, the R&D attrition came down to 15%. Overall was around 20%.

N G Subramaniam: Overall is around 20%. R&D, it is about 15%. Overall, it is about 20%. Thank you, Sanjay. And the margins are mixed, as you can imagine that there are different segments, as you rightly called out, madam, wireless and wireline. Wireless is in where we are a new entrant. We are building the whole wireless equipment at this point in time. There are a lot of investments.

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And currently, we are present in largely providing these equipment's in India. So, it is coming under certain cost and competitive pressures, margins are lower. Clearly, on the wireline side, we enjoy a decent and better margins. And like in any other business, the exports business always contributes to higher margins.

And as you rightly observed, there is a huge international opportunity, no doubt about it. I think there are five strategic areas of focus that Mr. Nayak outlined in his presentation, which actually calls for those opportunities. And we will continue to explore those businesses and opportunities, ensuring that we first make sure that we have all what it takes both in terms of resources and people to execute that INR1,930 crores worth of order book that we already have.

And clearly, BSNL order is going to be a huge order to fulfil. And internally, we have already geared

up to execute that order. That is one of the reasons why we tied up with four new EMS partners. So, we have got what it takes to scale the business for the volumes that we expect in this year and the next two to three years.

Regarding inorganic growth, I think, we will continue to look for such opportunities in this business. I think anyone who has new products, someone, has certain patents that we want to have or there are synergies is something that we look for. If there is an opportunity, we will consider that. But at this point in time, I think we are all extremely focused as a company to mature the wireless products to the same level of maturity that we have in the wireline product segment.

BSNL is one and then the MTNL is something that we will have to work with BSNL, I guess.

And we also look forward to delivering our equipment to MTNL as such opportunities emerge.

Thank you again, madam, for joining us and providing your insights and blessings.

The next questions were from Mr. Bharath Raj. I think in terms of 5G, I think I already answered these questions in the earlier thing in terms of challenges that we see in the market. I think, in providing these equipments on a timely basis, we rely on certain components which are really linked to the semiconductor and supply chain. And the supply chain, still there are certain components which take 40 weeks to 52 weeks lead time.

And we had taken some advanced calls in procuring some of these components in anticipation of some of these projects that we may have to execute. But having said that, still the supply chain delays is one big headache that we have to overcome. Barring that, I think in terms of the people, resources, the manufacturing facilities, the quality assurance and testing facilities and the field support that is required on the ground, is something that we are working with internally as well as with our partners to ensure that the time that we take to complete or fulfil an order is kept as a minimum thing.

We also look forward to the physical interactions as you had asked for. Thank you so much. And I think, you know, with this, I have provided all the answers to the questions that were raised by all of you. If there is anything that is missing or missed out or if you have any further questions, we are happy to provide such answers. Please do email those questions that you may have, you may see.

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So, we are grateful to all our shareholders who have joined us today. And so, with that, let me come to the last item of the agenda. The Board of Directors have appointed Mr. Dwarakanath C, Company Secretary in practice, as the scrutiniser for the e-voting process. I hope all of you have taken part in the polling. Further, I hereby authorise Mr. N. R. Ravikrishnan, our Company Secretary, to declare the results of the voting and place the results on the website of the company at the earliest.

The resolutions as set forth in the notice shall be deemed to be passed today, subjected to receipt of the requisite number of votes. Further, the combined results of remote e-voting and electronic voting during the AGM, along with the scrutiniser's report, shall be communicated to the stock exchanges. The results shall also be placed on the websites of the company and NSDL.

With this, all the items of today's AGM have now been transacted. Thank you for attending this meeting. And I once again want to sincerely appreciate and look forward to your continued support and guidance. With this, I declare that the 23rd Annual General Meeting is closed. Thank you all very much.

Call: Jul 2023

July 28 , 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q1 FY24 Earnings Conference Call

Please find enclosed the transcripts of the Q1 FY24 Earnings Conference Call held on July 21, 2023.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited "
Q1 FY '24 Earnings Conference Call"
July 21, 2023

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND WHOLE -
TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. VENKATESH GADIYAR – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER - TEJAS
NETWORKS LIMITED

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Tejas Networks Q1 FY '24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities Limited. Thank you, and over to you.

Rushad Kapadia: Good evening, ladies and gentle men, and welcome to the Q1 FY '24 results conference call for Tejas Networks. We have with us from the management, Mr. Anand

Athreya , Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole -time Director; Mr. Venkatesh Gadiyar, Chief Financial Officer; and Dr. Kumar Sivarajan, Chief Technology Officer. So without further delay, I would now like to hand over the floor to the management for their opening comments. Thank you, and over to you, sir.

Arnob Roy: This is Arnob Roy, the Chief Operating Officer of the company, and welcome, everyone, to our quarterly earnings call. On the first slide, we start with a quick update for the quarter. So we had a net revenue of INR 188 crores for Q1, as opposed to INR 126 crores in Q1 of FY '23. We also had a loss of INR 26 crores as opposed to a loss of INR 7 crores in Q1 of FY '23. We are a zero -debt company with cash and cash equivalents of INR 943 crore. And we also had a healthy order book at the end of Q1 of INR 1,909 crore.

Some of the key highlights that happened during the quarter are that our business momentum for wireline continues to be strong. Some of the significant events were receiving initial orders for the deployment of our GPON OLT supply to a Tier 1 telco in India, and this is for the first nationwide deployment.

We also commissioned a nationwide end -to-end Tejas product -based network across GPON access, packet aggregation, and OTN/DWDM core for a large customer in Italy. This is a very significant showcase network for us in Europe, and it is managed end -to-end by our network management software .

We have also turned up a very high -capacity DWDM long-haul link connecting data centers for an operator in Africa, using our state -of-the-art 400 gigabit per channel WDM technology. In the wireless business, the highlight was the successful commissioning of a pilot network of 200 sites for BSNL's 4G network in Punjab. And so, from this quarter on, we will be ramping up volume supplies.

And the BSNL has also announced a successful beta launch of the network on July 15 based on these 200 sites that we deployed. On the supply chain front, we've appointed Sembian Venkatesan as our Chief Supply Officer. Sembian is an industry veteran of 30 years in manufacturing and supply chain management.

We also significantly increased our capacity for executing the upcoming large shipment volumes for BSNL network. We have also received several awards during the quarter. We were awarded Dataquest's Pathbreaker of the Year Awards for our outstanding work and contributions to India's ICT industry. Saankhya Labs received a Mark Richer Industry Leadership Award from ATSC for their contribution to the standards as well as their innovative products in this area. We also granted 50 patents during the year, taking our total patents to 267.

I'll now hand it over to our CFO, Venkatesh Gadiyar, to walk us through our dedicated numbers for the quarter.

Venkatesh Gadiyar: Yes. Thank you, Arnob . We'll have a financial update for Q1 FY '24.

Our net revenues were of INR 188 crore. We saw a year -on-year growth of 49 percent. While we have ramped up our revenues during the 4 quarters of the last year, during this quarter, especially Q1, there was a disruption

in the EMS planned transition, and there were also a few component delays that have resulted in the overdue delay.

This was a short -term issue, and we have faced it in this quarter. We have fixed it now and will improve on our supply chain deliveries from Q2 onwards. In addition to this, we had to pay some spot charges to secure our components , where costs could not be fully passed on to our customers, and the margins remain challenged in this quarter. And we have been reviewing closely and talking to our vendors, and we believe the situation is expected to improve at the close of this financial year.

The quarter's EBIT loss and PBT loss were INR81 crores and INR66 crores, respectively. In terms of the cost, we have been continuing to invest upfront primarily on account of the hiring on the R&D front, which is meant for future readiness. We incurred losses during Q1 as we could not absorb some fixed costs, and the product margins have been impacted due to the increased component prices.

The PAT includes the additional deferred tax credit on account of the tax loss and the MAT credit amounting to INR18.7 crores, which has been recognised during Q1. And the earnings loss was INR 1.56 per share.

Next slide. Yes. The cash outflow from operations for the quarter was INR289 crores, primarily due to inventory growth. We continue to build on inventory, and we have secured a long lead component for expediting the delivery of several critical large orders. Inventory has increased by INR 225 crores during Q1, and the total inventory stands at INR 872 crores as of June 30, 2023.

The working capital has been increased in Q1 by INR 263 crore, primarily due to an increase in inventory, which has been built up for the expanding delivery of current critical large orders. Receivables have been marginally reduced, and the closing receivables as of June 30 were INR 501 crores. We have healthy cash and equivalents as of June 30, 2023, of INR 943 crore, and

we don't have any debt. And finally, the net worth is strong at INR 2,984 crore as of June 30, 2023.

With this, I'll hand over to Arnob once again.

Arnob Roy: Thanks, Venkatesh. We move to the next slide. So, this gives a profile of the business that we executed in Q1. The right-hand side chart shows that run rate revenues were 79% of our overall business in Q1. There was growth in all segments of our business, including India government, India private and International. However, while the run rate business is 79% right now, we expect the India segment to dominate for the next 12 to 18 months because of the large BSNL 4G orders.

We also have a healthy closing backlog of INR 1,909 crore, and about 50% to 60% of this will be executed in this financial year. And we also have a situation where largely the backlog is in India, and a portion of that is for the international sector.

Next slide. Yes. This is just to refresh for those who have not been tracking our products and business. So we now have a comprehensive end-to-end portfolio across wireline and wireless. In wireless, we have a comprehensive solution of 4G and 5G products where we continue to invest and grow our R&D investments in. In Wireline, we also have products that can build end-to-end networks for carriers and service providers across access with a wide variety of access solutions and metro aggregation solutions around packet technologies and OTN, and the metro core and long-haul technology built on high capacity, WDM transport, and OTN specifically.

So with this portfolio, we address a very large addressable market globally. And so with this portfolio, we have the ability to build a network across wireless and wireline and provide optimised solutions to customers that reduce their capex and opex costs.

Yes. So in summary, with a healthy order book of INR 1,909 crores for wireline business and the outlook for significant wireless business

this year, we expect to accelerate our quarterly

revenue growth significantly. We have successfully commissioned the pilot network of 200 BSNL 4G lines. The product is working very well.

And with the state of the network, BSNL has launched a soft launch of the network, and we expect to ramp up our supplies or deployments from this quarter. We continue to make significant investments in R&D and manufacturing operations as we scale up our business and look forward to healthy business growth over the next few quarters and years.

So I come to the end of the presentation, and we'll open the floor for questions.

Moderator: The first question comes from the line of Vimal Gohil from Alchemy Capital.

Vimal Gohil: I formally welcome Mr. Anand Athreya on his first earnings call at Tejas. Sir, I just wanted to understand. I mean, the company has had or has faced numerous challenges in terms of raw material shortages with vendors because of which they could not execute their order book. How different are the challenges at this point in time? And given the outlook that you've offered, do you see us crossing our quarterly revenue run rate of INR 300 crores next quarter? That would be my question number one.

Arnob Roy: So we don't give quarterly revenue guidance. But yes, as you mentioned, there were challenges in the past. And they are there while it is coming down slowly they are still there. However, this quarter, we also had the one-time event of one of our EMS partners moving their plant from one location to another. So that caused the one-time disruption of our supply chain business, but we hope to catch up on our shipments for supplies and shipments in the subsequent quarters.

Vimal Gohil: And, sir, would you be able to quantify this impact?

Arnob Roy: Do you mean quantifying the impact of the EMS transition?

Vimal Gohil: Yes, yes, sir. And what was the impact of their vendor transitioning to

Arnob Roy: I would not like to quantify that, but we would have had a larger quarter for sure with this impact of 6 to 7 weeks that we had. And so, but this is behind us now, and we have caught up, and I think things are in full swing right now. So we'll be in much better shape than before.

Vimal Gohil: Right. No, because if I were to look at the quarterly decline, it's quite large, close to 40%. So the majority of it has come because of that discovery?

Arnob Roy: Yes. That's correct.

Vimal Gohil: Understood. Now coming to the order book, sir, over the last year in FY '23, we consistently reported improvement in our cable order book. We started FY '23 with about INR 1,200 crore in order book and ended with almost INR 2,000 crore. This quarter, we have not seen that order accretion, which we would typically expect on a quarter-on-quarter basis. So why has that happened? That is part one. And the second part is just a clarification. This is just a wireline order book, right? This does not include wireless at this point in time.

Arnob Roy: That's correct. That's correct.

Vimal Gohil: Okay. So, this does not include the wireless business, right?

Arnob Roy: This does not include the wireless business.

Vimal Gohil: Okay. Okay. And sir, what would be the reason why we're seeing a slight decline

in the order book on a Q -o-Q basis?

Arnob Roy : Yes. So there is —first of all, we do not give Q -o-Q numbers. We just gave you the outstanding order book. And one of the reasons is that, of course, we executed part of the order book. And secondly, because of our outstanding supplies to many customers, right, what is happening is that a lot of the customers are waiting for the shipments to happen for backfilling the order book as -- so that should come back, it should get filled up soon, as when we start executing and delivering on our supplies.

Vimal Gohil: So Q2 of FY '24 should also see some improvement in the outstanding order book. Fair assessment,

sir?

Arnob Roy : Yes. Well, it's —I don't want to quantify that right now. But yes, our bookings and all as we progress along the year, yes. From the business outlook that we see, our order book will remain strong for the year.

Vimal Gohil: Understood, sir. And the last question for me is on margins. I understand. I mean, in terms of component prices, what we have been reading, if you can correct us, has been about the raw material prices pulling down for several components. Whereas our margins don't really reflect that. So what is the issue at hand? When can we see a significant improvement in margins purely because of the reduction in your raw material prices?

Arnob Roy : Yes. So yes, while we have been hearing and experiencing improvements in the chip supplies, this has not happened across the board enough for us to be able to control the process. This is because what happens on the cost of goods or margins is that when we don't get time to supply, we have to look around and source components at higher costs with expedite fees or spot buys and all, which are basically one-time events that don't reflect our product costs and margins. But basically, the lead time is what leads to this. As and when this component supply situation and lead time situation come under control, our product margins will return to normal.

Moderator: The next question comes from the line of Sugandhi Sud from InCred Asset Management.

Sugandhi Sud: I wanted to understand; we get a lot of information on the scope of the contract at BSNL, but you already...

Arnob Roy : We lost you, Sugandhi.

Moderator: We have lost Ms. Sugandhi. Next in line is Mr. Vimal Gohil.

Vimal Gohil: Yes, sir. So, sir, my follow-up would be in terms of the breakup at this point in time. Would it be fair to say that our entire revenue is coming from Saankhya, which is about INR 20 crores? That would be wireless business, and the rest of the INR 167 crores will be wireline. Would that be a fair breakup of our business for wireless and wireline?

Arnob Roy : Yes, that would be a fair breakup. I mean, wireless is a combination of the different products they have for broadcast, platforms, and all those combinations of those. And all of the Tejas' business is entirely wireline.

Vimal Gohil: Sir, just one clarification. In the India government piece. I think last year or last quarter, we saw about INR 87 crores worth of orders for the India government, which has fallen quite substantially despite servicing some of the government, or rather BSNL, contracts. So why has the revenue fallen? Is it that we have executed the order and did not build them? Or is it that the money has yet to come from that?

Arnob Roy : So, the question was, Why has the India government business fallen?

Vimal Gohil: Yes, yes. That's it.

Arnob Roy : As compared to last quarter, yes. So one of the reasons was that last quarter was the initial ramp of the major supplies for one particular customer, where the major shipments happened for this project. And so that time we saw a big jump —a bigger number over there— because the majority of supplies happened in the last quarter and the tail-end of that and other government supplies happened in this quarter. So that's why it's kind of a one-off event.

Vimal Gohil: Right. Sir, can I go ahead with one more if it's okay?

Arnob Roy : Sure.

Vimal Gohil: Yes. So sir, in terms of the EMS supplies that we are working with, I'm sure these are not exclusive suppliers; they will be working with some of the other players as well. So is it that for temporary, maybe our size is a bit of a disadvantage with our scale and our competitors in this space will be much larger -- so they would probably be given more priority in some sense, in terms of components, in terms of tech component supplies? So is it an industry-wide problem? Or is it that our scale is a bit of a disadvantage for the moment?

nt?

Arnob Roy : Okay. No. First of all, I think the EMS partners manufacture. The sourcing or component suppliers are different from the EMS partners that we have, who basically put the product together, run it significantly, and stuff like that. So those people have a lot of capacity. One of these is with large EMS vendors who have a lot of capacity, and we have not seen any shortage of capacity from them to execute on our business. I think whatever shortfall we have

is because the components did not rise in time, okay? And so that has been the root cause, not the capacity at the EMS.

However, having said that, in anticipation of much larger shipments happening over the next 3 quarters, we have proactively scaled up our EMS capacity also by signing up for three more EMS partners in addition to what we have right now, okay?

Vimal Gohil: Understood. And sir, what would be our order book in the wireless segment right now?

Arnob Roy : Yes. So we don't state that. And as you know, as we mentioned, our current order book is entirely wireline, and our wireless order book will be driven largely by BSNL 4G, among others, but that would be the dominant part. And we are yet to disclose that right now.

Vimal Gohil: Okay. So in the future, are we looking to disclose that?

Arnob Roy : We will disclose that as and when we can. As I said, we are ramping up for supplies this quarter. The process of the PO and execution is happening as and when the POs come in, we will certainly disclose.

Moderator: The next question comes from Aashka Trivedi from Kedia Securities Private Limited. Ms. Trivedi, please go ahead with your questions.

Aashka Trivedi: So my question is that we've seen the initial orders on GPON OLT supplies from a Tier -1 telco in India. So can you quantify the order size for this order?

Arnob Roy : No, because this is also a run -rate customer, and with run -rate customers, we have a multiyear agreement for sourcing quarter -by-quarter. So while we have an idea of the business that we're going to execute over the next 3 years of the 3 -year cycle, There is no one -time order or one -time number that we can talk about, and we also don't disclose the customer -specific business. We just wanted to indicate that the Tier 1 customer has a long procurement cycle and a long -term price contract as well.

Aashka Trivedi: So as far as I understand, it is an incremental order, like this is not a one -time order, right?

Arnob Roy : So this is like the Tier I process, which happens like that. Once you get qualified and once we finish our field trials and early deployments because we have an agreement in terms of the number of years or quarters of supply and they keep buying every quarter and deploy, okay? There's no one -time buy, which happens for 1 or 2 years, kind of thing. It's not a tender. It's like a running forecast and run rate order, which happens. So there is no —so that's how it happens. I mean, it's not really what we termed as incremental. It is a run -rate order, which will happen quarter -over-quarter over the next 3 years.

Aashka Trivedi: Okay. And sir, we have successfully launched the Beta launch of the BSNL network in Amritsar. So, sir, what is the plan going forward? Like, which city are we targeting next? If you can just highlight that,

Arnob Roy : Yes. So the supply deployments will happen as per the BSNL plan. So they are doing a nationwide rollout. So they are kind of telling us circle -wise where they will be deploying, what quantities, what brands, and all those kinds of things. So as and when we manufacture, we will be shipping as per that requirement. So it is not a target for us to say that this city or that city it will —the next few supplies requirements will happen across multiple cities at the same time based on their deployment plan.

Aashka Trivedi: Okay. And sir, apart from supplying the wireless, we are also maintaini

ng

contracts for BSNL?

Arnob Roy : So maintenance contracts, yes. For any product supply, always follow with service orders, AMCs, and stuff like that. For supporting the products and the networks that we have supplied, that's typical and always happens with any product supply. So yes, that should also be part of our business.

Moderator: Thank you. The next question comes from Sugandhi Sud from InCred Asset Management.

Sugandhi Sud: Okay. Thank you. So I wanted to understand the wireless contract for BSNL. Is there any? Can you give us an indication of the pace of rollout of the broad scope of the contract over the next 1 to 2.5 years? How do you want to spread it out in terms of 30% or 20% per year?

Arnob Roy : Yes. So I'll give you an overall idea. The entire supply chain and rollout are expected to take 12 to 18 months. And this range will depend on how fast we supply and how fast BSNL is able to deploy, but there is a very aggressive rollout plan as of now because BSNL wants to roll out that network very quickly and get into the 4G business. So 12 to 18 months is our understanding and agreement with them is the time line for supplying and deploying the network.

Sugandhi Sud: Sir. And I understand. So how can we expect -- what kind of impact should we expect on the -- in terms of your inventory situation or the receivable situation given that this would be a compressed order -- in terms of -- we've seen some pressure on receivables in the past with government -related contracts? So if you can give us some indication of what kind of broad terms, in terms of the number of DSO days, etc., can be expected or compared to

where we are currently, how would that trend?

Arnob Roy : Yes. You asked several questions over here for both with respect to the inventory situation. As you have seen and as Venkatesh mentioned, we have already started pulling in components and started manufacturing for executing the volume supplies. So definitely, what happens is that manufacturing happens in a particular quarter, and shipment happens towards the end of the quarter or early next quarter. So you will see a lot of inventory build-up as well as shipments happening over the next few quarters along with this network, right?

And so as regards payments and all our concerns that we have, we fully understand the milestone-based payment of supplies in this project for supplies, deployment, etcetera. And we have worked out our processes with TCS, our SI partner, to ensure timely project execution and collections.

Sugandhi Sud: Got it. So another bookkeeping question is that, in terms of last year, you capitalised R&D to the tune of around INR 180 crore. And I noticed that your R&D headcount has also doubled—nearly doubled. So could you give us an outlook on how much more capacity creation you would be doing over the next 2 years on the employee front?

Arnob Roy : I think we're in a significant investment mode right now because what we're seeing—the opportunities right now—is basically the start of what we see—what our plans are for the people. We want to definitely see it in our current business. We want to go international and scale our international business significantly. And as part of this, we will also expand our product portfolio.

So, with that kind of vision, we're continuing to invest in order to grow. So the growth of R&D headcount and supply chain capacity will certainly happen over the next few quarters. That's certainly going to continue over the next few quarters.

Sugandhi Sud: So we can expect similar terms of growth this year?

Arnob Roy : Yes, yes.

Sugandhi Sud: And could you give us some idea about how the government, which is becoming a very large portion this year, would impact your gross margins? I mean, changes in the component supply side—if that were to remain as it is today, what kind of margin change can we expect?

Arno

b Roy : Given the size of the business, given the size of the volume of the government orders, and given that we knew what was coming and what was generally manufactured, we are working closely with our component suppliers to be able to manage optimise costs based on this large volume. Yes, it is a challenging deal, but we are managing it with our design optimisation and our negotiations with our partner. So overall, I think the margins will be well within our expectations, and we are fully prepared to manage this.

Sugandhi Sud: Sir, my question was more along those lines. Traditionally, you've done 40% sort of gross margins, and wireless is becoming an international business for us, and this is our first quarter. So as an investor, what kind of impact can we expect the changing product mix to have on gross margins?

Arnob Roy : So see, the product drops slightly in terms of mix, and because of this government, you understand the business size is also very large, right? So given the size of the business, we can also work with slightly lower product margins because of the overall size of the business, right?

But as I said, the impact of this is in terms of being able to negotiate with component vendors and having a slight impact on our other businesses with common components. Overall, the blended margin for our business will not be impacted. I think there will be—it will be as we see it right now.

Moderator: Next question comes from the line of Ritesh Poladia from Girik Capital.

Ritesh Poladia: Sir, in wire line business, is the GPON OLT for broadband, or is the application different?

Arnob Roy : Yes. The application is residential and enterprise broadband.

Ritesh Poladia: Okay. Yes. Sir, on BSNL 4G, one of your other consortium partners has already declared an INR 3,900 crore purchase order. So why is there a delay in signing up for a purchase order with Tejas?

Arnob Roy : No, no, no, there is no—okay, we are not aware of that, but the consortium has received the purchase order from BSNL, as you are aware, right? And you know the full scope of their order as well. So what is happening is that our purchase order is based on circles and deliveries to each and every circle, right? So we are expecting our purchase orders to come in circle-wise.

So that's the reason why it's not a one-time order. And as and when these orders come in, we'll be sharing with you the business that we're getting for BSNL 4G. So there is no delay. It's basically breaking up the plan into smaller units based on states, circles, and all these kinds of things. And that's what we will receive. We'll keep receiving as we execute our projects.

Ritesh Poladia: So apart from that consortium partner, all the sites would be done by you? Or will there also be another partner sharing it?

Arnob Roy : So all of the RAN (radio access network) equipment, the radio and the baseband units, and all the sites will be supplied by Tejas. There's another consortium partner i.e C-DoT that will be supplying the core software; that's what they will be supplying. And we'll be supplying the RAN; the radio equipment is what we'll be supplying, but for the entire network. Ritesh Poladia: Okay. I'll be a little clearer. See, there is extreme filing by ITI Limited. And they have said that they will manufacture the RAN for the 23,633 sites. So if you can give us some clarity on this.

Arnob Roy : They are basically going to manufacture Tejas equipment, okay? Our equipment is what they're going to manufacture, and we have a manufacturing agreement with them to manufacture and supply for their purchase order, but it's going to be on all of Tejas equipment.

Ritesh Poladia: Okay. So ITI is going to manufacture Tejas equipment only?

Arnob Roy : Yes, yes. That's correct.

Ritesh Poladia: Okay. So this INR 3,900 crore order book for 23,000 sites would be the ITI portion, or some of that will come to Tejas

also?

Arnob Roy : So the ITI portion is going to be executed with Tejas equipment for the equipment portion of that; a large portion of that is going to come to Tejas.

Ritesh Poladia: Okay, will this also come to Tejas only?

Arnob Roy: Yes, yes.

Ritesh Poladia: Okay. So all the sites —about 1 lakh sites —that's what the newspaper is talking about. Everything is made by Tejas. Some portion will go to ITI, and they will supply the BSNL base?

Arnob Roy : Yes. So the supply, all of it, will be Tejas equipment, some of it supplied by ITI, some of it supplied by TCS.

Moderator: The next question comes from Mukul Garg from Motilal Oswal Financial Services.

Mukul Garg: First on this whole ITI versus TCS issue of -- so just to understand this better than ITI's kind of sharing that they will have a specific amount of production capacity for this order, Does that not give us visibility in terms of how much revenue is generated?

Yes, so I was just trying to understand the ITI part of the equation. I understand that for the other part, shareholder approval has happened, and I think the final purchase order is still not in place. But for the ITI, what they have announced is the order portion, their portion of the order; does that mean that you have received the order from them? Or is it mostly indicative of their end?

Arnob Roy : Yes, it is -- like, as you know, the consortium has also received the purchase order, right, of a very large amount of -- INR15,000 crores or so were published at the consortium. So they need a whole deal size before they are published. And similarly, ITI has published the size of the order. But when it comes to supplies, that will be broken down into circle-wise purchase orders as well for ITI, okay? So it will be the same mechanism, except that here, ITI will be the supplier, and there TCS will be the supplier, and we will be the equipment supplier to both of them.

Mukul Garg: Right. And is it fair to assume that the inventory build-up that has happened over the last few quarters is mainly to kind of prepare for this large order given that the timelines will be quite compressed?

Arnob Roy : You got it right. That's exactly correct. Distribution of compressed delivery timelines. We have ordered, and we have started building up inventory of components and finished goods so that we can deliver quickly.

Mukul Garg: Understood. The second question was on this DWDM order in Africa. Is it fair to assume that this is a long-haul order?

Arnob Roy : Yes. So basically, it is for one of our regular customers. It is not—I mean, this is not just one order. As you know, we build pan-African networks for this customer. It is more of where -- the point was more of a -- some of our new technologies have gone into turning up some of the links or some of the very high capacity links connecting data centres of some of their web-scale customers.

As a result, this was a new high-end technology. And so this was a significant milestone from our side. So that was highlighted. But it's not a single order. The same technology is going to be rolled out across their network across Africa.

Mukul Garg: Right. But does this imply that you guys have expected it to be a long-haul set of optical networks as well with this kind of client confirmation, and that would kind of expand your addressable market there? Or is it more of a client-specific thing? And you really are not putting too much on the long-haul side of the equation?

Arnob Roy : So we are in long-haul WDM, okay? This was more of a capacity expansion with high-speed data carrying waves, let me put it that way, right? So like people build the long-haul network, they can build it with 100 gigabit lambdas or waves, 200 gigabits, 400 gigabits, so we have all the technology. So this was more of a show-case network for demonstrating a very high-capacity long-haul WDM technology. But we have

e been building long -haul networks with our WDM technology for a while.

Mukul Garg: Okay. Coming to this, the GPON OLT order each order, which you have received, in what sense was this in the pipeline for a long time? Are you kind of getting signs from this customer that they are finally starting to accelerate meaningfully? Or is this still the case that the visibility on this client's spending acceleration is quite low?

Arnob Roy : No. I think they have started their rollout significantly. We are getting rolling run rate orders, kind of quarter -over-quarter. So now the rollout is accelerating right now, and our business with them is growing. So we have passed the initial phase of the supplies and piloted them for government and trials and then software integration and all those kinds of things. I think, Basically, this means that we have passed all that phase. And now it's just ramping up supplies and deployments for the customer. We are in that phase right now.

Moderator: Thank you. The next question comes from Sohan Joshi from ASC Consultants.

Sohan Joshi: I just want to ask, when are the benefits from our partnership with Renesas going to come? I mean, what was the partnership with Renesas? Was it into manufacturing, designing, or end -to-end solutions, or was it going to help sort out our profitable supply chain because the government has intended to spend more on BharatNet, and with massive strength like private telcos and capex for 5G, the opportunity is massive.

I just wanted to understand -- I mean, the Renesas, the management of Renesas recently on a visit to India, and also the top official of the government. So did we progress more on that partnership? I just wanted to get the colour of it.

Arnob Roy : Yes. I think Renesas partnership was two -dimensional. One was as a supplier for our new products, especially in wireless. So they are one of our suppliers. So that's one part of the partnership. The other part of the partnership is also the joint development of some new technologies, which we cannot disclose right now. But we are also working with them to specify the next integration —integration of semiconductor components —that we are going to use. So we are not getting into specifics. So these are the two dimensions of our partnership agreement with Renesas.

Sohan Joshi: Okay. Okay. That's it from my side. Thanks. I wish you good luck.

Moderator: The next question comes from the line of Vimal Gohil from Alchemy Capital.

Vimal Gohil: Yes, Sir, I have a slightly long -term question, given the fact that we are seeing a lot of growth ahead. Of course, that comes with the opportunity that is present at this point in time. How is the top management, who see m to balance revenue growth and profitability, taking that approach that we want to capture as much growth as possible? And probably after that, we will be looking to stabilise our profitability goals, or will it be a balance of both? How should we look at this over a longer period of time?

Arnob Roy : I think this is a good question. And , the short answer is yes; we are driving towards profitability over the year, and we have taken all steps, as we understand. So we have some short -term challenges right now. The products are very well optimised and designed, and we expect the standard margins that we have had over the years.

We've run into component supply issues since COVID. And very recently, some of our EMS partner challenges have been logistics challenges. But we expect these are all one -off events; there are short -term events, and very soon, things will stabilise, and we'll be back to normal business with the normal margins that we've been enjoying all along. So this is not a question of buying out the business with zero margins and then looking at how to improve our margins. It's not like that. I think we are working with healthy margins.

So some of the deals may have lower

initial margins than our standard , but we have a clear cut margin recovery plan in place so that over time we can get back to normal and recover our margins . And so we are not distracted by short -term events happening that have been addressing our supplies, business, and margins. But long term, we don't see any issues going away and coming back to a steady state with our normal operations and normal costs.

Vimal Gohil: So it's going to be growth along with profitability —it's not either or?

Arnob Roy : Absolutely, absolutely.

Vimal Gohil: It's great to hear that. Thank you so much, and all the best.

Moderator: The next question comes from Mubasher Hussain Ansari from the Hyderabad Investment Forum.

Mubasher H. Ansari: Yes. My concern is also about the margins. Recently, the CEO of TCS gave an interview, saying that this 4G project of BSNL is for nation -building and not for margins. So in this context, are we also going to get some margins? Or is it going to be like a communist enterprise? Just focus on the top line and don't make any profit. So I need some clarity on this.

Arnob Roy : Yes. I think that was a comment from his side, which basically indicated the commitment of TCS towards this business and building this network. And so just to qualify that, he kind of said that, which is more important than anything else and profits and all this kind of thing. And this is more about the vision of the business, but no one is in this business to lose money or not make any money. And certainly not us, I can assure you that.

And our products are designed to be profitable even in our highly competitive industry. And the good thing is that the large volumes also allow us to drive down product costs to ensure that we are healthy and profitable in this field.

Moderator: The next question comes from Aditya Mehta from G. K. Capital.

Aditya Mehta: So my question is with regards to the BSNL 4G order that the consortium has seen. So what will be Tejas share in the overall order? And how much do we plan to execute in this financial year?

Arnob Roy : As far as execution is concerned, as I said, the goal is to start this quarter and finish within 12 to 18 months. Regarding a specific share of the orders that the consortium has received, I mean, I cannot share any numbers right now. But as we told you, we are going to receive the circle-wise POs and start shipping. And as soon as we receive this deal, we're going to disclose the size of the business. Upfront, we don't want to disclose the absolute numbers or the size of the overall deal, and you can work out whatever the equipment portion is and all those kinds of things.

Aditya Mehta: Okay. So this INR 15,000 crore advance purchase order that we have received would cover 1 lakh sites because there were some articles that said the deal value would be around INR 24,000 crore.

Arnob Roy : This covers 1 lakh sites of 4G equipment.

Aditya Mehta: So that INR 24,000 crore order has been revised to INR 15,000 crore?

Arnob Roy : Yes, because it's 100,000 sites and it's 4G. And as and when the number of sites increases, those will go up. But I think once we start executing on the orders, all those things will come.

Aditya Mehta: And last question on our receivables: So will we be getting payments from BSNL or via consortium?

Arnob Roy : We'll be getting payments from TCS.

Moderator: The next question comes from Venkata Suresh Kumar from Burrans Financials.

Venkata Suresh Kumar: My two questions. My question is whether Tejas is planning to take over Saankhya Labs. You are going to semiconductor? This is my first question. The second question is:

Arnob Roy : I couldn't hear your first question. Your voice clipped in between. Something related to semiconductors, you are saying? Could you please repeat?

Venkata Suresh Kumar: Sir, your takeover of the Saankhya Lab in Bangalore. You are planning on going for business transient in semiconductor business?

Arnob Roy : Yes. So I think, as you know, we are very big consumers of semiconductors in designing our products. And so with Saankhya's capability, that also gives us the opportunity to design, optimise, and begin to serve other markets, where semiconductors are required, right?

So we are kind of crafting our strategy in this space. But yes, we do intend to use Saankhya's capabilities in semiconductor design and manufacturing to both grow and impact our business, as well as other opportunities in other sectors.

Venkata Suresh Kumar: Okay. And one other question. Actually, you got the BSNL long-back tower. You are making total equipment; your Tejas is making any other partners like ITI and Valiant; CT somewhat is giving another order? We will be a bit stimulated. You can understand my question.

Arnob Roy : Yes, I can understand. So basically, for this BSNL 4G order, all of the radio access network equipment will go from the base station to the tower, which includes the radio equipment at the top of the tower and the baseband equipment at the bottom of the tower. All of that equipment is completely designed and manufactured by us for all 100,000 sites.

As I previously stated, ITI is another partner, like TCS, who will source equipment from us and supply it. But all of the requirements are going to be pure Tejas equipment.

Venkata Suresh Kumar: Okay. Okay. Any other CT consultants and Valiant also at the partner -- if any equipment, any other orders, sir, CT...

Arnob Roy : Not in this network. We do work with Valiant for other applications in our wireline sales, but in this particular application, again, there is no partnership with Valiant for this...

Venkata Suresh Kumar: Only for wired networks.

Arnob Roy : For our wireline business, we have some partnerships for some complementary equipment, but not into the wireless space inside the safety piece?

Venkata Suresh Kumar: And Cybersecurity.

Arnob Roy : Cybersecurity?

Venkata Suresh Kumar: Cybersecurity products in some Tejas market stalls in conducting U.S.A. exhibitions with Valiant.

Arnob Roy : No, we are not into making cybersecurity products. We use cybersecurity products, but we do not make cybersecurity software or hardware. We don't do that.

Venkata Suresh Kumar: Actually, you are conducting a stall in the U.S.A., Tejas, and joint

Valiant. You're conducting the stall. That company is only for your joint products.

Arnob Roy : You were talking about the trade show in the U.S. So I think one of the trade shows is for the utility sector, and we participated in that. And as I said, some of our solutions in the wireline space, especially for the utility sector, are in partnership with Valiant, where we make complementary products that work together for the smart grid. And that is the solution we demonstrated at one of the U.S. trade fairs.

Venkata Suresh Kumar: Okay. You are a utility partner, a utility sector joint venture of...

Arnob Roy : No, no, there is no joint venture. There's a joint solution with our product solution, yes.

Moderator: Our next question comes from Hirenkumar Thakorlal Desai, an individual investor.

Hirenkumar T. Desai: Yes. My questions have been more or less answered. I have just one question. So to be able to build this huge BSNL order inventory, will you be required to take on some debt on our book?

Arnob Roy : Take on what?

Hirenkumar T. Desai: Some debt loans.

Arnob Roy : So as of now, I think we have planned our cash flows, balancing our supplier payments, our receivables, and our collections. So as of now, we have worked out the cycles that ensure that we will be able to manage our working capital properly to execute these orders. So maybe one last question, please.

Moderator: Thank you. Should I take the last question?

Arnob Roy : Yes.

Moderator: All right. The next question comes from Bhavya Doshi, an

individual investor.

Bhavya Doshi: Yes, I have two questions. One was on the geopolitical side. We are seeing the U.S. ban some chips and China ban some new materials that are going to affect some semiconductor supplies. Are you seeing any component disruptions happening within our supply chain? Is there any kind of early stress? That was one. And second, if you can shed some light on the TATA Tele deal that we have won recently and also what kind of order book we are going to get during this financial year of INR 1900 crores.

Arnob Roy : Yes. So first of all, it's the U.S.-China geopolitical tensions. I think that has been going on for a while, right? So I don't think this issue has particularly impacted our supply chain or our semiconductor supplies. A lot of the high-end semi-conductor components anyway don't come from China, or the use of Chinese components is very low in our products. So this particular issue has not created any problems. In fact, our good diplomatic relations with the U.S. have only helped us in this regard. So this has not been a problem. That's first of all. Second, relating to Tata Tele. So Tata Tele uses several technologies and several kinds of products in its network. They have been using WDM equipment. And very recently, they also bought our GPON equipment, so it's like a combination of equipment that they have bought. Very recently, they have also bought switches and all those kinds of things for building their network. So Tata Tele also has customers that use multiple products as a solution for building their network. So it's not one product, and they are also a pretty good run-rate customer for us.

Bhavya Doshi: Okay, and how much of the order book has been executed in this financial year out of the INR 1900 crores?

Arnob Roy : Yes. As I mentioned, around 50% to 60% of that will be executed in this financial year.

Bhavya Doshi: Okay. And just one last question, if I can squeeze it in. So on the profitability side, you've explained that you're trying to strike a balance between growth and margin. But do we have any internal targets? And at what time are we expecting to become cash flow positive, at least on the operating level? Do you have any further internal targets?

Arnob Roy : Yes. As I mentioned, we are driving for profitability for this financial year.

Bhavya Doshi: Okay. This financial year, you're expecting to be cash flow positive on an operating level, at least?

Arnob Roy : We are working towards that, yes. Thanks, everyone, hand over to Anand, our CEO & MD, for any last closing comments.

Anand Athreya : Yes. So the closing comments are that, actually, I'm pretty excited to be here. We have a good, healthy order book for this year and beyond to execute and I'm also excited about the significant wireless business. This actually puts us on the global map. I'm also very excited about the successful pilot of 200 sites for BSNL 4G, and we are planning to pull out all the stops to ensure that the supply for deployment happens in Q2.

And, as we consider profitability, we will invest to expand. At the same time, we want to very closely operate, manage our manufacturing operations to scale up our business, and also control costs. So I think we are going to be on a trajectory, and I'm pretty excited to be part of that trajectory. Arnob?

Arnob Roy: Yes. So thanks, Anand, and thanks everyone, for attending the call, and we look forward to interacting with you over the quarters in the future as well. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

October 29, 2023
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q2 FY24 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 2 FY24 Earnings Conference Call held on October 20 , 2023.

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary
Page 1 of 16

"Tejas Networks Limited
Q2 FY202 4 Earnings Conference Call"

October 20 , 2023

ANALYST : MR. SANJ ESH JAIN – ICICI SECURITIES

MANAGEMENT : MR. ANAND ATHREYA - CHIEF EXECUTIVE OFFICE R &
MANAGING DIRECTOR - TEJAS NETWORKS LIMITED
MR. ARNOB ROY - CHIEF OPERATING OFFICER & WHOLE
TIME DIRECTOR - TEJAS NETWORKS LIMITED
MR. VENKATESH GADIYAR - CHIEF FINANCIAL OFFICER -
TEJAS NETWORKS LIMITED
DR. KUMAR N SIVARAJAN - CHIEF TECHNOLOGY OFFICER
- TEJAS NETWORKS LIMITED
Tejas Networks Limited
October 20, 2023

Page 2 of 16 Moderator: Ladies and gentlemen good day and welcome to Q 2 FY20 24 Earnings Conference call of Tejas Networks Limited hosted by ICICI Securities . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presenta tion concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being

recorded. I now hand the conference over to Mr. Sanjesh Jain from I CICI Securities. Thank you and over to you Sir!

Sanjesh Jain: Thanks Yashashri. Good evening everyone. Thank you for joining on Tejas Networks Limited's Q2 FY2024 results conference call. We have Tejas Networks Management on the call represented by Mr. Anand Athreya, Chief Executive Officer & Managing Director; Mr. Arnob Roy, Chief Operating Officer & Whole Time Director; Mr. Venkatesh Gadiyar, Chief Financial Officer; Dr. Kumar N Sivarajan, Chief Technology Officer. I would like to invite Mr. Anand to initiate with opening remarks post which we will have Q&A session. Over to you Sir!

Anand Athreya: Thank you. Good evening and good day. This is Anand Athreya. This is about Q2 FY2024 results. I am happy to report that we have had the best quarter ever in Tejas history with revenue of Rs.396 Crores and with a year-over-year growth of 80% and we have had the largest backlog of Rs. 9,271 Crores and a healthy booking. Also I want to say in the last earnings call we talked about supply chain management issues I am happy to say that those things are also under control and we have also begun to ship the 4G wireless equipment to BSNL starting in Q2. Now I will hand it over to my colleague, Arnob Roy to go through a slide deck. Arnob!

Arnob Roy: Thanks Anand. So just to add some color to Anand's introduction we had the highest ever quarterly revenue till date; however, we had a PAT loss because as we continue to invest in growing our R&D teams we also added new facilities in Bengaluru and also increased our manufacturing infrastructure significantly to address the large upcoming shipments not only in BSNL 4G Wireless but for the other business growth that we are seeing. In addition we had some expenditure in terms of expedite fees for pulling in delayed components for critical customer shipments, a combination of that led to a small PAT loss for us in the quarter. We also have the highest ever order book till date and not only the BSNL 4G wireless purchase order from TC S but also due to strong order booking for wireline products across all t

he product lines. For the

wireless business of course one of the highlights was winning the large PO from TCS for supplying the 4G /5G RAN equipment for BSNL. We also received a mobilization advance of Rs.750 Crores from TCS for executing the order. On the wireline business side too as I said we had a strong business growth and booking growth across all product lines; however, a few highlights the first one was our recent press release about FibreConnect in Italy launching the broadband services in Italy using a complete portfolio of Tejas wireline products, this is kind of a showcase network for us which uses all of our access technologies, metro aggregation and the long-haul technologies. It is a single vendor network built solely using our products and technologies across all the applications and managed by our single network management system. Tejas Networks Limited
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Page 3 of 16 We were also selected as GPON vendor for OLTs and ONTs by two leading regional ISPs in India and thirdly another strategic win was our selection for the backbone network of a leading Media and Entertainment company in the US.

In terms of awards, we won a very prestigious global award as the "Public Company of the Year" in the 2023 Leading Lights award by Light Reading. Light Reading is a most respected industry publication based in US and we were selected in this category for our deep technology expertise, our strong balance sheet, long-term investment outlook and deep customer relationships. So this has been a very strong endorsement by a global publication and recognition of our strategy, our technology, our innovation and our long-term play in our business. Also I'm happy to note that we got 15 more patents granted this quarter which brings our patent count to 282. I now hand it over to Gadiyar to walk us through the details of our financial numbers.

Venkatesh Gadiyar: Thank you Arnob. Good evening everyone and during the current quarter Q2 we have improved on the supply chain deliveries and done the catch up of Q1's shortfall on revenues. Currently we have scaled up and ready to handle the larger volume as we grow from this quarter onwards. As mentioned by Arnob earlier this was the highest ever quarterly revenue done till date. Q2 consolidated revenues were Rs.396 Crores and for year-on-year there is a growth of 80%. Now with the increased revenue and the contribution thereon we are slightly above the breakeven at EBITDA level during the quarter; however, our consolidated EBIT loss was at Rs.29 Crores on account of the investments that we have done in the R&D and team and additional facilities to accommodate our future growth and the increasing manufacturing infrastructure spends to address the large shipments going forward. Including the other income net of finance cost the consolidated loss before tax was 18 Crores for Q2, the consolidated loss after tax was 13 Crores for Q2. Our EPS for Q2 was Rs.-0.74 and also during Q2 our subsidiary Saankhya Labs made a profit after tax of Rs.5.19 Crores. Going to the half yearly number for the half year ended our consolidated revenues were 584 Crores and year-on-year growth of 69% and the consolidated PAT loss of 39 Crores for the half year ended.

In Q2 our net worth was Rs. 3,007 Crores. During the quarter the inventory levels have been increased to Rs. 1,401 Crores primarily on account of securing the long-lead components for expediting the delivery of the several critical large orders we expect to get which is converted into the

finished goods and get those shipped in the coming quarters. Despite increase in the revenues during the quarter our trade receivables for Q2 was down to 487 Crores from 501 Crores in the previous quarter and the collections during Q2 is the highest quarterly collection ever we have done it. We have collected

about Rs. 452 Crores during Q2. During Q2 our net working capital was Rs.671 Crores and significantly decreased by Rs. 527 Crores during the quarter primarily on account of the mobilization advance of Rs. 750 Crores received from Tata Consultancy Services for the supply towards 4G supplies. As a result of this we had a positive cash flow from operations of Rs.532 Crores for Q2 which is again the highest ever quarterly cash flow from operations and finally with this our cash and cash equivalents position at the end of the Q2 was improved to Rs. 1,371 Crores. So in net-net as a summary during Q2 we had seen improved

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Page 4 of 16 performance on account of the financial performance as well as the financial position and as a strategy we will continue to focus on all the things going forward as well. With this I will hand over to Arnob once again.

Arnob Roy: This is a little bit more color on the revenues that we shipped during the first half as compared to last year. If you see the profile of business the split between India Government, India Private and international pretty much remains the same as before and where the India Private was almost 50% of our revenues and the rest was kind of close by in terms of India Government was 29% and the international was 23% and the closing backlog was Rs. 9,271 Crores where India obviously dominated because of the wireless purchase orders received, the Rs. 9037 Crores of India and Rs. 234 Crores of International. I would like to highlight over here is that while in this quarter the wireless shipments revenue has been a relatively smaller portion of our revenues and it has been a largely wireline revenues. On wireless we shipped around 1000 sites initially and got our manufacturing engine ramped up in this quarter. For our BSNL 4G business that revenue, since our direct customer is TCS, we will be categorizing that revenue under India Private. And we historically do this because whenever we ship to private system integrators where we do not look at what their end customer is whether sometimes to the government, sometimes it is private operator, sometimes it is international. So we categorize that business as an India Private business when we sell to system integrators. So going forward as our BSNL wireless shipments go up you will actually see the India Private sector starting to dominate in this pie chart. This is just a recap refresh of our portfolio as you see on the right hand side we have this historically a very strong wireline portfolio and we added the wireless portfolio of 4G, 5G and the satellite and also 5G broadcast as well, so our products address a pretty large market. The wireless market is growing from \$45 billion to \$50 billion over a few years and even the wireline market TAM is going to go to around \$36 billion, so as you can see as a combination we are addressing a fairly large global market and also by having this wide breadth of portfolio we are able to address many, many applications starting with 4G, 5G mobility services, to mobile backhaul applications, to wholesale services, to the utilities, to critical infrastructure enterprise services. So given the wide range of applications that we actually are able to service using a combination of our products a lot of the addressable market becomes open to us and as you have also seen we have now started winning larger applications where a lot of combinations of these products are used for building these networks. And also want to add that we are continuing to add and evolve and refresh and upgrade and innovate on all the products and technology in all of these segments because all of them are growth segments for us.

Now I come to a brief corporate update. Mr. Venkatesh Gadiyar, CFO has resigned from Tejas after more than 10 years to attend

to his personal commitments and also pursue other interests and we wish to place on record that he has made invaluable contributions to the company and we are grateful to him for all the contributions to the company which has brought us this far and going forward Mr. Sumit Dhingra will take over as CFO from December 1, 2023. Sumit currently works as Assistant Vice President in the Group CFO's office at Tata Sons and he has

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Page 5 of 16 led multiple strategic business planning, capital deployment and investments, initiatives across the group companies. He comes with a wide variety of experience across wide varieties of companies across the group and he brings us a rich experience on finance management into the company going forward. Sumit has done his MBA from IIM-Calcutta and Bachelor of Engineering in Computer Science from Delhi Institute of Technology. So I will now hand it over to Anand for summarizing our quarterly performance and key messages.

Anand Athreya: Thanks Arnob. First of all I would thank Mr. Gadiyar for your tremendous contributions for the last 10 years Tejas is immensely grateful to what you have done for Tejas and we wish you

nothing but the best in your future endeavors and in your personal life . Thank you . Having said that I would like to welcome Mr . Sumit Dhingra as our next CFO he is going to be joining us in the coming month , so again he is also very experienced and I am pleased to welcome him to Tejas as our next CFO. Having said that the key t akeaway is the business is good, we have lots of opportunities , and the backlog is good . With a healthy backlog of 9 271 Crores , it will help us accelerate our revenue growth in the coming quarters . We are seeing increasing option s and we also have growth across all of our product lines both in wireline and wireless and we definitely continue to make significant investments in R&D and Manufacturing operations as we scale up our business . And a lot of things are coming under control which means we have a lot of opportunity to execute consistently in the coming quarters . With this we will open up for Q&A . Thank you .

Moderator : Thank y ou very much . We will now begin the question and answer session . We have a first question from the line of Vimal Jamnadas Gohil from Alchemy Capital Management P rivate Limited. Please go ahead .

Vimal Jamnadas Gohil : Thank you for the opportunity and heart iest congratulations on a very strong quarter. I would like to take this opportunity also to wish the best to Mr. Venkatesh Gadi yar. T hank you so much Sir . My questions firstly if you could just quantify the expediting cost that took place in this quarter for our supply and the expected credit losses of roughly 8 Crores how is this expected to pan out and what was the reason for the same that is question number one and secondly if you can just highlight what is the progress being on the international piece w e have won a couple of very large orders if you just highlight the timelines of the execution that will be great ? Thank you so much .

Venkatesh Gadiyar : On the expedite fees more or less it was in line with what we saw in Q1 where we have incurred similar k ind of expedite fees. And secondly coming back to the ECL it is particularly related to two particular customers wherein the payments have got delayed and we do expect to get the payments during Q3 and Q4 of this financial y ear. And that ECL which has come as a provision expected to get that in the next one or two quarters and it is temporary in nature . And it is not a kind of write-off, particularly the payments have been delayed hence the provision has been made.

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Page 6 of 16 Arnob Roy: Just to add to the question on international orders, so the international orders are typically to be

fulfilled in the next quarter within 16 to 20 weeks and th at is the timeline for doing that. A nd also wanted to mention that these are very strategic orders , when you mentioned the large international orders . Yes they are relatively large from a size point of view but not as large as the other s that you are looking at . But we consider them very strategic because as we focus on growing our international business significantly going forward these deals and these applications serve as very important references for us in the market that we are targeting .

Vimal Jamnadas Gohil : Right Sir so just one clarification on the expediting cost for supply of components when do we see normalization , at wh at scale are our component suppliers comfortable, at what point will we be sitting at the same level as them in terms of negotiations in terms of being at having an upper hand in terms of nego tiating well with our suppliers, I know as and when we scale but I just want to know what exactly is th at scale, is there a number that you are looking at , at what point will these component challenges normalize or reduce to a significant extent ?

Anand Athreya : Vimal there are two components to this from a supply chain side there are some components which have very long lead items till 50 weeks around and there are some components where it has come down to let us say 20 to 26 weeks. N ow having said that I would expect this to be under better control in the coming quarte rs because we have two very large orders where we required to ship them in the next I would say 12 to 18 months and we have already begu n shipment s so one quarter is done. So I would say the next couple of quarters we ex pect this to be under control becaus e at that point we would have planned all of the production and those things will be in place .

Arnob Roy: It is to do with the supply chain management across components with widely varying timelines and as Anand said in a couple of quarters will be in a mu ch better shape in terms of being able to manage this variability for sh ipment. I t is not connected to the size of the business you are delivering it is connected to managing the variability of lead times of components for our products .

Vimal Jamnadas Gohi l: Understood S ir. Thank you so much and all the very best .

Moderator : Thank you . We have a next question from the line of Deep Mehta from Bank of India Mutual Fund . Please go ahead .

Deep Mehta : Thank you for the opportunity and congratulations for achievi ng highest ever revenue as well as highest ever order book . Sir if I have to take slightly longer term view that is three years or even five years how should the international part of our business plan both in terms of as a percentage of our revenue as wel l as if we can talk about that would be helpful?

Arnob Roy : Deep as you can see while currently our revenues are skewed towards India we are fully focused on growing the international business so our strategy is as follows. India is a growing market is
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Page 7 of 16 one of the fastest growing markets in telecom and we do not want to miss out any opportunities in this market. So while having said that we are putting a lot of investments in growing our international sales teams, in doing international business development, working with partners and so on, so our focus fully remains in making sure that our international business pipeline becomes very strong in the next few quarters. And our ambition is to make sure that this business becomes a significant portion of our overall business.

Deep Mehta : Thank you Sir that is very helpful. If I can just ask one more question what are the key geographies or key components or key technologies which we are targeting?

Arnob Roy : You asked about market and the technology so market point of view

as you know up until now

we have been focusing a lot on emerging markets such as Southeast Asia, Middle East, Africa and lot of the international markets we have been working with OEM partners. But now our focus is to go direct in the markets in Europe and US and a lot of investment and focus is going on those markets because those are also one of the some of the largest size telecom markets out there. In terms of the technology that we are pushing out there it is really all of what we have as you have seen there is a large growing market for all our technologies wireless and wireline and we serve a lot of pretty wide variety of applications. And all of those applications are applicable to those markets as well so we are targeting all possible applications that I talked about earlier.

Deep Mehta : Sure Sir this is very helpful. Thank you.

Moderator : Thank you. We have a next question from the line of C A Kanwaljit Singh from Balaji Finvestment. Please go ahead.

Kanwaljit Singh : Good evening and congratulations for the best topline numbers but when we will be seeing the profits and second we have completed a project in Italy are there any such projects in pipeline or we have bid for some similar contracts elsewhere?

Arnob Roy : As far as the first question is concerned as I told you the PAT loss in this quarter was connected to our forward looking investments that we have been making in anticipation of larger business growth and also execution on the business on hand. So while we do not give a guidance on the absolute future numbers as well as profitability as you can see we are in a positive trajectory and we hope to continue that going forward. So as we do more revenues and we shift more we should see a very positive direction in terms of the profitability without having to say any absolute number right now. As regarding the international business of Italy as I said this network in Italy is a very good reference and showcase network for us, we talk to customers we say that hey I am going to go and show you this network which is built using end-to-end Tejas products for access, the metro aggregation and core. So basically built out using all of our state-of-the-art technologies. So right now while there are other customers and business pipeline which are there, there are a combination of small and large and all and as I said there are multiple applications that we serve with opportunities across wholesale operators, mobile backhaul, mobility and stuff
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Page 8 of 16 like that, so that is where things are regarding the business internationally and specifically Europe.

Kanwaljit Singh : There is another question what will be the strategy for Saankhya Labs?

Arnob Roy : Saankhya as you know is a very strong in satellite communications and broadcast technology and of course in semiconductor design so we are going to leverage all of their skills. Their business has also been also going quite well and they were independently profitable in this quarter. And they will continue to focus on the satellite communications as well as the broadcast business and we have some strategic decisions and options regarding the semiconductor design using the skill set that Saankhya has which we are finalizing and that is the part of the business we are going to focus on as well. But initial focus is developing chips for our own internal products, for our internal consumption right now. But yes, in a nutshell, they are a very key part of our business strategy going forward.

Kanwaljit Singh : Thank you very much.

Moderator : Thank you. We have a next question from the line of Agam from Raj Trading. Please go ahead.

Agam : Can you give the gross margin for this quarter versus the previous quarter?

Arnob Roy : We do not disclose the gross margin numbers but have

as been remaining pretty much the same across the last couple of quarters.

Agam : If you can guide to what will be the gross margin towards the execution of this order?

Arnob Roy : Which order?

Agam: BSNL order .

Arnob Roy : We do not disclose deal wise or customer wise or product wise margin . It is like a blended kind of thing and one deal in terms of having common components across deal s. Each and every deal as part of our sourcing strategy helps in the margins of all other deals so we could not usually break down details about customer wise or product wise margins.

Agam : All the best .

Moderator : Thank you. We have a next question from the line of NGN Puranik from E nam I nvestments . Please go ahead.

NGN Puranik : Hi Arnob Congratulations you have first stage of getting the topline hurdle you have broken I think ge tting the operating leverage is more important now from here on. S o I want to understand a couple of things how is your deep IP factory working here because you have several IP s,
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Page 9 of 16 several people working on it, you yourself are deeply into it how is that get ting leveraged because when I see you have a 9000 Crores plus odd book over time when these IP is leveraged there is a lot of potential profits and cash flows sitting in this 9000 Crores and if you use your IP because you have a huge IP character in your b usiness so how do you think that will pan out and also you must have done a profitability test and liquidity test on this 9000 Crores order so can you give you some sense ?

Arnob Roy: So first of all thanks Puranik for your encouraging words . Yes I think th is pipeline is very important for us and gives us a runway for next several many quarters . So in terms of our IPs, the IPs that we develop goes into the heart of our products into our core products and these IP s also leverage across multiple pr oducts. As you know one of the strengths of our product portfolio is the convergence of products across different applications and most of the IP that we develop in wireless and wireline go into designing th ese products and making them very efficient . So you are right since this IP and the optimization of IP is what leads to efficient product design s and better margins and improves our product margins . The other question was that about have you worked out the financials of this deals and something so the answer is shor t....

NGN Puranik : I am not asking you on a single contract I am asking you have aggregation of various contracts public sector India , government India, private sector India, private sector outside, everything so on a blended basis you must be having a lot o f profits cash flow sitting here so if you can give some sense of that ?

Arnob Roy: Puranik we do not give financial guidance ..

NGN Puranik : No I am not asking for guidance see the potential see otherwise what happens you are such an IT company IP you may b ecome meaningful when it is monetized so one day it has to happen so you tell me what is IP doing otherwise IP is not working at all you are having several patents it is not people are not respecting that when they are not paying for that .

Arnob Roy: I think I understand your question to monetizing of the patents correct ?

NGN Puranik : Yes absolutely that has to come through your product n etwork that you create and sell it because when you can sell cheap because you have an IP character so you can still comp ete well but you still need to get your supply chain this which most important to this business right ?

Arnob Roy: Puranik as I mentioned the IPs that we develop and all our patents are first of all used in our products and right now we are building patents in terms of our innovative ideas and also it is like a kind of a defens ive portfolio . So right now with the focus on building products and sell

ing and

building networks globally the current focus is not in terms of going into where I can license IP or can I generate patent licensing revenues. W e are not really focused on that yet because our hands are full in terms of product development and shipments and customer wins and so on. So to be honest we have not yet started looking at how do I monetize the pate nts individually .

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Page 10 of 16 NGN Puranik : Individually but use them into your product so cost come down your buildup material comes down when there is IP already utilizing I am saying from that context?

Arnob Roy: Yes of course the IP that we develop ed it brings down our cost in multiple ways we reuse it across multiple products, brings down our product development time and since we also realize it on a similar kind of hardware we get the benefit s of volumes. S o yes , the IP that we have as I said our biggest l everage is in the products that we develop and the efficiency and the competitiveness that it brings right now .

NGN Puranik : What plans you have for Saankhya Labs will they be developing homegrown chipset for you , silicons for you long -term, they seem to understand DSP space also well ?

Arnob Roy: Correct so as I mentioned there are three areas one part is the satellite communication products they are very innovative set of products for satellite communication and they are developing applications and bidding into very strategic de als using the satellite communication technology . The other part is 5G broadcast techn ology for multiple applications such as data distribu tion as a

service, direct to mobile etc. They have an innovative portfolio through which they are addressing multiple opportunities. And the third part is their silicon design skills. So as I said for the Silicon design skills we are first of all focusing a lot on in terms of how we can apply those skill sets and the devices that they have for use in our products to get competitiveness and this connects with your IP question. So our first goal is to leverage what they have and also the design skills in terms of developing new semiconductors into our products so that is the part of the strategy. We are not yet looking at how we can get into the semiconductor market of building chips and selling it globally.

NGN Puranik: Then you can take them to the market if it succeeds internally for yourself?

Arnob Roy: Correct.

NGN Puranik: Good so you are not telling me what those secrets are sitting in the 9000 Crores order book. Excellent. All the very best to you and the best wishes to Venkatesh on his future endeavor.

Moderator: Thank you. We have a next question from the line of Nitin Gosar from BOI Mutual Fund. Please go ahead.

Nitin Gosar: Thank you for this call just taking from the previous participant question wanted to understand again on the IP part at what stage we are in terms of IP utilization or are the IP capabilities that we have developed allowing us to bid for complex projects or the IP capabilities that we have developed are allowing us to bid at a lower price, how should we distinguish between these two?

Arnob Roy: If you look at the IP that we have that consists of several things one is the semiconductor IP that we have, the other part is the software IP that we have in terms of software protocols and related elements, then there is the system design IP that we have. So these are all the techniques and

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Page 11 of 16 innovation that has resulted in those patents and these are the ones that are also used in our products. So if you look at what does it give us three things: the innovative solutions which gives us competitiveness against our competitors, it gives us cost benefit by being able to use our internal IPs and using it efficiently a

cross multiple products. So, overall, in a nutshell, it makes us more competitive both from a technology point of view as well as from a cost point of view. Thus the IPs that we use span across multiple areas including software, semiconductors, hardware and system design.

Anand Athreya: If I may add Arnob because of the leverage it also reduces our time to market.

Nitin Gosar: Got it and that is what you indicated the speed is the essence in terms of servicing the market.

Second question is with regard to a cost metric keeping in mind now we are in position to scale up our business should we expect the cost metrics at least the fixed cost part to grow or to stay where it is how should we look at that?

Arnob Roy: As I said we have invested ahead of our growth curve so at some point of time this fixed cost will stabilize and when we know that we have invested adequately to take care of our growth it will be stabilized and the business growth will be addressed by what we have. So the investments that we are making in, people and infrastructure and manufacturing lines, we have to scale it to the level we need for executing on our business and then the cost increases will come down significantly.

Nitin Gosar: Got it and Sir last bit I know you are not for the competitive reason in position to dwell out on the gross margins but would it be good enough to understand the current quarter where we are and the gross margins we could be having are the appropriate margin the business would command or there is some kind of one-off or something?

Arnob Roy: Yes in the sense that as I said gross margin has remained very similar across the quarters. And if you see one of the factors you also mentioned was the expedite fees component and supply chain variability. So once that part comes under control that will help us in reducing our product costs and improving our margins.

Nitin Gosar: Perfect Sir this was very helpful.

Moderator: Thank you. We have a next question from the line of Arpit Kapoor or from Ashmore Investment LLP. Please go ahead.

Arpit Kapoor: Thanks Anand and Arnob and congrats on numbers on the topline specifically but just continuing with Nitin's question the last one on the gross margin bit at least in the near term so given that a lot of chip shortage which was probably impacting in the last 18 months that has been addressed but given the order book that we have which we need to execute in the near term how comfortable are we would be in a position to execute the order without let us say incurring those

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Page 12 of 16 extra cost because of the delays in supply chain which may get addressed let us say in the next 3 to 6 months?

Arnob Roy: First of all for those large orders the good thing is that we have already placed our purchase orders, we already kind of locked the prices and working towards pulling in the components as

per our shipment plans. As I said if your question was that are we going to continue to pay expedite fees over multiple quarters we do not expect that, I think that portion of our cost will slowly come down as we get more predictable in our ordering and our supply chain management. Earlier the whole chip supply situation was so unpredictable and so variable that it hit us badly. We are as I said reaching the tail end of these issues. The variability was a key factor. While the lead times are still long but as long as they are constant we are able to plan more effectively and that is what is happening. So we expect that slowly quarter-by-quarter we are getting under into better control on supply chain and the expedite costs will progressively come down.

Arpit Kapoor : Related to this is some of the incentives that the government of India had given on the PLI front so would that have any impact on the numbers so let us say

what we would have produced last

year and what we would be producing this year in the next so would part of our business qualify for some of those incentives and how would you want to account that?

Arnob Roy: Yes we have been approved for PLI so all products that we manufacture and do business in qualify for PLI incentives. As of now we have applied for the PLI incentives for last fiscal and that is currently going through the process. We took some time to fill in the application because we wanted to go through our internal and external audits and then we finally put in the application and are waiting for clearance. We will announce it once it is approved but yes PLI is something that we are applying for all products and all shipments that we make.

Arpit Kapoor : Last one slightly on the medium term so as Anand said to the fact that we also want to build a big export order book so how should one look at it on the medium term in terms of the margin profile for the company so would you want to be someone like some other telecom equipment manufacturers which have been there listed across other geographies or how to look about how to look at the margin profile let us say 3 years or five years down the line when the order book is much more diversified and not reliant solely on Indian order book?

Anand Athreya : Yes so look as we begin to grow and we have better purchasing power or bargaining power and also we have a good mix of both domestic and international government and non-government customers so we will definitely see better margins. And also as you do more international business if that split becomes good then I am sure we will be comparable to other large OEMs in this world and our goal is to strive to get there. Now I think with a complete portfolio and with this delivery especially with BSNL I think we will be viewed as a very credible player in the wireless space also in addition to the wireline space and as we build more I think we will be recognized as one of the leading OEMs in the world.

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Page 13 of 16 Arpit Kapoor : Sure thanks and best wishes to you.

Moderator : Thank you. We have a next question from the line of Sachin Jain, an Individual Investor. Please go ahead.

Sachin Jain : Hi my question is once you have done with the BSNL order and roughly execute in 18-24 months you are talking about 4000 Crores plus kind of topline and once you are done with this order are you confident of sustaining these kind of run rates that is just my question?

Anand Athreya : The answer is look I think it is imperative that we deliver successfully and this is a huge win and a lot of things are at stake here. So it is imperative that we stay focused, but my belief is that once we execute this we will also achieve a lot of credibility which means we expect a lot more companies to trust us to deliver more and I think opportunities will come that is a belief. Now do we have that on hand today, no.

Arnob Roy: Also wanted to add that in terms of business opportunities that we see in front of us in India of course after the 4G and the 5G upgrade there are other opportunities coming in 5G from where BSNL themselves are looking at a larger 5G Network. There are government investments coming in Bharat Net Phase-III which government has announced which could again be large opportunities. Apart from that all the 5G-driven bandwidth growth in the country and upgrading of the backhaul networks are strong opportunities for us in India. I think the question is how do we accelerate our international business growth based on these successes and whatever we have done in India with especially with deals like this has given us a huge international visibility as well because this is one of the largest single 4G wireless network orders so our brand is getting a lot

more recognition elsewhere. So while we have this huge pipeline of India business to really leverage, our focus is that we leverage our success over here to build a similar kind of pipeline internationally.

Sachin Jain : Thank you.

Arnob Roy: In a nutshell opportunities are all visible it is a question of really winning them converting them and building on that success.

Moderator : Thank you. We have a next question from the line of Aditya Mehta from G.K Capital. Please go ahead.

Aditya Mehta : Good evening Sir Congratulations on a good set of numbers . So Sir can you please share the quantum of expedite fees and the investment that we have done in this quarter ?

Anand Athreya : So we do not really disclose the specifics of expenses in each of those categories whether the investments or the expedite fees etc. As you mentioned that had an impact on our product margins and as the next few quarters get over as our supply chain processes get more and more mature and the supply chain stabilizes I think we expect that to steadily reduce and go away in

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Page 14 of 16 the future . But unfortunately we do not quantify what is the quantum of the margin hit due to expedite fees.

Aditya Mehta : Secondly how much of the order book do we plan to execute in FY2024?

Anand Athreya : Wireless 50% of the wireless roughly and then wireline is over 24 months . I think this is more of a 24-month pipeline of wireline and wireless that we have .

Aditya Mehta : Thank you .

Moderator : Thank you . We have a next question from the line of NGN Puranik from Enam Investments . Please go ahead .

NGN Puranik : I have a follow on question what is the feedback on the ground level feedback on 4G implementation today from the user?

Kumar N Sivarajan : The customer has not published the details I would say that, pretty much it is satisfactory. Many commercial users are using it, lot of data is being downloaded but exact figure since it is customer confidential, I would not like to disclose, but yes the initial deployments have gone.

Arnob Roy: Also the fact that the customer has existing wireless network so he compares us with his existing deployments as well from other vendors .

NGN Puranik : I was coming to that next question so you answered it so it compares very well with other vendors on a 4G basis ?

Arnob Roy: Yes that is very minute and detailed comparison that we go through in terms of our performance .

NGN Puranik: How long will the implementation take to complete on next 2 year -3 year one or how long will that be ?

Anand Athreya : I would say 18 to 24 months .

NGN Puranik : 18-24 months and my another question is about from 4G to 5G when you developed is it an incremental effort or is it a long haul effort to develop your backhaul?

Anand Athreya: So there are two components to it there is an incremental effort to upgrade from 4G to 5G but there is also a new development that has happened for the last couple of years already so we are going to get ready with even 5G radios and stuff very, very soon .

NGN Puranik : Excellent so that does not require much capital or people investing ?

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Anand Athreya : As Arnob said earlier the R&D investment is ahead of the ROI.

NGN Puranik : So when do you see that 5G launch ?

Arnob Roy: It will happen sometime next year. In various phases so because there is one part of it is a 5G upgrade of the 4G side and the other part is 5G for the newer bands and then multiple different radios. So there is a wide range of 5G products that we will be launching over next year .

NGN Puranik : So there are a lot of upgrades from 4G to 5G so that is again incremental while you are implementing it ?

Arnob Roy: So lots of IP we are going to leverage of course, in terms of software, in

terms of design. In 5G

because of the support of new bands and many new applications there will be a good amount of new development that is also going to happen both in hardware as well as software . But a lot of the core technology and development and designs will be reused.

NGN Puranik : Most of these implementations are outsourced or?

Anand Athreya : Everything in-house .

NGN Puranik : In house so how many people you added in the last six months -one year ?

Arnob Roy: We almost doubled R&D team and then similar kind of growth in all other manufacturing ...

NGN Puranik : On the implementation team ?

Arnob Roy: Implementation meaning you are talking about field teams or ?

NGN Puranik : The people who implement this at the network level .

Anand Athreya : So the primary investment has been in R&D but there have been marginal investments support and other functions but in this particular case because we were using TCS they will do the deployment.

NGN Puranik : TCS will be doing the deployment ?

Anand Athreya : Yes.

NGN Puranik : Excellent. Thank you . All the best.

Anand Athreya : In the interest of time I think we are open for one last question please .
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Page 16 of 16 Moderator : Sir there are no questions currently .

Anand Athreya : Again all great questions and thank you very much and thanks for your support .

Moderator : Thank you . On behalf of I CICI Securities that concludes this conference . Thank you for joining us. You may not disconnect your lines .

Call: Jan 2024

January 25 , 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q3 FY24 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 3 FY24 Earnings Conference Call held on January 19, 2024 .

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q3 FY '24 Earnings Conference Call"
January 19, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER -- TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER --
TEJAS NETWORKS LIMITED

MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q3 FY '24 Earnings Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorde d.

I now hand the conference over to Mr. Ashvik Jain from ICICI Securities Limited. Thank you, and over to you, sir.

Ashvik Jain : Thank you. Thank you. Good evening, everyone. Thank you for joining on Tejas Networks Limited Q3 FY '24 Results Conference Call. We have Tejas Networks' management on call represented by Mr. Anand Athreya, Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole -Time Director; Mr. Sumit Dhingra, Chief Financial Officer; and Dr.

Kumar N. Sivarajan, Chief Technological Officer.

I would like to invite Mr. Anand to initiate with opening remarks, post to which we will have a Q&A session. Over to you, sir.

Anand Athreya : Thank you. Good evening. Welcome to the FY '24 Q3 earnings call. This is Anand Athreya, CEO and MD of Tejas Networks. And I have here Arnob Roy, COO; Sumit Dhingra, our CFO; and Dr. Kumar Sivarajan, our CTO, is on the call.

I'm just happy to inform you that we had a very strong revenue growth this quarter of INR560 crores. And the last 9 -month revenue in FY '24 exceeded the entire FY '23 revenue. And we have a strong order book of INR9,028 crores. We had a loss of INR45 crores in this quarter. And we continue to focus on execution and also investment to set Tejas for good growth in the coming quarters.

Thank you. I'll now hand it over to my colleague Arnob to go over the details on this call.

Arnob Roy : Thanks, Anand. So in the next few minutes, I give you a color of the business that we had in Q3. And after that, our CFO, Sumit, will walk you through the details in the financials.

So first of all, we continue to see good business traction, both for our wireless as well as our wireline business. On the wireless segment, we continued to ramp up our BSNL 4G RAN shipments, and several thousand systems have been shipped which are a combination of single and dual-band radios in Band 1 and Band 28.

Also we received additional purchase order of INR107 crores for additional sites as part of the network build-out for BSNL 4G.

Another important highlight was that our subsidiary Saankhya Labs received INR96 crores provisional purchase order from National Space India Limited of Department of Space for the deployment of 2 -way Satcom transponders for communication and support system on marine fishing vehicles.

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This is a very niche application and is part of the vehicle tracking system solution that Saankhya has developed. And this particular application is for enhancing the safety and security of fishing vessels operating along our coastal waters, providing navigation assistance and weather alarms and boundary crossing alarms and so on for our fishermen.

So it's a very strategic project which will lead to many other applications, both land-based as well as marine. We look forward to seeing how we can replicate this success in other countries as well as in other applications.

We also continue to see strong traction for our wireline business after successfully deploying 150 -plus DWDM channels of 100 gigabit rates on a pan -India network lighting up several thousand kilometers of fiber on an existing WDM infrastructure. This was add-on order to a pan -India deployment of a similar size that we had implemented earlier.

So this is a very unique application in that our WDM equipment will

be served, where given an

existing optical infrastructure that an operator has built, and he wants to add capacity onto that by adding additional data channels. We provide the technology which can do it on any foreign infrastructure in the sense that infrastructure built by third-party vendor equipment.

For the BSNL 4G network, we also started supplying the backhaul equipment of IP/MPLS routers which we had announced earlier. This is a project in several hundred of crores for deploying more than 15,000 routers. This will enable the backhaul network of the BSNL 4G nationwide network.

A major International highlight included the successful commissioning of a high-capacity metro network in the U.S. for video production and distribution. The network has been implemented using our state-of-the-art WDM processing equipment with 600 gigabits per channel capacity. This will be a showcase network for us as the application involves low-latency distribution of video.

We also executed a commercial contract for supply of optical networking backbone equipment for a leading government telco in Africa. This is the initial order. And with the success of this, we expect to see future build-outs in the network as well.

We also continue to see success in the utility sector. As you know, our utility business in India is very strong, especially for the modernization of utility networks. And we could replicate the same success for a leading power utility in Southeast Asia, where these older TDM based network is getting upgraded with PTN and IP/MPLS technology. So the same project that we've done in India, we've been able to replicate in other countries as well.

And on the same token, in a power utility company in India, we've commissioned a high-capacity national optical backbone, including the access portion of the network using a combination of our PTN as well as our high-capacity WDM network.

From a revenue perspective, in the 9 months of FY '24, around 55% of our business has been for India Private. And let me also tell you at this point that our BSNL 4G radio order, we consider as part of India Private because our direct customer is TCS, and that's how we categorize our revenues.

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The International has been 15% of our business until now, and India Government has been the rest. We have a strong closing backlog of INR9028 crores out of which international was INR221 crores. So in all aspects, it has been a very good quarter for us, especially compared with our revenues in FY '23.

I'll now hand over to Sumit to walk us through the financial update.

Sumit Dhingra : Thanks, Arnob. Good evening, everyone. Our consolidated revenue for Q 3 of FY '24 was INR560 crores, which is more than double the revenue we reported in the same quarter previous year. As compared to the previous quarter, that is quarter 2, we've grown at a 41% growth rate.

EBIT for the quarter was negative INR56 crores, and PAT was negative INR45 crores. On a 9-month basis, we had aggregate revenue of INR1,144 crores, which is a growth of 84% over the previous year. We continue to make our investments to ramp up the R&D team and our operations, which are essential to deliver the growth potential that the company has going forward.

Moving to some other financial details. We have a net worth of INR2,980 crores as of December 23, inventory of INR2,683 crores. The inventory has grown as compared to the previous quarter. This is mainly to secure long-lead items that we require for meeting our delivery time lines for some of the larger projects that we are executing.

Trade receivables stand at INR855 crores. We had cash and cash equivalents of about INR559 crores at the end of the quarter with borrowings of INR274 crores. This is for funding the working capital requirements that the company has at this point in time.

With this,

I'll hand it over to Arnob to take this forward.

Arnob Roy : So a few other updates from a corporate standpoint is that in this quarter, we received several awards and recognitions. Tejas and its subsidiaries were granted 31 patents during Q3 FY '24 and our total patents granted grew to 313.

An important update was being recognized as a representative vendor in the 2023 Gartner® Market Guide for Optical Transport Systems. So basically, leading global analysts will be tracking our business and help in attracting global customers for our optical transport products.

In one of the events that happened in Q3 which is Network X in Paris, which was the erstwhile Broadband World Forum, our FTTH solution won the award for the leading PON-based Smart City solution for an application that we have built in India. In the Indian Mobile Congress in New Delhi this year, our TJ1 600 optical and packet transmission product was selected as the Best Indian IPR of the Year in Telecom.

From the corporate update perspective, from a Saankhya Labs merger, that's in progress. And we have made good progress over here. And the next upcoming event over here is the Equity Shareholders and Unsecured Creditors Meetings that's going to be held in early February as per the direction of the NCLT. So this is the next step in the merger process.

So before I hand it over for questions, just wanted to refresh all our investors regarding our Tejas Networks Limited

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products. And as you know, we have a very comprehensive wireline and wireless equipment portfolio comprising 4G/ 5G radio and baseband units, our multi-gigabit fiber broadband access, our converged access and edge solutions and also our high-capacity WDM backbone network. And on top of that, we have added our switching and routing portfolio. So altogether these products can be used to build complete end-to-end network for telecom operators. And now the unique selling point is that also it is managed using a single network management system.

Next one. And using this technology, some of the key applications that we serve is 4G, 5G mobile network as well as the backhaul network -- fiber based backhaul network, services for wholesale and enterprise data between critical infrastructure for power, gas and utilities and for home and business broadband. All of these sectors are showing high growth globally. And we are in markets and products and applications where we expect good growth in the upcoming future.

So thank you. So with that background, I'd like to hand it over for the Q&A.

Moderator : Thank you very much. The first question is from the line of Santosh Sinha from Emkay Global. Please go ahead.

Santosh Sinha : My first question is regarding this margin. You have seen a low margin for this company. So what kind of margins we can expect for the BSNL project and other government projects that the company is executing?

And the second is regarding trade receivables, increase in trade receivables. What has caused this? And what kind of trade receivable -- a working capital increase we can see from the execution of this BSNL project?

Sumit Dhingra : So on the margin front, while we don't give any guidance on project-specific margins, what we've also stated in the past is that wireless segment, to begin with may have slightly lower margins compared to the wireline segment. But given the order of magnitude of the project and the opportunity, it would, on an aggregate basis, compensate for the lower margin percentage. And on the working capital, could you please repeat the question? I didn't get the first part.

Santosh Sinha: So there has been a marked increase in trade receivables. So what actually has caused this?

Sumit Dhingra: Trade receivables?

Santosh Sinha: Yes.

Sumit Dhingra: So as you would see, our revenue for the quarter was INR560 crores. That's also

able accretion

in revenue compared to the previous quarter. And a part of this is what has contributed to growth in receivables, and we are expecting these to be realized over the next few months.

Santosh Sinha: Okay. My next question is regarding the BharatNet project. So any idea, any color in terms of bringing this project execution? When will BharatNet III start and what kind of opportunity that can create for Tejas?

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Arnob Roy: Yes. So I will take this one. The BharatNet project is currently under definition. DoT and other stakeholders are working towards finalizing various aspects in terms of its scope, technologies and specifications of the equipment that will be procured for this project.

And the technologies and the products are pretty much accessible and addressable by Tejas. And we look forward to significant success on this project. It is going to be a very exciting opportunity for us going forward.

In terms of timeline, right now, from what we know, the specs are still getting finalized. The government is in conversations with all parties regarding finalizing the specs and the tenders should get rolled out in the next few months and targeting potentially the latter half of FY'25.

Santosh Sinha: My last question -- last two questions. One is whether there are other POs that are expected with respect to BSNL project, like maintenance projects or other projects that are expected with respect to BSNL project from TCS or ITI?

Arnob Roy: As you know, the BSNL order we received for the 4G RAN project is for the first 100,000 sites.

So there will be additional sites for expanding coverage across the country. So that is expected to come. That's one part.

And second part is that the tender also calls for a 5G upgrade of 40,000 sites. So that part of the business has not yet come to us. I think that will happen after the initial network gets deployed.

So this tender also has a scope for additional business for us as part of this project. After the network is deployed and after the warranty period, of course, the services are involved for many years. We will receive that order at a later stage.

Santosh Sinha: Thanks for taking my question.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management. Please go ahead.

Vimal Jamnadas Gohil: Sir, my first question is again on the cost front. If I were to look at the raw material cost, the sequential growth in raw material cost has been higher as compared to the revenue. Is it mainly because of the increase in the wireless business? Or are we still sort of -- the problem of increased component prices for us is still not completely behind? That's question number one.

The second question is on working capital. So if I were to see, starting this year FY '24, till date, we have had incremental inventory of roughly INR2,000 crores. And just to take forward

Santosh's question here, if I were to look at our working capital days, right now, we are operating at around 213 days versus our working capital was down considerably last quarter at about 150 days.

I mean when I -- sorry, our inventory days were down by almost 150 days. Now it is at 213. So if you can highlight for this incremental inventory of INR2,000 crores, the timeline of realization of revenues, which you can help us a bit? Thanks.

Sumit Dhingra: Okay. So maybe I can take the margin question first and request Arnob to supplement that. The

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increase in raw material costs this quarter is on account of multiple factors I would say.

One is essentially the product mix within the wireline segment, which tended towards slightly lower margin products during this quarter as compared to previous quarters. That essentially is one of the key factors where you would see why the material costs as

a percentage of revenues have gone up.

Also from a contribution standpoint, if you see this quarter, export revenues were slightly lower than the previous quarter, which had an incremental impact on the material cost as a percentage of revenue. These are the key aspects as to why our material cost looks a bit higher.

As we go along, I think we would expect the project profitability for wireline business also to kick-in and some of these things to normalize over the next quarter. Arnob, you want to add anything here?

Arnob Roy: Yes. So just to add to this, in terms of margin profile, you can see when we ship equipment for

our network, there are different components of the network which come at different margins, right, where the blended margin is, of course, what it is that we have for the company. But for example, in the network, the access part of the network, wherein has customer -premise equipment, lower capacity, lower cost devices usually have lower margin, but as we move deeper into the network and go to the higher capacity elements. That's where the cost and the margins are also much higher.

So what happens there, in the network typically it's a blend of all of these things that go on. What happens is that quarter -by-quarter based on the blend of shipment that happens, there is a small amount of margin movement.

So I think in this particular quarter, perhaps based on what we have shipped out during the quarter, it has gone more towards lower -margin components, which will basically be compensated in the next quarters by the other part of the network that we want to ship. So it's like a temporary phenomenon in terms of why you see the higher cost to our revenue.

Vimal Jamnadas Gohil: And sir, on the working capital, incremental inventory?

Sumit Dhingra: Yes. So on the working capital front, I think, see, we are in the middle of executing the large projects both on the wireline and the wireless side. Now as we've mentioned in the past as well, in order to manage the lead time for some of the key components and to be ready for execution, we've been taking inventory actions for specific situations, specific components. And that is getting reflected in the inventory number that you see.

The point to note also is that while -- if you look at it from the base of current revenue, I think it may throw up a picture where you were referring to, let's say, 200 days, etcetera. But given the phase that the company is in and where it is evolving from the current revenue levels to executing INR9,000 crores worth of order book over the next few quarters, I think the increase in inventory has to be looked at in context of that number.

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And as we go forward, this INR2,600 crores worth of inventory is essentially to be predominantly used for some of these large projects, which will get executed over the next few months. And hence, this increase in inventory has, let's say, days of order book maybe a better metric to look at instead of days of revenue or the historical data in the context of where the company is right now.

Vimal Jamnadas Gohil: Understood. And sir, just one follow -up on the margin part, as you explained. So if I understand it correctly, there are some components in the wireline side, which happens to be, by the way, are better margin business. But there are certain components within that also which are probably like maybe a pass -through or have lower margins, which are higher in terms of mix this quarter, which is causing a lower gross margin. Is that understanding correct, sir?

Arnob Roy: That's correct. That's correct. The network always has a blend of equipment as it shows the entire equipment, where I talked about lower -cost access equipment customer premises as the margins are lower and the aggregation and the core has higher cost and higher margins.

And another example is in a WDM

network, the traffic carrying equipment at the end points, they actually pump in hundreds of gigabits and terabits of traffic. They have higher costs and higher margins, whereas the transmission chain with the optical components, they have a lower margin.

So, when we ship a network, the blend of this is what gives us the overall margin, and in this quarter, the blend has been for one part of it with lower margins. When we ship the other components of the network, the blended margin for that particular network or that particular shipment will come back to us.

Vimal Jamnadas Gohil: So this -- that shipment is expected -- so the higher capacity shipment where our margins are higher is expected to kick in from Q4?

Arnob Roy: Yes, yes. That's part of the same project. So part of it gets executed in Q3. Part of it will get executed in Q4. So that's how it's going to happen.

Vimal Jamnadas Gohil: Understood. All right, sir. Thank you so much. There are certain other questions, but I think I'll join back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Sangam Iyer from Consilium. Please go ahead.

Sangam Iyer: Sorry to harp on the working capital again. The receivables that we saw shooting up significantly in this quarter, was it primarily due to shipments more happening towards the latter half of the quarter? Or is this the new norm in terms of the receivables for the -- for this execution of this project? Just want to understand that first.

Sumit Dhingra: It's related to the revenue that got shipped during the quarter. And we will collect this as per the payment terms and as per the collection cycle as we go along over the next few months, not specifically limited only towards the shipments that happened towards the end of the quarter.

Sangam Iyer: Okay. Because for an incremental INR560 -odd crores of revenue generated, our receivables went up INR370 crores. So that's why I was just trying to understand what's the kind of payment term

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for this particular project.

Because the project is large, and this could actually stretch the balance sheet incrementally, given that our cash -- net cash balance has also come down to INR200 -odd crores. So that's why I was just trying to understand how to look at the incremental cash flow that would come in based on the execution of the project?

Arnob Roy: So I think while as Sumit explained, it's nothing to do with the shipment profile. But usually, during the quarter, the shipments all build up so that as the quarter progresses and towards the end like any other business, the following shipment increases over the weeks as it goes towards the end of the quarter. So from that point of view, yes a larger volume happened in the subsequent months and towards the subsequent weeks and so on, but I don't think most of this is connected to the time that the shipment happened.

Sangam Iyer: Got it. And secondly, on the margin front, I understand that we have product mixes that can alter margin on a quarter-on-quarter basis. So on an annualized basis, when you look at the mix of order backlog that we have and the mixing towards more wireless, should one be assume -- should one be looking at closer to 30% as a base case -- stable state gross margin? Or is that something too early to predict for now?

Arnob Roy: What was the number you mentioned, the margin?

Sangameswar Iyer: Around 30% gross margin. Is that something which would be more stabilized, given the kind of mix that we have between wireline and wireless in the order backlog?

Arnob Roy: See we don't give any guidance on margins. But as you've seen our blended margins in the past, and directionally, that's where we'll be at as our business continues.

Sangameswar Iyer: Got it. Perfect. Thank you.

Moderator: Thank you. The next question is from the line of Saloni Jain from Nirma

I Bang.

Manish Ostwal: Yes, this is Manish Ostwal from Nirmal Bang. I have a question on our export opportunities. So how we are seeing the traction over there. And secondly, the investment which we are making on R&D side. So how long this will continue because in the presentation, you said that loss because of the R&D investment. So the investments in R&D, how long it will continue at this pace? Thanks a lot.

Arnob Roy: So as far as exports are concerned, I think we have a focus on growing our export business, because of which we will continue to invest in international territories, in our direct sales force as well as signing up with partners in different territories. Our goal is to increase our international business substantially. But as you know, we started the process a couple quarters. And it will take some time since there's a gestation period to winning initial deals and getting a footprint in different countries and building on top of that.

So it is going to take some time before we see large projects internationally, replicating what we have in India. But I think the investment and the focus is certainly there. As far as R&D investments

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are concerned, R&D investments are going to happen for some time because there's a lot of products and a lot of areas, technology as well as project commitments that we have upcoming. So we will continue to invest. But at the same time, I would say that as our business grows, as we keep delivering on the large backlog that we have that business will certainly start offsetting the investments that we are seeing up till now. But yes, investments will continue to happen for some more time. We see a large opportunity going forward and we are seeking to build a global company with world-class products. So we still have some time in terms of investments like this.

Manish Ostwal: Thank you, sir. All the best.

Arnob Roy: Thank you.

Moderator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal Financial Services.

Mukul Garg: Yes, hi. Thank for taking my question. Couple of questions from my end. First, to Anand. Anand, I was just trying to understand the revenue you guys have recognized for international business this quarter, it seems a bit low compared to -- and especially when during the prepared remarks, you guys have mentioned that you guys implemented a couple of kind of solutions in the US and in Africa.

So can you just help understand, is this more about having mismatch between the kind of revenue recognition and implementation? Or is there something else which is going on for the international revenues to kind of show such a large dip in this quarter?

Anand Athreya: Hi, Mukul. So yes, it is actually a timing mismatch. We are making the necessary investments to build the team out. I'm sure you know this -- so it takes time for that to materialize. There's a lot of activity and proof of concepts and customer interest that's happening in Americas, in particular. So we hope those will start bearing fruit in the coming quarters.

Mukul Garg: Understood. So do you expect the international revenues to kind of see a meaningful ramp-up from here because this growth -- Am I getting the number right, it's only INR9 crores of international

revenue?

Arnob Roy: No, I don't think that's correct. We don't give the split obviously, but that's not correct. And as Anand mentioned, yes, there's a timing gap because we ship in one quarter, project implementation happens in another quarter. So whatever we're reporting in terms of product implementation is something that got shipped earlier. Whatever we're shipping right now will get implemented next quarter and so on.

So to your point, as Anand also mentioned, that proportionately, it was long but not what you are indicating. And we have a strong focus on export g

rowth. There's already a backlog of

international, that you see, all of us want to really grow that business.

Mukul Garg: Understood. The second question was, I mean, a follow-up to one -- what earlier participants have kind of alluded to, and this is like for both Anand and Sumit. You guys currently are sitting

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on about INR500 -odd crores of net cash. Your working capital is something around INR1,300 crores. You still have INR8,000 -plus crores of domestic, predominantly public sector, execution to do.

Is there a kind of a risk of requirement of additional fund raise maybe in the coming years to fulfil the requirements? Or do you think the payment timelines will be comfortable enough for you to convert this into cash and not require incremental money for working capital? And I would also want to throw in, if this would not leave any flexibility for potential inorganic scaling up for Tejas.

So if you can just help us understand, is this something which might require incremental funding?

Sumit Dhingra: Currently, we don't envisage any equity funding requirement. Like you rightly mentioned, the increase in working capital requirements are there, and they're expected to be there for the next few months as we execute these large contracts. But these are generally going to be short-term funding arrangements, short-term facilities that we would intend to look at as compared to longer sources of capital like equity or anything else.

Also, we expect to continue our focus on collections, and that should help us in managing this working capital requirements as we go along. From the point of view of investments in particular, I think the way we see it, currently, the business should be able to meet its future growth aspirations based on the current expectations out of the business. We don't expect any incremental equity right now in the immediate future.

Mukul Garg: Understood. And then final one for Arnob. Arnob, you mentioned about, again, the impact of the products, which kind of got expensed out this quarter. But if I look back at the history of the business, we have never had this high kind of equipment or raw material cost in our business even though we have previously had cases or instances where we shift towards the product profiles, which were relatively lower profits.

Is this something which is partially also on account of these deliveries which you are making on BSNL or go in our gross margins should remain below where we have historically seen going forward as well? Or am I reading too much into this?

Arnob Roy: Yes, I think you're reading a little bit too much into this. The reason you're seeing it now and didn't see it, first of all, because our overall business for wireline has also gone up, right? So if you see if the overall business has increased, then the proportion of the low-margin components of the network and the high margin components of the network will have also gone up, right?

And it just happened that it's more of a timing issue that in this quarter, a lot more of the low-margin components got shipped, and the other components will get shipped subsequently. So it is -- and I hope that answered that question that while yes, on a smaller revenue base, you saw the effect of the blended margin of the network. On a larger base, we are predominantly seeing the effects of the lower-margin part. I think it's nothing more than that.

Mukul Garg: Understood. Now that's clear. Thanks for taking my question. I'll get back into the queue.

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Moderator: Thank you. The next question is from the line of Hirenkumar Thakorlal Desai, an Individual Investor. Please go ahead.

Hirenkumar Desai: Thank you for giving the opportunity. I have two questions, one of them is again related to the margin. So our gross margin has been declining as

pretty much everybody has mentioned. I mean

do we see the sort of bottom around this place? Or now see the significant chunk of the business will be dominated by BSNL 4G supplies? So I mean does this have anything to do with this margin profile? Are we around the bottom? I'm not asking for any guidance or number.

Arnob Roy: Yes, as Sumit explained, there are two parts of the business. One is the wireline and the wireless part. For the wireline business, you basically know what our overall company gross margins are, and that is done in the past. So there is no change to that, except that as far as you talked about the

blend of margin that have to happen for existing products.

The wireless project has slightly lower margins. That was something we have talked about in the past but the costs get offset by the higher volume of the business, right? So that's about it. And there is nothing in terms of overall -- I mean that's the overall story about the margin.

There are two components, one where there is a margin protection, and we continue with -- or we don't see any impact overall to that on the wireline side. And wireless, at least for this project, with the large volumes, will have slightly lower margins but will get offset by the higher-volume business.

Hirenkumar Desai: The second part is about the currency movement. So now especially the wireless part, wireless sales I assume, contracts or sales or whatever is in rupees versus most of the components in dollars.

Is the company doing something?

Arnob Roy: Hiren, we lost you, could you repeat that question, please? We lost the first part.

Hirenkumar Desai: Yes, yes. The question is, again, the next few quarters, the revenue profile will be dominated by BSNL 4G business. And I'm assuming that you can correct me if I'm wrong, I'm assuming that our revenue will be in rupees contractual value, but the raw material is in dollars, right, for the components. So are we doing something to protect margins in that aspect?

Arnob Roy: Yes, yes. So basically on our forex management and I'll let Sumit answer that question.

Sumit Dhingra: So I could only partly hear. I think what you're saying is, while our revenues are going to be in rupees, our procurement is in dollars. So from a forex management point of view, we actively hedge our exposure through various instruments. We continue to monitor the currency risk or the currency exposure that we have. And we will suitably hedge our short- to medium-term exposures in particular as we go along.

Arnob Roy: I'd also like to add that especially for our BSNL radio products, we've done a significant amount of localization of the components that go into the product. A lot of the costly portions which are there. I did not mean the electronic components, but there are many other components that go into the radio design. And we have significantly localized that.

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And a lot of our partners are manufacturing in India or we have original Indian manufacturers who we have used a lot of the time. So I think while there is a significant dollar component, it is not as dominating as we would expect because of the amount of localization that we have done in the product.

Hirenkumar Desai: Thank you.

Moderator: Thank you. The next question is from the line of Moid Ansari from Hyderabad Investment Forum. Please go ahead.

Moid Ansari: Yes. My question is with regard to 4G technology for the BSNL that we have developed. There are a lot of questions in the market with regards to how effective or how developed the technology is. Recently, the BSNL employee union has written to the telecom minister that our technology is not up to the mark, and that is causing delay in rollout of 4G by BSNL. Similar questions were raised by the opposition in the parliament also that indigenous technology which the government is promoting is

subpar and not up to the mark.

So there are lots of questions regarding the efficacy of our technology that we have developed. Can you explain in detail? Means are you up to the mark? How is it compared? How are we performing vis-a-vis our competitors? Some explanation is needed on this issue because as investors, we are having a lot of concerns on this particular point. Everybody seems to be blaming Tejas only.

Arnob Roy: Yes. So I'd also request Kumar to add to this. The 4G technology we have developed has gone through extensive trials for over a year on a large testbed in North India (Punjab). Our products have been selected after pretty heavy testing through a proof of concept with a large amount of traffic flowing on the network.

So from a technology point of view, I don't think there is any concern since it's been extensively tried and tested. The only concerns I've recently heard about are in terms of the pace of the network build-outs, and not the actual technology itself. Further, the performance and robustness of our products have been compared with those of the leading world-class foreign vendors and only after that have the contracts been awarded. So there is no issue with respect to that.

I think the project rollout is where they're concerned in terms of getting the network built out in time so that they can grow their business around it. So based on whatever I've seen that seems to be the issue.

Moid Ansari: Yes, I have a follow-up question also. We are supposed to get an order from supply of equipment from ITI. Only TCS, has received the purchase order? Why has the ITI order not come? Means we are supposed to be the ones who are supplying equipment for both ITI and TCS. Can you give some clarification on that?

Arnob Roy: So we had discussed earlier also that the ITI order is coming through TCS. So whatever is 100,000-plus site orders that we are working on that includes the ITI component also.

Moid Ansari: Okay. Thank you.

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Moderator: Thank you. The next question is from the line of Sa chin Jain, an individual investor. Please go ahead.

Sachin Jain: Thank you for the opportunity. My question is more on your international side. Can you offer me some qualitative comments on business development effort on international side? Basically, what kind of traction you are getting over there? Or can you also highlight in terms of how our product, particularly wireless, getting perceived in international market? Where are we in a business development journey? Or when can you expect some significant event in those markets?

And why I'm asking because once, in next 18 or 24 months, you are done with BSNL or some part of BharatNet probably it's a traction in international markets which will keep our revenue momentum on. And so that's the context.

Arnob Roy: I think very, very valid questions. And we are also cognizant of that. And a lot of investment is happening not only as a direct investment from our side in terms of investing in our sales teams and support teams but we're also using our partnership with the TATA Group companies such as TCS, Tata Communication and TCTS and using those channels and partnerships as well to get access to customers across the globe.

So we have seen initial traction. There have been ways that we have worked together with them, and there are many other customers that have got connected to interactions and all, where we have been able to access.

So we are also, apart from our direct business development, I mean, leveraging the brand and the relationships of the group as well. However in this business, any business development, any significant results take time.

So while we are focusing on the smaller network opportunities where we can get in quickly and do our business. We're also working with good companies as well as directly for the larger opportunities in Tier 1 operators across the globe. So the focus is there, and we hope to see results sometime down the line.

I mean we are just conscious of the fact that these things take time and effort. And once we have significant breakthrough, in certainly some market. The replicating them in the areas becomes that much easier and that's what our focus is on.

Sachin Jain: So in your initial discussion with customers, can you give some qualitative input in terms of how we're getting perceived in those markets post we are doing this BSNL order bid? And I understand this business development takes time. But internally, when you guys are thinking, how far we must be from a good win, a sizable win? Just need your qualitative inputs.

Anand Athreya: So maybe I can take this. So as Arnob said, this is going to take time, that's number one. The second thing is, I think we have to get to a point where there is a reasonable sized rollout in BSNL because everybody is watching. We are doing it for the first time here. So I think when that happens, then I think people will be more interested in doing proof-of-concept trials and all other good stuff.

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So again, our focus is going to be twofold. One is developing countries, and there has been a lot of them in Africa, in Southeast Asia and other places. But also in developed countries, where there are rip-and-replace programs where we will definitely have an opportunity to participate. But I think net net takeaway is everybody is going to be watching this. And when we pull this off, then I think the doors will open up.

Sachin Jain: Thank you.

Moderator: Thank you. The next question is from the line of Sohan Joshi, an individual investor. Please go ahead.

Sohan Joshi: Just one question. When we'll be able to monetize our Renesas strategic partnership? I mean are we going to -- are we looking at the revenue after the BSNL project is executed? And what will be approximately R&D spend? Is the R&D spend currently which is getting reflected -- is of the Renesas partnership? Or it will get recognized in the P&L from the subsequent quarters?

Arnob Roy: Which partnership what you're referring to?

Sohan Joshi: Renesas, Renesas.

Arnob Roy: No, I don't think anything over here is reflective of any partnership with Renesas. The technology partnership we have with them is for innovating technology and co-development. But the R&D spend shown is not connected to our partnership with Renesas.

Anand Athreya: Yes. So, we have time for one last question.

Sohan Joshi: That's it from my end.

Moderator: Thank you. The next question is from the line of Ranjit, an individual investor. Please go ahead.

Ranjit: Hi, good evening. Thanks for the opportunity. I have a question about this margin blend and product mix. So the question is, do we have any strategic business product plan for enhancing the margin mix? And the second part of the question is, are the low-margin products are necessary for

winning higher -margin business? And if so, is there any plan to partner with a third party so that the company focuses on -- more on the higher margin? That's my question. Thank you.

Anand Athreya: So let me take a stab at this. So a couple of things. As a n OEM company, we will always constantly look at our products to see how we can make it fa ster, better, cheaper. And there are many ways to do it with alternate design, working with our suppliers. So that is a constant work in progress. So that's number one.

Then in order to win deals like this, it is always good to have a complete portfolio w here it makes sense. And also, we are definitely open. And where if it does not make cost sense for us to build it on our own, we can partner and outsource it from someone. We definitely look at it all the time.

So it's actually a combination of all of these three. And f

inally, once you have a complete portfolio,

then it increases the chances of winning a deal. And it also helps in how we can struc ture the deal.

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Ranjit: So in terms of the business wins, or the plan for the business wins, is there any conscious effort in controlling this mix of low and high margin?

Arnob Roy: Any deal, any network that we supply for, we have a mix of low margin and h igh margin products.

So we have all aspe cts of the portfolio. So when we ship all of the products in a network, the blended m argin is what you see usually.

It's not that we are currently shipping low-margin products, and we are looking to ship high-margin products. I mean we have the entire portf olio, which is a combination of low margin, lower -cost products and higher margin, higher -cost products.

Ranjit: Thank you so much.

Moderator: Thank you. We have no further questions, sir. I would now like to hand the conference over to Mr.

Anand Athreya for closing comments. Over to you, sir.

Anand Athreya: Thank you. So as I said in my opening statement, we had a strong revenue growth this quarter, and Tejas will continue to focus on investment and execution becau se we have a job to deliver. We have large opportunities and commitment s to our customers, and we will continue to focus on execution.

And I'm really happy with the progress that's been made on wireless as Arnob said in the begin ning.

Our Band 1, Band 28 and dual-band r adios are looking good and operating well. So t hat gives us a lot more confidence and optimism that we are ready to take off. And the optical products too are getting delivered. Over the last couple of quarters, we've been focusing on buildi ng all of this and delivering with v olume and scale. So I think the stage is being set and you will start to see the results of these efforts in the coming quarters.

And last but not the least, supply chain used to be a problem. Now I believe it's in a reasonably good shape . There are some long lead items, but I think it's more predictab le and more in control than it has ever been since I'm here. With that, I would like to close this call. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Anand Athreya: Thank you very much. Bye, bye.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Apr 2024

April 26, 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY24 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 4 FY24 Earnings Conference Call held on April 22 , 2024 .

Kindly take the above information on record.

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

Page 1 of 15

"Tejas Networks Limited Q4 FY '24 Earnings
Conference Call"

April 22, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR , TEJAS NETWORKS
LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE -TIME DIRECTOR , TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER ,
TEJAS NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY
OFFICER , TEJAS NETWORKS LIMITED
MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

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Moderator : Ladies and gentlemen, good day, and welcome to the Q 4 FY '24 Tejas Networks Limited Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashvik Jain from ICICI Securities. Thank you, and over to you, sir.

Ashvik Jain: Thank you , Sagar . Good evening, everyone. Thank you for joining Tejas Networks Limited Q 4 FY '24 Results Conference Call. We have Tejas Networks' management on call represented by Mr. Anand Athreya – CEO and Managing Director; Mr. Arnob Roy – Chief Operating Officer and Whole -Time Director; Mr. Sumit Dhingra – Chief Financial Officer; and Dr. Kumar N. Sivarajan – Chief Technological Officer.

I would like to invite Mr. Anand sir to initiate with opening remarks, post which we will have earning presentation and Q&A session. Over to you, sir .

Anand Athreya: Thanks, Ashvik. Welcome to Q4 FY '24 Tejas Earnings call. Good evening. My name is Anand Athreya . I am the CEO and MD of Tejas Networks and I have Arnob Roy who is the Co-founder and COO ; Dr. Kumar Sivarajan who is the Co-founder and CTO and Sumit Dhingra who is our CFO.

I am happy to inform you that Tejas had the best ever quarter and the best ever year in its history and a profitable one, too. Over the last year, Tejas has been insanely focused, and we have been executing ruthlessly on major projects such as BSNL 4G MAAN and many other projects. What you have witnessed in this recent quarter is growth in all segments and we have also secured the supply chain. So, I am very pleased , having completed one year at Tejas , at the progress that we have made. And I will hand it over to Arnob Roy to go into other details. Thank you.

Arnob Roy: Thanks, Anand. I will take you through our quarterly presentation that we have uploaded, which has two sections. One is the results of Q4 and giving some color and details to it, as well as a refresh of our products and technologies and the outlook for the future.

So, this first update is about Q4. As Anand mentioned, we ended the year on a very strong note, a very strong revenue growth. We scaled our business to achieve profitability and ended the year with a strong order book for execution in FY '25 and beyond.

So, for the quarter, we had a net revenue of 1,327 crores, which is a significant jump over year -over-year, and a profit after tax of 147 crores. For the year, we ended with 2,471 crores, again a Tejas Networks Limited

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strong growth from the previous year, and a PAT of 63 crores. We also ended the year with an order book of more than 8,200 crores.

To add some more color to the quarter, we made a lot of progress in all fronts of both wireless and wireline business . For wireless, we shipped a lot of equipment for the 4G/5G RAN in the BSNL network. We have shipped cumulatively more than 10,000 sites, and the installations are progressing quite well.

Apart from this, we also engaged with several other customers for our RAN products, and as of now, we have multiple ongoing proof of concepts , POC, with potential customers. So, we have started making business development progress beyond the immediate BSNL opportunity. We have made good progress for our wireline business as well. I think one of the highlights was completing the supply of large quantities of IP/MPLS routers for BSNL 's MAAN network , which is the backhaul network for the 4G/ 5G wireless network. This is one of the largest deployments of indigenous IP/MP

LS routers in India. There are close to 15,000 routers deployed in the BSNL network and we have completed the supplies, and the installation , commissioning and deployment is going on as we speak .

We also had several strategic wins for our WDM and our Switching/Routing products in the Critical infrastructure sector. We entered into a strategic partnership with Telecom Egypt for our FTTx GPON equipment , which includes, apart from local manufacturing and supplies, sharing the experience of BharatNet and NKN Network projects in India and also contributing to the training and manpower development in Egypt. There are also gateways to many countries in which they have a free trade agreement and there could be a potential gateway for supplies to many countries in Africa and Middle East.

Some of the other highlights are the approval of our PLI application and the grant of 32 .66 crores for the past year of FY '22 -23 and also Saankhya Labs , our subsidiary, also got approved under the semiconductor PLI scheme and received the incentives as well.

During Q4, Tejas and its subsidiaries were granted 22 patents and the total approved patent count of 335.

A few corporate updates . We received the Voice and Data Excellence Award in the “Make in India” category for our Carrier Router portfolio , which are basically the I P/MLS - products that we shipped to BSNL for the MAAN network.

We are also starting to get recognized globally as key v endors for our products and for our wireless products from Gartner , a very respectable industry analyst . They recognized us as a representative vendor in their Open RAN/ vRAN market report and Omdia , which is a leading analyst in the wireline space, they also recognized us in their F TTX report as an established PON OLT vendor in the rest of Asia and Oceania markets.

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Apart from that, our merger process with Saankhya is progressing well and the resolution was approved by the equity shareholders and the unsecured creditors of the company and after the voting that was conducted as per NCLT directions. We expect the next few steps to get completed over the next couple of quarters for a formal closure of the merger.

So, I, Arnob Roy , was reappointed as the Executive Director and COO. Mr. Bhav e, who has been a director for many years, he retired as a non -executive independent director on the completion of his tenure and Mr. Lakshmi narayanan also resigned as a no-executive non-independent director to spend time for his professional commitments.

Some color on the revenue profile for F Y '24. We see on the right -hand side, the Indian government was 36% of the overall business, Indian private was 54%, and international was 10% of our revenue and this is an area that we are focusing a lot in terms of growth for our international business.

I would like to definitely remind you that the shipments that are happening for BSNL 4G are being categorized as India private, because our immediate customer is TCS, which is a private entity. And just to reiterate, we have a strong closing backlog of 8,200 odd crores of which a substantial part is India at 7,900 odd crores and international is 263 crores.

I will now hand over to our CFO – Sumit to give some details about the financials.

Sumit Dhingra: Good evening, everyone. From a financial perspective, we had a revenue of 1,327 crores for the quarter. This was a growth of 343% over the previous year same quarter. EBIT of 248 crores and PAT of 147 crores. This implied an EPS of 8.6. From a full -year perspective, consolidated revenue was 2,471 crores , EBIT of 83 crores and PAT of 63 crores with an EPS of 3.7. So, from both a quarter -on-quarter perspective and on a year -on-year perspective, we had a strong growth in quarter.

Now the other key financial indicators, if you look at

the net worth of about Rs. 3,150 crores,

inventory of Rs. 3, 738 crores increased compared to the previous quarter, which was around Rs. 2,683 crores. Predominantly because, as mentioned in the previous call as well, we are securing long-lead items for expedited delivery of large projects, including the BSNL 4G. And as we go along, as the project continues to get executed, the inventory will eventually get absorbed.

Our trade receivables stand at around Rs. 1 ,458 crores at the end of the year. This is partly also linked to the revenues that we have done during the quarter. We had collection over Rs. 650 crores this quarter. Working capital increased by 1 ,519 crores, again driven mainly by inventory and receivables. Our cash position at the end of the year was Rs. 641 crores and working capital borrowings of Rs. 1 ,744 crores, which is essentially all for working capital.

Arnob Roy : Thanks, Sumit. So, as a recap of what happened in FY '24, FY '24 has been a milestone year for us. We have a significant growth in revenue and a turn to profitability, starting with Q4. We

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have growth in all the product segments driven by wireless and all the different product segments in wireline as well. We had a successful entry into two new large product technology segments with high growth. The 4G /5G RAN and the Service P rovider Switching/Routing market. We entered these market s with large projects in hand, which we are executing successfully.

We are execut ing the largest network built in India, with indigenous technology in 4G /5G RA N, Routers, as well as Satellite transponders , which we talked about last quarter for the vessel tracking system (VTS) project that is getting executed by Saankhya Labs .

We demonstrated our ability to scale manufacturing by executing shipments in record time. We finished March shipment of 15,000 routers in literally two months. And we made significant investments for enabling future growth.

We grew our headcount by 42%, mainly in R&D , manufacturing, sales and support. We have expanded our facilities for supporting our growth in R&D and manufacturing operations. And we also made major capital investments in R&D and manufacturing. We have been talking about this over the la st couple of quarters as well.

So, I quickly switch on to a little bit of a refresh of our business. As you know, we make end-to-end products for building telecom networks. We have an entire range of products, starting with, on the left-hand side, wireless and wireline access in the wireless 4G, 5G radios and wireline access, GPON/XGS-PON equipment, and also Ethernet and IP/MPLS, customer premises equipment for broadband and enterprise services.

We also have the metro aggregation products, which is in the middle of the slide, in the middle section of the slide, with multiple technologies within the metro aggregation network. And then we have the metro core and long-haul products using DWDM and OTN technologies, and all of these can be managed by a single network management solution. So, this gives us a unique advantage of being able to build complete end-to-end network for any customer.

So, that's where we are today as our products, and the key applications that we serve are the four key applications. One is the mobile RAN, the 4G/5G mobile RAN network, and the backhaul network. That's the big project that we are executing right now. We do our equipment business for both retail and enterprise data services. A big section of our business is home and business broadband, and we develop where we are deployed in ISPs, several ISPs globally. And also network for a critical network infrastructure, such as utilities, power, rail, oil and gas, where our equipment is used to build their critical networks for the captive networks of the SCADA applications and also for the ir wholesale network bandwidth business.

So, our products are targeted towards high growth market segments in wireless and wireline and on the left-hand side, you will see the addressable market for the RAN network, which is growing significantly in large markets over the next five years.

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And also, on the right-hand side, you can see the wireline market. These are our addressable markets, which has even stronger growth. And all the segments that we are in are seeing strong growth globally, both in India as well as in global markets.

So, looking forward to the future, beyond the overall market growth, we are looking at several high-scale opportunities, both in India as well as internationally. In India, we have several large projects. One part of it is, of course, the BSNL 4G/5G continued investment. There are going to be more investments in 4G saturation networks, for the pan-India 5G networks, and for the ir backhaul expansion.

For the private telcos, we see a lot more CAPEX investments happening for the 4G/5G networks.

And similarly, for the Crosshaul networks for the mobile applications. We also have the BharatNet Phase-3 project, the initial specifications and tender documents have come out and it's in the process of getting finalized. And just the CAPEX that you see, which has been asked for, is more than \$500 million. That's the initial estimate, and it's going to be more than that.

And the other part is that the broadband roll-outs in India continue to pick up steam, and we see in the plans of all the private operators and the 5G, where more than \$600 million of investments are planned over the next few years.

So, these are summaries of all the significant projects and opportunities that we see which are addressed by the product portfolio that we have. Similarly, globally, there are huge investments going out in broadband equipment, where more than \$100 billion are getting spent in the U.S. and Europe, as you know, the BEAD project and the others in Europe, which is actually bridging the digital divide in the different countries by expanding their rural broadband network and a huge investment is going over there. There is a large replacement market of replacing high-risk vendor equipment in EU and the U.S. and more than \$5 billion have been assigned for that market.

In some of the emerging economies in Africa and Asia, we see a lot of investments which are planned for expanding 4G/5G networks because the deployment is initially starting right now and peaking at this time, and we see that as an opportunity to grow in this market. And a lot of investments are actually planned for utility modernization. But there is more than \$8 billion of additional market for helping transition utility networks from the traditional SONET/SDH equipment to IP-based networks and that's one of the technologies that we are very strong in.

So, net net in summary, I will give you a picture of FY '24 and our outlook for the next few years and our continued investments. I will stop over here, and we will open up the floor to Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sohan Joshi from ASC Consultants. Please go ahead.

Sohan Joshi: Congratulations for these numbers. So, this backlog order of 8,200 doesn't cover the 5G order site, right? It's just for the 4G coverage of one lakh site, right?

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Arnob Roy : That's correct. It just covers our existing backlog using 4G and other wireline order books that we have. This doesn't cover the 5G upgrades.

Sohan Joshi: My second question is, this system on chip IP design regarding the semiconductor developed by the Saankhya, I presume it

will be captively consumed for first 5G wireless equipment and then we will market it for outside market, right?

Arnob Roy : So, the current SOCs are actually getting used in one of their chips for their satellite transponder products, which has been designed using the semiconductor. The newer chips that they are designing, I mean, we will evolve our products subsequently when the chips are ready. But our current 5G products are not held up by that because our current generation products are getting designed and will get launched this year. And when their semiconductor gets ready at that time, we will try to optimize the equipment at that point of time.

Moderator: Thank you. The next question is from the line of Santosh Sinha from Emkay Global. Please go ahead.

Santosh Sinha: My question is regarding the BSNL project. So, what exactly is the timeline for this project? Is the whole of many portion will be excluded in FY '25 alone or will they be excluded in FY '26 as well? Is there any resource related to BSNL, sir?

So, my question is regarding this BSNL project. So, we were reading about some news articles that there has been concern regarding delays in the project and BSNL is also looking for help from the vendors as such. So, do you want to comment on that? And the last question is, what kind of margins do we expect in the long run?

Arnob Roy : So, you have asked three questions, Santosh. The first thing is BSNL supplies. Yes, I think we expect to finish our supplies in this financial year, in FY '25 itself, right? And I think, again, most part of the network will also get deployed and commissioned during that time. So, this is the answer to the first question.

Second question was about news reports that have come up and just to reiterate what that report really meant. I will give you the subsequent clarification that came. See, the RAN equipment is actually getting deployed all across the country right now in different zones, right? North and then West and other zones also started right now.

But what has happened is the core has been deployed in a few of the zones, not in all of them. So, wherever our RAN is getting deployed and installed, at that time, whenever the CDOT core is not there, the equipment is getting integrated to the existing core. So, when the CDOT core gets deployed in those circles, in those zones, they will get parented to the CDOT core as well.

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So, this is just a temporary situation where the RAN is deployed. And in that zone, the core is not available. So, it is getting integrated with the existing core in the network. So, that is all that the report has meant.

Your third question was about margins. As you have seen, our margins have actually grown over the last quarter. And going forward, we don't comment on how the margins are going to look like. But as a combination of our wireless and wireline equipment, we keep saying that our long-term goal is to see a historical margin that we have in the company. Over time, we will be growing the projection and keeping those kinds of numbers in terms of margins and financials as well.

Santosh Sinha: Just two more questions. After that I will fall in the queue. One is regarding international. So, what kind of headway we are seeing at the international front? Because ultimately FY '26 we will have to grow on the international side. So, what kind of, are we seeing any new interactions or interest from the client? And second is regarding BharatNet. So, what is the update there? And where can we see actually the revenue coming from BharatNet?

Arnob Roy : I am not sure we could follow your questions because your line was not too good. I think your question was, I understand was international business and what kind of opportunities we see and what do we see in BharatNet? If you recall the last

slide that I presented on the immediate and the upcoming opportunities in international market, we are increasing our focus and investments in international markets. We have given you a big picture of the opportunities that we are looking at both in the U.S. and Europe as well as the kind of opportunities and utilities as well as emerging markets. There are several projects and the opportunities we are currently engaged in in these markets without giving a lot of details, but that's going to be a focus area for us. That's going to be where our investments are also going to happen in the next few quarters, that's internationally.

As far as BharatNet is concerned, as you know, the project is already announced. Lot of the technical documents and tender documents are out, but right now, there are questions and clarifications are going on with that tender, and we expect that sometime during the year, the

tender will be picked and completed and so on. And a lot of the active equipment over there is for IP/MPLS routers, the kind that we have and that we have shipped to BSNL and also for the FTTx equipment or the xPON equipment OLT and ONT . So, we are well covered in terms of products for the opportunities in BharatNet, in the upcoming BharatNet tender. I hope I have answered your question.

Moderator: Thank you. The next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta: Hi sir, thank you for the opportunity and congratulations for a very robust set of executions which you have done for this quarter. I just have one question. This quarter we have seen significant stretching of our working capital cycle. How should we look at this number as you

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ramp up our orders and what can we steady state working capital cycle, if you can comment on that?

Arnob Roy : I will let Sumit take your question . Please go ahead.

Sumit Dhingra: So, as we had commented earlier, the working capital currently needs to be looked at in context of the BSNL 4G project. We are in the midst of executing this large project . This is 7,700 crores worth of value over the next four quarters. A lot of working capital build up is in context or in preparation or execution of that project. As we go along over the next couple of quarters, you will see eventually the working capital tapering down as the execution progresses.

Moderator: Thank you. The next question is from the line of Ashish from JM Mutual Funds. Please go ahead.

Ashish: Sir, in terms of our RAN, if you could highlight the competitive scenario in the Indian market. We understand there are international players also selling similar radios. Is there a cost advantage for private telcos? So, basically, are our products cost competitive ? And if you could also highlight whether there is a difference in technology stack for 4G and 5G RAN between us and those guys ?

Arnob Roy : Yes, we have bid and won this large BSNL network and BSNL has ensured that they get the most competitive prices which are available in the market. So, you can be rest assured that the products that we have designed and that we are selling are extremely competitive as far as the global operators go. So, that's one part from a cost competitiveness perspective .

The other part is about technological differentiators. Yes, any product that we make are always made with several technological differentiators and I will let Kumar , our CTO talk about that.

Kumar Sivarajan: One of the important differentiators we have is that we integrate optical transport into the wireless , which almost no one else is doing in the industry , and that's the key differentiator. We also have the ability to integrate other forms of optical access into the same product , what we call universal converged product. So, that's the key differentiator.

This

integration actually helps bring down the total cost of ownership of the wireless operators by doing multiple technology integration into our RAN equipment . So, they save a lot of money in buying and building the backhaul equipment and as well as it gives them the platform for launching other services apart from the mobile services which is like helping them address all the home and the enterprise for broadband opportunities in and around the area where they are installed. So, this is one of the key differentiators and the customer really appreciates this and is leveraging this technological advantage as well.

Ashish: This is helpful. Secondly, on this private telcos, apart from BSNL, as far as the private telcos are concerned, is there an opportunity for us ? Obviously , you have mentioned on the slide that more

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than \$3 billion of CAPEX will be rolled out in terms of opportunity size and are we in discussion with some of the bigger private telcos as far as these radios are concerned?

Arnob Roy : So, as I mentioned in the earlier slides, that we are actually engaged in a few opportunities of the telcos and in the critical infrastructure sector . And as we speak, to name them, we are into multiple POCs where our radios are actually deployed and undergoing trials. So, yes, even beyond this, there are multiple opportunities , and we have started engaging with other customers and they are all in India , and we hope to actually line up some opportunities internationally as well.

Ashish: And lastly, do we have sufficient manufacturing capacity on our side ? And to that extent, would you say that the borrowings would not increase from current levels or would stay at current levels?

Arnob Roy : So, after the manufacturing capacity has been built up, that is why the investments have been happening over the last few quarters and now we have established a scale where we can execute a project of this size within the time lines that are expected and these are very aggressive, right?

So, we have to invest in that kind of manufacturing capacity. So, that is there . And I think your question was about the working capital going forward. See, the one part is the investment in manufacturing for filling it up, but a lot of the working capital is in procurement of components which go into these manufacturing lines . And that is a temporary phenomenon for executing this large project where existing inventory that is getting converted into the finished products and they will get shipped out and we are getting our collections in as well and that is where the working capital cycle will go through and go down over time.

Moderator: Thank you. The next question is from the line of Pavnish from Hridya Cars . Please go ahead.

Pavnish: Sir, I just wanted to make a request if we could release our results a bit early because today the conference call was scheduled at 7 and results were declared at 7.10. So, didn't get much time to analyze the presentation and ask the question. Otherwise, my questions have mostly been covered by other analysts. Just this request.

Anand Athreya : Sure. Yes, this was a first for us, but yes, definitely we will do it ahead of time.

Moderator: Thank you. The next question is from the line of Pratap Maliwal from MountIntra Finance. Please go ahead.

Pratap Maliwal: So, I just wanted to confirm that I was seeing in the presentation that these cumulatively shipped equipment for about 10,000 plus sites on the wireless business. So, just to confirm, the overall order was for about 100,000 sites. So, we will be looking to the remaining 90 ,000 in the next three or four quarters going ahead. Is that correct?

Arnob Roy : That's correct.

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Pratap Maliwal: And just one more thing . We have had an improve

ment in profitability as well this quarter . So, last quarter we have seen that the low margin parts of the network equipment were deployed more and that had consequently affected our profitability a little bit. So, has that actually been compensated for this quarter? And going ahead, can we expect this improvement to sustain now that the low margin parts are out?

Arnob Roy : So, yes, your observation is right. I mean, we mentioned that last quarter and that's correct. I think this quarter we shipped components of products with higher margin and that's what is showing in our overall margins .. So, going forward, I think the blended margin, as I said, we don't comment on future margins, but we can see the trend out there and as you said, our margins, the blend of wireless and wireless products. So, yes, the trajectory is there and it will depend on the combination of products associated.

Pratap Maliwal: So, we do expect to hopefully maintain the improvement going forward as well?

Anand Athreya : We don't give guidance on that.

Moderator: The next question is from the line of Hirenkumar Thakorlal Desai who is an individual investor. Please go ahead.

Hirenkumar T. Desai: I have just one question. Do we have an estimate of what PLI incentives we may receive for FY '25?

Arnob Roy: The PLI estimates for the year are dependent on the revenues that we do for the year. For FY '25, since we don't give any guidance on the revenue, it will be difficult to give you that estimate.

Hirenkumar T. Desai: Can you provide some percentage of revenue as an incentive that is there? I mean, what is the percentage number?

Arnob Roy: Policy states that the PLI would be between 5% -6% of the manufacturing revenue, which is incremental revenue over the base year. So, for every year, whatever is the manufacturing revenue, less the revenue for the base year. On that number, you would get, let's say, 6% kind of PLI.

Moderator: Thank you. The next question is from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: So, I was having just one question. How are we looking at a strategic partnership with Valiant Communications? Are we looking at any acquisition which will help us doing any backward integration, like... ?

Arnob Roy : Yes. So, with Valiant Technologies, we have a very strong partnership going over many years. They are our key partners for the utility markets. Their teleprotection technology gets integrated with our transmission products to provide an optimized solution to our utility and critical

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infrastructure customers. So, that partner offers an orthogonal set of products, but they work very well together with our products to address this market. And this is going to continue. We are looking at opportunities together in markets, not only in India, but globally. But that's how it works.

Moderator: Thank you. The next question is from the line of Gurvinder Juneja from Fortuna Investment Advisors. Please go ahead.

Gurvinder Juneja: My first question is about getting some clarity on this proof of concept you are doing on the utility side. What does that mean? Is that including any work with Valiant? And second question is, I probably misunderstood or didn't understand the split of revenue you gave between India Government and India Private. What gets classified as India Government revenue and what gets classified as India Private? I just wanted some clarification. I missed that piece.

Arnob Roy : First of all, the POCs that we are doing is on our wireless 4G/5G RAN equipment. And this is not including Valiant. So, this is purely applications in wireless. So, these are multiple networks where they are getting tried out as you see for potential deployment. Your second question is about India government and all.

As you see, as you know, we split our revenue in terms of three sectors. One is the Indian government, which is mainly the public sector companies, the operators, the EPC companies, BBNL, BSNL and so on. And then the Indian private, which are the telcos, private telcos and ISPs in India. And the third part is the international customers.

So, the clarification we gave was, in India private in the last few quarters, our shipment to BSNL 4G is categorized as India private, because actually our immediate customer is TCS and not BSNL. And we look at our immediate customer who we are shipping to, to kind of classify the business segment. So, we just want to make sure that we understand that the India private numbers that we are showing, reporting, that includes the BSNL 4G/5G shipment.

Moderator: Thank you. Our next question is from the line of Harshit from Wallfort PMS. Please go ahead.

Harshit: Just wanted to get a sense of the kind of order book build-up that we can have going forward. Could you give some sense on that?

Arnob Roy : We don't give guidance on future business. You know, you have the order book and a kind of painted color of the opportunities in front of us, both in India as well as internationally. So, I think that's the best that we can do, right? Talk about our products, talk about our current order book and talk about the market for these products and the immediate large opportunities that we see in front of us. I think that's the best we can do.

Harshit: So, globally, sir, the kind of business that we do, globally, how many competitors would be there, comparable competitors, if you can just put that kind of a number?

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Arnob Roy : Well, if you look at it in India, all the global vendors and our global competitors are actually doing business in India, right? I mean, all the names that you know of. So, internationally also, we compete against them in India and it's the same set of vendors that we compete against in the rest of the world. So, there is no difference. I think it's the same comparative environment that you see in India that you see internationally.

Harshit: And so, would you like to share how many tenders have we filled in or how many, what is the win ratio or something like that? Is that possible?

Arnob Roy : Yes, I think those are far more details of our business. Unfortunately, we cannot share, but I think bidding keeps happening all the time and we win some and lose some. But those are numbers that we really don't share in terms of how many bids and win ratios and all those kind of things. I mean, that's really confidential information.

Harshit: Okay, sir, not a problem.

Moderator: Thank you. Our next follow-up question is from the line of Hirenkumar Thakorlal Desai, who is an individual investor. Please go ahead.

Hirenkumar T. Desai: One more question was just regarding the inventory part of it, or you may just say the entire inventory cycle. The fact that we are dealing with TCS in a way, do we have a sort of better estimate or better certainty in terms of how long that cycle will be? I mean, what is the inventory turnover that we need to maintain, especially for BSNL business?

Sumit Dhingra : See, as I mentioned, this project is a 7,700 crore worth of projects. The execution in terms of number of sites is about 10,000 sites, as against 1 lakh sites. So, it's about 90% yet to be executed. And from a lead time perspective, we have done some advanced procurement to be able to ship these products in time.

Now, purely from that perspective, if you see the order size versus the inventory, we have inventory for the next few months of delivery. We have not fully yet procured all the inventory for the project, but a significant part of it is in place and it helps us have that assurance with respect to being able to deliver.

On

an overall basis, the operating cycle is less than 12 months from a working capital standpoint, but that would essentially, as we go along, it could ease off.

Arnob Roy: So, Hiren, I think the inventory is basically the time cycle between the time we procure the

components, and we actually manufacture them and ship them out. So, it's really not connected to TCS. It's connected to the cycle of manufacture and shipment to the warehouse, to TCS and regional warehouses.

Hirenkumar T. Desai: No, I understand. I mean, I am assuming the context that payment from TCS will be fairly predictable in that context.

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Sumit Dhingra : Yes. The inventory levels wouldn't depend on the payments. That is something that we procure from our vendors and against that we would have payables in the books. And as we go along, as we ship and deliver the sites to TCS, then the payment cycle starts.

Hirenkumar T. Desai: Yes, you just mentioned that we have built inventory for a few months. Can you quantify a few months?

Arnob Roy : See, when I say a few months, I was referring in the context of the BSNL project execution.

Hirenkumar T. Desai: Yes, that's what my question is regarding.

Arnob Roy : Over the next two to three quarters is what we're looking to execute this project. And the inventory that we have is a portion of what we really need to execute that. There are some advanced actions that we have taken. So, this inventory would, let's say, peak up a little bit from here and thereafter as the execution progresses, we would progressively see it coming down.

Hirenkumar T. Desai: In that case, are you in a position to specify, okay, not exact, but some ballpark number, at what level will it peak?

Arnob Roy : It's difficult to give any guidance on what level would it peak. Maybe in the next three to four months is where you would see this peaking up and then possibly coming down. But as I said, it depends on the pace of execution of the project.

Moderator: Thank you. We will take our last question from the line of Sohan Joshi from ASC Consultants. Please go ahead.

Sohan Joshi: Thanks a lot, sir, for taking my follow-up question. I just want to understand, when will the PO of the 5G sites will be out? Will it be out by this year only or first the entire execution is completed, then the PO will be out for the 5G sites?

Arnob Roy : Yes. So, the PO, see, it's not designed to wait for the entire project to get over. We will be doing a POC for this 5G upgrade shortly. In the next few months, when all that is completed, I think we expect to get the 5G upgrade business, obviously.

Sohan Joshi: So, that will be for the 40% sites of the existing 1 lakh sites, right?

Arnob Roy : That's correct.

Sohan Joshi: So, the current order book doesn't contain that 40% of the upgradation, right?

Arnob Roy : That's correct. It does not contain that.

Sohan Joshi: And then the maintenance PO will be out, which is for the next seven years post three years?

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Arnob Roy : That's correct.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Anand Athreya sir, for closing comments.

Anand Athreya: Thank you. So, as the FY '24 closes, first I would like to thank our employees, customers, board members, investors, and stockholders for your continued support. This has been a record year for us, and we will continue to stay focused and execute month-on-month and quarter-over-quarter to put Tejas on a world map. Again, I wish you all the best and thank you very much.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability

and does not purport to be a verbatim record of the proceedings

Call: Aug 2024

July 29, 2024
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q1 FY25 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q1 FY25 Earnings Conference Call held on July 19, 2024.

Kindly take the above information on record and acknowledge .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q1 FY '25 Earnings Conference Call"
July 19, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY – CHIEF OPERATING OFFICER AND
WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Tejas Networks Limited Q1 FY '25 Earnings Conference Call , hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Ashvik Jain from ICICI Securities. Thank you and over to you, sir.
Ashvik: Thank you. Good evening, everyone. Thank you for joining the Tejas Networks Limited Q1 FY '25 Results Conference Call .

We have Tejas's Network Management on call represented by Mr. Anand Athreya, Chief Executive Officer and Managing Director; Mr. Arnob Roy, Chief Operating Officer and Whole-time Director; Mr. Sumit Dhingra, Chief Financial Officer; Dr. Kumar N. Sivarajan, Chief Technology Officer. I would like to invite Mr. Anand sir to initiate with opening remarks followed by a quarterly update, post which we will have a Q&A session. Over to you, sir.

Anand Athreya: Good evening. Thanks for attending the Q1 FY '25 Tejas Networks earnings call. I have my colleagues here, Arnob Roy, CEO and Executive Director; Dr. Kumar Sivarajan, CTO; and Sumit Dhingra, who is our CFO, with me in the room. I want to give you some key updates for Q1 FY '25. I'm happy to inform you that this has been the best quarter ever for Tejas. Our Q1 FY '25 net revenue was INR 1,563 crores, which was an 8.3x year-over-year. And the profit after tax in Q1 FY '25 was INR 77 crores. We ended Q1 with an order book of INR 7,091 crores. Let me talk briefly about our business.

We are primarily two segments, wireless and wireline. On the wireless business, our 4G/5G RAN installations for the BSNL's Pan India network is progressing well. We have cumulatively so far shipped approximately 27,000 sites as of end of Q1.

And we also have significantly scaled up our manufacturing capacity of the RAN equipment. We have also, in addition to the Band 1, Band 28, and dual-band radios, we have also made product releases of additional 4G radios, which are mostly, you know, kind of globally used bands also, which is Band 3, which is 800 megahertz, Band 5, 850 megahertz, and Band 41, which is 2,500 megahertz. And we are also engaging with several wireless providers for proof-of-concept, who could become our potential customers, both in private and utility verticals.

Now, I'll go on to the wireline business. As we talked about engaging with international customers, so I'm happy to inform you that we won a strategic deal with a Tier 2 operator in the U.S. for their network modernization project. And another telecom operator in Southeast Asia for a broadband rollout. We're also seeing repeat orders of our GPON, DWDM, and packet equipment from our existing customers in India, Southeast Asia, and also in Africa.

And as you know, we also have won one of the largest deployments of IP/MPLS routers in India, called the BSNL-MAAN project, and we made good progress on the installation and commissioning. You know, we delivered a lot of equipment last quarter, and the installation

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commissioning is happening as we speak. One corporate update I want to give you is the merger of Saankhya Labs with Tejas.

It's in an advanced stage, and NCLT has reserved the matter for orders. So now I think it's a matter of time when these things come together. Now I'll hand it over to my colleague Sumit Dhingra to talk about the financials. Thank you.

Sumit Dhingra: Thank you, Anand. Good evening, everyone. For Q1 financial year '25, we had our total revenue from operations of INR 1,563 crores. This consists of

revenue from sales and service of about

INR 1,496 crores. This is a 8x revenue growth over the previous year, and 28% growth over the last quarter. Other operating revenue, which consists primarily of PLI incentive was INR 67 crores for the quarter as compared to INR 156 crores in the previous quarter.

I would like to clarify that previous quarter included PLI receipt for FY '23 and for the full year FY '24. Compared to that, Q1 recognition of revenue for PLI includes only the Q1 '25 component.

On an aggregate basis, the revenue grew at 18% growth over the previous quarter.

Our EBIT for the quarter was INR 167 crores as compared to negative INR 80 crores for the previous year and INR 258 crores in the quarter before that. However, as I mentioned, this also had the impact of other operating income in the two quarters. So if I take that out, previous quarter EBIT was INR 101 crores and compared to that we are at INR 100 crores for this quarter.

PBT for the quarter is INR 122 crores compared to INR 233 crores for the quarter before that, and negative INR 66 crores for the quarter one of the previous year. Profit after tax for the quarter is INR 77 crores. This is compared to negative INR 26 crores on previous year's Q1 and INR 147 crores for Q4.

Our full year profit after tax for the last year was INR 63 crores compared to that in the current quarter itself we have INR 77 crores of PAT. We can move to the next slide, which talks about key financial indicators. Inventory increased from INR 3,738 crores to INR 3,853 crores in the quarter. This increase is predominantly due to ramp up of wireless shipments and this will get converted over the next months into finished goods and get shipped. Trade receivables grew from INR 1,458 crores to INR 2,052 crores. This again is increased due to higher shipments in Q1 but we made progress in terms of collections as well and we collected about INR 1,170 crores during the quarter. Payables have come down from INR 1,839 crores to INR 1,376 crores but at the same time the borrowings have gone up from INR 1,744 to INR 2,844 crores, which implies a net debt of about INR 2,200 crores at the end of the quarter. Our cash position stands at INR 612 crores. With this, I will hand it over to Arnob to take care of the next slide.

Arnob Roy: So in the next few minutes, I would like to give you a color of the business that we have done in Q1 and also the outlook for our business going forward. So as far as Q1 is concerned, the revenue mix of our business is reported in the three sectors, India Government, India Private and International. India Government was about 7% of our overall revenue for the quarter and saw a significant growth, a healthy growth of two and a half times year-over-year.

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And this growth was led mainly by the network buildouts in the utility segment. The India private consisted 90% of our business and as you know we categorized the BSNL 4G shipment since it goes to TCS. We categorized that to India private and had a very strong growth of over 14x of Q1 of FY '24 and mainly dominated by the BSNL 4G shipments.

International business was largely flat with a slight decline and it was 3% of our overall revenue for the quarter. And as we mentioned earlier, this is the area that we have our significant focus on and we are increasing our sales and marketing presence in international territories and we are into a lot of engagements in the international territories as well and I will talk about that a little bit. So in this quarter, we had, for international shipments, our key shipments happened to customers in Africa and in South Asia.

So we closed that quarter with a backlog of INR 7,091 crores. It is much lower than the backlog that we closed in Q4 and largely because a lot of the wireless shipments happened as we expanded or increased our wireless shipments in the quarter

s. That's part of the reason we saw the backlog went down.

And as part of the backlog, India still has a significant amount of INR 6,831 crores to dominate partly our BSNL 4G backlog. And the international logs are INR 260 crores. So going forward, some of the key opportunities being targeted and this is beyond, of course, our regular run rate business with our existing customers, who keep on buying on multi-year contracts. The key large opportunities we targeted is, one is the expansion of BSNL 4G network. We know that they have to build out for saturation sites, as they call it, and it's called the backhaul network, which is an extension of the MAAN network.

And then BharatNet Phase 3, which has the tenders, which has come to an advanced stage and I think the bidding, the tender timelines got a bit pushed out, but this is also some of the big opportunities that we're targeting. And then the Kavach project of Indian Railways for the collision avoidance systems based on where our 4G technologies are a key part of the communication infrastructure. We have done successful POC over here and we are waiting for the tender process to get through.

Then expansion of the network backbone in the utility segment. In this segment, we're seeing a strong demand in this segment, both for their captive network requirements as well as their telco business, their wholesale bandwidth business. And we see a lot of opportunities during the year where they will scale up their Backbone network several times based on our optical transmission technologies.

We also, internationally, we are also engaged in several broadband opportunities with Tier 1, multiple Tier 1 opportunities in the Middle East. We are in a good position in the network, but it will take some time to close, but we're in an advanced stage in trials and other commercial engagements as well. And then in South Asia, we are also engaged in a wireless and a metro aggregation opportunity with a Tier 1 operator.

And in both of these include our 4G/5G equipment, our packet transport equipment, as well as our Metro WDM equipment. So this is also one of the large things that we're working on where we in

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advanced stage. And we're looking forward to winning a significant part of these deals to be able to create our business backlog for the future.

I will next go on to giving you some color of our business outlook that we see over the next few years. And as you all know, the network traffic worldwide continues to grow rapidly. And right now, we're on the cusp of a significant growth, driven by newer generation applications like Generative AI.

It's one of the key drivers, one of the key applications driving the building of AI data centers and their interconnectivity, and that's generating a huge amount of traffic. Also applications like virtual reality and spatial computing, which is processing high amount of 3D data and doing a huge amount of computing as well as exchanging data with servers located in remote locations. Then multi-player gaming is consuming a high amount of bandwidth because we're working with high definition video, high definition graphics, and that's also causing a huge amount of network growth. And then the growth of streaming video that we are all familiar with. So all of this growth in the

technology and the network traffic is driven by enablers of advanced communication technologies, the kind of stuff that we built, whether it's 4G/5G mobile broadband, multi-gigabit fiber broadband and transmission technology, and then it's computing devices at the edge of the network. So all of these is driving fresh investments in fixed and mobile networks worldwide.

So some of the things that are happening are the transformation in enterprises and clouds, AI data centers and their connectivity, high bandwidth connectivity. We see a long runway of deployment

of 4G and 5G globally.

4G is primarily in a lot of the developing countries where deployment is at an initial stage, and 5G in many of the developed economies.

And then massive investments in broadband connectivity that's happening the world over, including developed economies like Europe and the US, where there are massive investment programs going on. There's a modernization of utility networks, which is demanding the transition from the old TDM to IP networks, and that has been happening for a few years, and we're seeing an acceleration of the adoption of this transformation. A digitalization of cities and economies, building out of smart and safe cities across the world.

So these are some of the many phenomena that's happening, and the outlook for business over the next few years still looks strong. All of this is driving our development of key technologies for wireless RAN and cross-haul, or multi-terabit packet and optical transmission technologies, and high-speed broadband access using GPON and XGS-PON, and associated technologies. So in summary, the business outlook looks strong.

There are many new generation applications which are driving our business going forward, and so I think that is what is also driving our investment in technology, in R&D, and in catering to the requirements driven by this evolution. So with this, I will pause over here and we'll open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.

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Rishabh Gang: Yeah, set of numbers. Wanted to understand what is the total universe of sites which are eligible for 4G, 5G RAN? I understand for BSNL, we have done 100,000 sites as of now. So what is the universe for BSNL? Above that, how much percentage is eligible for a 5G RAN? Like, what is your best estimate?

How much sites will go to 5G upgrade? And what is the kind of cost which will be incurred? Let's say 100 rupees, it costed for 4G RAN equipment. So how much would it cost for the 5G upgrade? And regarding the 4G, 5G RAN, for the private telcos, like Jio and Airtel have done a good amount of capex some years ago. So when do you think the replacement cycle will come from the private telco site? Yes, sir.

Arnob Roy: Yeah, so as far as BSNL is concerned, we are seeing that a lot more investment needs to be done in 4G. And I talked about a good network expansion in terms of the saturation sites that are going to come up in BSNL. There's all the remote sites across the country. So the 4G expansion is a key part of our upcoming wireless business. As far as 5G is concerned, there are two parts to it. One part is the 5G upgrade in the existing 4G bands which is part of the existing tender that we are executing right now. So that's going to happen. And that's the business that is part of the tender but is going to be executed later on. Apart from that, BSNL is also going to come up with a nationwide tender for 5G in the performance back in the high speed 3.5 GHz bands. So that is still in the works. There will be a process of POC of equipment and it will likely be a nationwide build out, depending on the scale at which they deploy 5G. And it is certainly going to be on the scale of what the private operators have done.

Rishabh Gang: Can you draw some comparison between the 4G spends per site and 5G spends per site? Like I want to have some numbers or some percentage?

Arnob Roy: Yeah, so absolute numbers are difficult to give. But if you see the kind of spend that has happened in 4G, and if you take another 20-30% more spend that's going to happen in 4G, then 5G is going to be not of that scale. It is going to be smaller because a lot of the initial 5G deployment happens in urban areas.

So it's going to be in a

smaller percentage of that. And then when 5G adoption happens, and 5G monetization happens, then like the rest of the operators, I think a lot of increase in 5G deployment will also happen across the length and breadth of the country. It's going to happen in phases.

Rishabh Gang: So how much does an upgrade cost? Let's say 100 rupees is the 4G cost. So how much is an upgrade for 4G to 5G?

Arnob Roy: So as I said, there are two parts. Upgrades of 4G to 5G in the existing 4G bands, that's a fraction. I mean, that's a smaller fraction because it comes with a small amount of hardware and software upgrades.

But 5G deployment in the newer bands, in the performance bands, that spend is as much as that and if not more than that of 4G bands. Because especially if it's deploying elements like massive MIMO with 8 T8R, 32T32R and advanced technology which is very high performance radio capabilities, those costs are obviously higher. But on the average, you can look at -- so the 4G site

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plus kind of thing as a per unit site cost.

Rishabh Gang: Got it. On to private telco site, can you give some idea on when did the 4G, 5G capex actually started for players like Jio and Airtel? And when do you think the replacement cycle will come?

And some idea on how much sites can come? Yes.

Arnob Roy: I mean, so 4G, we already know the 5G deployment that these operators have done. And you know, and right now, we see the first phase of deployment that has happened. And going forward as 5G usage goes up and 5G monetization goes up, I mean, we expect to see a lot more deployment to happen because this network is still small compared to the overall 4G network.

And 4G is still the backbone of the mobile data network of the operators. But as 5G becomes more and more popular, more cost effective and more newer applications come in, I think 5G network will go up as well and kind of cover the entire country and maybe over time replace the 4G network.

Rishabh Gang: What is the useful life of such equipment?

Arnob Roy: Well, useful, I think you can look at how, you know, the 2G network has been deployed and living and then how 3G got deployed. So it depends on the success of a particular technology. A particular technology can keep it alive for seven, eight, nine years, you know, if the technology is successful. If the transition happens sooner, then it can happen in five years, I mean, you have to just look at how things evolved in India to get an idea of that.

Rishabh Gang: Got it. Very interesting. Sir we compete with players like Nokia, Cisco and Ericsson, right? So I wanted to ask, how much cost advantage do we actually have against these players? And how much of the cost advantage is taken away when these players have an Indian R&D and manufacturing setup? Because I believe all of these three players have R&D and manufacturing set up in India. So do we really have a cost advantage there?

Arnob Roy: Rishabh, I really suggest in the interest of time, we should give an opportunity to other people for asking their questions. I'm sure your questions will be covered during the call. I'm sure people will have similar questions. And if not, I'll come back and answer at the end of conference.

Rishabh Gang: Okay. Thank you so much, sir.

Arnob Roy: Thanks, Rishabh.

Moderator: Thank you. Next question is from the line of Ashish Shriram Thavkar from JM Mutual Fund. Please go ahead.

Ashish Thavkar: Yeah, thanks for the opportunity. Sir if you can elaborate on the data center side, do we have a role? Obviously, you in your opening commentary did mention the play.

But are these L1 and L2 switches are probably going to be some differentiation on our part? And also, potentially, by what timelines are you targeting some of these plays?

Arnob Roy: Yeah, so I think there are two parts to the question. What is our role

in data centers? So our

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communication equipment is applicable for the data center connectivity. We don't sell equipment inside the data center. It is mainly for the high bandwidth connectivity that is required between data centers as they exchange traffic, sometimes to build backups and those kinds of applications. So the data center interconnects is the market that we play in.

I also talked about, you also raised a question about our switches, the L2/L3 switches. So the switches that we have is mainly for building campus networks and enterprise networks. And the application is not inside data centers such as the top of rack switches. That's not where we play. Our switches are used mainly for building campus networks.

Ashish Thavkar: Okay, excellent. And Ericsson, they recently said that the telcos in the North American region have depleted all their excess inventory. And since we are now also deploying our investments to tap those markets, and obviously, we have won one of those deals. How do you see the landscape evolving, especially in the U.S. now?

Arnob Roy: No, I didn't get the point on excess inventory in the U.S. I didn't quite understand that. But in general, I think there's a lot of investment that is happening in the U.S., again, driven by the cloud, driven by AI, AI data centers and so on. I think it is for everyone to see, right, how the AI component suppliers, how that is going.

All of that is going into building AI cloud centers and more and more applications running over there. So the phenomenon that I talked about of interconnectivity, that is also there, very strong in the U.S., right? Apart from that, we're also seeing a huge investment happening in the government,

what they call as the B EAD program, for rural connectivity across all of the U.S., because the U.S. is a very large country and population is well spread out. So there's a lot of investment going on in those markets for providing broadband connectivity.

So all of these provide us opportunities. The initial opportunities that we have, apart from these things, some of the interesting opportunities that we are targeting is modernizing of very old networks in the U.S. As you know, U.S. has a very advanced economy with telecom networks that have been built over a long period of time. So a lot of it is legacy networks which are getting transformed as we speak, and so we have very interesting technologies in the area which we are engaging with several customers the re.

Ashish Thavkar: Yeah, fair enough. Also, lastly, the entire BSNL execution that will happen in FY '25, that's first, and second, the EBITDA margins that we reported this quarter are around 15%. Is this a sustainable number for the entire year?

Arnob Roy: I didn't get your question fully, but the first part I got, which is that, yeah, the current P.O. that we have, the current opportunity that we expect to complete in FY '25. Yeah.

Ashish Thavkar: And the EBITDA margins of 15% this quarter that we did, that's a sustainable number to assume going forward?

Arnob Roy: So we don't give any guidance on our margins and financials, but I think you can look at the trend and make your assumptions about that, but that's as such we don't give guidance on these

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operations.

Ashish Thavkar: Yeah. Thank you. Thanks a lot. All the best.

Moderator: Thank you. Next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Pvt. Ltd. Please go ahead.

Vimal Gohil: Yes, sir. Thank you for the opportunity. I have two questions. One is on our visibility post FY '25 in terms of our GPON and DWDM, which is our cash cow, so to say, for our customers, except of BSNL, which is India private and international customers. So what's the visibility looking like? Since we have sort of increased o

ur manufacturing capacity, how do we sort of make sure that as and when the BSNL contract ramps down, we utilize our manufacturing capability to the most efficient possible extent?

So that's question number one. The second question is for Mr. Dhingra. Sir, on the wireless margins, how do you see the wireless margins panning out over a period of time? I do understand that you don't give out forward guidance, but as and when the BSNL contract comes into our numbers, do you expect the wireless piece to sort of come in line with company average post FY '25? Thank you so much.

Arnob Roy: Yeah, so I'll address the first two questions about GPON and DWDM outside of BSNL. Yes, I mean, most of our GPON and WDM business right now is outside of BSNL, such as the private operators, from the utilities and from our international customers.

And as I mentioned, there is a huge demand for broadband connectivity and for upgrading of backbone networks. And these are the places where our equipment is very applicable and very relevant. So as and when we win additional deals based on the increasing demand, I mean, that business looks healthy and will continue to grow.

I mean, that's what our expectation is. As far as manufacturing capacity is concerned, as we have mentioned earlier, we have an asset-like manufacturing model, right? Where in the back end, we work with large EMS vendors of scale for building our PCB assemblies. You know, there's a hardware block that goes into and gets assembled into our systems. So as we scale up our manufacturing capacity, in the back end, we just sign up with multiple EMS partners and they have a lot of capacity.

For us, all we have to scale up is our system assembly and test capacity in our factory in Bangalore.

So as we scale up our manufacturing capacity, the largest scale up happens in the back end, which is EMS. So, you know, it's a low effort or, you know, low intensity investment for us to really scale up and scale down our manufacturing because of the model that we follow. But, you know, the reason we have also scaled it up is not only for the BSNL business, but over time, over a long term, we are bullish about how our business is going to grow both in wireless and wireline.

So a lot of the preparation and the investment that will happen is to address opportunities in the future as well. Thank you. So, wireless margin?

Sumit Dhingra: Yeah. See, as I mentioned earlier as well, this is the first wireless project that we're executing. And

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as we go along, as we add more wireless orders going forward, we would expect the margins to improve. Now, there is no particular reason to suggest that the wireless margins would be very

different from wireline margins in general. And as we ramp up our businesses and as we ramp up our international orders, you'll see the margins improve and potentially be at the same level for both wireless and wireline products.

Vimal Gohil: Sir how does the visibility look for international orders for our wireless products post FY '25?

Arnob Roy: Yeah. So, as I said, we are engaged deeply with many opportunities in the international market.

And these take some time to convert because they go through extensive trials and commercial cycles. So we are at the initial phase of international engagement with our wireless products. And they will close over a period of time. But we do see a lot of opportunities given the huge amount of 4G build-out that is happening in a lot of the emerging markets.

And also the 4G replacement that will happen, of very old 4G gear that's going to happen in those market as well, as well as the 5G expansion in the developed markets. So, all in all, it's a good opportunity space for us.

Vimal Gohil: All right, sir. Thank you so much. I'll go back to the queue.

Moderator: Thank you. Next question is from the line of Khush G

osrani from Incred Asset Management. Please go ahead.

Khush Gosrani: Yeah. Hi, sir. Thank you for the opportunity. Sir, I wanted to understand what is -- how much we would have bid for the BharatNet phase 3? What would be our opportunity sense over here?

Arnob Roy: Could you please repeat the question? I didn't....

Khush Gosrani: Sir, for BharatNet phase 3, what kind of order size opportunity is there for us?

Arnob Roy: Okay. See, the BharatNet phase 3 for us, as far as the equipment is concerned, comes with two parts. One is the GPON equipment, ONTs and OLTs. And the other part, our larger part, are the IP/MPLS routers, which are going to be used in BharatNet. So, for both of them, they are very relevant products and we are actively working with customers and our system integration partners to bid into this project. Initially, as you know, the BharatNet budget is quite a large one. Of around INR1,30,000 crores and the equipment budget is roughly 9% to 10% of that. And in the first phase, we see anywhere between INR4,000 to INR5,000 crores of equipment which is getting addressed in the initial tenders. But that is the overall landscape and we hope to win a significant part of that.

Khush Gosrani: Sure. And this would be for how many GPs? 1,67,000?

Arnob Roy: I am not sure about the number of GPs that are getting covered. I don't have the number upfront.

Khush Gosrani: Got it. And one last question, sir. What kind of debt numbers we would have to take more debt now going ahead for working capital purposes? What kind of peak debt we would have?

Sumit Dhingra: See, again, it's difficult to give guidance on future numbers, but as a trend, this increase in Tejas Networks Limited

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borrowings is essentially for working capital purposes, which is predominantly led by the wireless project that is getting executed. Now, as mentioned earlier, this project, we're expecting to complete this year. And as shipments progress, working capital intensity would increase a little bit from here and thereafter keep coming down. So, I think within this year, you would see that the working capital would spike up and then gradually come down.

Khush Gosrani: Sure. Got it, sir. Got it. I will get back. Thank you.

Moderator: Thank you. Next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia: Yeah. Sir thank you for taking my question. My first question is what kind of an order book pipeline are we looking at on the Opportunities Fund that you mentioned that the BSNL 4G network, the BharatNet Stage 3, Kavach for Railways, expansion of utility networks. What is the kind of order book pipeline that we are looking for?

Arnob Roy: So these are not orders that we have won as of now. We have an order book of INR7,000 crores and these are some of the new opportunities, new large opportunities that we are targeting, right? So, they will give a flavour of what is the size of expansion of the BSNL 4G network or BharatNet Stage 3. I just talked about that right now.

So, similarly, I mean, there are the Indian Railways as well as, you know, broadband utility operators. These are all quite large opportunities which will enable our growth for the future and, you know, create our business pipeline as well as backlog for the future. But it is hard for me to quantify and say that this is going to be the number going forward quarter after quarter. Just wanted to give a flavour of what is coming.

Kaushal Kedia: Sure. Okay. So, one more thing, in the previous participant's question, you answered that BharatNet equipment budget is around INR4,000 to INR5,000 crores in Phase 1.

Arnob Roy: Yeah, this is actually called BharatNet Phase 3. The sanctioned budget is much more than that. But initially, what we are saying in this current phase, what is being tendered would be in the range of INR4,000 crores, I would say

, of the equipment.

Kaushal Kedia: Okay. Okay, sir. Thank you. That's it from me. Thank you.

Arnob Roy: Thank you, Kaushal

Moderator: Thank you. Next question is from the line of Sachin Jain, an individual investor. Please go ahead.

Sachin Jain: Yeah. Excuse me. My question is, the POCs which we are doing for a lot of private and utilities, first is, are there international players we are doing this POCs? And where are on this POCs, what would trigger this success of business to get a confirmed order? And what is right to win over there? Essentially, we are fighting with Nokias or Ericsson of the world. So, can you give more qualitative color on this aspect?

Arnob Roy: Yeah. So, I guess your question was specific to wireless to 4G, 5G, right? So, the POCs which are ongoing are deployment s across a few sites, right? It could range anywhere from 5 to 10 sites to

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even more than that. And it goes through an extensive field trial which also includes interoperability with the software, with the core, and also interoperability with other radio equipment which is deployed out there . Because in a lot of places handovers between POC sites are tested .

So, POCs for wireless equipment is of this kind of a nature. My question is that, how do we compete with Nokia and Ericsson and ? So, there are few areas, ours is a more modern 4G equipment with support for many different bands which are deployed by operators. And then we also have a lot of efficient technologies which are built in. For example, our RAN equipment comes with integrated backhaul, integrated transport, right?

So, with technology like that, it saves a lot of capex and opex for the operator because typically RAN equipment is back -ended with a separate backhaul equipment, a router, or an equivalent equipment like that. But what we have done is we have integrated a lot of this technology into our RAN equipment, into our eNodeB. So, as a result of which, there is a significant saving to the customer for building his backhaul network, both in terms of capex , but also in terms of opex and reduces the costs of having to manage a different backhaul network .

So, apart from that, I mean, our baseband unit, which is part of the RAN, is also what we call the Ultra Converged Broadband Access equipment . So, whenever you deploy our BBU, the equipment is architected such that you could also insert hardware modules from where you could launch your broadband services for homes and enterprises . So, there is a huge amount of technology integration that we have done in our RAN equipment, and specifically in the baseband unit . So these are some of the big differentiators that we actually project and our customers also appreciate, which helps them in optimizing their network costs.

So, these are some of the areas, and of course, there are many other finer details that we can't discuss right now.

Sachin Jain: Sir how big this opportunity would be, some of these opportunities, say, in the future?

Arnob Roy: Yeah . So, obviously, it is not going to be, you know, one shot as big as a large BSNL deployment of 100,000 plus sites. I mean, if you consider potential expansion, it's going to be even more. So, these are definitely not going to be one -shot things like that. Even if it is a greenfield deployment, you know, a lot of the emerging economies are smaller countries, right? So, each of them would be in several thousands or tens of thousands of sites, but not in the scale of what you see in India. That would be there, but on the aggregate, there would be many opportunities like that. So, that's how we see at least the international opportunities. So these are all the greenfield networks, but whenever there's an existing 4G, 5G deployment, and they're trying to upgrade it's again going to be a portion of the network, a fraction of the network

that they want to upgrade, either with a

different band or replacing old 4G equipment with our kind of 4G, which is also upgradable to 5G .

And that's the refresh of 4G equipment that we can do . So, all of this will be portions of the network and will not be as large as one large BSNL network of 100,000 plus sites.

Sachin Jain: Opportunity for you in India, relevant opportunity sites for you, can you give some idea on that

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also?

Arnob Roy: Relevant opportunity for India or in the global?

Sachin Jain: In the railway Kavach project.

Arnob Roy: In the railway Kavach, from what I know, it's likely to be around 15,000 sites, which is covering the entire railway network. You know, that's our initial estimate of what's coming in, so that's going to be tendered.

Sachin Jain: Opportunity for you, if you can highlight.

Arnob Roy: Yeah, so I think the overall scale is 15,000 and it depends on how it is tendered and whether it goes to a single party or it is divided . So we don't know all the details yet, but that's just kind of the scope of the railway opportunity.

Sachin Jain: Or you are providing entire coverage system, entire?

Arnob Roy: Didn't understand the question.

Sachin Jain: On the Indian Railway Kavach, what part of opportunity you are addressing? Is it only the connectivity part or you are providing the entire solution?

Arnob Roy: Only connectivity. Only the wire less part.

Sachin Jain: Only connectivity. Yes, understood. Sir last question is, post 2025...

Arnob Roy: Sachin, can we give opportunities to the others also. And maybe you can...

Sachin Jain: Perfect. Thanks.

Arnob Roy: Yes, thanks Sachin

Moderator: Thank you. Next question is from the line of Prabir from Ratnabali. Please go ahead.

Prabir: Thank you, sir, for providing me the opportunity. I have a couple of questions. First, so far you have received the highest order in terms of BSNL 4G, so now is it fair to assume that in the next few years, the large two orders that you are expecting are BSNL 4G to 5G and BharatNet, is number one. Related to that, are we going to see a similar kind of execution cycle that we have seen for BSNL 4G in terms of, in case of this 5G as well as BharatNet, just 12 to 15 months?

Arnob Roy: So roughly you are right, it's going to be not 12 months, it is going to be more than that, based on the size of the networks that they are going to come up with. So there are going to be tenders, and also when the tender is going to happen. But once it is decided and once the execution happens, yes, each of the opportunities is going to be between 18 to 24 months, I would say, given the scale of things that are going to happen.

Prabir: And, sir, like what we have understood, like in case of 5G, the number of base stations, am I correct
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if you tell me that the 5G stations are more because the frequency is higher, wavelength is low compared to 4G, so the base station will be smaller and the number will be much bigger. So can we assume that as the numbers are bigger in the 5G, the order potential will be bigger also?

Arnob Roy: So if you look at 5G deployment, I think initial 5G deployments have been focused more towards the metros, right, towards the high usage and high paying customers. So initially, if you look at the 5G deployment that will happen on the private operators, it is smaller than the overall 4G network. Well, that's for a reason, because they wanted to focus on the customers who will be using it.

As 5G becomes more popular and becomes widespread, the network will definitely become as big as the 4G networks. And also what will happen is that as more advanced technologies, advanced radios of massive MIMO, and the performance goes up, I think the cost of those radios will also be higher as advanced technologies are coming out.

So that's the way to really look at it, that over time, the initial 5G deployments are small, but they're going to go and cover a lot of the geography as we go forward and as our business matures.

And also, a lot of the high performance radios are going to come in, which is also going to drive a lot of capex for that deployment.

Prabir: Okay. So in July of this year, we have come across with the news that Chinese equipment makers like Huawei or ZTE, they're planning to make some JVs with Indian companies. So do you see more competition coming because when there will be JVs with Indian companies, so they can be considered as an Indian entity and they can bid also in Indian projects?

Arnob Roy: No, I think all the policies about JVs with Chinese companies, that is not yet clear how that's going to happen. But as far as Indian products are concerned, I think there's a very clear definition about what Indian indigenous products are, and that is not only designed and manufactured in India, but also the IPRs have to reside in India, have to be owned in India and registered in India. And there are other rules in terms of where the profits of the companies have to reside and where the company headquarters are located.

So there are well-defined rules in terms of what defines a true Indian company making indigenous technologies. So we don't see joint ventures or anything like that diluting that definition. I mean, if at all the JVs happen, they might be regarded as a facilitated business in India. But as far as true blue Make-in-India is concerned, I don't think that the current rules will enable that for technologies which may be imported or based on technology transfer from somewhere else.

Prabir: Okay. So my last two questions are, if you can help us understanding the potential of data center business, and the margin that you have reported this quarter, which is around, EBITDA margin, I am talking about, around 15%, will this be a sustainable margin in going ahead? Thank you, sir.

Arnob Roy: So the data center, as I said, the growth of data centers enables our business, because even though we do not sell inside the data centers, the data center interconnectivity is what drives our business.

So with the growth of data centers, with the growth of traditional data centers, as well as the AI cloud centers and so on, the interconnectivity gives us an opportunity for our communication equipment. And as far as EBITDA margins are concerned, I think Sumit clarified earlier, we don't

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give a guidance of margins and profitability. And I think we have to really make our estimates on the trends that we see, right?.

Prabir: Thank you, sir.

Arnob Roy: Thanks Prabir.

Moderator: Thank you. Next question is from the line of Abhishek, an individual investor, please go ahead.

Abhishek, your line is unmuted, please go ahead. As there is no response from the current questioner, we will move to the next question from the line of Puvvada Ram Koushik, who is an retail investor, please go ahead.

Puvvada Koushik: Okay. Sir may I know, when would the international orders come to the scale of Indian orders in terms of scale?

Arnob Roy: Yeah, so I think, as we mentioned that our ambition is to become a global OEM in telecom, so a lot of our new investments in sales and marketing is happening in global markets. Earlier they were in markets in Southeast Asia and Middle East and Africa, neighbouring countries.

Now we are making a lot more sustained investments in advanced economies like the US and Europe. There are a lot of opportunities and also relevance for the kind of products and technology that we have in these markets. But the sales cycles are long.

This takes a lot of patience, a lot of trials, a lot of investments and proof-of-concepts before these opportunities materialize. So this will happen o

ver time. Over a period of time, of course, we want

to see our international business to grow to be as large as our domestic business. But that's going to happen over a period of time.

And while that is happening, we do not want to take our eyes off the Indian market opportunities, which is very exciting. I mean, a lot of investments are happening, a lot of growth is happening. This is our home market.

We want to make sure that we do not miss out on any opportunities in India, while at the same time, growing our international investments. So long story short is that India is going to remain a key focus market for us as we grow our international business over time. Our ambition is to make it as big as the domestic market, but it's going to happen over a period of time.

Puvvada Koushik: Sure, sir. And also, can I know what is our company doing in order to secure the international orders when the cycle arrives? And what can we do more?

Arnob Roy: Yeah, so what we're doing is we are increasing our presence. We are increasing our sales offices, support offices, warehousing, building our teams over there, engaging with customers, setting up labs in many different geographies, setting up trials and actively participating in RFPs. So that is what is happening. And that is an integral part of engaging with international customers.

Anand Athreya: Okay, I think it's probably time. I'm ready to make some closing comments.

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Arnob Roy: Thank you. We want to hand it over to Anand for his closing remarks.

Anand Athreya: Thanks, Arnob. So thank you, guys, for asking a lot of good questions. So I just want to close that, you know, while we're happy about this quarter, we are also heads-on focused on execution and delivering the rest of the orders and also to see how we can grow the business more. So the team is very focused on making it happen. And again, I want to thank you for your time and questions.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Oct 2024

October 27 , 2024

The Secretary

National Stock Exchange of India Ltd

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai - 400 051

NSE Symbol: TEJASNET The Secretary

BSE Limited

P J Towers,

Dalal Street,

Mumbai - 400 001

BSE Scrip Code: 540595

Dear Sir/Madam,

Re: Q2 FY25 Earnings Conference Call - Transcript

Please find enclosed the transcripts of the Q 2 FY25 Earnings Conference Call held on October 18 , 2024.

Kindly take the above information on record .

Yours sincerely

For Tejas Networks Limited

N R Ravikrishnan

General Counsel, Chief Compliance Officer

& Company Secretary

"Tejas Networks Limited

Q2 FY '25 Earnings Conference Call"

October 18, 2024

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED

MR. ARNOB ROY – CHIEF OPERATING OFFICER AND

WHOLE -TIME DIRECTOR – TEJAS NETWORKS LIMITED

MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS
NETWORKS LIMITED

DR. KUMAR N SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MODERATOR : MR. SANJESH JAIN – ICICI SECURITIES

Tejas Networks Limited

October 18 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.

Sanjesh Jain: Thanks, Sagar. Good evening, everyone. Thank you for joining on Tejas Networks Limited Q2 FY25 Results Conference Call . We have Tejas Networks Management on call represented by Mr. Anand Athreya, Chief Executive Officer and Managing Director. Mr. Arnob Roy, Chief Operating Officer and Whole -Time Director. Mr. Sumit Dhingra, Chief Financial Officer. Dr. Kumar N

Sivarajan, Chief Technology Officer. I would like to invite Mr. Arnob to initiate the call with his opening remarks, post which we will have a Q&A session. Over to you, sir.

Arnob Roy: Yes. Thank you. So everyone welcome to our quarterly call. I hope you have received the slides that we have uploaded. So I'll take a few minutes to go through them before our Q&A session.

So I'm on the first chart. So our quarterly revenues have been the highest ever in the history of the company, INR2,811 crores, with a profit after tax of INR275 crores, and an order book at the end of Q2 is INR4,845 crores. So some of the significant things that have happened during the quarter for our wireless business, we have significantly ramped up our 4G /5G RAN shipments for the BSNL network. This quarter, we shipped more than 30,000 sites and, cumulatively, we have shipped more than 58,000 sites for the BSNL's network. I think there has been a tremendous improvement in terms of scaling up our manufacturing capacity. We also received additional orders for densification of the installed 4G sites in a few circles, and by that, what I mean is that to increase the coverage of the BSNL, many of the existing sites, the single band sites, have been upgraded to a dual band with the addition of band 28. And for the existing deployment, BSNL will get a lot more additional coverage with the installation of this additional band.

From a wireline business perspective, we have been selected for PTN and DWDM equipment from one of the Tier 1 telcos in India for the capacity expansion for the 4G /5G mobile network. We have seen continuing success in the critical infrastructure segment in India, and we have been selected by a leading state power utility company for their captive SCADA network and also been selected in one of the smart city projects in the country.

In the international market, we are seeing good traction for our GPON and WDM products, and we've had a few new customer wins in the Americas and in Africa. We received our initial order for the network modernization win in the U.S., which we had reported last quarter. We have seen the initial orders coming, which will be supplying this quarter and we hope to follow this up with additional wins in the U.S. From a corporate point of view, we completed the merger with Saankhya Labs in this quarter. And I'll hand it over to Sumit, our CFO, for walking us through the financial numbers.

Sumit Dhir: Good evening, everyone. For the quarter, we did revenues of INR2,655 crores. This is 1.8x of the Tejas Networks Limited

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previous quarter and about 6.7x of the year before. After considering the other operating revenue, which is predominantly PLI incentive, the revenue was INR2,811 crores. Against this, we did a EBIT of INR459 crores, profit after tax of INR275 crores, compared to

to INR77 crores of profit in

the previous quarter. If we move to the next slide, where we talk about key financial indicators, our inventory at the end of the quarter was INR3,411 crores, which has come off slightly compared to the previous quarter.

And it's expected to further come down as we convert this into finished goods. Receivables stand at about INR3,758 crores. The increase is predominantly stemming from higher shipments that happened in this quarter. We also collected about INR1,400 crores during the period. Working capital has gone up by about INR100 crores, and the borrowing position at the end of the quarter was INR2,768 crores, with a cash of about INR583 crores. This slide is handed over back to Arnob.

Arnob Roy: Thanks, Sumit. So, a little bit more color of our quarter performance and the business outlook. So, in terms of the revenues that we did, of course, the largest segment has been India private, 93% of that. And as we had mentioned earlier, the BSNL shipments simply go to TCS, a private company. We categorize this as India private revenues. So, revenues were dominated by our shipments for BSNL.

The India government business contributed about 4% of our revenues and declined year-over-year by 5%. That was mainly because of the tail-end of the contracts. And as we know that most of the government contracts are tendered and these are not run-rate business. So, they go in the initial period, there's an increase, and then there's a tail-end, and then there's the next project which happens. Our international business was 3% of our overall revenues and declined 3% year-over-year because of the timing of the POs and the shipments. The key international shipments that happened were to Africa and South Asia. We had a closing backlog of INR4,845 crores. Most of it in India, the 4,627 of that in India, and 218-plus in international. From a business outlook point of view, some of the key opportunities, large opportunities that we are targeting is one part of it is the expansion of BSNL's 4G network on the saturation sites, and also for the 5G upgrades, for which trials are ongoing right now. And we hope to convert this at some point of time.

The Indian Railways tender on the collision avoidance system, we have completed our PO successfully, and we are waiting for the tender to come out and bidding to happen. Third large one is a private 5G application for a large enterprise in India where again, we are undergoing trials right now.

Okay. From a wireline point of view, the big opportunity for us is BharatNet Phase II I, where we have been bidding to the tenders, with multiple partners. I think the majority of the partners have bid our equipment into the tender. The other part is the expansion of WDM backbone network in

the utility segment. Most of our utility customers, for their telecom business, they are seeing business growth in their networks and traffic growth. So, all of them plan for major expansion in their networks.

And thirdly, for the international operators, we see major opportunities in FTTH or GPON and also network modernization deals with multiple operators both in India as well as in Americas. So, I also wanted to add that I mentioned a few of the large deals that we have been targeting. But at the Tejas Networks Limited

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same time, there are many other smaller deals that we are working on, and especially there are many other opportunities in wireless that we are targeting with initial POCs or design proposals etc. And I can say that we are finally starting to see a lot more engagements with our wireless products, both in India as well as the international markets.

So, from a long-term business outlook point of view, we still see the outlook as being very positive in all the factors that we have mentioned earlier, which are driving growth of traffic in the networks, and leading to traction

on for our business. All of them continue to be positive and continue to show growth, whether it's enterprise digital transformation, AI data centers, long runway of 4G and 5G deployments, not only in India but also globally. And the backhaul networks for those as well. Moreover there are large investments happening in broadband connectivity throughout the world including for digitalization of cities, smart cities, safe cities and applications such as these. The modernization of utility networks and the modernization of other legacy TDM-based network infrastructure is a large opportunity as well.

So, all of these applications we are targeting with our 4G/5G RAN and backhaul products, multi-terabyte optical and packet transport products, and our FTTH GPON/XGS-PON products. We see a lot of traction for most of the applications that are driving this network traffic growth across the world. So, with that, I'll stop over here, and we can take some questions.

We can do a Q&A session right now. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the Aman Soni from Nvest Analytics Advisory LLP.

Aman Soni: Congrats for a good set of numbers. Just one question on the kind of execution that happened in this quarter. It is quite significant, right? So, my question is, do you see like this kind of execution is going to sustain in the upcoming quarters for next, say, three to four quarters, sir?

Arnob Roy: Execution in terms of our RAN shipments for 4G/5G shipments to BSNL?...

Aman Soni: Execution in terms of top line and bottom line kind of margins you reported in this quarter?

Arnob Roy: Well, as you know, we do not give revenue guidance, quarterly guidance kind of things. But I think people are fairly knowledgeable and I think understand our business quite well, as well as our business pipeline and order book. So we really cannot give any business guidance about that.

Moderator: The next question is from the line of Sohan Joshi from ASC Consultants.

Sohan Joshi: Congratulations for a great set of numbers. My first question is, in the previous con-calls, you said that BSNL is going to come up with a nationwide tender for 5G in high-speed performance band of 3.5 gigahertz band. Can you please share any update whether any proof of concept is going on with regards to this?

Arnob Roy: Yea, yes, there are. So, not for the 3.5 gigahertz band yet, but for the 5G upgrades. The POCs that we are doing right now is for the 5G upgrades in the 4G band that we have shipped.

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Sohan Joshi: Okay, so that is for the 40% sites under 2100 megahertz, right? Basically, the proof of concept is going on currently.

Arnob Roy: Yeah, not only in that band, but also in the other bands as well.

Sohan Joshi: Okay, so the tender is out? I mean, when the tender will be through this part of the project?

Arnob Roy: No, no, this 5G upgrade is part of the current contract that we are executing right now. But not for the 3.5 gigahertz band, which is going to come later.

Sohan Joshi: My second question is, the CG Power have acquired the radio frequency components from Renaissance Electronics. So, can you please explain what will be the implications of this on our partnership with Renaissance for designing and development of semiconductor solutions for 4G, 5G RAN?

Arnob Roy: See, we are users of those semiconductor components. We are not designers of the semiconductor components that goes into 4G, 5G RAN. So, I think whatever partnership that you're talking about is going to be supplies for the radios that are being designed for 4G, 5G. And so that's what the implication is. It's not that we are not in that business of semiconductors for radios.

Sohan Joshi: So, is it right to assume that going ahead, since we have already done localization of most of the

components, going ahead,

there won't be any major imports from our side, and since majority of

the components will be localized?

Arnob Roy: No, many of the key semiconductor components are still imported, because they come from Tier 1 semiconductor vendors across the world and a lot of it is in the US. But there are other components of the radio. A lot of it is actually localized and for those parts we source from India. But I think the key semiconductors are still imported components.

Sohan Joshi: One last question.

Arnob Roy: Which are not yet manufactured in India. I think at the time, I mean, you hear a lot of noise of semiconductor fabs coming up and all this kind of thing. I think when they become real and when the production starts over there and relevant chips that we use for our wireless and wireline products, when they start getting manufactured in India, I mean, of course, we will definitely source them, but that's still going to take some time.

Sohan Joshi: Okay one last question. Now since a lot of talks are going on with regards to satellite communication and BSNL has also started testing direct-to-device solutions, are we in talks with BSNL or any other Tata group companies or any other internet service provider for satellite communication devices of Saankhya?

Anand Athreya: Yeah, we are talking to few potential customers, but again these are long lead times. These things don't happen overnight. So we are talking to a few of the other providers and see where we can take the satellite communication product, the vehicle tracking system that we have built and see if we can use this for other applications.

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Sohan Joshi: So proof of concepts are going on with regards to these devices?

Anand Athreya: So the vehicle tracking system is deployed. I mean, it is actually not proof of concept, it is actually shipped.

Sohan Joshi: Okay, got it. Thank you. All the best for the upcoming quarters.

Moderator: Thank you. The next question is from the line of Advait Lath from Nippon India Mutual Fund.

Please go ahead.

Advait Lath: Yes, so congrats on a great set of numbers. Am I audible?

Moderator: Yes.

Advait Lath: Yes, so just wanted to ask how has our international order pipeline grown or declined year-on-year or what is the color there in terms of what you think and how it has shaped up?

Arnob Roy: Yeah, I think this quarter has been a bit soft for international business especially from many of our run rate customers, but they also come in cycles. But importantly I think we've been able to win a few more logos, a few more new customers which are strategic wins in international territory. So we're looking at that as a very positive sign as we expand our international customer footprint. So that's how it went during the quarter.

Advait Lath: Right, sir. And on actually two components Kavach. So Kavach is a big opportunity. So do you think we are well placed in it because of the wireless aspect of it?

Arnob Roy: Yes, so as of now, given that we've had a very successful PoC. I think we are well placed over there. Our products do meet the requirements that the customer wants.

Advait Lath: Got it, sir. And just last question from my side, the 5G upgradation you said it's already baked into the current tender. What about the incremental 5G deployment that would have to be tendered again and that timeline is not clear?

Arnob Roy: Yeah. So that timeline is not clear. I mean, we are expecting it to happen in the later quarters, but right now the first part of it is the 5G upgrade in the current networks in the existing bands. And that's in the current tender and we don't yet have that PO. So we're doing the PoC right now.

Advait Lath: So that would be implemented in FY25 itself or that will take a bit longer?

Arnob Roy: Yeah, I don't think

all of it is going to be executed in FY25. I mean, we think that there is still some time for the PoC to get completed and orders to come and the execution to happen. So I think it will be a few quarters.

Advait Lath: Okay, got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sanjesh Jain. Please go ahead.

Sanjesh Jain: Yeah. Thanks for taking my questions. I got a couple of them. First on this Kavach project, are we

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involved into the equipment for anti-collision or the 4G or LTE deployment on 700 MHz which is the same band we are putting for BSNL for the railway as well? What is the part within the Kavach are we playing the role?

Arnob Roy: Yeah, it's only the wireless communication network.

Sanjesh Jain: Got it. That's very clear. Second on the closing backlog which stands at close to INR71 billion. Can you just help us in breaking what is the BSNL's component within the 71 billion and how has non-BSNL component has grown Q-o-Q and Y-o-Y?

Arnob Roy: Yes, we actually don't disclose customer-wise or any of the segment-wise orders. So, I think the

closing backlog is actually INR4,845 crores you may have seen in the presentation. So only split it between India and international and don't disclose it customer-wise or project-wise.

Sanjesh Jain: Got it. That's not a problem. And on the last question how has been the performance of the network because we have been on now probably at a risk of deployment. How has been the performance of the network, which has been rolled out on our network? Has it been same as what was proven during PoC?

Anand Athreya : The performance actually has been pretty good. So, I mean, as I said, we've shipped close to 58,000 plus sites. And a lot of it is actually being installed and commissioned. And also, I think you must have seen on the press that there are a lot of – BSNL is getting a lot more customer traction . A lot of folks are coming back. So far, so good. I mean the radios have been performing very well. We are closely monitoring. So, again we've been shipping now for more than a year. So far, so good and we'll continue to monitor.

Sanjesh Jain: Got it. Just one last question. Are we anyway also looking into getting into the maintenance or O&M part of the network or we will restrict ourselves to supplying equipment?

Arnob Roy: No, I think maintenance and support is part of the tender. And after three years we have the support agreement which is there. And that will come after the three-year period of time after deployment.

Sanjesh Jain: So when we say closing backlog, do we include the O&M part as well?

Arnob Roy: No, not as of now.

Sanjesh Jain: That is only the equipment part of it. So O&M will be a recurring business and it will kick in from year 3?

Arnob Roy: That is correct.

Sanjesh Jain: Got it. That's very clear. Very helpful, best of luck and thanks for taking the questions.

Moderator: Thank you. The next question is from the line of Ashish Shriram Thavkar from JM Mutual Funds. Please go ahead.

Ashish Thavkar: Thanks for the opportunity. So, with this Cisco, they're setting up a facility in India and Tejas Networks Limited

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simultaneously we also have a center of excellence for wireless communication. So, at any point in time could we get engaged with Cisco or how should we relate?

Arnob Roy: No, I think these two are unconnected . And this doesn't connect us in any way with Cisco. Our wireless lab, our center of excellence is for our research and development efforts in wireless. And Cisco is more of localizing their manufacturing over here and these two issues are not connected .

Ashish Thavkar: Yeah, fair enough. And on Kavach , I guess there's some shift in timelines from the government side. So how long do you see before in

vestors get to see some revenue traction? Is it a delayed opportunity?

Arnob Roy: Yeah, I think it is . The tender itself is running a bit behind schedule, even though I think the testing and PoCs and all are done . It is still scheduled for the present financial year as of now.

Ashish Thavkar: And what about BharatNet Phase 3 then, the tenders are closed, any timelines when can the outcomes come out?

Arnob Roy: Well, BharatNet Phase 3 is definitely far more advanced compared to Kavach since all the bidding has happened . So, I mean, we expect to see from what we know, I think that there's a lot of background work happening in the tender evaluation. So, maybe a few, several weeks from now, depending on how the evaluation goes, we'll probably see the results coming out.

Ashish Thavkar : Okay, fair enough. So, lastly on Vodafone, we were also engaged in a dialogue with Vodafone. Any success there or potentially any business could come our way?

Arnob Roy: I don't think we have disclosed any particular customer by name where POCs are going on, except for BSNL and maybe Railways. But, yes there are Tier-one operators in the country where the POCs are going on. And these POCs are going through a little extended cycle, because there are additional feature requests or some improvement requests and we keep updating . And so it's a longer POC cycle. And it is going well, and we hope to see business coming at the end of it. It is going to be a little longer process.

Ashish Thavkar : Perfect. Just one last, if I may. This international business, if you could share your perspective, like three years out, where do you see international business? Is there anything in terms of quantum of order books that you want to build for those markets? Is there some number which is there in your mind?

Arnob Roy: For international business?

Ashish Thavkar : Yes.

Arnob Roy: International business in general or for wireless or what was your question?

Ashish Thavkar : It is in general, for wireless, for our RAN equipment and the equipment that we supply.

Arnob Roy: Yes, I mean, it's hard to quantify and we don't give guidance, but we are starting to see a lot of good traction and bidding opportunities and POC opportunities coming up. Initially our focus was

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mainly making BS NL successful and doing some of the local trials and POCs and opportunities in India, whether they're private operators or government . But now we are starting to engage a lot more outside of India as well and seeing a lot more opportunities opening up for bidding and for POCs . But it's hard to quantify numbers at this stage.

Ashish Thavkar : Perfect. That was helpful and all the best.

Moderator: Thank you. The next question is from the line of Jinesh Shah from RSPN Ventures. Please go ahead.

Jinesh Shah: First of all, congratulations on your numbers. So, my first question would be that as of end of quarter two, we had a major order book from BSNL and right now we are targeting a couple more opportunities like Kavach, BharatNet and everything. So , I just wanted to understand that what might be the expected time from all the opportunities that we are targeting? And also positively, if we get the contract, then what will be the expected execution time that we will be starting the equipment supply and everything, if you can provide guidance on that?

Arnob Roy: I think it's hard to establish opportunity sizes across all of them. For the tenders that have come out for BharatNet and all, I think you've seen a lot of public reports on the tender size and also that information is available in public. For other opportunities, since we really yet do not know the scope of the tender, we have this high -level guidance on the number of sites, the number of stations and things like that. It's a rough idea, but again, it's hard to speculate

and we don't speculate on

those numbers. There was a second part to your question.

Jinesh Shah: Yes, so my second part was that hopefully, if we get the opportunities, then what will be the execution timeline?

Arnob Roy: They all depend on when the tenders get awarded and the supply timeline that they set up. And since many of these are very large tenders, I think there will be a process and it will take some time in terms of tender initiation , bidding and evaluation. And also, I think we expect that many of these deals will actually roll over to the next financial year.

Jinesh Shah: Okay, exciting . So, my second question would be regarding the borrowings that we have in our balance sheet. So right now, if I can see that it's around almost 3,000 crores . Now that Tejas has been getting good numbers. And even if in last conference call that we had discussed that probably by the end of this financial year, it will start to get eased out. So right now, are you planning to just reduce the pressure on the working capital cycle?

Sumit Dhingra: So, I think the point we made in the last call also, I think it broadly continues . As the project execution picks up or moves towards completion, we'll see the working capital intensity coming down. This obviously is also linked to other projects and as and when they get added to the order book. So, till the time we have clarity on some of those projects , it is hard to comment on how the working capital cycle plays out.

Jinesh Shah: Okay, fair enough . And my last question would be that if I'm correct, that BharatNet order is around a INR65,000 approximate budget. And Tejas is specifically in supplying of equipment. So, can I

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conclude that specifically with respect to this particular project, it's around INR6,000 crores that will be eligible for bid, right?

Arnob Roy: So I think you're calculating at INR 65,000 crores officially for this phase, and then maybe you're taking 10% of that. So I think, I would say it's in the ballpark but it could be lower . I mean, based on the combination of that and also depends on there are many other equipment . I mean, all of it is not addressed by our portion of the equipment in the network. There are other equipment also . But the ballpark, you can say 8% to 10% of the overall spend comes into it, the rest of it is fibre and other infrastructure.

Jinesh Shah: Okay, okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Aditya Mehta from GK Capital. Please go ahead.

Aditya Mehta: Hi, sir. And congratulations on a great set of numbers. So my question is with regards to private players in the domestic market. So there has been a lot of news flow regarding network upgradation deals being awarded to our global competitors. So just want to understand what is it that we are missing and we are not able to get a share of that pie from the private players?

Arnob Roy: I think most of them for their upgradation have gone with their existing vendors. And as I said, that until now we were focussed on the execution of the BSNL project. At the same time, we started POC last quarter with some of the other opportunities, operators and private industries as well. So I would say, because they are in a hurry to expand, most of them have gone with the existing vendors with existing networks and so on. But at some point of time, later on after we complete our POC successfully, we certainly expect to get some opportunities into these networks. So, this will still have a long tail of deployment.

Aditya Mehta: So, what is the winning point we have over them? Because if you see it will be easy for them to integrate the existing equipment with the existing brand only. So, what is the winning point that we might slice in a share from private players?

Arnob Roy: Our equipment will be quite competi

tive. And it will support most of the bands, almost all of the bands that are getting deployed in India. We have a variety of single band, dual band, triple band radios, and a wide range of radios. And also, from an architecture point of view, our RAN which has the BBU with integrated transport and features like that, will help reduce the overall cost of the solution. I mean, those are some of the features that we think will serve as differentiators with respect to global competition.

Aditya Mehta : So just one point, whether cost wise we are efficient from our competitors, global competitors or not?

Arnob Roy: Let's put it this way, that it is not an apples-to-apples cost comparison. But the total cost of ownership of the overall solution, if you combine our multi-band radios and our BBUs with integrated transport and a single BBU doing both 4G and 5G, it's an attractive proposition for our customers. I mean, the product is architected such that the total cost of solution would work out better for them.

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Aditya Mehta : Okay. So any timeline for this POC when it will be completed?

Arnob Roy: It is going on right now. So I think it will take some time, maybe another quarter or two. ...

Aditya Mehta : Got it, got it. And secondly, looking at our current order book, it seems that we will exhaust it within this financial year itself. So till now, after the BSNL order when we haven't seen any major addition to our order book. So how do we see maintaining our revenue flow going ahead in the absence of any major addition?

Arnob Roy: Well, as I said, we don't give guidance, but we have shared a flavor of the various opportunities, large opportunities that we are targeting that are in front of us, which look positive for us. And those are the ones that are going to fill the backlog in our order book. And that's where the future business is going to come from. But it's hard to pinpoint a particular number and how the business is going to get replicated.

Aditya Mehta : So do we see any major addition in order book in the next six months or within this financial year?

Arnob Roy: Again, it's hard to give timelines, but I'll just go back to the slide where we talk about the key opportunities targeted, which is the expansion of the BSNL 4G network, 5G upgrade in the current band, Kavach, BharatNet Phase 3, the expansion of DWDM backbone. All of them are fairly large projects.

So once they materialize, I think that's the time we'll see our order book really expanding in terms of large numbers. But again, I just want to tell you that we're not giving any guidance over here.

And these are also all opportunities that we are well-positioned, but we have not really won in our hand to really give guidance about.

Aditya Mehta : Got it. And just last question, over our tax rate, our tax rate is a little higher, if you see. So, why is it so?

Sumit Dhingra: Sorry, did you say higher? How are you looking at that?

Aditya Mehta : So, looking at new tax regime, compared it with new tax regime, it seems a little bit higher, 2% or also.

Sumit Dhingra: We have not migrated to the new regime. We have losses accumulated over the past. So, we're still in the old regime of taxation.

Aditya Mehta : And when do we plan to shift to the new regime?

Sumit Dhingra: That will depend on various parameters, including how and when we absorb our losses.

Aditya Mehta : Got it. Sure. Thanks and all the best for the future.

Moderator: The next question is from the line of Krishna Heda from The Investment Forum.

Krishna Heda: First of all, congrats on the excellent set of numbers. How does the company plan to accelerate international business given that international revenue contribution remains small, small at 3%?

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Are there any new geographies or

contracts in the pipeline?

Arnob Roy: I said, we have been investing and continue to invest into our sales channels and partnerships in the targeted geographies, which is North America, Europe, Middle East, Africa, Asia and so on.

So, our strategy for growth is investing in more and more sales channels and partnerships and participating in a lot more trade shows for building our brand. And getting more noticed and

winning whatever customer news comes along to build our reference in those geographies, right?

So, this is a little long process which goes on. There have been significant engagements, significant opportunities that have also come up, which we are going through the process right now. But yeah, it is a long way, is a long process of building your brand, building your channels and getting to success. So, and we are going through all of that right now.

Moderator: The next question is from the line of Komal Iyer from NBG CFO Services.

Komal Iyer: Good evening, sir. I want to know, you have mentioned in your press release that you have made record deliveries of 30,000 plus 4G sites. So, will you be able to maintain these kinds of deliveries for the next two quarters or exceed them?

Anand Athreya : So, yes, we have actually -- we have increased capacity, so we will have the ability to deliver.

Komal Iyer: So, we will be able to exceed this 30,000 plus number for the next third and fourth quarter.

Anand Athreya : I can't reveal the exact numbers, but let's just say that we have the ability to execute.

Moderator: The next question is from the line of Rajesh K hattar from RK Capital.

Rajesh K hattar : I have two to three small questions. So, you have shared your order book. Can you also share your pipeline numbers as in like how many tenders you have bid for? What is your confidence level in bidding the tenders and pipeline closing cycle?

Arnob Roy: No, unfortunately, we don't do that.

Rajesh K hattar : Then my next question, like historically, the business has been quite up and down in the last four years. In one quarter or year, suddenly there are operating losses. And then in one quarter, suddenly you have bumper numbers. So, going forward, I know you don't give guidance and I'm not asking for numeric guidance. But going forward, like, will it be more consistent and less volatile? What will be the business trajectory going forward? Like, you can just give a qualitative answer without getting into specific numbers. So, as investors, how should we model the business?

Arnob Roy: Well, if you see our business is still dominated by large projects. So, when that comes in, and large projects are still -- in terms of a total business component, they're still dominant. So, there will be periods when you see business wins coming for large projects and they get executed over multiple quarters. And the run rate business will become -- whatever comes from the private and the international kind of a thing.

So, while big projects dominate, there is a possibility of seeing a spike in terms of revenues. And that's the nature of our business as of now.

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Rajesh K hattar : Okay, like, is it possible to give any base case scenario or you will like to avoid that also?

Arnob Roy: No, not data. I think the way we should probably see the business is from an overall annual point of view, right? Quarter by quarter, while if our business is dominated by large projects, there will be spikes. But I think overall, year-over-year, the business is what you always speak to in models.

Rajesh K hattar : So my last question, like when you have the capacity, like you -- the previous participant asked you about your capacity to do to deliver 30,000 sites. And when you do have the capacity, you said, so what can stop you? What could go wrong? Like, let's say in the next quarter, or the next to next quarter,

where let's say you don't do 30,000 sites, what can go wrong?

Arnob Roy: In terms of manufacturing, there is no issue, as long as the order keeps coming the way we have anticipated and the way we see it. I don't think we have any issues in terms of being able to manufacture them.

Rajesh K hattar : So in terms of delivery or revenue, what could go wrong? Just trying to understand, why will it not translate into the numbers? What can happen there?

Arnob Roy: If what could go wrong in terms of manufacturing supply chain? If we have the order book, we don't, I mean, unless the unforeseen events in terms of supply chain or any other thing that happens in an abnormal business cycle. I don't think any other factor really comes in, because we have really worked hard in setting up this kind of a manufacturing capacity, manufacturing line, where we can ship large numbers with high quality. So as far as what we can see, as far as the business is there, I don't really see any issues in terms of not being able to deliver, barring any unforeseen events that I really can't predict.

Rajesh K hattar : Okay, that's helpful. Yea. Thank you.

Moderator: Thank you. The next question is from the line of Agam from Raj Trading. Agam, your line is unmuted. Please proceed.

Agam : So most of my question and answer the quick thought. You might have said, but I'm not clear. So can you share your thoughts in your closing order book is already INR4,400 crores. So I believe that a lot of projects will take time and so whatever thoughts you can share. So what can we expect in next 6 months to 1 year, whatever you're looking at, potential, whatever you can share? Just some color on it.

Arnob Roy: Yea. So I talked about some of the key opportunities. I think that should give an idea of the business being targeted and how the order book is going to get filled up and, even around BharatNet Phase 3, expansion of DWDM backbone network, BSNL 4G/5G network upgrades and things around that. Most of the large opportunities I've highlighted. So that's, those are the projects that are going to come into expanding our order book going forward.

Agam : Do you see all things progressing well going ahead? In the next 6 months, we should learn a few things from you currently from where we are?

Arnob Roy: Yes, these opportunities are all real. And apart from that, I think, as I mentioned at the end of my

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presentation, all the other drivers for our business, which are causing expansion of network, growth

of data traffic in networks such as growth of 4G/5G networks, broadband expansion and data

centers and stuff like that. All those factors are showing no signs of slowing down. They are still going at a very fast level. So all the drivers for business indicators still look good. So, that's why we are bullish about it.

Agam : Thank you so much and wish you the best.

Moderator: Thank you. The next question is from the line of Dhruv Shah from Ambika Fincap . Please go ahead.

Dhruv Shah: Yea, thanks for the opportunity. And congratulations on a really great set of numbers. My question is for Anand sir. So you have come from Juniper, who is a leader in enterprise business. So my question pertains to, are we seeing a big opportunity in the enterprise side of the business? Because I couldn't see that on the business opportunity side? So if you can just allude to that part, because the captive requirements for Tata Group companies would also be in a sizable portion for us?

Anand Athreya: So look, while we don't talk about a roadmap, what I really want to say is that we want to build a portfolio that's going to serve both service providers and enterprises in both wireline and wireless.

And that's the vision and mission of Tejas. Again, we want to build the next global networking OEM from India. And we will serve any and every market

including the group.

Dhruv Shah: Fair enough, sir. But are we trying to replicate the products which are there in Juniper in Tejas as well?

Anand Athreya: Look, I can't comment. As I said, I can't comment on the roadmap. When we launch it, you will see.

Dhruv Shah: Fair enough, sir. Thank you for the opportunity and all the best.

Moderator: Thank you. The next question is from the line of Pratap Maliwal from Mount Intra Finance . Please go ahead.

Pratap Maliwal: Hi, sir. Thanks for taking my question. So, I heard you said that the operations and maintenance part starts after a period of 3 years. So, assuming we complete the supply of equipment, may be by FY '25 end or Q1 FY '24. So, when does the contract for O&M come in?

Arnob Roy: So, it will come in 3 years after they are commissioned. So, it is not that it starts right at the end of the last deployment. It's, for every different circle or every different deployment. As long as after their 3 year period, their maintenance cycle will start.

Pratap Maliwal: And so, you said that one particular tender was running a bit behind schedule. I just missed that part. Was it the Kavach tender or the BharatNet tender ? Which one is running a little bit behind schedule?

Arnob Roy: Yes, the Kavach tender is running a bit behind schedule.

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Pratap Maliwal: And so, just one last thing. So, I see in the presentation that we received some additional orders regarding that network densification part. So, was this part of the original INR7500 crores, order or is it, something additional in case of that? And do we foresee maybe some additional sites that BSNL would require for which we can get further orders as well?

Arnob Roy: Yea, so, this is part, as I said, part of the tender scope, but not exactly part of the original planned network, right? This is kind of an add-on to the original plan or the network, because as and when the network is deployed and they are seeing more opportunities and, more customers, they are enhancing their plans, as I would say, to upgrade the existing sites from the original plan to add more bands to increase their coverage and capacity. So, that's what is happening.

So, technically, it is part of the same tender that we have won, but the specific plan in terms of the deployment of a particular band in a particular site, I think that is something which is evolving and is adding to our business as these additional bands are coming up. But this is not connected to the additional sites or the saturation sites for the additional coverage.

Pratap Maliwal: Okay. So, is there any timeline, because there's one prevailing line of thought that, maybe 100k sites might not actually suffice for BSNL to have a nationwide 4G rollout looking at the kind of network that maybe some of the other players have. So, is there any plan in the pipeline for some additional sites maybe to kind of have a proper network rollout for that?

Arnob Roy: Yes, I think that's what we mentioned in terms of BSNL, our future opportunity, a large opportunity is the expansion of BSNL's 4G network. So, that is exactly what you're talking about . Beyond the initial 100,000 sites, BSNL is looking at least 20,000 plus sites for expanding their footprint across the country.

Pratap Maliwal: Okay, sir. Thank you for taking my questions and congrats on a good set of numbers.

Anand Athreya: We have time for 1 last question.

Moderator: The next question is from Pankaj Kumar, who's an Individual Investor. Please go ahead.

Pankaj Kumar: Yeah. So, I wanted to know what is the amount of order won in the last quarter ? What is the order mix in terms of India government, India private and international? And can you give some color on what kind of orders have been on the company in the last quarter?

Arnob Roy: Are you talking about the new orders won during the

he quarter?

Pankaj Kumar: In Q2, I'm talking about Q2, the orders won.

Arnob Roy: We don't really disclose at that level. The orders won and the backlog we categorize as India and international. We don't disclose the individual bookings through a quarter but we kind of give a picture of the overall backlog and some color regarding domestic and international.

Pankaj Kumar: Okay. Thanks a lot.

Anand Athreya: So look, as part of closing, again, I want to thank the team. The team has executed really well.

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We've delivered a lot on our orders. And we will continue to stay focused and execute as we deliver and also as we build our portfolio. And in the process, hopefully gain more customers, expand to more markets, and build a healthy business. Thank you very much. Have a good night.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Jan 2025

January 28, 2025

The Secretary

National Stock Exchange of India Ltd

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai – 400 051

NSE Symbol: TEJASNET The Secretary

BSE Limited

P J Towers, Dalal Street,

Fort, Mumbai – 400 001

BSE Scrip Code: 540595

Dear Sir/Madam,

Re: Q3 FY25 Earnings Conference Call - Transcript

Please find enclosed the transcripts of the Q3 FY25 Earnings Conference Call held on January 23, 2025

This is for your kind information and record.

Yours sincerely ,

For Tejas Networks Limited

N R Ravikrishnan

General Counsel, Chief Compliance Officer

& Company Secretary

"Tejas Networks Limited

Q3 FY '25 Results Conference Call"

January 23, 2025

MANAGEMENT : MR. ARNOB ROY– CHIEF OPERATING OFFICER AND WHOLE -
TIME DIRECTOR – TEJAS NETWORKS LIMITED

MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED

DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Tejas Networks Limited

January 23, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q3 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a

touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Mishra from I CICI Securities. Thank you, and over to you, sir.

Mohit Mishra: Good evening, everyone. Thank you for joining on Tejas Networks Limited Q3 FY '25 results conference call. We have Tejas Networks management on the call represented by Mr. Arnob Roy, COO and Whole Time Director; Mr. Sumit Dhingra, CFO; and Dr. Kumar N. Sivarajan, CTO. I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A session. Over to you, sir.

Arnob Roy: Thank you. Welcome, everyone, to the Q3 FY '25 earnings call. At the outset, I'd like to mention that our CEO, Anand Athreya is not doing well and he is unable to join today's call. So we will be taking the call between me, Sumit, the CFO; and Dr. Kumar Sivarajan, our CTO. Just to get started, I hope you got a chance to look at the slides. I think we took some time to upload.

So I'm on the first slide. Our Q3 net revenues were INR2,642 crores, which is a significant growth over FY '24. The Q3 PAT was INR166 crores and the order book at the end of the Q3 was INR2,681 crores.

In terms of the highlights for the quarter, some of the significant events that happened are the following:

For the wireless business, we have completed RAN supplies for 27,000 plus sites in this quarter, leading to a total of 86,000 plus sites delivered till date in BSNL's 4G/5G network. I want to take a little bit of time over here and kind of share the incredible magnitude of this achievement that we have accomplished with our team. So these are radios developed over 5 different bands from 700 Megahertz to 2.6 Gigahertz and include both single band and dual band offerings. Designing such a complex product and ensuring volume manufacturing with reliable supplies at scale for such a large network is a remarkable achievement.

And as you all know, BSNL themselves have reported that more than 65,000 sites have been deployed and are radiating and they are getting increased customer traction and adoption in the network. So all in all, it has been a tremendous achievement by the company, and we're all proud of the customer success that has come along with this.

So apart from BSNL, with our end products, we have a few ongoing POCs with domestic operators for 4G and 5G. Since they are new products, the POC cycles will usually take time because they may need additional functionality development, additional KPI parameters requiring a product evolution during the POC cycle. So this will take some time.

Apart from this, in Q3, we had started major engagements with multiple international operators for our high-power 5G radios. And we've seen a lot of interest in our high-power radios, and we see Tejas Networks Limited

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interest in doing country-specific band customization for these radios for both mobility as well as fixed wireless access applications.

For the wireline business, one of the highlights has been signing a 3-year contract with Vodafone Idea for supplying equipment for their pan-India 4G and 5G mobile backhaul network. This win was a result of very extensive testing and qualification of the equipment, both in the lab as well as the field. And this has been mainly our packet transport as well as our optical DWDM equipment. So we have already started the supplies and

the deployment is happening as we speak. And this is

a very significant achievement for the company and the success can mean a lot of replication of this business and not only in Vodafone, but in other customers as well.

We have been selected as a broadband equipment supplier for state-led BharatNet Last Mile Connectivity in Tamil Nadu. And this has been another significant win, and this is mainly around our FTTX equipment based on GPON technology.

We also successfully completed the POC and received the initial purchase orders for a network modernization win in the US. We had earlier reported the solution win, and then we had a successful POC and first office application in the network. And based on that, we have started receiving the orders for the larger deployment into the network. We think that successful deployment of this network can lead to many other opportunities in the US with similar network modernization opportunities.

From our existing customer in Asia, we received, again, major orders for the expansion of the mobile backhaul network, and this has been for, again, our packet transport and WDM equipment. From a corporate update point of view, as you've seen from our press release, Sanjay Malik, who was former India Country Head of Nokia has joined the management team as EVP, Chief Strategy and Business Officer.

Sanjay comes with a very extensive experience in our industry, and he has led Nokia's business successfully in India over a long period of time, and we are really very excited to have him on board and really leverage his experience and skills in taking the company's business forward.

I have been elected as the Chairman of TEPC, the Telecom Export Promotion Council for '25 to

'27 and succeeding NG Subramaniam, our Chairman, who was the past Chairman of TEPC. We have won the Global Connectivity Award for Best Hardware Innovation at the Capacity Europe Conference in London, and this has been for our ultra converged broadband access equipment. We have significantly expanded our office and manufacturing facilities in Bangalore, in line with our business and headcount expansion and we have almost doubled our floor space capacity, both for our R&D as well as for manufacturing. And as part of this, we have set up the center of excellence for wireless communications in our new facilities for advanced research in frontier technologies and stand-alone architectures for next-generation wireless networks. I will now hand it over to our CFO, Sumit Dhingra for walking us through the financials for the quarter.

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Sumit Dhingra: Thanks, Arnob. Good evening, everyone. For Q3FY '25 we did a revenue of INR2,497 crores and other operating revenue, which is mainly the PLI incentive of about INR145 crores. So total revenue from operations is INR2,642 crores, which is roughly about 4.7x of the previous year. Q3FY'25 EBIT was INR260 crores, PBT of INR211 crores and PAT of INR166 crores.

The margins or profitability are a bit lower than the previous quarter, and that's mainly on account of change in product mix. And also, there are certain provisions for old inventory and higher depreciation for certain R&D equipment that we've taken in this quarter.

Moving on to the next page, our inventory levels stand at INR3,127 crores, come down marginally over the previous quarter. Inventory continues to be high mainly due to the ongoing project execution and also certain procurement for high lead time items that we do on an ongoing basis for future projects.

Trade receivables of INR4,730 crores, again, there's an increase in receivables, but this needs to be also looked at in context of our revenues that we've done over the last couple of quarters in particular. And as we go along, as the collections go up, we would see the receivable numbers coming down.

We've collected about

INR2,000 crores during this quarter. And the other thing I want to highlight is this receivables are essentially gross of the advances that we received from customer. So while the advances are in current liabilities, corresponding receivables are covered under trade receivables.

So as and when the milestones occur - the receivables will get adjusted against those advances, that are there in the current liabilities. Closing borrowing position was around INR3,157 crores and cash of INR643 crores. Borrowings are mainly for working capital purposes. With this, I'll hand it over to Arnob to take over the rest.

Arnob Roy: Thanks, Sumit. Moving to the next slide. I'd like to give some color about the 9M business. So in terms of revenue mix, in the India government business has been 3% of our revenue, and there has been a year-over-year decline of 40%. And as you know, government business is tender-driven and lumpy. So there are seasonal variations of revenue based on where we are in a project cycle, and this is a reflection of that. India business has been the dominant part of our revenue.

But again, I would like to mention as in the past that this is dominated by the 4G shipments for the BSNL network to TCS, who are the final system integrator. The other parts of the private business also has been Vodafone Idea and a few other private operators in India. The international business has been 3%. It's still a small percent share of our overall business and we have a lot of focus in growing in terms of business.

I mean, this is still something which is going to take some time to really mature. A lot of really good engagement, a lot of really good trials happening. There is a slow and steady increase in the business traction that we see, but we see longer cycles of business conversion into revenue.

Our closing backlog was INR2,681 crores. As you can see, a relatively smaller portion for the international business. And we had anticipated a larger backlog over here driven by some of the

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large opportunities that we were targeting, one of them was the expansion of BSNL's 4G network and 5G upgrade, BSNL's 5G SA network build out.

This is for the 5G bands. And in Indian Railways, the collision avoidance system. Private 5G application for a large enterprise in India, where we have done extensive trials and we've done successful trials and discussions are in advanced stage. And then the band customization that I talked about for 5G radios for a few tier 1 international operators. Those are some of the large opportunities that we are working on in wireless.

For wireline, BharatNet Phase 3, which has been in the news recently, where the results for the tenders have been announced and are still getting announced and the system integrators have bid.

I think most of the tender results have been announced and for some of them, the orders have also starting to get placed. And this is at a stage where the SIs are going to start engaging with us, with the OEMs in terms of the product supplies, and this is the phase that we are in right now.

And over this quarter and early next quarter, we expect this to happen. Then the expansion of WDM backbone for the utilities segment, we expect significant investment to happen over here but the large tender opportunity over there has got delayed. And then we talked about FTTH and network modernization deal with multiple operators in Middle East, Africa and the Americas and the Metro network expansion for private operators in India for mobile backhaul and enterprise services. These are the key opportunities that we're targeting.

Some of the large tender-driven opportunities such as the BSNL expansion network, 5G, Power, BharatNet etc., are all live opportunities, which are maturing as we speak, and we expect them to convert in Q4 of FY'25 and Q1 of FY '26.

And that should contribute to our business for FY '26.

So at the end, I would also like to kind of recap. We still see very strong drivers for our business, both in India as well as internationally. We see continued investments in fixed and mobile technologies worldwide.

The drivers remain the same that we discussed, mainly the cloud enterprise, digital transformation, 4G and 5G have a long deployment cycle. There's a long runway of 4G deployment also, long tail of 4G and 5G deployments globally. Massive investments in broadband connectivity, both in India as well as worldwide in Europe, US and all other geographies. Modernization of utility networks across the world, digitization of cities and economies.

And on top of these, I think the new -- the new major investment that is happening is setting up AI data centers and the networking within the data center as well as the connectivity. This is going to be a major driver for networking business for us. You may have heard about very recently, the announcement of about \$500 billion of investment in building AI infrastructure in USA. So similar kind of investments are happening across the globe in all geographies. So that's also expected to be a major driver for our business. So what it means to us is our investments in line with those.

As for wireless, of course, developing state-of-the-art 5G RAN equipment, supporting diverse bands, which are the spectrum, which is available across the world, including massive MIMO radios, fixed wireless access solutions for the N78 /3.5 gigahertz as well as the millimeter wave bands.

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Support for both 3GPP and ORAN standards in our products and product architectures to support any kind of configuration or architecture that the operators choose. We are starting to see a lot more traction happening for ORAN-based applications for 4G and 5G radios and all products are designed to support both architectures.

And by leveraging a lot of the technology that we have from Saankhya Labs in satellite communications, we are building advanced non-terrestrial communication capabilities in our 5G RAN equipment. And a lot of this is going to be part of 5G advanced as well as 6G standards. And we have a layup in terms of the access to the technology that we can have for evolving our RAN products.

From a wireline perspective, it just means higher speeds and higher capacity. So the state-of-the-art of 400 gig and 800 gigabits per channel has to evolve to 1.2 terabits per channel, and that's going to come out in this calendar year.

We're evolving our gigabit GPON to 10 gigabit and 50 gigabit PON standards. We are seeing a lot of adoption of FTTX PON technologies for enterprise and mobile backhaul applications because they offer a much more cost-reduced architectures for large-scale networks, and we are seeing the evolution from not only for residential broadband, but also for enterprise and mobile backhaul applications.

And that requires building additional technologies and protocols for our PON equipment, which we are investing in. And then evolving our converged broadband product, which is one of our flagship products, which provides a convergence of multiple access technologies providing broadband capabilities.

So these products we are upgrading, to support LTE for fixed wireless application. We're evolving it to support 5G, and we are upgrading our GPON to XGS-PON and higher speeds. So these are the initiatives that are going on in terms of supporting the business drivers and the growth that we see, the growth drivers of our business worldwide.

We are also investing significantly in our business development and sales. One of the key initiative over here has been bringing Sanjay Malik on board and leveraging his experience in our field and his relationships and experience and to drive strategy as well as business

development within the company.

We expanded our sales teams in North America and LatAm regions, which is a special focus area for us, and we are seeing quite a good success that we can build on. We have also expanded our partner networks in Europe, Asia and AN Z regions as we build our business in this region incrementally.

So with this, I come to the end of our presentation, and I'd like to open the floor for Q&A.

Moderator: First question from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited.

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Vimal Gohil: Congrats on a good quarter. My first question is for Sumit sir. Sumit sir, if you can just help me understand on the gross margin front, while you've highlighted what are the levers that have impacted the margin this quarter. But if you can just help me understand what was the change in mix like in the wireless piece? My assumption is that when you say mix change, it would be the increase in the wireless equipment sale that would have happened this quarter.

So if -- and most of it would be coming from BSNL. And given the fact that BSNL would be at the fag end of execution, should our gross margins be much better going forward? That's question number one. The second question is on -- if you could help us with an update on how is the overall business piece or the pipeline looking like excluding of the BSNL deal, both in India and abroad. I do understand we have won some deals, but if you can just help us with some timelines, etc., that will give us better clarity. And lastly, just one data point. If you can help me what is our headcount like at the end of the December quarter?

Sumit Dhingra: So I'll take the first question on gross margin. And so basically, like I think we've mentioned also in our earlier conference calls, while it's difficult to comment specifically on project -by-project, but what it means by changing product mix is that even as part of one project, there could be various types of products, different configurations that we ship. And depending on the product -- depending on the margins of the products that get shipped within a particular quarter, whether it be one project or across multiple projects, that would drive the margin movements up or down.

And the other point related to your BSNL project as again, mentioned this in the past, given that this is a first wireless project, margins were slightly lower than what you would see, let's say, in typical wireline business. As we go along, as our international business picks up, as we're able to widen our order book, we expect margins to improve over the next few quarters. On your second question about the business pipeline, I think I'll request Arnob to comment

Arnob Roy: Yes, yes. So -- our business pipeline has 2 portions. One is, of course, the run rate business from existing customers, which have long-term contracts. The Vodafone-Idea deal is an example, where it's a 3-year contract for supply. So with most of the private operators, I mean that's what we have, and that's not there in our order book, right? We don't show that in our backlog order book. But the major components that we are banking on in our order book are the projects that we talked about for the expansion of BSNL's 4G network and 5G upgrade.

And as we speak, there is a lot of movement and progress happening over there. This is also something that is going to be one of the significant opportunities that we are planning to close in this quarter and next. The other one is, if you are aware, BSNL is also planning on building their stand-alone 5G network in 3.5 gigahertz band. So that's another area where we have a very strong opportunity.

And the third one was the Railway's Kavach, the collision avoidance system. We did a successful POC over there for our 4G products, and we also wanted to try out 5G

. And that testing has also been done successfully. We are waiting for the tender to come out and bid over there. Then I talked about private 5G application.

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This is also a deal where we have completed the POC and we are in commercial discussions. The other one, we're talking about is the engagement with a few tier 1 international operators. That's a little longer sales cycle because we are currently in advanced technical discussions and there will be some amount of R&D work required for the customization of these products. And for the wireline, the BharatNet Phase 3, I think that's been in the news and you're aware of it, and we have an opportunity for these projects.

We're also expecting very large deals for the utility segment for the power and rail segment where they are significantly investing in growing their nationwide WDM backbones to address their telco business. And a lot of that has been built using our equipment. So as they upgrade it from 100 gig to 400 gig and above, this is another major opportunity that we are lining up for. And the others, of course, the run rate, the Metro network expansion and similar opportunities. So that will happen

consistently quarter - over-quarter over the year.

So these are some of the key deals in the pipeline that will go into adding to our backlog that we have and we expect to contribute significantly to our FY '26 business. The first question was about headcount. So as of today, we are upwards of 2350 people, and more than 60% of them are in R&D, that is part of our engineering team.

Vimal Gohil: And sir, one last question. On the BSNL deal, given the fact that our initial deal that we had with BSNL was for 1 lakh towers for their 4G equipment. We have already completed 86,000. Would it be fair to assume that next quarter, we'll see this execution being complete for the 4G part and post which in FY '26, we should see the 5G part ramping up. Is my understanding correct?

Arnob Roy: That's correct. I think this initial 1 lakh site order should get executed in this financial year. So what we expect to see is, again, an expansion of this 4G network because I think there is still some way to go for them to get coverage across the country wherever their plans are. So there will be expansion of this 4G network and upgrade of this network to 5G as well.

And there are separate opportunities for 5G in the n78, 3.5 gigahertz bands. So there are multiple opportunities. One is the 4G expansion itself. There's a 5G upgrade of the existing network and then the 5G build-out in the n78 band.

Moderator: The next question is from the line of Ritesh Poladia from Girik Capital.

Ritesh Poladia: Sir, on BSNL, can you comment how is the working of this 86,000 sites? I assume substantial would be already operational. So are they working as per your expected parameters and managing peak process?

Arnob Roy: Yes. As you can see, we only report what we supply, which is more than 86,000 sites. But BSNL themselves have reported, if you see yesterday or day before that 65,000 of these sites are operational and live. Field installation is a little more than 65,000 but 65,000 are actually live and radiating and actually serving customers. So as far as we are concerned, I think BSNL is quite happy with the performance and quite happy with the customer acquisitions that they are doing. So yes, I would say it has been quite successful as far as we are concerned, both in terms of the equipment supplies as well as their performance in the network.

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Ritesh Poladia: So the product doesn't need much of tweaking. In terms of also feet traffic, it's working as per the parameter...

Arnob Roy: Yes, yes, yes absolutely. I think performance has been tested extensively during the POC that happened before

we got awarded the contract. There was almost a year-long POC that happened where every aspect of our equipment's performance got compared with the state-of-the-art that has been deployed in the country. So only after that, we got awarded the contract. So I think there is no concern on that front at all.

Ritesh Poladia: So POC and reality is same?

Arnob Roy: Sorry, what and reality?

Ritesh Poladia: POC performance and real performance is same.

Arnob Roy: Absolutely. And by the way, I mean, just to let you know, POC was not just a small-scale lab test. POC was done across many sites in Chandigarh for more than a year. It was built across the Chandigarh City, across many sites and testing has happened extensively over these sites. So with that kind of rigorous field testing, it's not surprising that the real-world performance and POC performance are at par.

Ritesh Poladia: Second question on R&D spend. I think roughly company is spending about INR600-odd crores on R&D. Now if the company doesn't win substantial contract in next few months, so there is a possibility of revenue decline. So in that scenario, do you think in FY '26, the R&D spend can be curtailed? Or will you still maintain your R&D as whatever are your plans?

Sumit Dhingra: So I think without commenting on the revenue visibility and outlook, from an overall long-term investment perspective, I think we'll continue to build our products, continue to invest in R&D. As I mentioned in earlier conversations as well, it's an important part of what we do in terms of the industry that we operate in and our overall plans that we continue to build on the products. While we would always look at optimizing and controlling the overall spend in general, but at an absolute level the investments in R&D will continue.

Ritesh Poladia: Then lastly, sir, what would be your import content in the materials? Or now is the domestic sourcing is higher?

Arnob Roy: Yes. So we have localized a lot of the components that go into our products, especially in our 4G, 5G radio. But having said that, I think most of the electronics -- active electronic components are imported and it varies from product to product. The amount of it can vary between 40% to 65%, in terms of the active electronics that gets imported especially for the semiconductor chips. But a lot of the key ingredients in terms of enclosures, accessories, cables, connectors, mechanical items, Passive components, a lot of that has been localized in India. In addition the entire manufacturing and assembly process including the PCB assembly as well as system assembly and testing are

localized . So a significant part of the entire manufacturing operations are actually done in India.
Moderator: We have the next question from the line of Rishab Gang from Sacheti Family Office.
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Rishab Gang: I want to understand on the international order front, I think we target tier 2 and tier 3 vendors. So how do we ensure that we win the orders from these kind of customers and the order does not go to the foreign players like Cisco, Ericsson and Nokia. Also, what kind of cost advantage do we really have? Because these players also have Indian R&D and manufacturing setup, right? So what is the cost advantage we have? And what can be the reason for maybe not winning an order and maybe Nokia, Cisco, Ericsson winning it? Like I want to have some granular insights on it, sir.
Arnob Roy: Yes. So the same equipment from different vendors are not identical. Each vendor builds their product with their unique thinking in terms of the network applications they want to optimize it for and want to serve well. So what usually happens is that based on the applications a particular architecture wins. For example, as we've spoken before, if you compare our equipment with other wireless

equipment, it is differentiated by the kind of technology integration that we have done in terms of combining the baseband unit with the transport or backhaul functionality.
So in a typical RAN equipment, an operator would need to have the radio, the baseband unit and a separate backhaul unit in terms of a router or some other transport equipment at the tower to really backhaul the mobile traffic. And we have implemented a very unique architecture where we integrated the entire backhaul functionality in our RAN equipment thereby giving the operator significant savings in terms of his network deployment cost.
Similarly, our baseband unit is also a converged network product where you can also plug in additional modules, which can do broadband services for enterprises and homes . So given a footprint in a particular area , say under a tower, by adding these modules, the operator with a very incremental cost can actually reach out to many more customers in that area by delivering broadband services .
So while the technology still remains 4G or 5G from a radio perspective, but the total cost of ownership, the total cost of the solution for building the network and the other applications that come along with it gives our implementation and architecture, a unique cost advantage for the operator .

So the cost advantage is not in terms of using a cheaper component than my competitor for a specific functionality . It is in the novel architecture of the product, how we have designed it and what kinds of applications it serves more cost -effectively. So I just gave an example of that. And so similarly, we have many other such examples even for our wireline products . So I hope I've been able to answer this question. And that when actually operators value that kind of cost optimization that we get in the network, that's the key reason that we win.
Rishab Gang: So what kind of lifetime value, right, maybe a customer saves, right, because of all this integration and all? Like can you give some more granular insights on that, like some numbers or some percentage?

Arnob Roy: Well, it depends on the application . The integration of radio with transport is one kind of optimization, the access to transport, that's another kind of optimization. And so the cost savings are not only in terms of the cost of the equipment, but also in terms of the operational expenses .
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Being able to deliver multiple services from a single equipment with a single management software gives them a lot of operational savings in terms of their own training costs , power etc.
So you may get a cost of goods advantage of maybe 20% -25% to that extent, but you get a larger benefit in terms of the opex also in terms of running a converged or integrated equipment . So it's like it really varies, and these are just kind of indicative of where the benefit really comes from.
Rishab Gang: Very helpful. what would need to happen, right, for us to win India wireless orders, right? So I wanted to understand what is the status of ongoing POCs, right? When do you think the outcome of these POCs will come through? Also, if such POCs are happening for international orders, what do you think about that?
Arnob Roy: Yes. So as I mentioned that live POCs are going on for operators in India, and we think probably in this quarter or in Q1 FY'26 , we should be able to see some success in that in terms of additional orders and additional deployment. For international customers, we have a lot of ongoing engagement. Obviously, our success in BSNL has given us a lot of visibility globally. And people see our equipment and see our architecture and the efficiency of our product, and they are very interested.
And there's a lot of discussions which are going on in terms of how do we customize it for their specific bands, which are there in

their countries, right? So that's what is going on. So those will take a little longer to really convert because that will require some amount of customization as well. But that's the kind of engagement that is happening in the international market for our wireless equipment.

Rishab Gang: Just one last question from my side. On the international front, right, we have said that we are expanding teams in North America and LatAm region and partner networks in Europe, Asia, ANZ. Can you give some numbers, right, or some insights on how we have performed -- how we have expanded versus last year, right, or maybe 2 quarters before. Some numbers on headcount in the sales team outside India or partner networks outside India like that?

Arnob Roy: Well, with respect to last financial year, we have grown our teams by more than 50% in those regions. In the US and LatAm, we've added at least 6-7 people, both in terms of system architects, senior sales, marketing people as well as account executives. That's a significant increase in headcount. In every region, we've added 1 or 2 partners based on their geographical territories. So that's roughly an example or quantification of how we have invested in terms of sales.

Rishab Gang: And how does this partnership work? Like do they -- how do they help you in getting the orders? Just if you can give some insight on that?

Arnob Roy: So the sales partners, basically, they are people who have operations local to the region. And there are many countries where the business is done in the local language, right? So they are people who are set up over there who have the expertise of building telecom networks, who have the expertise of supplying in that region. They understand the technology well. They have the customer relationships.

They have the experience of building networks using these technologies. We have countrywide

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presence in those countries, whether Indonesia, Malaysia, maybe in the Middle East and all, where we need on the ground presence and country presence for building networks because that's how our equipment is deployed. So we need that we need local language support for dealing with the customers as well as for handling business at remote locations within the country.

So those are the nature of the partners who are there, people with significant in-country presence, significant local language support and significant customer relationships in those regions. So those are the people we work with in terms of partnering, in terms of sales and supplies and deployment and support.

Moderator: The next question is from the line of Advait Lath from Nippon India Mutual Fund.

Advait Lath: So just congrats on a solid set of numbers. Just picking up from the previous question. I just wanted to know what is the environment we are dealing with in the North American continent and LatAm in terms of the regulatory environment, especially because of regime changes, etcetera, and also the tariffs that we might be getting incurred upon us because of this and how we are going to deal with it and also the lead times within these continents?

Arnob Roy: Yes. So in terms of regulatory environment, there are really no issues. I think the only regulatory thing we need to meet is the performance of the equipment because these are advanced equipment, and they have to meet the global or country-specific standards in terms of their performance, safety, radiation etc., certified by agencies such as TUV and UL.

And we have to have our equipment certified against those standards before we ship to those markets. And when we design our equipment, before we take it to production, we make sure that we have tested for those standards in various markets. Many of them are very, very similar. A few of them may have one-off extra features but we make sure that the equipment are up

front designed

to meet those regulatory requirements and we get the necessary certifications before we ship the equipment to these countries. And that testing happens actually in India because all those global certification labs like TUV, UL actually exist in India. So that's as far as regulatory compliance is concerned for global standards. Now as far as tariffs and all are concerned, it's still an open question. We really do not know. I mean nothing has been announced, so nothing has come up. So until that time it comes up, it's all pure speculation on this front.

In terms of lead time it's very similar for customers everywhere. There is a process of lab testing, there is an initial technical engagement, we make presentations, go through extensive technical discussions on what is the value that we're providing to the customers.

We then enter into a cycle of product testing. Sometimes they do remote demo followed by testing in their labs. The customer actually deploys our equipment in their network in the field to see its performance, so this stage often takes some time. And after that we engage in commercial discussions and get into an agreement. So that's how a deal progresses.

That's the reason why from the start of investment of a particular opportunity cycle to closure, it usually takes a long time. But when you are selected, and if your performance is okay, the supply cycle is also a long one. It's at least a year, if not a multi-year cycle or it's a major project deployment

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that happens because the operators also invest a lot in going through the testing process in selecting a particular vendor.

Advait Lath: Got it, sir. And just a follow-on question. This has to do with our Vodafone and Idea -- Vodafone Idea deal. So just wanted to ask what are the terms of the agreement, if you can share some detail on that?

Arnob Roy: Yes, yes. It's a very standard agreement like we have with any other private operator, which is to do with supplies of our equipment in a few set of states for a set of circles. So we are building the entire network for the state across multiple states. And the contract includes supply and deployment and commissioning of the equipment, including supply of network management software and making the equipment live and connecting it to their mobile 4G, 5G networks and getting the traffic running. So there's the entire scope of the equipment and we are getting paid as we do the supplies.

Advait Lath: Got it. And this will be in tandem with TCS or this would be an independent contract?

Arnob Roy: No, this is an independent contract with us directly.

Moderator: The next question is from the line of Sunny Gosar from MK Ventures.

Sunny Gosar: Congratulations on the very quick execution for the BSNL project over the last 3 or 4 quarters. My first question is related to the PLI incentive. So we have booked about INR500 crores plus of PLI incentive in the last 4 quarters. Have we been receiving the money on a regular basis? Or is this still completely outstanding as on December?

Sumit Dhingra: We received the PLI incentives for FY '23 in FY '24. And typically, the payment happens in the subsequent year. So what you would see in recognized as revenue in FY '24 is what we would expect to receive this year. The process for that is on. We've submitted documentation. There is back and forth with the nodal agency and thereafter with the ministry. So we are hopeful of getting the incentive for FY '24 soon. And then for FY '25, the corresponding incentives are something that we would expect to get in the next fiscal.

Sunny Gosar: Got it. That's quite helpful. In the earlier part of the call, you alluded to a few opportunities like the Kavach program, the 5G -- private 5G application, the BharatNet Phase 3 project. Will you -- like if you could give some color on t

he quantum of some of these opportunities, some ballpark numbers or some indicative color on how large some of these opportunities could be? And like on an annual basis, how much revenue opportunity that could lead to over the next few years?

Arnob Roy: These are very significant 5 projects. For the BharatNet Phase 3 project the overall budget has been public information for some time. And I think in all of them, the equipment opportunities for us ranges from a few hundred crores to several thousand crores as well. There's a wide range and a lot of it, but each of them is a fairly significant sized opportunity. And what it will turn out to be for us depends on how much of each of those opportunities we win. But each of them is of a very significant size.

Sunny Gosar: Got it. And in terms of the conversion of these opportunities or proof of concepts into actual orders and then eventually into revenue, can you like give some kind of indicative time lines or which of

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the projects are more closer to conversion as compared to some of the others? So some indicative color because the order backlog now is about INR2,600 crores and most of it is related to BSNL, which would mean that post Q4, assuming that no new orders come in, there could be a temporary dip in terms of the revenue.

So how should we look at this in terms of continuity of revenue and the future outlook in that sense?

Arnob Roy: Yes, yes. So first of all, backlog right now, a lot of the BSNL backlog rundown -- order book rundown has happened. And a good part of the backlog is also the non-BSNL business. But having said that, you're correct in the sense that it is still significantly small compared to what we had at the beginning of the year. So yes, most of these opportunities that we're talking about -- whether it's BSNL 4G network expansion, 5G or the Kavach or BharatNet, we expect to see conversion in these in Q4 and Q1 FY'26 and a significant part of that should be executed in FY '26. So if we are successful in most of these opportunities, it could lead to a significant bump or refilling of our order book.

Sunny Gosar: Got it. And one last question.

Arnob Roy: I would also like to make it the last question of this session, if you don't mind. I think we're running out of time. So please let's take this last question.

Sunny Gosar: So one last question from my side. Basically, the BEAD program in US, which is like a multibillion-dollar government program and also the Rip and Replace initiative that the US government has announced. So are we likely to be beneficiaries of those programs? And what kind of opportunity do we see in the North American market?

Arnob Roy: Yes, both of those programs we are trying to address with our local partners. BEAD is about the

expansion of broadband rollout in the rural areas of US where there is a significant amount of investment. And a lot of the investment is happening in phases, and we are working actively with our sales team as well as partners over there to win a part of this business.

The same holds for Rip and Replace. Rip and Replace, doesn't really imply that there is some equipment to be replaced. It typically happens when customers and operators expand their network in those regions. And along with that, the replacement of equipment and expansion of the network also happens.

Besides BEAD and Rip and Replace, another significant opportunity that we are targeting in North America is network modernization. Most telecom networks in North America have been built over many, many years using old TDM technology which were optimized for voice. And as they modernize the network to a more modern packet-based infrastructure, they cannot really replace all of their endpoint connectivity so easily.

So they require a special technology called circuit emulation over pa

cket networks for being able

to modernize the heart of the network and slowly transition their older networks to more modern interfaces. And that is something that we are able to address with our products, along with BEAD and other optical transport opportunities. Our dense circuit emulation solution is seeing a lot of

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traction in these markets.

Sunny Go sar: Got it. That's quite helpful. And thanks for the detailed answers on all my questions.

Arnob Roy: So with that, I would like to thank everyone for joining the call. Thank you for your questions and hope we've been able to provide a good insight on our business and look forward to talking to you all again the next quarter. Thank you very much.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: May 2025

May 02, 2025
The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051
NSE Symbol: TEJASNET The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 540595
Dear Sir/Madam,
Re: Q4 FY25 Earnings Conference Call – Transcript

Please find enclosed the transcripts of the Q 4 FY25 Earnings Conference Call held on April 25 , 202 5.

This is for your kind information and record .

Yours sincerely
For Tejas Networks Limited

N R Ravikrishnan
General Counsel, Chief Compliance Officer
& Company Secretary

"Tejas Networks Limited
Q4 FY'25 Earnings Conference Call"
April 25, 2025

MANAGEMENT : MR. ANAND ATHREYA – CHIEF EXECUTIVE OFFICER &
MANAGING DIRECTOR – TEJAS NETWORKS LIMITED
MR. ARNOB ROY– CHIEF OPERATING OFFICER AND WHOLE -
TIME DIRECTOR – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY25 Earnings Conference Call of Tejas Networks Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, sir.

Mohit Mishra: Good evening, everyone. Thank you for joining us on Tejas Networks Limited Q4 FY'25 Results Conference Call. We have Tejas Networks Management on the call, represented by ; Mr. Anand Athreya, CEO and Managing Director ; Mr. Arnob Roy, CEO and Whole-Time Director; Mr. Sumit Dhingra, CFO and Dr. Kumar N. Sivarajan, CTO.

I would like to invite Mr. Anand Athreya to initiate with opening remarks, post which we will have a Q&A session. Over to you, sir.

Anand Athreya: Thanks, Mohit. Good evening, everyone. So thanks for joining the Q4 FY25 Earnings Call. I'm here with Arnob, Kumar and Sumit in this room. So I would like to give you a very key update. The first one is, as of yesterday your company completed 25 years. It was incorporated on April 24, 2000. So I have the Founders here, Kumar Sivarajan, Arnob Roy and Sanjay Nayak, who was our previous CEO. I want to thank them and congratulate them on this fantastic milestone. Thank you, guys.

So one key important update I would like to give you is that, we shipped 100,000 sites on the BSNL 4G project, that's something that we were on for the last one and a half to two years. So that it's a great milestone that we have accomplished as of last quarter.

In terms of revenue, Q4, we landed up at INR1,907 crores. It was 1.4x year-over-year. And for the financial year, FY25, we hit INR8,923 crores, which is more than \$1 billion and it's 3.6 x year-over-year. In terms of profit after tax, we were negative INR72 crores for Q4FY25 and FY25 profit after tax, we ended up at INR447 crores. The order book at the end of Q4 was INR1,019 crores. And some of the key business highlights is, as I just said, we shipped close to more than 100,000 sites for the BSNL 4G/5G network. This is one of the largest single-vendor RAN network in the world ever delivered in record time. So I think I'm very proud of the team and also the consortium of TCS, C-DoT and also our customer BSNL for actually helping us make this happen.

We also signed a very strategic technology collaboration agreement with NEC Corporation Japan. And this is for the development of advanced wireless technologies, RAN technologies, and also the Core and EPC and also a joint go-to-market. So as two companies, we can take it to our customers.

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We also have had several key wins for our leading-edge optical platforms, both on the PTN and FTTX, mobile backhaul and also for broadband services and power utility networks. And we also are expanding our sales footprint in Americas and EMEA and ANZ.

In terms of corporate update, on the occasion of 25 years completion of registering the Tejas Networks, and considering the performance of the company in the last fiscal year, the Board has recommended a dividend of 25%, which turns out to be INR2.5 per share, subject to the approval of the shareholders. We also received around INR123 crores of PLI incentives for FY24 and the first tranche of INR189 crores for FY25. We won the best mobile technology breakthrough award from ET Telecom recently.

From a summary point of view, I'm really proud of what Tejas has accomplished. In fact, this is the largest revenue that we've had in 25

years and it's a major milestone and a big number. So I

want to thank our shareholders, our investors and also our employees and our customers for helping us achieve this fantastic milestone.

I'll hand it over to Sumit, who will go through the financials and other details. Thank you.

Sumit Dhingra: Thanks, Anand. Good evening, everyone. For the financial year FY25, we had revenues of INR8,923 crores, EBIT of INR905 crores, profit before tax of INR698 crores, and PAT of INR447 crores.

Looking at the fourth quarter, the revenues were INR1,907 crores which is 1.4x year-on-year. EBIT for the quarter was INR18 crores and PBT of negative INR45 crores. The profitability for the quarter and to that extent the full year is partly impacted because of the provisions for inventory obsolescence and write-down of about INR117 crores that we did in this quarter, Q4. The number for the full year was INR181 crores. We also wrote off certain expenses related to intangible assets under development during the quarter, so that suppressed the profitability for the quarter.

Moving to the key financial indicators, inventory at the end of the quarter stood at INR2,367 crores. This will get converted to finished goods and get shipped over the next few quarters. Trade

receivables at the end of the quarter stood at INR4,884 crores. The increase is mainly because we had higher shipments, particularly for the BSNL 4G project during the quarter. We collected about INR1,900 crores during the quarter and we expect to make further collections over these receivables over the next few quarters as the milestones get completed. Cash position at the end of the quarter was INR827 crores and borrowings of INR3,269 crores, implying a net debt of about INR2,442 crores.

I will hand it over to Arnob to take over the business update.

Arnob Roy: Thanks, Sumit. I just wanted to add a little bit of color to the business of FY25 and the upcoming year. So for FY25, the revenue mix was the following. Indian government was 3% of our overall revenue. This is a year-over-year decline of 66% and that's primarily because, as you're all aware, the Indian government business is very tender-driven and depending on the timeline of the tender and the timeline of the execution of the tender i.e., depending on the particular time and the quarter and the financial year in which they get executed, this part of the business tends to be very lumpy. Tejas Networks Limited

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India Private grew significantly and had the dominant share. Of course, as we have mentioned earlier, our BSNL 4G shipments through TCS is considered as part of the India Private business. But apart from that, I think we saw a good amount of growth of our wireline business in the India Private segment among the private mobile operators.

International business had a year-over-year increase of 18%. In the overall scheme of things, it's still a small number. It was like 3% of our overall business. It was driven mainly through key shipments to the US, Africa, South Asia, both our existing customers, and a few new strategic logos as well. We closed the year with an order backlog of INR1,019 crores, where INR900 crores plus of that was from India and INR100 crores plus from International.

Moving on to FY26, as you can make out FY25 was a milestone year for us in terms of our revenues and was driven by the large BSNL 4G project. So obviously, FY26 will be different in terms of revenue, revenue profile, and so on. And our business of FY26 has to be seen in the perspective of the revenues of the previous years, such as FY24.

So, the good thing is that our portfolio got expanded significantly in FY25 and has increased our addressable market. During the year, we invested significantly in R&D and sales to support the development and execute on the roadmap for our products, especially

in wireless where we have

significantly enhanced our product offerings. So, now we support 5G over multiple bands, and that gives us a really good opportunity to upgrade 4G networks, not only in India but worldwide. We enhanced our portfolio with advanced 5G Massive MIMO Radios. Moreover, we have now a portfolio of not only our own 5G radios, but also the ones available through our partnership with NEC. We will be able to leverage some of the advanced beamforming technologies to support more sophisticated and advanced features in our radios as well. We also acquired a field-proven 4G-5G Mobile Core, through the NEC partnership.

A lot of future development in the Core is going to happen with the baseline of this core software, which has seen a lot of international deployments. We also expanded our IP and wireless router family. As you know, we deployed a very large network in the BSNL network for the 4G-5G backhaul.

And over the year, we completed the commissioning of that network, which is carrying a significant amount of their mobile traffic as well as their broadband services. We also added to the family an additional set of products, both in the modular as well as fixed platforms.

We enhanced our optical portfolio from 400 Gbps to 800Gbps and 1.2 Tbps per channel DWDM systems. This is kind of absolute state-of-the-art in terms of what's available across the world. And with this, it puts us in the league of leaders in the optical networking space. We also enhanced our FTTH portfolio with XGS-PON or basically the 10G PON products and shipped a few initial customer orders. And with this, we expect to see a lot more traction coming for our 10GPON products internationally. Apart from that, I think the markets for our product segments, all the product segments, as you know, we have a wireless product segment with a RAN and Core. And in the wireline segment, we have products for Routing and Switching, FTTH or fixed-line broadband services, and for Optical Networking including Packet-Optical and WDM transmission. These are the three product lines in wireline. And all of those product segments are projected to Tejas Networks Limited

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grow globally, not only in India, but also in the international market. That gives us a great opportunity, especially with the expansion and the maturing of our existing products.

The domestic opportunity pipeline that we have includes large projects in the government sector, which we have discussed before. Many of them are in a very advanced stage of negotiations and hope to continue for the next one or two quarters. We've had several new customers and new application wins in both private and government sectors, many of which we announced during the year.

And we have deployed, executed these projects very successfully. And those businesses, we expect to expand in FY26. We had a significant event in terms of the partnership with NEC, which not only gives us access to advanced technologies, but also access to global customers, which includes NEC's existing and prospective customers, which helps us in joint go-to-market opportunities with NEC. So we expect our international wireless business to get a significant boost with this partnership.

We also invested in expanding our global sales footprint. So we set up more offices in Southeast Asia, in ANZ, and expanded our sales operations in the Americas. And on the back of a few strategic wins in those markets, we believe we have a strong momentum for increasing our international business in FY26. So that concludes our presentation of the results of Q4 and the outlook for FY26. And we'd like to open up the floor for questions.

Moderator: We have our first question from the line of Vimal Gohil from Alchemy Capital Management.

Vimal Gohil: Firstly, a question for Sumit sir. Sumit sir, on this inventory, obsolescence, and various other write-downs of intangibles, which is amounting to roughly INR140 crores, in this case is there any spillover expected in FY26?

Sumit Dhingra: I think evaluation of inventory for obsolescence, write-down, etc. etc., or even charging of certain expenses, is an ongoing evaluation that the company does every quarter whenever we offer our results. So that, in various shapes and forms, it keeps on getting evaluated. I think as we completed this project and we were coming towards the end of this year, this initiative was taken and we took these obsolescence and write-downs and provisions.

It's an ongoing exercise, so there'll always be certain provisions that we'll continue to make every quarter. But this is also sort of a one-time significant effort that we have put in at the end of this large project.

Vimal Gohil: So basically what you mean is there can be, these provisions will happen, but the magnitude may not be as large as this one?

Sumit Dhingra: Yes, inventory evaluation is a regular ongoing exercise, on a quarterly basis, that any organization would do.

Arnob Roy: This is Arnob. I'd like to add that, you know, given the nature of our business and being a product company, we have to continuously invest in newer products in anticipation of technology changes or building in newer innovations in our products. And all of them don't often come to commercial

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fruition.

So from that point of view, I think this is expected that some amount of our effort that we put in or the investment that we put in, may sometimes be needed to be written off for inventory which is out there, which is not sellable.

So it is the nature of our business, given that we are a product company. And as Sumit said, we do this determination at the end of every quarter and every year to see what kind of provisions we need to do.

Vimal Gohil: Sir, is there a chance that this particular quarter, because we finished a large contract, a mega-sized contract, is there a chance that this particular quarter, the expenses would have been particularly higher? Because I would have imagined that this kind of a provision would have been scattered over four quarters or maybe more, or over the year rather, which has happened in one single quarter almost. So how should we look at this?

I mean, INR140 crores, of course, it will depend on how much is expensed out or what is the kind of revenue we build for FY26. But my point is that if we continue to have such large provisions going forward, it is going to hamper our profitability when we are entering FY26 at a significantly lower revenue base.

Sumit Dhingra: I think typically at the end of the year, always this exercise is undertaken. And given that this is one of the large provisions that we've taken, we wouldn't expect such large numbers going forward. I think progressively as we continue, normal provisions will continue to happen. So to some extent, I can say that this is a one-time initiative.

Vimal Gohil: Fair enough. So the next question is, I need a bid on four specific contracts that we've consistently spoken about in our previous calls. One is on the follow-up contract from BSNL for 4G and 5G. The second one is on the VIL order win that we had last quarter. The third one is on Rail Kavach. And the fourth one is on BharatNet. If we can briefly touch upon each of these, where are we in terms of either tender or execution?

Arnob Roy: Yes. So for the add-on on BSNL, I think we are in advanced stage of discussions and will hopefully close in this quarter. But as you can see, these opportunities often take time beyond what you can plan for.

Regarding VIL, we won that last year. We did our shipments for Phase 1 and successfully executed the project. We got an add-on business as well. And that business is expanding and we hope to

expand that business going forward in FY26 as well, as their networks expand.

Rail Kava ch, I think the tender is getting delayed. We've completed our POC successfully. But I think they are taking more time for issuance of the tender and finalizing the specifications.

BharatNet, as you know, in most of the circles, the SIs have been assigned the tender. Many of them have the P Os and there are ongoing discussions with the system integrators on the particulars of the products and the quantities that will be shipped.

They are also in the part of the OEM selection process and finalizing the quantities. So we are Tejas Networks Limited

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again at a very advanced stage of discussions with them. And this is also something that we hope to close in this quarter.

Vimal Gohil: Fair enough. Arnob sir, in your commentary, in your notes, you mentioned that FY26 will have a different kind of a revenue structure, which is understandable coming from this kind of a base.

However, for FY24, we had closed the year at a revenue growth of close to INR2,500 crores. With an order book of a INR 1,000 crores, how do we expect to beat INR2,500 crores in FY26?

Arnob Roy: Well, as you know, we don't give revenue guidance. But if you look at our opening backlog and the business pipeline that is in front of us, I want to give you a flavor of that, both in terms of the large projects as well as the run rate projects from the private sector.

If you look at all of that, I think there is a very good opportunity of having a pretty significant business in FY26 as well. And there is a good amount of business pipeline built out there. And especially with our expanded set of products, I think we are looking at FY26 very positively.

Vimal Gohil: And sir, just one clarification on what you mentioned here. Some of the orders that you got are expected to execute for the newer products. Will it be fair to say that this will be a bit more short cycle in nature as compared to what we've done for BSNL? Some of the order intake which will come within FY26 will get executed within FY26 and which is why the order book for Q4 may not give you a correct picture of what is to come in FY26. There could be a positive surprise.

Arnob Roy: Let me put it this way without getting into any specific guidelines. I think most of the opportunities that I talked about, we do expect them to close and a large part of them getting executed in FY '26.

Of course, in the case of the larger orders, there will be some overflow onto FY '27 also, but a significant part of the opportunities we expect to get completed in FY '26.

Vimal Gohil: Just one last data point, if you can help me with the number of employees that will be closed in FY '25 and the employee cost which is capitalized this year.

Sumit Dhingra: Roughly around 2,370 employees at the end of the year. Sorry, what was the other question?

Vimal Gohil: Sir, your employee cost that is capitalized this year? Last year it was around INR250-odd crores.

Sumit Dhingra: Yes, so about INR289 crores of cost was capitalized.

Moderator: We have our next question from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: So my question is, I mean, in continuation to the previous participant. So just wanted to understand in terms of the order book, which is at about INR1,019 crores, we are expecting. So what kind of addition we are expecting from the major projects that are there in terms of Rail Coverage, the Vodafone Idea One, additional BSNL and BharatNet and other projects that we could see over the next, I mean, getting executed probably over the next couple of years. If you could just help with that.

Arnob Roy: Yes, I think we don't share specific numbers with respect to each and every deal. And many of them are yet to materialize. We are very close. Since we don't give specific numbers,

it is very hard

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to say what FY '26 is going to look like and what are the numbers that we are expecting from them.

But as you know the sizes of the projects and the opportunities you can probably make an estimate about those. And we look forward to a fairly successful FY '26, but not comparing it with FY '25.

Akash Mehta: But any broad, I mean, if you could just help us with any broad opportunity size from that perspective, that would be kind of helpful. I mean, not guidance in terms of revenue, but what you are internally targeting in terms of these projects.

Arnob Roy: No, I don't have any specific numbers to share for any of them. I mean, each of those large opportunities of BharatNet and the BSNL add-on and others are like several hundred crores and some of them upwards of a thousand crores also. But beyond that, I don't have any specific number to share for each of them. But these are large opportunities.

Akash Mehta: Understood. Fair enough. And second is on you mentioning that there are certain large projects in government sector that could come through in the next couple of quarters. So can you help us in terms of what kind of projects this could be?

Arnob Roy: Yes, so those are the ones that I think Vimal was referring to, the add-on BSNL, the Railway Kavach project, BharatNet and so on, both at the central and the state level. So each of these opportunities is fairly large. Some of them are several hundred crores, some of them are several thousand crores as well. So those are the large projects where we are hoping to win a significant share of.

Moderator: We have our next question from the line of Manish Oswal from Nirmal Bank Securities.

Manish Oswal: I have a slightly longer-term question. From last couple of years, we have expanded capability, product basket and the geography and we have built teams in different markets also. And you said in FY '26 outlook, our addressable market is expanding. So if we take a three to five-year view on the business, where the size of opportunity -- can you quantify the size of opportunity which we are targeting to capture or participate in?

And secondly, in terms of performance evaluation internally of delivery against our budget, what are the key metrics you look at internally to judge the performance benchmark? So can you share details around these two things?

Arnob Roy: Well, outlook over the next few years is good because overall in all the product segments that we operate in, they are all expected to grow significantly anywhere between 3%-4% to going up to 6%-7% globally. In India, the investments are also growing substantially. India is one of the fastest growing markets.

So from an overall environment point of view and the relevance of our products point of view, I think we are in a very good position right now. We have, especially in India, incumbency in many of the customer accounts. Our key challenge is really growing our international business as well. And it's mainly a question of execution of successful business in a growing market for us. So I think the market growth and opportunity is not a challenge. It's a question of being able to execute successfully, especially with the newer products and the enhanced portfolio that we have.

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So the second part of your question was regarding KPIs. I think it's very simple. The KPIs are again just the financial numbers in terms of revenues, margins, profits, cash flows. So I think all of this has to work out to the numbers and the financial performance of the company. So those are the key parameters that we monitor and we evaluate ourselves on.

Manish Oswal: Sir, the NEC tie-up which we have, so as per some credit rating notes, we have to pay certain royalty yearly basis. So can you quantify the amount?

? And secondly, from this tie-up, what is the

size of opportunity we can invest for Tejas Network? And corresponding to this question, when you say we have increased the size of opportunity from this different aspect.

But in terms of competitive landscape for participating that opportunity, can you talk about the competition level in terms of cost structures, in terms of where we are losing bids? Can you name a few competitors also in this pitch where we are competing one-on-one?

Arnob Roy: So as Anand mentioned the NEC agreement is for development of advanced wireless RAN and core technologies. And as part of that also licensing of their products and for joint go-to-market.

So this gives a lot of access to NEC's customers worldwide who are deploying their products as well as some of the newer opportunities that they're looking at globally. So this gives us a significant boost to our joint branding and joint go-to-market with their existing as well as the newer customers in the international market.

So that's the big value coming out of that. Quantifying the number is not possible right now. I mean, we don't share that, but we are looking at, of course, significant revenues. And most importantly, these are going to be international business. That's something that we are very keen to really grow, and it's very important for our business to increase our footprint globally. And this gives this initiative a significant boost.

Second part is the competitive landscape. One of the reasons that we invested significantly last financial year and continue to support that is for accelerating our product roadmap. I think right now, over the last 12 months, all the different initiatives that I talked about, all the product portfolio expansion that I talked about, has now placed us in a very good competitive situation compared to the leading-edge product manufacturers across the world.

And they are the people that everybody is familiar with. In wireless, there are Nokia, Ericsson, and others. In optical, these are Ciena, Nokia, and so on. And in routing and switching for the service

providers, Nokia and Cisco, and so on. So all of them are global competitors against whom we compete not only in India, but also in international markets. And with all the investment that we've made, all the development that has happened, we find ourselves in a very good competitive position with respect to them.

Moderator: We have our next question from the line of Advait Lath from Nippon India Mutual Fund.

Advait Lath: Yes, so just congrats on a great year. And just wanted to ask, what is the tariff-related news flow, or what is the impact of that on us, and how are we looking at that risk in the long or medium term?

Arnob Roy: Yes, so the full impact of the tariffs and how varied lands finally is yet to be determined, as you know, there are discussions that are going on between the different countries. But the way we see

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it is that we see it with respect to our competitive landscape. You know, most of our competitors also manufacture outside of the US, right? I mean, in different geographies, including Asia and various countries in Asia.

So I think whatever the tariff impact on India is, they're going to have the same tariff impact as well. So from that point of view, I believe the impact is going to be neutral. Because I think they're also going to get affected by that. I think the part that could potentially impact is that if there is a negative sentiment in terms of business, global business, and the investments from our customers go down based on the negative sentiment.

If there's a conservative approach that happens in terms of the investment in the network. I think that secondary impact probably has a -- could be a larger risk than the exact tariff by itself.

Advait Lath: And just a

follow-up question on the PLI schemes, when do you think we are eligible till which year?

Sumit Dhingra: Till FY27.

Advait Lath: And after that, that will cease to exist, right?

Sumit Dhingra: Yes, that's right. Current scheme is for five years, so it will end in FY27.

Moderator: We have our next question from the line of Sugandhi from FedEx Securities.

Sugandhi: I wanted to understand in terms of the write-off -- if I see over the last, since FY22, our inventory levels were around INR200 crores. And then since then, because of the BSNL contract, we significantly expanded. We also added because there are some component shortages. So the write-off, what kind of equipment does it pertain to?

Because it should be very significant, in proportion to the FY '22 base. And also in terms of intangibles, can we talk about, what kind of projects these are related to? That's my first question.

Also on the BharatNet contract, we've seen a lot of announcements from system integrators, from other companies in the value chain, fiber optic companies. So and as for marketing, we've made an announcement for Tamil Nadu for ourselves as well. So, are there any other companies on the electronic equipment side that we are competing with?

And, what's holding back, an announcement coming from Tejas on, the scope and involvement in the BharatNet project? So just, in terms of how much of the market share, in the project is, whatever the estimate be on the total magnitude of the project, but what is the market share that we are targeting for this contract?

Arnob Roy: Well, specific to BharatNet, as I said, the announcements have mainly come from the system integrators, who have won the deal. And those projects are a combination of a lot of services, a lot of supply and deployment of fiber and all those kind of things. And then a significant portion is also about the equipment, right?

So this is where I think the system integrators are working with the OEMs in finalizing the

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equipment. All the OEMs, including us, are going through the testing and certification process, which are part of the process, you know, without which you cannot be deployed in the network. So all that is happening in parallel, the discussions and negotiations with the system integrators as well as testing and certification of our products. So I think they will, as I said, they will probably close in Q1.

And whether or not we announce it will depend at that point of time. Since this is a deal between private entities we'll need to see what can be announced or cannot be announced. However, their announcements is because it's like a public tender and that's what has got announced over there.

Regarding your first part of the question, regarding inventory and write-offs, as I said, that's the nature of our business, that we have to do a lot of experimental development, a lot of trying out new ideas, new inventions etc. And some of them may not lead to fruition, may not lead to products

getting commercially released .

Since we develop a significant amount of hardware as part of our products, there will always be some amount of inventory which goes obsolete or which becomes unusable in terms of business because of products that we couldn't take to production and so on.

And similarly, with projects as well. So this is the nature of the business, right? If you are in a very direct services kind of business where we are only executing customer contracts and business was based on that, then there is a very direct connection to the business as well as the customer business and the investments in the company.

But for us, being a deep tech company, there's a lot of investment that goes on into innovation.

And, while many of them are successful, some of them are not . And that's the nature of the product business . And this happens. I mean,

in this quarter, it has been a large one.

And as Sumit said , we don't always expect it to happen to the tune of this amount . But, this is the nature of the business. This is nothing unusual. I think the number is maybe a little bit higher this quarter.

Sugandhi: Is it fair to say that on the inventory side also, there was some time with the experimental products that we were doing and for that reason, there was an inventory write-off? I mean, I'm just trying to understand the age, how old this inventory is on our books. I mean, because most of the build-up has happened over the last two years in inventory?

Arnob Roy: No, I think the development is ongoing, right? That never stops. It's not always connected to a particular business kind of thing. As you can see, while we were executing the BSNL 4G network, a huge amount of investment kept happening in 5G as well, in terms of looking forward for business. So some amount of inventory is connected to that, right? I mean, maybe one particular approach you tried, you tried multiple design and finalized on one of them, the one which gives the best performance and, kind of a thing, right?

So those are experimental stuff that comes into the picture. Some of it is maybe inventory built over to some customer, to some business forecast and may not have got consumed or kind of thing, right, and or got end of life kind of thing. So it's like a combination of these.

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As long as you're in the hardware business, these kinds of events do happen , especially in the hardware product business. But maybe not always to the tune that you've seen right now.

And same thing to do with the project right now. There will be experimental projects which may not reach commercial success and we write them off. And this has been one of large numbers this year.

Sugandhi : And just on my other question, what I was trying to understand, are we competing with international vendors as well in the BharatNet contract? And, if you could give us, any light on the number and the size of these other OEMs. I mean, how, what kind of pedigree of OEMs are we competing against? You know, just to understand what is our right to win in the BSNL contract?

Arnob Roy: Yes, I think you have to realize that any business that we do, any customer opportunity that we compete in, are with the same international vendors. So it's not something new for us . When we compete in a private operator like, Vodafone India or Airtel or Tata Communications, we are always up against international vendors and we always have uniqueness and differentiators in our products, which help us win whenever we compete against them .

So it's the same in the case of BharatNet . We have won the MAAN business for routers against global competition that included all the vendors and names that you know of and it's a similar situation over here. So just because international competition is there, it doesn't mean our chances are any less, we do that on a regular basis, not only internationally, but also in India because all those global vendors also operate in India. It doesn't increase or decrease our chances of success in any meaningful way, because that's what we do every day.

Sugandhi: Sure. It's helpful. Thank you.

Moderator: Thank you. We have our next question from the line of Deepak Sharma, an Individual Investor . Please go ahead.

Deepak Sharma: Hello. Sir thanks for the opportunity. As a retail investor, just my concern is as Tejas is not covered by any research analyst. So from the retail investor point of view, we are looking for some numbers or at least a broader idea about the sector opportunities, but without numbers, very hard to judge where we are and will be next two, three years. And after all, from stock price to salary or capex or revenue, everything is numbers.

I'm not saying you give me the

numbers of quarter-on-quarter or even the year, but can you please

give the hint what are the exact opportunity sites for the sector in India for Bharat Net, Kavach and Vodafone so and so and what are the opportunity sites globally you are looking for at FY 26?

Arnob Roy: So as I mentioned, we cannot discuss specific numbers and for specific customer opportunities. For the large government tenders, as I said, they range from several hundred crores to several thousand crores. So those are fairly large deals. I mean, may not be as big as the BSNL 4G deal, but significant nonetheless. And so those are some of the significant projects based on which we took on the base for our FY 26.

But at the same time, a lot of our investment and focus is also on the private operators, both in Tejas Networks Limited

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India as well as internationally. And with respect to these opportunities, I would say that the small - to-medium sized opportunities typically range from several million dollars, going up to \$5 to \$10 million. The larger opportunities could go up to \$50 million to \$60 million or sometimes even bigger than that.

But it would be spread around a lot of customers, a lot of different operators in different parts of the world as well as in India. And the combination of those would work towards making our FY 26 numbers.

Deepak Sharma: Now, sir, can you put some highlights or any idea about what is the correlation with the capex of telecom companies and your revenue, not even the sectoral revenue?

Arnob Roy: Well, yes, I think their capex spend has a direct relation to us. Of course, a lot of the capex spend goes into passive infrastructure such as fiber or towers or power etc. But roughly 10% to 15% of their overall capex budget goes into active equipment, the types of products that we sell. So when you look at their capex spend numbers and projections, that's typically the factor applicable to the active equipment space.

Deepak Sharma: Okay. Now, sir, one more question. What is the capex growth rate you are expecting from the domestic and international market from the telecom companies in the next one or two or at least three years?

Arnob Roy: So as I mentioned, I think the overall industry reports show a growth, a projected growth in all the product segments that we address, ranging from 3% to 4% going up to 7% to 8%. And our addressable market is fairly large over here. With reference to the service provider market, the wireless market is multiples of tens of billions of dollars and the same with wireless also. It's upwards of \$30 to \$40 billion globally which is a pretty large addressable market and growing at a fairly good clip. So from that point of view, I think we are very bullish and encouraged about our prospects going forward, not only in FY26, but also beyond that.

Deepak Sharma: Okay, sir. Just a part of this question, this last question. Sir, BSNL, you have computed the 1 lakh sites of BSNL. So if, suppose you are a BSNL, if you are competing with Bharti Airtel, Vodafone, or even Jio, then, at least, how many towers means how many 4G expanded towers required by the BSNL to compete with at least these three companies?

Arnob Roy: So roughly from what I know the BSNL has 100,000 towers, but many of the private operators have upwards of 200,000 towers. So we do look forward to a lot of the expansion of BSNL network for them to be able to compete with those operators. And that is a significant opportunity for us, both in terms of expanding the 4G network as well as upgrades to 5G, which is part of the tender that came out.

I mean, there's a significant number of 5G upgrades as well. So a lot of work is going on in that area, a lot of trials and testing and POCs are going on. And hopefully we should see some good business coming out of that, out of that incumbency that we have in the

network.

Deepak Sharma: Okay, sir. Thank you.

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Moderator: Thank you. We have our next question from the line of Hiren Kumar Desai, an Individual Investor. Please go ahead.

Hiren Desai: Thank you for the opportunity. My question was regarding employee benefit expenses. For the last three, four quarters, it's around INR100 crores to INR110 crores. I'm assuming that this is all fixed costs. So what kind of revenue and EBITDA is required to have break-even on a quarterly basis?

Sumit Dhingra: Yes, so employee cost is predominantly fixed in nature. I think as we progressed over quarters, there has been an increase in the employee cost, mainly coming out of investments that we need to do in R&D and sales and marketing and other functions. So a part of our employee cost is also capitalized based on R&D projects that we are working on. So I think from the perspective of quarterly revenue and the revenue required to break even, I think a large part of this cost, our general cost structure, other than the material cost is fixed in nature.

So depending on the - well, not giving the exact number, but depending on the margins that you

assume, which is basically between 20 % to 30% range, that could give you the implied revenue required to be recovering the fixed cost that we have.

Hiren Desai: Okay. Yes , that answers my question.

Moderator: Thank you. We have our next question from the line of Vimal Gohil from Alchemy Capital Management. Please go ahead.

Vimal Gohil: Yes, thank you for the follow-up, sir. Sumit sir, can you help me with one more data point? For this particular year, what was the ESOP cost that we recorded in our P&L ? Last year, I think we were at INR107 odd crores. What would be that number for this year?

Sumit Dhingra: Vimal, it would be roughly around INR80 crores. We can give the exact numbers later.

Vimal Gohil: No problem. But this run rate is expected to be at this level or will reduce?

Sumit Dhingra: Look, I think it's a function of how we choose to reward employees over time . I think over the last couple of years also because of RSUs that were part of the transaction and otherwise, I think the expenses may have been a bit higher. But I think it would generally continue to be broadly at similar levels as well .

Vimal Gohil: Fair enough. And sir, this NEC capital outlay?

Anand Athreya: Finish. Why don't you finish?

Vimal Gohil: Sir, my question was on the NEC initiative. The capital outlay has been recorded in our balance sheet already and which line item can we see that in?

Sumit Dhingra: No, it is not yet recorded. I think as we go along, as the project delivery milestones get completed, you would see that progressively over the coming year. It will show up in intangible assets under development to begin with. Right now only a small portion has been recognized in the books.

Vimal Gohil: Right. Sir, I interrupted you in between. You may complete your response?

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Anand Athreya: It's time for one last question, please.

Vimal Gohil: No, I'm done. Thank you so much.

Moderator: Thank you.

Anand Athreya: Okay, can we close the call?

Moderator: As you see, sir. If you want to take another question, I will take another. If you want to close, you can close.

Anand Athreya: Okay, we'll take one more.

Moderator: The next question is from the line of Manoj Shah from Lexcorp Investments . Please go ahead.

Manoj Shah: Thank you for taking my call. I just wanted to check on this BSNL 4G upgrade order. Does that involve any contract for the maintenance part also or it was just the one-time upgradation?

Arnob Roy: No, the BSNL contract includes maintenance. There's a period of seven years after the network is commissioned. In fact, in general, any business anywhere

we supply and deploy our equipment

always comes with multi-year maintenance and sometimes they get renewed year-over-year. But in this particular case, it's over multiple years. I think seven years of maintenance, which comes along with the contract.

Manoj Shah: And what will be the run rate per year for the maintenance?

Arnob Roy: There's no specific number that we can share for this.

Manoj Shah: Okay. And regarding this BSNL 5G, there is a news item that says that the government wants to upgrade it to 5G. So your company will get a first priority of some part of the order will be reserved for you for that . Can you elaborate on that or it will be on a competitive bidding basis 5G?

Arnob Roy: It's a combination. I think a lot of the 5G upgrade, which is going to happen in the same existing bands in which 4G is deployed, that will come through the upgrade of our equipment. And our equipment is designed for that. And even the original tender which we executed has scope for this 5G upgrade in those bands.

So those upgrades will come through our equipment . But there will be newer bands, some of the performance bands of 3.5 gigahertz and so on. So there we expect new tenders to come out. So 5G upgrade is going to be a combination of these.

Manoj Shah: What could be the size of this 5G order that you expect to get from this BSNL order?

Arnob Roy: Again, no specific numbers and it all depends on the number of sites they upgrade . But obviously it will not be as large as a fresh 100,000 site deployment, but based on the number of sites the cost will be a fraction of the total base cost since these will be 5G upgrades. And it depends on the number of sites that get upgraded. That will determine our revenue. But again, it's definitely significant in terms of several hundred crores for sure.

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Manoj Shah: So it will be like for the 1 lakh sites which you have upgraded to 4G, so those will get upgraded to 5G, those 100,000 sites?

Arnob Roy: No, I don't think that all of those sites will get upgraded to 5G.

Manoj Shah: It will be a fraction of that.

Anand Athreya: Okay. Guys, it's 8.30. So I want to thank everyone for participating in this call. Have a good evening. Thank you.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Jul 2025

July 21, 2025

The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET
The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595

Dear Sir/Madam,
Re: Q1 FY26 Earnings Conference Call - Transcript

Please find enclosed the transcript of the Q 1 FY26 Earnings Conference Call held on July 14, 2025 .

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Officer
ICSI Membership No. A -1713 4

"Tejas Networks Limited
Q1 FY26 Earnings Conference Call"
July 14, 2025

MANAGEMENT : MR. ARNOB ROY– EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER - TEJAS
NETWORKS LIMITED
DR. KUMAR SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED
MR. SANJAY MALIK – CHIEF STRATEGY AND BUSINESS
OFFICER – TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Tejas Networks Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you, and over to you, sir.

Mohit Mishra: Good evening, everyone. Thank you for joining on Tejas Networks Limited Q1 FY '26 Results Conference Call. We have the management of Tejas Networks on this call represented by Mr. Arnob Roy, Executive Director and CEO; Mr. Sumit Dhingra, CFO; Dr. Kumar N. Sivarajan, CTO; and Mr. Sanjay Malik, Chief Strategy and Business Officer.

I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A session. Over to you, sir.

Arnob Roy: Thank you. Good evening, everyone, and welcome to the Tejas' earnings call for Q1. So first of all, just a quick update on our financials for Q1. We had a net revenue of INR202 crores, which was lower than our Q4 revenue of INR1,907 crores. We had a loss of INR194 crores, which was higher than our losses in Q4 of FY '25.

And the order book at the end of Q1 was INR1,241 crores, which is higher than our closing order book in Q4 of FY '25. We also expect and we have been intimated for winning an order of ~INR1,500 crores for the deployment of the BSNL expansion sites of 18,000-plus in BSNL's 4G network, and we expect to be in receipt of the order shortly.

The revenue mix for Q1 was 81% of the revenue came from India and 19% from international. And the mix of our order book, closing order book was 92% India and 8% international, still dominated a lot by our India business. So one of the key reasons for the shortfall of revenue in Q1 was the delayed receipt of PO and shipment of ~18,000 sites of BSNL 4G network, which we were expecting to do in Q1 but has got delayed a bit.

For a few other customers, we also had delays in shipment, getting shipment clearances and also arrival of inventory. And in this quarter, our revenue was led by key shipments to several India Private and international customers.

Some of the key highlights for the quarter was that BSNL's 4G expansion project has got started, and they have TCS, our systems integration partner, has received the APO for an additional 18,000-plus sites. And they have intimated to us that the expected value of PO or supply of RAN equipment will be in the range of INR1,500 crores.

We also received an initial order for a private 5G deployment under BSNL's Captive Non-Public Network initiative. And while this is a small order, this is an important first order for us for this particular application of building private 5G networks.

We also signed a strategic partnership with Rakuten Symphony for developing integrated 5G Open Tejas Networks Limited

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RAN solutions and also take our combined solutions globally. We also entered into a partnership with Intel for integrating our SL-3000 Direct-to-Mobile (D2M) chipsets in their laptops and also partnerships with mobile manufacturers, such as Lava and HMD to launch D2M-enabled mobile phones using the SL-3000 chipsets.

We also started several POCs and engagements with multiple domestic and international operators for 4G and 5G radios, both in India as well as internationally. For our wireless business, we received our first order for BharatNet Phase-III with an SI partner for the supply of IP routers, and we are in engagement with other partners as well for other circles.

We supplied our GPON equipment for BharatNet Last

mile Connectivity project in Gujarat. We

received several run-rate orders for our DWDM equipment from a few Tier 1 Indian telcos for their 4G/5G backhaul capacity augmentation. We won several tenders in the critical infrastructure sector also and for supply of wireline equipment to railways, oil, gas and defense mainly for our optical products.

And from our existing customers, the international customers in Africa and Europe, we won network expansion business for both our DWDM as well as our GPON equipment. We also launched our 1.2 terabit per wavelength DWDM solution earlier this year during Bharat Telecom event, and it was launched by the Honorable Union Minister of Communications of India.

A few other updates for the quarter are Parag Naik, our Executive Vice President, he was conferred the prestigious Pandit Deendayal Upadhyaya Telecom Excellence Award by the Ministry of Communications. We were recognized as the Supply Chain Leader of the Year for Technology and Electronics at the SCM Middle East Conclave & Awards in Dubai. And we received PLI incentives of INR122 crores for Q3 of FY '25.

I'll now hand it over to our CFO, Sumit, for giving you details on our financials.

Sumit Dhingra: Thanks, Ar nob. Good evening, everyone. For the quarter ended June 30, 2025, the revenue for Tejas Networks was INR202 crores compared to the previous quarter's revenue of INR1,907 crores. Revenue is lower mainly due to delay in purchase orders, delay in certain inventory arrivals and shipment clearances for a few customers.

I think as Arnob briefly mentioned in his statement, our profitability for the quarter at EBIT level was negative INR232 crores. This is mainly driven by lower revenues against which we have significant fixed costs even though there was an improvement in material margin during the quarter, and also lower variable costs during the quarter helped partly offset the impact.

At PBT level, our profitability stood at negative INR297 crores, and the main difference is essentially finance cost of about INR75 crores. And PAT for the quarter was negative INR194 crores. On the balance sheet side, inventory at the end of quarter was INR2,537 crores, slightly higher than the inventory for the previous quarter. The increase is mainly to cater to some of the purchase orders that are expected to get executed. And as we've been talking about in the earlier quarters, we've taken some advanced inventory actions for certain select components.

Our trade receivables stood at INR4,453 crores. We had collections of ~INR650 crores during the Tejas Networks Limited

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quarter. The trade receivables are on the higher side, but at the same time, against these, we have advances of about INR1,460 crores that are correspondingly also sitting in other liabilities. So on a net basis, the trade receivable number is lower to that extent.

Our cash position at the end of Q1 was INR545 crores and borrowings stood at INR3,990 crores. The increase in borrowings is mainly on account of working capital purposes as well as for certain capex-related investments that we have been doing over the quarters.

With this, I'll hand it over to Arnob.

Arnob Roy: Thanks, Sumit. So in summary, as far as our business outlook is concerned, driven by the continuing growth in data consumption, we see continued investments in fixed and mobile networking technologies worldwide, which is driving the growth of our business. And the key applications are the data center connectivity led by many of the new AI data centers, which are getting established, the continued digitalization of cities and economies, modernization of utility networks, the huge investments that are continuing to happen for broadband connectivity and the expansion of 4G and 5G networks globally.

So these contribute to our business drivers. And in line with those applications, we continue to invest in

developing our portfolio. And over FY '25 and in Q1 of FY '26, we have expanded our portfolio significantly and increased our addressable market. We continue to evolve our 5G solutions developing multiple 4G/5G radios over multiple bands.

We enhanced our portfolio with advanced 5G Massive MIMO radios, both our in-house ones and with the partnership with NEC. We acquired a field-proven 4G/5G core with the licensing agreement with NEC, expanded our IP/MPLS router family to cover multiple access aggregation networks, including BharatNet.

We enhanced our optical portfolio with state-of-the-art transmission technology of 800 gigabits and 1.2 terabits per channel DWDM systems and enhanced our FTTx portfolio with 10-gig PON products.

So the addressable market segments for our products are projected to grow globally. And our domestic opportunities include large projects in both private and government sectors, where the investment in networks continues in response to the huge demand in bandwidth. We have signed up several new customers and registered new application wins in both private and government sectors, which are set to expand in the current year.

Our partnerships with NEC and Rakuten are expected to give us access to global customers and expand our joint go-to-market opportunities in the international markets. And our continued investment in expanding our global sales footprint and strategic initial wins will give us strong momentum for increasing our international business.

In summary, we are bullish about our growth drivers, and we continue to invest in R&D and sales investments and go-to-market as we look forward to growth in our business in the coming years.

So with that, we will open the floor to questions.

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Moderator: Our first question comes from the line of Vimal Jamnadas Gohil from Alchemy Capital Management.

Moderator: I'm really sorry to interrupt you. Sir, your line is breaking in between. Sir, still your line is breaking.

Arnob Roy: Should we move on and let him join again?

Moderator: Sure. Definitely. Our next question comes from the line of Pranav Kshatriya from Emkay.

Pranav Kshatriya: I have a few questions. Firstly, can you give some breakup on the India revenue? How much is that India Private and how much is the India Government revenue?

Arnob Roy: Okay. From this quarter, we've kind of stopped giving th at breakup because what we realized was that those numbers didn't have the clarity because a lot of the India revenue that we claimed as India Private based on the end customer, the direct customer was a private entity. But sometimes there are government as the end c ustomer and a private end customer as well. So that number was not very clear. That's why we kind of left it as India and International.

Pranav Kshatriya: Okay. Fair enough.

Arnob Roy: In general, as far as the past criteria is concerned, the way we used t o report, the India government revenues were around 16% of the total and 65% was India Private.

Pranav Kshatriya: Okay. Second question is that we've seen the quarter -on-quarter decline in employee costs. I mean how should we look at the employee costs goi ng ahead? And is it because of larger -- I mean, capitalization of some of the expenses?

Sumit Dhingra: I think there's a decrease in employee cost in this quarter, mainly on account of certain provision reversals that happened on account of certain exits in the company. And also, there were certain other variable pay provisions, which got reversed. In general, our employee cost is in line with our investments that we've been talking about, particularly on the R&D and international sales side.

And we expect it to continue to increase going forward.

Pranav Kshatriya: Okay. One more question is, you talked about 4G and 5G proof of concept being employed with various international a

s well as domestic private customers. So my question is that how long should we see this culminating into the revenue?

Because if I look at -- you have in the previous call, very categorically clarified that FY '24 should be seen as a base and not FY '25. So from that point of view, how important is scaling up the 4G/5G proof of concept for revenue? And will that revenue come in this year? Or it's more likely to come in next year for - if at all this rectifies?

Arnob Roy: We are engaged with several POCs and other engagements with customers, both in India and internationally. And especially our partnerships with NEC and Rakuten was for addressi ng a lot more of the international customers in conjunction with them. And we hope to see some of the new business closures in 4G and 5G this year . We are in fairly deep discussions with multiple operators globally.

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Pranav Kshatriya: Okay. And my last ques tion is that you used to provide the number of patents which are issued to Tejas Networks. Is that number updated -- I mean, updated number is available? Or how should we see this trending?

Arnob Roy: Yes. The total patents that we have today are 548.

Moderator: Thank you. O ur next question comes from the line of Ritesh from Girik Capital. Please go ahead.

Ritesh: Thanks for the opportunity. A couple of questions on accounts. What does this pertain to allowance for expected credit loss of INR18 crores? Is this on BSNL or any other project?

Sumit Dhingra: It is across our customer base. And basically, every quarter, we do expected credit loss provisioning based on our metrics and as per accounting standards. And this is a combination of movement in the cr edit loss through the quarter. So it is not necessarily linked to any one particular customer. If you see our historical data, I think every quarter, we report this number, capturing the movement in the credit loss through the quarter.

Ritesh: And this INR 4,500 crores receivables , this would be more on a BSNL and what is his typical payment cycle on this?

Sumit Dhingra: A large part of it is on account of BSNL 4G project and there are other receivables as well. And the collection cycle on this is linked to certain milestones, which are related to project delivery and project execution and installation commissioning and thereafter, certain other steps leading up to the closure of or completion of the network rollout. So more than the timeline, it's linked to completion of those milestones.

Ritesh: Sure. So by September balance sheet, the majority of these receivables will be collected or it's a long duration?

Sumit Dhingra: We expect a reasonable reduction in these receivables over the next couple of quarters through the year.

Ritesh: Also, on the operational side, now this -- the 4G 1 lakh site is done. How is the review of the performance of this 100,000 sites a nd is there any fine -tuning needed or the project is as per the expected, your parameters?

Kumar Si varajan: This is Kumar. Yes , so the radios over 90,000 sites are deployed and functioning and the performance of the network is satisfactory. There's always some optimization needed in all mobile networks for improving coverage and reducing call drops and things of that nature. That continues, but the product performance is quite satisfactory.

Ritesh: Okay. That's great to know. Also, if you can comment on this initial order of the BSNL CNPN Captive Non -Public Network initiatives. So what kind of ord er size one can look at once this initial orders are happening?

Arnob Roy: Well, as I said, this is our first win and deployment of a private 5G network. It is a small order for

one of the utility companies. And as we complete our deployment over here, this could be a good

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reference for us for many other applications like this in

India as well as globally.

Ritesh: So can we say that what you were doing for the government as a government business now can happen on this totally on captive power -- captive network over the next, say, 3, 5 years?

Arnob Roy: I didn't understand the connection with the government. It is our same standard products, which have a different application for the private 5G networks. And it's not connected with the government. Kumar, do you want to add?

Kumar Sivarajan: Yes. So the CNPN is just the term for what is normally called private 5G networks. So this is a network within an industrial complex or a mine or campus, which uses the spectrum of an operator because India hasn't auctioned spectrum specifically for private 5G. But then the network is built and operated by the private entity. So this is what is normally called private 5G and we're just making a beginning in that business.

Ritesh: Sure. That's all from my side. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.

Pratap Maliwal : Yes, my line got cut in between, so I apologize if these are repeat questions. But just a couple of questions here on the BSNL expansion order, INR1,526 crores that you pointed out. So do we expect to receive it and then execute it within this financial year?

Arnob Roy: Yes, that's what the expectation is.

Pratap Maliwal: Okay. And just a follow-up here. So there was a news article where there was a statement by the Minister of State for Communications, who said that after successfully installing 100,000 towers on 4G, we'll approach the cabinet to approve another 100,000 towers. Probably a little premature to ask it, but then is there any detail or any color you can give me on this?

Arnob Roy: No. We have also read this article. We've heard about it. And as of now, we have not received any intimation of the process of how that will go through, but we do expect to participate in that if that comes and compete favorably in this opportunity.

Pratap Maliwal : Sure, sir. And regarding the BharatNet order, did you call out the order size that we are winning here in BharatNet?

Arnob Roy: What was the question BharatNet? What was that?

Pratap Maliwal : The order size, the order sizes that we are competing for here?

Arnob Roy: Okay. No, we don't disclose the order values per customer or per order. We don't do that.

Pratap Maliwal : Okay, sure. Thanks for taking my query.

Moderator: Thank you. Our next question comes from the line of Vikash Baid an Investor. Please go ahead.

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Vikash Baid : I wanted an understanding of what is the total order book right now. And if you can give the breakup between BSNL and others because largely we are doing the work for BSNL. So the current order book as it stands and what is the expected in the current financial year? What kind of order book are we expected to have in terms of our visualization of the work that may come to us later?

Arnob Roy: Yes. So the current order book is INR1,241 crores as we mentioned and this does not include anything from BSNL. It is mainly our wireline business and some wireless opportunities, but this does not include any orders from BSNL. And as I said, we are expecting the add-on business of 18,000-plus sites. And that's going to be a separate order. The value is going to be roughly INR1,500 crores for us. But that's not what is mentioned in the order book of INR 1,200 something crores.

Vikash Baid : Okay. And this is expected to come in the next couple of quarters, the BSNL order?

Arnob Roy: Yes, it's supposed to come and get executed in this financial year.

Vikash Baid : Okay. And are we also expecting such similar or larger orders from entities other than BSNL?

Arnob Roy: As I said, we are engaged with several operators in India as well as global

ly for our 4G/5G products.

So in terms of size, I mean, what we saw last year of 100,000 sites, a single order. I don't think we'll have something of that size, but we're looking at multiple opportunities and multiple operators with smaller size networks.

Vikash Baid : Okay, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Khush Gosrani from InCred Asset Management. Please go ahead.

Khush Gosrani : Hi, sir. Thank you for the opportunity. If you could just highlight more on the recent Rakuten, the partnership that we have done. And what kind of products we could cross sell and what kind of -- just if you could give more flavor on it, that would be helpful?

Kumar Sivarajan: Yes. So Rakuten is a well-known provider of one component of the Open RAN solution, what is

called the CU /DU. So we are working with them to offer a joint solution with Rakuten CU /DU and Tejas radio units to customers worldwide. So that's the nature of the collaboration.

Khush Gosrani: Sure. And so how Rakuten equipment have been used, so where majorly what my understanding was in Japan. But outside Japan, how has been their performance?

Arnob Roy: I believe they are used in Japan and Europe and other places around the world. I'm not aware of all the countries they are used in.

Khush Gosrani: Sure. Got it. And in terms of our balance sheet, the inventory, would we need to invest more post the INR 1,500 crores for the 18,000 sites? Would we require more debt to increase our inventory to procure the inventory, or the debt level should remain around INR 4,000 crores?

Sumit Dhingra: I think we've made significant procurement for that order, but we may need to still do some

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incremental orders, particularly where the lead times are not as high. Regarding your question on whether this would increase the debt or would it come down, I think it's a function of when the orders materialize vis-a-vis some of the other working capital movements. So difficult to comment on the debt levels from that perspective.

Khush Gosrani: Sure. And last question would be, what is your capex plans for this year, if you could highlight on that?

Sumit Dhingra: I think we continue to invest on the R&D side and also to some extent on developing our supply chain for the increased product portfolio or expanded product portfolio as we go along. In addition to that, as we announced a couple of quarters back, we had technology collaboration with NEC. So some of these aspects are essentially what are going to drive our investments in capex over the next few quarters. Beyond that, I think it will be difficult to give a number around that.

Khush Gosrani: Okay. But it should remain similar to last year's level of INR 650 crores? Or...

Sumit Dhingra: I think progressively, it may increase a little bit. And in addition to that, there would be an impact of NEC -related investments that we've talked about. So all that would cumulatively impact the capex for the year.

Moderator: Thank you. Our next question comes from the line of Ritesh from Girik Capital .

Ritesh: Yes. The question is on BharatNet . Several people have announced a huge order win, but we haven't got many orders or is the PO getting delayed on that? Your comment, sir?

Arnob Roy: No. As I mentioned, we've also started receiving orders for the BharatNet project for our routers. I think the people who have announced the large orders are the system integrators (SIs) who have won the tenders in different circles. And their order consists of not only the equipment but also fiber and deployment and services and building NOCs etc.

So the SIs who have directly participated in the tender, they have made those announcements for the projects. But as an OEM, we are going to be suppliers to those SIs. And we are working with them for supplying -- for signing up ag

reements for the supply of our routers. And we got our initial orders, which I talked about.

Moderator: Thank you. Our next question comes from the line of Khush Gosrani from InCred Asset Management .

Khush Gosrani: Just on the receivables side, you mentioned it would be on milestone basis that you will receive on the previous BSNL order. But these milestones should get completed in next 1 year or it will take more time to reach these milestones? How should we think about it?

Sumit Dhingra: A large part of it should get collected during this financial year. There will be a small portion, which could go beyond that as per the milestones, but significantly large part should get done this year.

Moderator: Our next question comes from the line of Karan Raja from 54 Ventures .

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Karan Raja : Sir, to previous participant, we spoke about the 2 circles where we have been considered and been awarded the PO for the BharatNet deployment. Would you be able to share the number or perhaps a range for the circles where we may not be considered?

Arnob Roy: No, there is nothing like that. There are multiple SIs who have won different circles. And most of them have bid our equipment as one of the OEMs for their router supplies. As of now, we are in discussions with many of them, and in some cases we are going through testing, certification and related activities .

So we are in discussion with many of them for supplying our routers for their circles. And that's where things are at present . So it will not be possible to say where we are going to be finally deployed.

Karan Raja : No, that's fair. Thank you for that clarification. Another question, and perhaps this was discussed in the past. In our previous calls, there has always been an option or a prospect for Kavach deployment. Can you please speak about that? Is that an opportunity we are still considering or not?

Sanjay Malik : No, I think Railways also is going to go for this captive network, and they are considering various technology options as of now. So we are definitely engaged with them. And yes, the tender has got delayed a little bit. But once it is released, we would be one of the strong contenders for it.

Karan Raja : All right. So a couple more questions. One, considering the recent geopolitical actions, my assumption is that telecom equipment now becomes critical and especially indigenous telecom equipment becomes critical as part of national security. Have we received any interest from the Ministry of Defence or any other undertakings for any form of project?

Arnob Roy: So we are engaged with the defence sector for their upcoming opportunities. As you know, in the past, we have supplied to defence networks for multiple projects and for various applications. So we remain engaged right now. As of now, there is no major specific project to really talk about, but there are several discussions ongoing for multiple applications.

Moderator: Our next question comes from Ritesh from Girik Capital .

Ritesh: The question is on NEC collaboration. So the entire investment will happen in this year itself? Or will it be over FY '26 and '27?

Sumit Dhingra: A large part of it will happen this year. I think maybe a small portion could trickle down to the next year as well.

Ritesh: Okay. And what are the -- when do we see the revenue flowing out of this investment?

Arnob Roy: Yes. As I said earlier, we are engaged with multiple customers, including the existing customers of NEC. And we hope to see some wins and project closures in this financial year.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Arnob Roy: for closing comments.

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Arnob Roy: Thank you. So I would like to close by saying that our global business opportunity

and market

drivers still look quite strong based on the demand for data and bandwidth growth. So we remain bullish about our future, and we continue to invest in R&D for developing, expanding and evolving our products as well as investing in partnerships and sales growth globally in line with the opportunities that we see. And over a period of time, we do see significant growth in our business as we continue to execute on our business plans.

So thank you, and thanks to everyone for taking the time and attending the conference. And with that, I'd like to close the call. Thank you.

Moderator: Thank you. On behalf of Tejas Networks Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Nov 2025

October 28, 2025

The Secretary

National Stock Exchange of India Ltd

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai – 400 051

NSE Symbol: TEJASNET The Secretary

BSE Limited

P J Towers,

Dalal Street,

Mumbai – 400 001

BSE Scrip Code: 540595

Dear Sir/Madam,

Re: Q2 FY26 Earnings Conference Call – Transcript

Please find enclosed the transcript of the Q 2 FY26 Earnings Conference Call held on October 17, 2025.

This is for your kind information and record.

Yours sincerely ,

For Tejas Networks Limited

Anantha Murthy N

Company Secretary & Compliance Officer

Encl: as above

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“Tejas Networks Q2 FY'26 Earnings Conference Call ”

October 17, 2025

MANAGEMENT : MR. ARNOB ROY - EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER , TEJAS NETWORK S
MR. SUMIT DHINGRA - CHIEF FINANCIAL OFFICER ,
TEJAS NETWORK S

DR. KUMAR N. SIVARAJAN - CHIEF TECHNOLOGY
OFFICER , TEJAS NETWORK S
MR. SANJAY MALIK - CHIEF STRATEGY AND BUSINESS
OFFICER , TEJAS NETWORK S
MODERATOR : MR. PRANAV KSHATRIYA - EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Tejas Networks Earnings Conference Call
Hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Pranav Kshatriya of Emkay Global Financial Services
Limited. Thank you and over to you, sir.

Pranav Kshatriya : Good evening. I would like to welcome the Management and thank them for this opportunity.

We have with us today Mr. Arnob Roy – Executive Director and Chief Operating Officer ; Mr.
Sumit Dhingra – Chief Financial Officer ; Dr. Kumar N. Sivarajan – Chief Technology Officer,
and Mr. Sanjay Malik – Chief Strategy and Business Officer.

I shall now hand over the call to Management for the opening remarks. Over to you, sir. Thank
you.

Arnob Roy: Hello. Good evening, everyone, and welcome to Tejas Networks' Quarter 2 Earnings Call .

I am on the first slide. Our Q2 revenue was Rs. 262 crores as opposed to Rs. 202 crores in Q1.

Profit after tax was a loss of Rs. 307 crores as opposed to a loss of Rs. 194 crores in Q1. And
this loss included inventory and warranty-related provisions of Rs. 190 crores, and we will be
discussing the details later on. We ended the quarter with an order book of Rs. 1,200 crores as
opposed to Rs. 1,241 crores in Q1. Our revenue mix for the quarter was again 79% of our
revenues were in India and 21% international. Our order book mix was largely India, 93%, and
7% international.

So, in summary, in Q2, one of the reasons for the smaller revenue and bookings was the delay
in the receipt of BSNL 4G add-on PO of Rs. 1,500 crores for 18k sites. As we had mentioned
earlier, TCS has received the APO, but it has not yet got converted into PO. And we are waiting
for BSNL, who has just launched this service across 97,000 sites. And as soon as they are ready
to take in the additional equipment for deployment, that's the time when we expect the POs to
be issued.

The quarter's revenue was led by key shipments to our India private customers and international customers. And Rs. 190
crores of additional provisions included the provision due to contract
manufacturing process losses, which happened during the large manufacturing that we do, and
as well as additional provisions for warranty and inventory obsolescence. So, a total of Rs. 190
crores was additional provisions that were done for the quarter.

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A few highlights for the quarter :

For our wireless business, the big event was the inauguration of BSNL's nationwide 4G network
by the Honorable Prime Minister. And as of today, 97,500 cell towers are running on our 4G
RAN products. So this has been a very significant achievement. In launching this network, we
have become the fifth country in the world to have a complete 4G /5G technology stack. This
network is carrying four petabytes of data traffic daily and has 26 million active subscribers. So
it is carrying network traffic to scale and has been performing extremely well in all metrics, in
all comparisons that you can think of.

We recently had the Indian Mobile Congress event. And during that event, we launched our
new 64T 64R massive MIMO radio. And this was launched by the Honorable MoC. We also
successfully completed our first 5G RAN deployment under BSNL's captive non-public network
program in a coal mine in MP. We also successfully completed 4G /5G RAN POC in a mobile
operator's network in South Asia. And we expect to convert this into a successful commercial
order for this network.

We also started multi

ple POCs, which are ongoing, and other engagements with domestic and
national operators for our 4G and 5G radios. And finally, our SDR chip, the SL3000, has been
integrated into multiple smartphones, feature phones, and laptops. And this is going to be a boost

for the D2M, the direct -to-mobile application that we are pioneers of, both in terms of end devices, as well as the radio transmission equipment.

For the wireline business, we won the additional BharatNet Phase -3 orders from multiple system integration partners for our IP /MPLS routers. And we now are going to be the supplier of the largest number of packages for BharatNet Phase-3. We launched our state -of-the-art 1.2 Tbps DWDM transmission system product at the Indian Mobile Congress. We won multiple 400- gig deployments for customers in India, Europe, Cambodia, Ghana, Nigeria. We deployed our first 10-gig CPON or combo PON solution in Europe. And we continue to receive expansion orders from private telcos in India.

A few other updates. Dr. Randhir Thakur joined our Board as non-executive and non-independent Director. Dr. Thakur is the CEO and MD of Tata Electronics, with over 40 years of experience in the semiconductor industry. He was the president of Intel Foundry Services and Corporate VP and Chief Supply Chain Officer in Intel Corporation. He has held leadership positions in Applied Materials , SanDisk, Micron Electronics , etc. , and we hope to leverage his extensive industry experience in guiding us in our product strategy, in our semiconductor strategy, as well as in evolving our supply chain strategy.

One of the other highlights was Tejas was shortlisted as the finalist of the “ 2025 Network X Awards” in Paris, in the category of the “ Most Innovative Optical Transport Use Case” for our “Intelligent Alien Wavelength Solution ”, with which we have won multiple customer network

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opportunities based on this technology. During the quarter, we filed 39 patents and the total number of patents stands at 587.

I will now hand over to our CFO, Sumit, to walk you through the detailed financials.

Sumit Dhingra: Thanks, Arno b. Good evening, everyone.

Our financial update for the quarter is as follows :

For the Quarter 2, we did a revenue of Rs. 262 crores compared to Rs. 202 crores in the previous quarter, which implies a quarter -on-quarter growth of about 30% .

EBIT for the quarter was negative Rs. 394 crores compared to negative Rs. 232 crores in the previous quarter, and PBT of negative Rs. 473 crores compared to negative Rs. 297 crores in the previous quarter.

I think some of the profitability figures are impacted with the provisions and charges that we have incurred during the quarter, as Arno b briefly mentioned in the initial section. Adjusting for those expenses, EBIT would have been negative Rs. 205 crores and PBT would have been negative Rs. 284 crores . These expenses that we are talking about primarily consist of two buckets. One is provisions for inventory obsolescence and write -down of about Rs. 145 crores, which is mainly on account of contract manufacturing process losses, design changes, and other related matters. And warranty expenses or warranty provisions amounting to Rs. 44 crores for the quarter determined on the basis of potential fault rates, repair requirements, etc. based on what we see in the field.

Moving on to the next slide, which talks about key balance sheet items :

Inventory for the quarter at the end of the quarter stood at Rs. 2,383 crores. It has come off slightly compared to the previous quarter, and it will be converted to finished goods and shipped in the upcoming months. As we have explained in some of the earlier calls, we have taken advanced inventory action in anticipation of some large orders and hence the inventory number is high. And as those orders materialize, we will sort of be able to convert into fi

nished goods

and ship them out.

Receivables for the end of the quarter stood at Rs. 4,026 crores. We collected Rs. 700 crores during the quarter and receivables continue to be on the higher side on account of BSNL 4G order -related collections that are linked to certain milestones, which will get completed over the next 2 to 3 quarters. We expect to get a significant amount of these collections through during this year.

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Payables have come down from Rs. 580 crores to Rs. 355 crores. And borrowings for the quarter at the end of the quarter stood at Rs. 4,166 crores. A large part of these borrowings is for working capital purposes, mainly because of higher inventory and receivables. And is expected to come down as we realize the working capital. Partly, this borrowing is also on account of CAPEX that we have been incurring in ramping up our product portfolio.

With this, I will hand over to Arno b to continue .

Arno b Roy: So, to conclude, our long-term outlook is positive. We are very bullish about the Company's

future business. The driver for our business still remains strong. And there are rapid technology transitions that are happening, which give us the opportunity to enter new customer accounts and new territories as we evolve our product portfolio in line with those changes. So, from a trend perspective, the data consumption, both fixed and mobile, continue to grow rapidly. New AI applications are driving traffic growth across the network. 5G deployment is predicted to continue till 2030, when 6G standardization comes in. And 4G deployments are still expanding in emerging markets. So, both of these give us a good opportunity to grow our wireless business in international markets. There are massive investments happening in AI data centers, driving huge connectivity requirements, which will drive our networking business. 400G WDM is growing rapidly, and there is early adoption of 800G WDM, which is happening, and our products are in time and proven to leverage this growth that is happening in the backbone, connecting to business. 10G PON is starting to pick up in emerging markets, and 50G PON is getting deployed in advanced markets. So, our product portfolio, which has the 10G PON products, and as we are working on a roadmap for developing 50G PON products, these are in line with the emerging growth of these products in these markets. And we continue to invest in our product development and sales expansion. There's a lot of activity which is happening on the wireless front, and I will hand it over to Kumar to talk through our wireless plan.

Kumar Sivarajan: Thank you, Arno b. So, we have completed deployment of the 4G network and BSNL. Arno b talked about that, and those radios are upgradable to 5G in whatever bands they are. However, since that, over the last two years, we have been working on a brand new portfolio of both the radios and the baseband unit that goes at the bottom of the tower for 5G. So, we have developed radios in the entire frequency band, going from 450 megahertz at the low end to 4.9 gigahertz at the highest end. The radios in 3.5 gigahertz and 4.9 gigahertz are massive MIMO radios. We exhibited some of them at IMC, and the massive MIMO radio in particular that we have at 3.5 gigahertz, which is also the India band for 5G, is 64TR, 64 transmitter, 64 receivers, has 320 watts of power, and matches the best in industry that is available today. In addition, in order to be able to address the global market for 5G, we are developing variations for every continent that we are engaged in. So, for example, for 700 megahertz, we have the radio for India, which is in band 28. We have a variation of the radio for Africa, which is in band 20, as well as one for Tejas Network
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Latin America, which is band 12. They're all nearby. So, we are investing in products, especially

radios, to address the entire market worldwide. We are also ensuring these are state-of-the-art and competitive with the best available. There are also two schools of thought when it comes to 5G. One is the traditional 3GPP approach, where the entire radio network comes from one vendor. There is also the Open RAN movement, there's an O-RAN alliance, where you try to separate the radio from the rest of the access network, which is called the CU/DU, the Centralized Unit and Distributed Unit. So, we are investing in both. We are O-RAN compliant. We can also deploy as per the 3GPP architecture. When it comes to O-RAN, in order to be able to interoperate with multiple other partners, we have partnered with both NEC and Rakuten to address the O-RAN market. Particularly with Rakuten, we can supply our radio units and their CU/DU software, and with that, we can address customers worldwide who are looking at O-RAN.

While we are deploying 5G today in most markets, we are also deploying 4G in markets such as Africa, where there is a lot of 4G yet to be deployed. The world is also looking at 6G, and in particular, India is looking to lead in 6G. The government has made announcements that we should lead the world in 6G while we are marching with them in 5G. So, to participate in this, we have been active in the standardization bodies around the world for 6G, primarily 3GPP, but also the O-RAN Alliance, something called TIP. We also participated in ITU along with the rest of the India delegation. And here, we are trying to understand the thinking around 6G from the rest of the world, including other OEMs, other operators. We have our own contributions to achieve the goals of 6G that have been set out, which includes ubiquitous connectivity, use of artificial intelligence, integrated sensing, and we are also developing our own intellectual property in these areas. And our goal is to have a 6G product as early as possible in line with the rest of the market and not lag there. So, on international engagements, we are engaged in markets, particularly in the developed markets, as an open RAN architecture with our RUs, with our partners. We are also engaged in developing markets for a full 4G and 5G solution, which includes Africa, Asia, rest of Asia, and Latin America. And we are seeing traction for our solutions, 4G, 5G, and Open RAN in these markets.

Arnob Roy: Thanks, Kumar. I also mentioned the huge data growth that is happening, which is driving the expansion of the backbone networks. And as I mentioned, we are winning a lot of 400 gig deployments, which are peaking right now. And as we speak, we also expanded our portfolio with 800 gig and 1.2 terabit product launches and we look forward to leveraging the transition

and growth in that market as the technology evolves to 800 gig and 1.2 terabit. We are also investing in evolving our data center interconnect products to leverage the interconnect growth that is happening because of the massive investment in AI data centers. And in our optical products, we had several strategic wins in Europe, Africa, and Asia for our optical products. And this gives us momentum for our international business expansion.

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So, in summary, we continue to invest and remain bullish about our future based on the trends that we see across the business, across customers and technology trends that we see.

So with that, we come to a close of our opening statements, and we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Hiren Kumar Thakur al Desai, an Individual Investor. Please go ahead.

Hiren Desai: Hello. My question really is the fact that now I think we are pretty much done with the BSNL order, although the add-on is likely and maybe 5G upgrade is likely. But in the absence o

f the

business, do you have an estimate of what is our run rate revenue required for the breakeven given that we have larger R&D investments, etc. ?

Arnob Roy: As of now, we don't have the data to discuss the breakeven revenue number.

Hiren Desai: Okay, the second question is , are we likely to get these orders in current financial year or mostly likely to spill over?

Arnob Roy: I think, as you know, we have taken a lot of proactive action in building the inventory and in the components as well as some of the finished goods. And we know that the TCS has received the advance purchase orders. And we expect that as soon as BSNL is ready to expand the ir network, these purchase orders will be issued and we are expecting them in this financial year. All of these may not get shipped in the current financial year based on when the PO comes. But yes , we are expecting the PO to come in this financial year.

Hiren Desai: And now that we have deployed 4G, are we sort of in the stage of POC or something of that sort either with private operators or outside of India?

Sanjay Malik : So, with the current portfolio which we have and whatever we are developing which Dr. Kumar covered, yes, we are engaged with quite a few operators in India and also in the international market s. And definitely, yes, all these engagements go through multiple technical discussion s and maybe POC s. So, with that, we are expecting some closures with the international operators also going forward.

Arnob Roy: Also what we are seeing is that it is a little longer cycle from the time of initial engagement through the technical discussions and POCs . But quite a lot of engagements are in fairly advanced stages as well.

Hiren Desai: So, one last question is, this quarter and last quarter, previous quarter, we had some of this write down of, I don't know, some manufacturing related losses or inventory as you mentioned. Are we pretty much done with it or it might go on for another quarter or so?

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Sumit Dhingra : I think some of these aspects related to inventory evaluation for realizable value, for obsolescence and marketability, etc., these are ongoing efforts that keep happening for us and for everybody else in the manufacturing domain. So, to that extent, I think whether it is related to obsolescence, whether it is related to scrap or design changes, all those evaluations are an ongoing affair . I think to some extent they are contract manufacturing related or process related losses.

These typically would be on account of the large manufacturing that we undertook over the last few quarters , and I think is something that we don't expect to have recurrence of that in large numbers. But other than that, I think the ongoing efforts on ensuring that we reflect the true picture of inventory is something that as a policy would continue going forward.

Hiren Desai: Okay. Thank you. That's it. I am done.

Moderator: Thank you very much. The next question is in the line of Vidhan Kumar from Chanakya Capital. Please go ahead.

Vidhan Kumar: Just wanted to ask, is Tejas capable enough or does it plan to make itself relevant in the whole process of value chain of data center building? And on the lines of the same question, TCS announced a \$4 billion to \$5 billion of investment in data centers. So, can we assume that Tejas is going to get some of the revenue slice from there?

Arnob Roy : So, I think first of all, let me explain where are we, which part of the data center business is connected to our products. So, we don't build data centers. We don't build the equipment that goes inside the data center, whether it's the AI data centers consisting of GPUs or high-end servers and all. But what we do is these data centers that are distributed across nations, globally, and they require a very high bandwidth connectivity between data centers and also fr

om users to those data centers. And what we are also seeing is that the AI data centers, given the amount of consumption of power and other infrastructure, I mean, they are kind of getting built in a distributed fashion in clusters, and they also require very low latency, high bandwidth connectivity between data centers. And that's where we come in. We build the connectivity equipment, the networking or the transmission equipment, which provide this low latency and very high bandwidth connectivity between data centers. So, yes, as the data center market grows, our business will benefit not because we build the data centers or the equipment inside, but the connectivity that is required between data centers or between the users and data centers. That's where our business will grow as a result of the expansion of the data center market. So, the question of TCS investing in data centers, yes, I mean, a similar kind of opportunity will come our way but we have to obviously compete for those opportunities. As TCS builds those infrastructure, yes, the connectivity requirements will create an opportunity for our products and business. And yes, we have to compete for it, but that's going to be a strong opportunity for us as well.

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Vidhan Kumar: Okay. Just a follow-up question. So, in case of TCS awarding this communication, is it a chance that you need to compete with the likes of Cisco or is it something that is automatically understood that this will directly go to Tejas Network?

Arnob Roy: No, for the TCS investment you meant?

Vidhan Kumar: Yes, in that part of it. Yes.

Arnob Roy: It's not, no, this business will not come automatically. We are all independent companies and on top of that we are related parties. We will have to compete for it and we have to make sure our solutions are on par or better than competition. But yes, you know, the thing is that we will have the opportunity to engage, because they are part of the group and that's where it would really end. We will get a fair chance at bidding for those and getting an opportunity to compete.

Vidhan Kumar: Okay. That's all from my side. Thank you.

Moderator: Thank you very much. The next question is from the line of Thadavarthi Sai Surendra, an Individual Investor. Please go ahead.

Thadavarthi Sai Surendra: Hello, sir. This is Sai Surendra, an investor. Congratulations on the launch of the Ojas64 M

assise

MIMO radio. It is a great achievement for Tejas and for India. But Q2 is a bit soft. So, can we expect some visible improvement in Q3?

Arnob Roy: Actually, as you know, we don't give guidance on our quarter to quarter or yearly performance in terms of actual numbers. What we try to do is give you a general outlook of the business environment, the drivers for our business and our own opportunities, our own investments in these areas to really leverage the opportunities that we see. So, from that point of view, yes, Q2 has been soft, as you said. But the business, the macro business environment remains strong and continues to grow. And on the basis of that, even today, we continue to invest very significantly in R&D and products and also sales expansion because we are bullish about our future and what we can leverage from the opportunities that we see. So, I think that probably gives you an indicator of what we see, where we see the future of our business, without getting into any specific quantification of future quarters or yearly performance.

Thadavarthi Sai Surendra: Okay, sir. Thank you.

Moderator: Thank you very much. The next question is from the line of Gaurav, an Individual Investor. Please go ahead.

Gaurav: Good evening, everyone. So, my question is about our future plans. So, as you know, we have been making negative profit last couple of quarters. And I heard you talking about the future plans, the POs and all the ties

and businesses, very optimistic plans. So, I want to understand

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from your risk assessment, what are the top two risks you see, maybe, let's say next one year, which may hinder your plans? And what is the mitigation plan you have for those risks?

Arnob Roy: I think the risk would be if you are not able to execute on our plans of our product development. And, if our products don't succeed in the opportunities in the trials, and the opportunities that we have in hand, I would say that is the only risk that we see of not performing. The opportunities are clearly there. And it is for us to execute with our expansion plans in the international markets as well as our product development. So, as long as we beat our product roadmap, and our products perform well in customer networks, in trials and in POCs, I think that is where the risk mitigation really comes in. And that's the only risk that we see. And that is really under our control as well.

Gaurav: Okay, thank you.

Moderator: Thank you very much. The next question is in the line of Amit, an Individual Investor . Please go ahead.

Amit: Good evening, sir. My question is that, what margins we play? This write-offs and all the things which are coming after the execution, we are in profitability or loss?

Sumit Dhingra: Sir, you're talking in context of this quarter? Or is that a general question? I am not able to follow.

Amit: Every order, in every order when we execute, what margins are coming, and after all costing, and on net profit, I am asking over the net profit, the last three years, you are having good profits, but in last three quarters, you're right down around Rs. 600 crores -Rs. 700 crores . So, you are talking about the inventory, after inventory countdown, that's why I am asking this question.

Sumit Dhingra: So, for all the projects that we bid for they are with an underlying assumption of reasonable profitability, I think we don't get into specific project level profitability disclosures. But if you look at our material margins, as per the disclosed statements, that would give an indication of where the project level profitability, or if you look at gross margin disclosures, that will give you an idea about the project level profitability. I think what I can share also is that the profitability for international deployment or international projects are typically higher than what we see from the Indian customers, but at the same time, for all the customer segments that we have, we are able to manage good profitability levels at all the customer segments. I think that the point on the recent quarters where the provisions and charge offs have been made, I think this also has to be looked at in context of the large magnitude of orders that we executed in the previous year. And also, some of the initiatives that we undertook, as we explained a couple of quarters back also, is that as we are coming off from that large project execution, I think we undertook reviews of inventory, we undertook reviews of the manufacturing arrangements with our contract manufacturers, and some of these are stemming out of that initiative.

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Amit: My question is that in large orders, after completing all the things and all the provisions, we are in negative or profitability?

Sumit Dhingra: No, generally we don't have negative profitability for any of the projects that we execute.

Amit: Okay. And second, for the future, it's like coming 2 to 3 years, you are going to achieve good big numbers. I am not asking about the guidance, but do you see bullish nature coming, continuing or 3 to 4 quarters languishing?

Sumit Dhingra: Look, I think without getting into specific quarter level guidance, I think we continue to remain positive and bullish about the opportunities that we are participating in. What you see over the last

2 to 3 quarters or even a longer period, we have demonstrated our capability of our products and our execution over a large project in wireless, which was the first project that we were executing of this scale and of this nature, and also the large orders that have been executed in the previous two years on the wireline side. So, I think what I am trying to say is that we have all the ingredients and all capabilities in place to benefit from the opportunities that we have in front of us.

Amit: No, as an investor, I am asking that your past is very good, very excellent. And future, you expect double, triple or less than past?

Arnob Roy: Yes, see, as Sumit said, we do not quantify our future.

Amit: No, you quantify the market, what big market you are, means 10,000 crore, 20,000 crore, 50,000 crore, which type of market you are, means 4G deployment, 4G stack, in international India market, what volumes will be in the market and how much you can capture?

Sumit Dhingra : So, I think, broadly speaking, both wireless and wireline segments are upwards of \$ 25 billion to \$30 billion of annual opportunity globally. And over time, we would wish to participate in a meaningful manner in this market and have a reasonable market share. Beyond that, I think it will be difficult to give any specifics.

Amit: You can elaborate this 30 billion into 1,000 crore, how much Rs. 1,000 crore market is there?

Sumit Dhingra : US\$ 30 billion is, INR 2 lakh crores roughly.

Amit: And you can, you have expectation of 10% to 20 % or 30% whichever scenario you take, can we have 25% market share ? We are using, well, there are six companies, like Tejas, Nokia, Ericsson and we are a very new company, but we are in, what share we can get and what marketing is set, so we can get this type of percentage of market ?

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Sanjay Malik : Yes, so basically there is a large addressable market size for the wireless and wireline equipment that we make. Now, on the wireless, basically, as you know, that the BSNL project, we started about two years ago, and we have entered into that, and then now we are into kind of some of

the global opportunities also. So, I think maybe difficult to give a specific number of market share as of now, but definitely we will be growing in the international area.

Amit: Actually, as an investor, we want to stay invested or not, we have to decide, in 3 or 4 quarters, I am not saying that one quarter, two quarters, three quarters, four quarters, in next two years, three years, we remain invested and we want to go through that we would be there. If we would be not there, why we are invested. So, we have to take a chance. So, some numbers, some data, that this is the market like 2,000 crores -50,000 crores. When we have executed, we are very good in the execution, we are very good in 4G stack, 5G stack, you are launching new products, but why selling is not come, that is the main motto, our company sells, our company get 20%, 30% share, that is an achievement, and so investor can be sticking to your company and ownership maintained. Every quarter we have lost, we are not having any percentage of market share, what is the exact pipeline for next 2 or 3 years any data you have to share with us, as investors.

Arnob Roy: Yes, so we don't give 3-year pipeline, we all share the order book as it is, as it exists, and that's the number.

Amit: In the previous call, you have given that order book, which has a TCS PO, but nothing you have shared. As a company investor, as a minority investor, we want to know what is going on in the company. We are only seeing the data in the share market, in the anticipation that company is going to be Rs. 200, Rs. 100 in data, the future is very bleak, you are saying future is very bullish, but numbers are not presentable. These write offs are very late, not at the manufacturing stage, you have a

fter completing project, 3 quarters, you are writing off, it is not a good thing.

Arnob Roy: Yes, I think, thanks for your question, I understand your frustration.

Amit: Corporate governance is very necessary. As minority investors are there, there is no words, no guidance, nothing you have, your management is giving us, we are in the black only, what is the white, we don't know what is going on, every quarter write downs, every quarter finance cost, every quarter government's money. comes late, but you have to follow up, and timeline is there, when milestone will be coming, in third quarter, fourth quarter, fifth quarter. Why every quarter interest is paid, you have to get the investor to know, in fourth quarter, in this financial year, we will close our debts. So we have to get a complete guidance on this.

Arnob Roy: Yes, I understand, we try to be as transparent as we can.

Amit: As a Tata Group company, if disclosures are not made, it is not good, sir. I am also an accounting professional, if I am not giving my numbers to my owners, or anybody, and I am, if I try to hide

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it in papers, then truth will come out sometime when the company has failed completely. You are doing research, that does not mean anything. Your R&D and everything is good, you got good things from Prime Minister, but money is everything and EPS, nothing else. And the last is EPS, what is company, the net worth is eroding or still there? You are in the stage of, starting the stage of, means your reserve surplus is Rs. 3,300 crore, from this Rs. 500 crore is minus, and at what quarter you will, you are multiplying, or decreasing the reserve surplus?

Arnob Roy: Yes, so thank you for your questions, I think we have disclosed whatever we can disclose.

Amit: Not in a fair manner sir, today many listed companies are giving, like, Zomato whichever is the listed company they are giving very fair practices. As Tata Group Company you are not giving full guidance.

Arnob Roy: No, I think we have right from the beginning, we have not been, we do not give guidance, except for the environment.

Amit: Why you don't give guidance?

Arnob Roy: I think, it is really time that we give to other people who need, who will also have questions, so I really request you to.

Amit: Okay, thanks, sir, please, quarter-on-quarter guidance needed.

Arnob Roy: Sure, thank you. Could you give a chance to the others in the queue, please?

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Arnob Roy: So, once again, thanks everyone for participating in the call, and I look forward to interacting with you all, at the end of Quarter 3 as well. Thank you very much.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

N

ote: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings

Call: Jan 2026

January 16, 2026

The Secretary
National Stock Exchange of India Ltd
Exchange Plaza, C/1, Block G, Bandra Kurla Complex, Bandra (East)
Mumbai – 400 051
NSE Symbol: TEJASNET
The Secretary
BSE Limited
P J Towers,
Dalal Street,
Mumbai – 400 001
BSE Scrip Code: 540595

Dear Sir/Madam,
Re: Q3 FY26 Earnings Conference Call - Transcript

Please find enclosed the transcript of the Q 3 FY26 Earnings Conference Call held on January 09, 2026 .

This is for your kind information and record.

Yours sincerely ,
For Tejas Networks Limited

Anantha Murthy N
Company Secretary & Compliance Officer

“Tejas Networks Limited
Q3 FY '26 Earnings Conference Call ”
January 09, 2026

MANAGEMENT : MR. ARNOB ROY– EXECUTIVE DIRECTOR AND CHIEF
OPERATING OFFICER – TEJAS NETWORKS LIMITED
MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS
NETWORKS LIMITED
DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER –
TEJAS NETWORKS LIMITED
MR. SANJAY MALIK – CHIEF STRATEGY AND BUSINESS
OFFICER – TEJAS NETWORKS LIMITED

MODERATOR : MR. MOHIT MISHRA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities. Thank you and over to you, sir.

Mohit Mishra: Thank you, Sagar. Good evening, everyone. Thank you for joining on the Q3 FY '26 results conference call of Tejas Networks Limited. We have the management of Tejas Networks on this call represented by Mr. Arnob Roy, Executive Director and COO, Mr. Sumit Dhingra, CFO, Dr. Kumar N. Sivarajan, CTO, and Mr. Sanjay Malik, Chief Strategy and Business Officer. I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.

Arnob Roy: Thank you. Welcome, everyone, to our quarterly earnings call. In Q3, we had a revenue of INR307 crores and the revenue was driven largely by the sale of wireline products to India private operators and to international customers.

We have multiple trials ongoing for our wireless products, both in India and international markets. Many of them started in Q2 and many of them have progressed to the commercial negotiation stage and are expected to close in the coming months. Before we go to an extended commentary on the quarter, I would like to hand over to our CFO, Sumit, to walk you through the details of our financial numbers.

Sumit Dhingra: Good evening, everyone. Wish you all a very happy new year. Our results for the quarter Q3 FY '26 were revenue of INR307 crores compared to INR262 crores of revenue in previous quarter.

This is a growth of about 17 %. Profit after tax for the quarter was negative INR197 crores and order book at the end of the quarter stood at INR1,329 crores compared to INR1,204 crores in the previous quarter. Revenue broadly comprises from Indian customers about 85 % and international about 15 %.

The order book is predominantly India as of now with about 92 % from the Indian customers. The EBIT for the quarter was INR239 crores negative compared to INR394 crores of negative EBIT in the previous quarter. I think expenses for this quarter mainly include provisions for past service costs related to gratuity and compensated absences on account of the new labor code that was notified recently and warranty expenses of INR24 crores based on potential fault rates, repair requirements and the warranty claims.

A bit on the balance sheet side, our inventory for the quarter broadly was at a similar level as compared to the previous quarter at INR2,363 crores. Trade receivables at the end of the quarter were INR3,284 crores versus INR4,026 crores in quarter two. Our net debt at the end of the quarter was INR3,349 crores versus INR3,738 crores in quarter two.

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This has come down mainly due to lower working capital which gets partly offset by the capex during the quarter. And the gross debt is put at INR3,885 crores. I think with this, I will hand it over to Arnob to take it forward.

Arnob Roy: Thanks Sumit. So over to some of the key updates for the quarter as far as our wireless business. While we have not closed some of the deals as of yet, but we are seeing an increased number of international engagements for our 4G and 5G RAN equipment including multiple ongoing POCs which many of them have moved to the commercial negotiation stage. And as I mentioned that we expect some of them to close over the next few months.

We have been selected as a 5G RAN supplier on a section of the Delhi -Mumbai railway corridor for a pilot on the Kavach project that you are all familiar with. It is a network for enhancing the safety of our railway operations. We have multiple wins for our private 5G deployments in India for applications in ports and mines.

And finally for the big BSNL 4G add-on PO for the 18,000 sites that we have been working on for quite some time, we have a delay in the receipt of this PO. And from what we know, from what we hear is that those are still in the works and the expansion order will come to us at the appropriate time for BSNL. For our wireless business, as I said, the quarter was driven largely by shipments for our wireless wireline products.

We won additional packages for BharatNet and we have become one of the largest suppliers of IP/MPLS routers by the number of packages and we won the maximum number of packages that have been announced so far. We received expansion orders from leading private telcos in India for both our WDM as well as our GPON equipment. And then a couple of significant international

wins have been winning of WDM backbone network for the build -out order from a broadband ISP in Africa and a network transformation project for our MPLS -TP products for a power sector company in Southeast Asia.

Another significant one was the first win in a sovereign data center networking application in India for our switching products. This is the first time we won a networking application inside a data center where most of our data center business has been through the interconnect application . So, from that point of view, we look at it as a significant first win.

Now, the other updates for the quarter is that our converged broadband product won the Excellence Award for the most innovative product in the conference in a great show in Dubai. We received INR85 crores as PLI incentives for Q4 FY25 and cumulatively INR397 crores of PLI for FY25 . We filed 26 patents in Q3. Cumulatively, we have filed 613 global patents of which 370 have been granted.

In summary, our long -term outlook remains positive. There are strong drivers for our business are caused by rapid transitions, technology transitions, as well as the demand data growth which is driven largely -- a lot of it is driven by AI applications which are driving a massive growth in traffic in the networks.

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We see a lot of expansion of 4G networks and new deployments of 5G networks in emerging markets and which are most of our engagements and POCs that I referred to. Investments in AI data centers are driving huge connectivity requirements, which are driving business for our optical products. We see increased traction for our new products in India and in international markets. The wireless products are starting to lead our international engagements in Europe, Latin America and Africa.

We are seeing increasing adoption of our wireline products in private telcos in India. And apart from our direct engagements, we are seeing increasing engagements with international customers for our wireless products through partnerships with NEC and Rakuten and strategic wins in Europe, Africa and Asia for our optical products gives us a good momentum for expanding our international business.

So with that summary, I'd like to open the floor for questions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Rajakumar Vaidyanathan from RK Invest . Please go ahead.

Rajakumar V .: Hello?

Moderator: Yes, sir. Please go ahead.

Rajakumar V.: Can you hear me?

Moderator: Yes, sir. We can hear you now.

Rajakumar V.: Yes. Sir, my question is, what is the path to profitability? Because you have been reporting significant losses for the last two quarters. And even if I see

your last five years, bottom line

numbers, you still not made money in the last cumulatively. So, what is the path to profitability if you could just elaborate on that?

Arnob Roy: Yes. As you can see from our financials over the year, we've made significant investments in growing our business, right from investments in our products in R&D and expanding our portfolio with a large set of wireless products . So all of that investment as well as our investments in supply chain and sales have been with the intent and with the expectation and anticipation of growth of our business internationally.

And as you know, last couple of years, a lot of focus has gone into developing the product and execution of the BSNL 4G project. And with that, we have scaled up our systems and processes in our company. So what we expect is on the back of the new products and the success that we've had.

It's like this is the kind of the time when we are kind of, I would say, refreshing our overall business in terms of with our new set of products going to international market and the path to profitability will be when that business really scales up, both internationally as well as in India led by our wireless and wireline products and getting to the critical business size, which would be able to

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support the investments that we have made in our business.

So that is really the path. I mean, just growing our business and we see the opportunity for doing that over a period of time . I mean, it hasn't happened as fast as we would all expect. But that was a period of execution of this large project, and it's like kind of, I would say, replanning our business for the next few years.

Rajakumar V.: Yes. Sir, if you could also indicate a timeline, is it like two years, three years? When do you think

you will reach a positive bottom line? Because what we want to know is in the last five years, we have not made any positive bottom line cumulatively. So, are you still in an investment phase or the investment phase is over and now the focus is on, you know, improving the profitability? So, where exactly Tejas is standing?

Arnob Roy: Yes. So we are in a technology business. So continued investments never stops, right? I mean the technology is a treadmill and it keeps on evolving. So we cannot stop our continued investments in R&D. I mean the growth in investments will be, of course, be tempered based on the business that we realize. But we are not going to reduce our investments over here because of the nature of business that we are in.

But I think when we talk about when we'll achieve that business growth, I think that's going to happen over a period of time. I think all efforts and investments in growing the business are ongoing. And it will be a period of time, but all of us are keen to get to that stage as quickly as we can. And we believe all of that will happen. So that's the reason why we continue to invest and focus on what we are doing.

Rajakumar V.: Okay. Sir, the second question is with regards to your inventory and the orders in hand, I mean, your inventory is almost twice the amount of orders in hand. So, I just want to know what is the idea behind holding so much of inventory. And also, if you can also comment on when do you think that the debt will be brought to the normal zone?

Arnob Roy: Yes. So as we have spoken earlier, a lot of this inventory has actually been procured for executing on the BSNL 4G add-on order for which our partner, TCS has received an APO and they've also communicated the LOI to us for that project. And so a lot of this procurement really happened for that. That's why we are sitting on this large inventory.

But since we know that this order is going to come, as you can see in so many announcements from BSNL as well as the Ministry, so we have to hold on to the inventory with the interest of

being

able to execute on this project as quickly as we can once we receive the PO. So, this inventory will deplete very rapidly once we receive the PO and start executing on that project.

Rajakumar V.: So, the worry is, you have a very long cycle because you are holding inventory for so many quarters and then after that you bill and then the government takes their own time to pay you. So, you have a very long working capital cycle. So, I mean, by design, I mean, Tejas, is not currently the way you guys are executing it. I mean, the shareholders will never see a return in the near future. That's how it's been, I mean, that's how what I, as an investor, I can make out. So, correct me if I'm wrong.

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Sumit Dhingra: I think the current inventory, obviously, as we mentioned, is in context of the additional expected order, which does not get reflected in the order book. And while this was expected, I think there have been delays in sort of getting the purchase orders and hence this has led to the accumulation of this inventory.

If you see the years prior, over the last year or the last few quarters, there was a corresponding execution that was going on for the BSNL project and hence the inventory levels continue to be high. Now, to your point on whether the working capital cycles or the inventory cycles are high, yes, they're currently high for this specific reason.

I think, as Arnob earlier pointed out, I think it is important from various points of view that we have an increased share from private and international customers where the overall working capital cycle may be better. And that would lead to improvement in working capital in general. And I think we're also taking steps to continue to improve on the working capital or the inventory management in particular to get this down. So, it's a focus area for us as well and we continue to work on this.

Rajakumar V.: Okay, sir. But I think it's a big concern. I mean, I'm not sure whether we're articulating it.

Moderator: Sorry to interrupt, Mr. Rajakumar, for any follow-up questions, may we request?

Rajakumar V.: No, I'm not asking a follow-up question. This is just a comment. So, let me, just give me one minute. I will just complete it. So, the concern is this is kind of happening for many quarters. And I don't know what model Tejas has because this model has to earn money for the shareholders at the end of the day.

And you are executing such a big project and still the bottom line is bleeding. And that is really a concern, sir. So, I hope the shareholders are also taken into consideration. Their interests are also taken into consideration when you execute such big projects. That's my comments. Thank you so much for the opportunity.

Moderator: Thank you. Our next question comes from the line of Pranav Kshatriya from Emkay. Please go ahead.

Pranav Kshatriya: Yes, thanks for the opportunity. I have a couple of questions. Firstly, you talked about in the first quarter of this financial year that you would sort of be looking to reach where you were in FY '24 and that is what you would be looking to reach. So, that number and if I compare nine-month number, I think there is a fair bit of gaps. So, how should one look at it?

I understand that Tejas Network's business tend to be very lumpy. But do you think it should be

possible to reach that kind of level in this year or that can possibly reach next year? That's my first question.

Second question is that there is a good increase in the number of patents filed and I would like to know a little bit more about in which area are these patents more on the wireless product side or more on the wireline product side? So, those are my two questions. Thank you.

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Arnob Roy: So, I will take the first question and for the second part I will

hand over to our CTO, Dr. Kumar

Sivarajan : So, FY '24 levels this year, as you can see, our expectation was the execution of the add-on project from BSNL and while that happens we build on our international business for wireless. Since that order got delayed, and we have built the inventory for it, that's the reason why we would see that we have not been able to reach the level of FY '24 yet.

And in this year, I don't think we'll be able to execute the project also because when the add-on order comes, it takes time to build and ship. So, this project, whenever that comes, is going to be executed in the next financial year. So, that delay has really affected our business this year and the transition that our business is going through in terms of really transitioning to a lot more of the Indian private telcos as well as the international operators.

I think that part is going well and we expect to see and I only think that this takes time. So, that's the reason why we are seeing a longer period of time for closing on all those opportunities. But on the positive side, we see all those opportunities to our engagements and we see we are in a market which is growing.

The customer demand, network build-outs, capacity build-outs, I mean all of that, we are in a globally growing market, including India. So, we do see the opportunity of getting to that growth level at some point of time. And I think we have, from an investment point of view and the readiness point of view, we are kind of there for leveraging every opportunity that comes our way.

So, that's the first part. And regarding the patents, I'd like Dr. Kumar to take over.

Kumar Sivarajan : So, while we file patents in both wireline and wireless areas, the majority of patents are related to 5G advanced and 6G technologies. Specifically, even within that field, these are what are called standards-related patents. So, we closely follow the upcoming standards in 3GPP for 5G advanced and 6G.

Currently, like release 19 is being discussed in 3GPP. And in anticipation of what's going to get standardized, we file patent applications. So, the majority of these patents are in that category. It's mostly 5G advanced and 6G-related patents that are being filed.

Pranav Kshatriya: Sure. Thank you so much. This is useful. I just have one follow-up on the first part of the question.

So, how would you put the performance of Tejas Networks for ex of that BSNL contract? Because I understand that that was one of the main things which is getting derailed. But overall, if you look at whatever plan you had laid out for FY '25, for non-BSNL part of the business, especially given there is a strong rollout, which is happening on the data center where your products could be useful. How do you see that panning out for this year and also going forward?

Arnob Roy: Yes. So, apart from the BSNL project, which we were planning to execute this year, there were two major initiatives or targets for the business. One was growing our wireline business to the Indian private telcos as well as internationally.

So, that transition is happening well. We are seeing a lot of the business growth this year.

Whatever the business that we had this year has been driven by mainly our wireline products. And

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we see good adoption of that and good growth of that. So, that part of the business is going very well.

The other part of the plan was, during the year, get ready for a lot more international business, especially for wireless, by getting into the trials and POCs and get to some business closure during the year or early next year, because this is a long cycle and we are a new player in this market.

So, even that part of the thing, I would say, is going very well. Also, if you see, based on the credibility of our performance in BSNL, that's where we got a lot of international p

artnerships

going with NEC and Rakuten and so on. So, those opportunities came to us because of the credibility we built over there.

So, yes, I understand that the BSNL project last year was a huge sharp spike in our business, resulting in a lot of revenues and required a lot of investments from us that gave us the platform to really mature our products, build new products, and take it to the international market.

So, that part of the story has played out pretty well. I think we are quite satisfied with that. The

part that has not played out to expectation was the BSNL expansions which is going to happen. We know that's going to happen. That's why we have all the inventory. And also, that is the part that got a bit delayed, and that's kind of showing in our financials.

But once we get past that phase, I think we expect the rest of the business plan to play out as we were hoping to do and planning to do. It's just that the transition phase has been taking a longer period of time than we expected.

Pranav Kshatriya: Okay. Thank you so much for your answers and wish you all the very best. Thank you.

Moderator: Thank you. Thank you. Your next question comes from the line of Karan Raja from 54 Ventures . Please go ahead.

Karan Raja: Yes. Hi. Good evening, and thank you for the update. I noticed that it's been about three quarters since Mr. Anand Athreya resigned from his post as CEO. So, I wanted to understand if there is any urgency in filling that CEO spot and what we can expect from the Board and coming out with a resolution with regard to that?

Arnob Roy: I think the board is working actively on appointing a CEO going forward. And I think at some point of time soon, there will be a CEO appointment for the company.

But independent of that, I think our business goes on as planned and our regular business operations are not really affected without the filling of that position. So, I think the Board will take its time and is on the project and will be appointing a CEO at some point of time.

Karan Raja: So, can we expect that in this financial year or is this something that would be in the next financial year?

Arnob Roy: Yes, it's not in my place to answer that question right now. But obviously, as you can understand Tejas Networks Limited

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that there would be an active work going on in filling this position. So, I'm not aware of the exact timeline.

Karan Raja: Understood. The second question that I had was with regard to the delay in the 4G expansion. A couple of calls we had so did know that this delay. Is this delay attributed to the customer side? Is that thing with the system integrators or something to do with TCS?

If you can give us some color on what this delay is attributed to. Because obviously, answering the previous question, you did mention it was a big disappointment for you all as well that this order has not come into execution in this financial year. So, what exactly is this delay attributed to?

Arnob Roy: Yes, it is mainly to do with the operational readiness of BSNL for rolling out the network. They also had to be prepared with their sites, with site readiness and related aspects . So, that's what is basically holding up the rollout of this project.

And as you know, in multiple forums, both BSNL management as well as the DOT or the Ministry has commented that the expansion is going to happen very soon . So, the only reason right now is the readiness of BSNL to take the equipment and deploy it in the network.

Karan Raja: Understood. So, is it safe to assume that there is no issue with our products or any integration efforts by our system integrators, which is TCS?

Arnob Roy: Yes, those are not the constraints in this project.

Karan Raja: Understood. I think one other question that I had because we had spoken about some of the other wins, the 5G, private 5G across mines and some other locations

and also the data center

opportunity. Can you please share some light on the market opportunity in these two? What is our right to win there? And what kind of market share are we hoping to achieve in the next maybe 3 years?

Arnob Roy: Yes, so it's hard to answer the market share part, but we see these new application wins are very encouraging because we're seeing a lot of private 5G wins for deployments in mines and ports and some campuses . So, and having a few set of reference wins in India can help us in marketing and selling this globally as well.

So, our right to win is the products that we have. As you know, our current BSNL product is a 4G upgradable to 5G. So, both our review as well as radios are software and hardware are upgradable to 5G services. So, it's basically the same set of products which are getting deployed for 5G applications because the bands in which they're getting deployed are same or similar to what we have right now.

So, with small adaptations, we're able to meet those bands in which the private 5G rollouts are happening. So, that's one part of it. I talked about the data center application also. As you know, we have our enterprise switching portfolio of products and which we have scaled up a lot to larger products for data center switching as well.

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And even though that was not an initial target segment, but now with our new set of products and with those data center opportunities opening up, we saw a good reference win for the networking inside a data center. While the interconnect of data centers, that's the market we are playing all along and our optical products have a very strong play in that kind of applications.

This is the first time we have been inside a data center with our switching products and that's a very encouraging sign for us. So, we are going to try to replicate this win, this solution in as many applications that are accessible to us.

Karan Raja: Understood, Mr. Roy, but I will have to push the envelope here because obviously, internally, you all would have certain targets that you all would want to hit with private 5G and with data centers.

So, if you can share some light as to what even the estimates are because obviously, you all have had a few deployments, you all would know how many such accounts can be achieved in a given year.

So, something that gives us at least the direction in which the company is going or what we are chasing, where we are fighting, at least something that gives us a sense of what are the internal metrics based on which we can judge sales?

Arnob Roy: So, as I said, we don't have any specific target in terms of how many wins and all those kinds of things. In most of our -- every product line that we have, we go by the engagement that we have, the customer opportunities that we see, and where we find opportunities and how we can pitch our products and solutions.

And we set targets more from overall business growth and business win, not specific to any particular application. And these are new markets that we are getting into. I mean, as you know, our wireless play has been mainly in the macro area for mobile operators, and that's where the larger deals are. The private 5G applications are many in number.

Each of them are relatively small deployments. That is because you can understand the territory or the area over which it is deployed those are fairly small, right? So, the larger deals are, of course, for the Macro, but the good thing is that with this, it opens up a new application for us, the private 5G space.

So, from that point of view, it gives us mileage, credibility, and visibility in this space. So, that's probably the largest benefit. And as I said, as of now, we don't have any target which says that we have to achieve these kind of numbers for using this particular application or the other one.

I mean,

these are initial wins, and that's the reason why we'd like to share it with you all, saying that these are new applications.

Because on an ongoing basis, the standard applications of mobility or FWA for wireless or for broadband or data center interconnect or metro aggregation, which are ongoing and are driving our business. We thought that these are new significant events that have happened that can open up opportunities. But right now, at this time, we don't have the opportunity to really size up and set targets in this area.

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Karan Raja: I understand. I would hope that over the next perhaps couple of quarters, once there's more clarity on this, we do have something more concrete. Obviously, a big risk factor for our company is the heavy dependence on a single anchor customer and that anchor customer being a government sector undertaking.

So, obviously, I would expect that in a couple of quarters when we have a little more experience in these realms, we would have more realistic targets or expectations of our market. Thank you so much for taking my questions. I'll go back in the line.

Arnob Roy: Thank you.

Moderator: Thank you. Our next question comes from the line of Pratap Maliwal from Mount Intra Finance. Please go ahead.

Pratap Maliwal: Hello. Hi. Am I audible?

Sumit Dhingra: Yes, Pratap, you are.

Pratap Maliwal: Yes. Hi, sir. Thanks for taking my question. I just had a question regarding the BharatNet order that we called out that we've won about 7 out of the 12 packages announced so far. And I believe the company's notification said that it will be deploying over 50,000 plus routers. So, I just wanted to understand what would be the approximate order size of the BharatNet cumulatively and over what duration do we see this being implemented?

Sanjay Malik: Sorry, what was the last sentence?

Pratap Maliwal: Over how many years, yes?

Sanjay Malik: So, this particular order is for BharatNet Phase 3 and for all the routing products. I would say implementation period is over next two years. With regards to the order size, I think it's again because it is multiple circles coming from multiple SIs. So, it's a large order size, but difficult to give the numbers.

Pratap Maliwal: I understand the point, but see if we called out that we'll be deploying over 50,000 plus routers, I

mean, you know that at what rate we'll be supplying, surely you'll have some idea. So, if you can just give us some ballpark figure, not an exact figure, but just some ballpark idea of where the order size could be so that we have more clarity of how much business we can actually expect to come in, how the order book can build up?

Sanjay Malik : So, actually there are a few of these, for which we have received the orders and then a few which are in the negotiations still. But because we are working with multiple SIs, it is not from one particular company. So, yes, I'm sorry that it would be difficult to share the numbers on the deal size. Normally, we don't do customer-wise deal size announcements.

Pratap Maliwal: So, does that order book currently involve any orders from BharatNet?

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Sanjay Malik : Yes, the current order book, which was shared by our CFO Sumit, that includes BharatNet orders also.

Pratap Maliwal: And we expect a significant ramp up or is it like we've got the initial orders and we expect a large ramp up or it's just some color on that, even if it's purely qualitative, just so we can understand the direction?

Sanjay Malik : So, we got the orders for seven packages as we mentioned and a few more are still expected.

Arno b Roy : So, I also wanted to add that this is for connecting the network at the block level. And this is forming the backbone of the BharatNet Phase 3 network. So, there's the last mile of Bha

ratNet,

which is to be built and that will largely be built using GPON equipment and so on. So, for the Phase 3 rollout, some parts will happen and some parts will be happening later. So, there is a lot of build out that in BharatNet Phase 3, which will be connecting the last mile, the villages, basically. So, but that will be another part of the project and this is mainly for building the backbone connecting the blocks.

Pratap Maliwal: Okay, understood. And just one final clarification regarding our international expansion, you said that we're in the final stages of some commercial negotiations. So, is this including the one, the deal that we may be pursuing through our partnership with Rakuten or is it more in the nature of G2G deals, just some color around that and if possible then what could be the expected size of the deal?

Sanjay Malik : So, on that, again, as Arno b was mentioning, that previous quarters, we were involved in some of the trials which were happening and those are moving towards commercial negotiations. And the deals are basically the mixed kind of deals. There are some of the deals where we are positioning our equipment directly.

There are a few of the deals where it is in relationship with either NEC or with Rakuten. So, it's a combination of, I would say, all the three kind of solutions which we have. Closures should be -- yes it should be happening in coming months. Again, varying kind of deal sizes, varying kind of number of sites, multiband, single band, those kind of variations are there. But yes -- so those are expected in the coming weeks.

Pratap Maliwal: And would we be considered for any network expansion from Vodafone side because I believe that there was a news article where an official from Vodafone had said that they are trialing Aegis equipment. So, is there any news in that sense?

Sanjay Malik : So, this was basically a comment from Vodafone Idea management. Yes, we have been trialing. But again for the news on that, we will be able to give only after discussions with them.

Pratap Maliwal: Okay, sure. So, thank you for taking my question.

Sanjay Malik : Thank you. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Dhruv Shah from Ambika Fincap. Please go

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ahead.

Dhruv Shah: Hi, sir. Sir, is it possible to quantify the opportunity size of the POCs or the commercial discussions?

Sanjay Malik : Overall. See, as I said, from a geography perspective these are some of the deals which we are working on across Asia Pacific, then in Latin America, in Africa and in Europe also. So, varying size, different stages of negotiations are there. And I would say significant number of sites also, but difficult to quantify the number as of now.

Dhruv Shah: But do you expect anything to come from next year onwards? Is it possible?

Sanjay Malik : As I said coming in it would be expected in coming months. Because what happens is that in all these discussions, there is number one from the proof-of-concept itself, it has to integrate with the existing environment, we have to show all the parameters etc. And even from negotiation perspective, it always depends upon their deployment plan. So, when exactly it will get closed, I think, again, difficult to say that, but expected in the coming months.

Dhruv Shah: Thank you, sir. One question for Sumit. On a current cost run rate, have we thought that in how many quarters runway do we have before we actually start thinking of fundraising considering our current cost piece is almost, you know, we are making almost INR150 crores of EBITDA loss. So, have we thought of any fundraising? Do we need or you think that we have sufficient cash and we will not need any further fundraising?

Sumit Dhingra: I think the evaluation of capital structure is a sort of an ongoing exercise. And right now there is

no proposal of fundraising that we've discussed or that is in discussion at the Board level.

Dhruv Shah: And there's no discussion on cost-cutting as well?

Sumit Dhingra: Now, I won't say cost cutting, but a lot of cost optimization, cost rationalization efforts have happened through the year. And we've also actively looked at optimizing or planning the capital performance in line with the product development. And that's an ongoing effort. A lot of it has happened through the course of this year.

But at the same time, I think, as Arnob also alluded to earlier, a lot of this cost is on account of investments that we're doing in this product development. And we've come to a certain stage over the last 2-3 years in terms of making this investment. So, while we continue to focus on investments, but at the same time, with a lot more prudence and a lot more optimization in terms of how we go about it.

Dhruv Shah: Okay, because if I do a rough math on our reverse calculation basis, Sumit, x of, let's assume BSNL, 4G, whenever it comes, we need almost a INR3,500 crore s annual turnover x of BSNL just to have a EBIT break even, if my calculation serves me right on a higher gross margin. So, that's why my question pertains that do we need a fundraising? Because our order book stands at 1,300 x of BSNL. We are nowhere close to that 3,000 figure for an EBIT break even.

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Sumit Dhingra: Yes. Dhruv, I think, I mentioned this in one of the earlier calls as well. It's a function of, yes, you rightly mentioned revenue, but also to some extent, margin expansion that with the international business in particular, we would expect to see. And that would essentially lead to the corresponding revenue requirements for profitability to come down.

Dhruv Shah: Okay. Okay. Great. Thank you so much and all the best.

Moderator: Thank you. Our next question comes from the line of Hirenkumar Thakorlal Desai, an Investor. Please go ahead.

H T Desai: Yes, my question is mainly for Sumit. A few clarifications on the income statement. So, I see depreciation and amortization as a fairly sizable expense, INR104 crore s in current quarter. Is it correct to assume that most of this is actually amortization on the R&D capitalization?

Sumit Dhingra: Yes, a significant portion is on account of amortization.

H T Desai: And one more question is on the other expenses line. So, that number also seems pretty significant. So, can you throw some light on some kind of a breakup?

Sumit Dhingra: So, see, I think we mentioned over the last couple of quarters, there have been certain one-offs that have come in, particularly related to certain repair-related provisions, etc etera., which get reflected in the warranty provision, which becomes part of these other expenses.

And then, they're also related to part of the inventory or the consumables provisions that we had to do with the previous quarters. Some of that is coming under other expenses, and hence, you see a bit of a higher number there.

H T Desai: Okay. These numbers are pretty high, even during, let's say, year-ended, I mean FY '25, and I mean, it has been there for many, many quarters. So, I mean, do we have some sight, some time in future where these numbers can come down to some reasonable numbers and where this can be?

Sumit Dhingra: So, I think, I just want to clarify on that FY '25 numbers being high. I think it was also on account of the higher revenue at that time. So, one part of these other expenses is related to shipment, logistics-related expenses, and travel-related expenses. Some of these are variable in nature, which were higher during the last year as we were going through the execution of the contract, the BSNL 4G contract.

H T Desai: Okay. The second question is on the side of gross margins for wireless POCs that we are engaging. So, for

example, as you mentioned, this quarter was largely wireline, and I can observe that gross margins are pretty good compared to what they were during the wireless business.

So, whatever we are trying in international markets or Indian private markets, can I expect that the margins on those whenever they materialize will be quite a bit better than what we had seen in BSNL business?

Arnob Roy: Hi, this is Arnob. Yes, as you know that for the BSNL deal and the India market, because of the

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size and the ARPU challenges, it's a very, very competitive market. So, the price levels in India are quite different and quite challenging as compared to international markets.

So, yes, in the international markets, wherever we are engaging and wherever we are in commercial discussions, the prices are at a much different level and the margins are also at a different level.

H T Desai: Okay. Yes, thanks. Yes, that answers my question s.

Arnob Roy: So, we have time for one last question.

Moderator: Sure. We'll take the last question coming from the line of Venkat Suresh Kumar from Brahma Financials . Please go ahead.

Venkat Suresh Kumar: Yes, sir. Good evening, sir. Sir, I am the investor of Tejas from the 3 years. I'm sorry, 2 years. Actually, continue three quarters is loss making. Only for at the time of BSNL 4G, you will see good profit.

In future, that type of business will come or it will be continued to losses in so many quarters. I have purchased shares around INR1,300. And I lose a lot of money at the investor point of time.

But I am not asking, but you can consider shareholders are a concern.

Arnob Roy: Yes, I understand your question. And as I said, so the BSNL project, while it was a big spike in our revenue and I also heard a comment about BSNL being an anchor customer. I don't see BSNL being an anchor customer for the company. I would say the BSNL project was an anchor project to really develop and mature our products and scale our operations to a large extent and being a really good platform for building our wireless business.

And this is the business that we also see a lot of international opportunities for and we want to take it out there. And as you can see that we have made some progress. Of course, the proof of the pudding is when we actually convert these to business. But the way I would look at it is that in this transition phase , our strategy was that while building on the BSNL business , with the add -on order and so on, we use this year to do the transition and be able to build a lot of wireless business globally. So from that point of view, I think we have made a lot of progress. Yes, this transition is taking a lot of time and in the meantime, our financials are not showing up the way we would all like it to because of the delays in receiving some of the add -on orders and all.

But we don't see that BSNL and BSNL projects are the lifeline or the anchor for Tejas. They were an excellent platform for us and we are very grateful for having got that opportunity. But I think now the plan for the company is really to take this global to private telcos, to international operators and so on.

And we are on the way to doing that. And we are all very bullish about reaching there at some point of time. And that's the reason why, we continue to invest, put our heads down and basically try to execute and take our business forward in all that direction. So with that, I'd like to thank you all for attending the call.

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Venkat Suresh Kumar: One question, last question. So actually, you 5G upgraded in BSNL contract , that size of order is huge or small. And question, your data-center business, you can do single company, you company doing only for your Tejas products, you do for Valiant communication, cybersecurity and data

center products, your marketing or your own products? Your tie -up with Valiant cybersecurity data center products, your own or Valiant products? And BSNL 5G, how much size of order is upgraded? Please tell me.

Arnob Roy: So, okay. First of all, I'll answer the Valiant question. So the data center switching products are our own. Whenever you see we are selling with Valiant products, those are mainly in the utility networks, where we are doing the communication part of the optical fiber, and they are on what is called the teleprotection application. So both of these two come together, our products and Valiant products come together for building solutions for, sorry?

Venkat Suresh Kumar: Cybersecurity products, Valiant cyber security, so you are marketing?

Arnob Roy: No, no. We don't market Valiant's cybersecurity products, mainly the teleprotection products. So this combination works for the utility market for smart grids and all those kinds of things. The other part about BSNL 5G, there are two parts to BSNL 5G. One part is the upgrade of selective sites to 5G, which is part of the existing tender. And we have done trials and there are some ongoing trials as well, so that we don't have visibility when that upgrade will happen on the selected sites.

Venkat Suresh Kumar: Size of 5G business?

Arnob Roy: Yes, that's what I was talking about. There is a part called the 5G upgrade of the BSNL network of a select number of sites, which we do not know. And that's going to be an upgrade on our existing equipment. We do not know the size or the timing of that kind of thing, how many sites they're going to upgrade. But BSNL is also looking to build a nationwide 5G network at some point of time. And when that comes, there will be fresh bidding and new opportunities for us, and those will be another nationwide build -out when that happens.

Venkat Suresh Kumar: This is the 4G size of business? This is the 4G size of business in 5G upgrade, not a little...

Arnob Roy: Well, a ny nationwide rollout will be of the size, and it depends on... As you know, the last project had 100,000 sites, 1 lakh sites. So it depends on the number of sites they're going to roll out 5G on, and you can estimate what will be the size. So if there's a nationwide rollout of so many sites, then Yes, the project size will be of that magnitude. It could be more or it could be less, depending on how many they roll out.

Venkat Suresh Kumar: You take seriously, try to develop a business. Actually, you see shareholders also...

Arnob Roy: Of course, we are all here because of our shareholders. We really appreciate your support for the company. And thank you for being with us. I understand that this is a difficult time because of our business and the stock price and all, but all I can say is that we are bullish about our business. We are doing everything that we can to execute on this, and we are confident that we'll get there. It's a transition period, which is taking longer than we would have liked. So thank you very much.

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Thanks, everyone, for attending the call and look forward to interacting with all of you at the end of next quarter. Thank you.

Venkat Suresh Kumar: You can expect next quarter positive. Hello? Hello?

Moderator: Sir, the line for the management has been dropped. Please stay connected while I reconnect the line for the management. Ladies and gentlemen, we have the line for the management reconnected.

Yes, sir, please go ahead.

Arnob Roy: No, as I said, I made my concluding remarks thanking all the shareholders.

Venkat Suresh Kumar: Actually, next quarter will be coming positive, sir. Next quarter will be coming positive ?

Arnob Roy: We don't give guidance on future performance, unfortunately. I'm only giving you the outlook, the guidance for our future over a period of time, but quarter -to-quarter guidance,

we do not give. We

are not in a position to give right now. So thank you, once again, to everyone for attending the call and look forward to interacting with all of you at the end of next quarter.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference call.

Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings

Call: Apr 2026

April 21, 2026

The Secretary

National Stock Exchange of India Ltd

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai – 400 051

NSE Symbol: TEJASNET The Secretary

BSE Limited

P J Towers,

Dalal Street,

Mumbai – 400 001

BSE Scrip Code: 540595

Dear Sir/Madam,

Re: Q4 FY26 Earnings Conference Call – Transcript

Please find enclosed the transcript of the Q 4 FY26 Earnings Conference Call held on April 15 , 2026.

This is for your kind information and record.

Yours sincerely ,

For Tejas Networks Limited

Anantha Murthy N

Company Secretary & Compliance Officer

“Tejas Networks Limited

Q4 FY'26 Earnings Conference Call”

April 15, 2026

MANAGEMENT : MR. ARNOB ROY –MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER – TEJAS NETWORKS LIMITED

MR. SUMIT DHINGRA – CHIEF FINANCIAL OFFICER – TEJAS
NETWORKS LIMITED

DR. KUMAR N. SIVARAJAN – CHIEF TECHNOLOGY OFFICER -
TEJAS NETWORKS LIMITED

MR. SANJAY MALIK – CHIEF BUSINESS AND STRATEGY
OFFICER – TEJAS NETWORKS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tejas Networks Limited Q4 FY26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Mishra from ICICI Securities Limited. Thank you and over to you, sir.

Mohit Mishra: Yes, thank you. Good evening, everyone. Thank you for joining on the Q4 FY26 results conference call of Tejas Networks Limited. We have the management with us of Tejas Networks on this call, represented by Mr. Arnob Roy, Managing Director and CEO; Mr. Sumit Dhingra, CFO; Dr. Kumar N. Sivarajan, CTO and Mr. Sanjay Malik, Chief Business and Strategy Officer. I would like to invite Mr. Arnob Roy to initiate with opening remarks, post which we will have a Q&A session. Thank you and over to you, sir.

Arnob Roy: Yes. Thank you, Mohit. Good evening and welcome everyone to our quarterly earnings call presentation. At the outset, let me sincerely apologize for the delay. We have a delay of an hour. We had a lot of technical problems uploading other materials to the SEBI site and that largely caused the delay.

So, once again, I profusely apologize for the delays for the start of the conference. So, let me begin by walking you through the Q4 financial numbers. So, in Q4, we had a revenue of INR333 crores as opposed to INR307 crores in Q3.

And for the year, we had revenues of INR1,103 crores. We had a net PAT loss of INR211 crores in Q4 as opposed to INR197 crores of PAT loss in Q3. And for the entire year, we had a PAT loss of INR909 crores.

We had a growth in order book at the end of Q4. We ended with INR1,514 crores at the end of Q4 as opposed to INR1,019 crores at the end of Q4 of FY25. So, from a revenue mix, India once again dominated our business, 88% was from India.

And from order book also, it was very similar where it was dominated by the India business as far as bookings are concerned. So even though we made initial wireless business with customers, our quarter revenue was driven largely by the sale of wireline products to India private and international customers. And as I mentioned, we had a significant order book year-on-year growth.

So I would like to now hand you over to our CFO Sumit for taking you through the financial numbers and details.

Sumit Dhingra: Good evening, everyone. The revenue for the quarter 4 was INR333 crores compared to INR307 crores in the previous quarter, a quarter-on-quarter growth of 8%. EBIT for the quarter was negative INR219 crores as against negative INR239 crores in the previous quarter.

And profit after tax was negative INR211 crores compared to negative INR197 crores in the previous quarter. The full year revenue was INR1,103 crores and profit after tax of negative INR909 crores. Inventory at the end of the quarter stood at INR2,438 crores compared to INR2,363 crores in the previous quarter.

Receivables at INR3,258 crores and payables at INR478 crores. The cash position at the end of the quarter was INR505 crores and a net debt of INR3,531 crores. At gross level, the borrowings were INR4,035 crores at the end of the quarter.

And I'll ask Arnob to take over the next few slides.

Arnob Roy: Thank you, Sumit. I'd like to add some color to the business that has happened over Q4 and also review our business during the year. So during the quarter, some of the significant things that happened in our wireless business was signing an agreement with NEC to manufacture and supply

our 5G Massive MIMO radios for a global customer.

The other significant thing was that we received an initial order for the expansion of 4G networks from a customer in South Asia. And we have multiple ongoing field trials for our 4G and 5G RAN products across South Asia and the Americas. And we recently successfully completed a 5G POC in South America.

For our wireline business, in the quarter, we completed the shipment of a significant number of IP/MPLS routers for BharatNet Phase III. As you know, we are the largest supplier in terms of number of circles for BharatNet Phase III. And several sites are now carrying live traffic.

We supplied a major amount of 100 gig and 400 gig WDM systems to a Tier -1 telco in India for their 5G backhaul network, for the enterprise services, and also for their services for hyperscaler data center connectivity. We were selected to build a nationwide, multi-terabit DWDM network for a hyperscaler data center application in India. And it was a proud moment for us when we implemented a multi-country backbone network for a famous global sporting event using our state-of-the-art WDM products.

This was a global sporting event which happened recently. Other highlights during the year, our products got recognized at ET Telecom for our innovative Satcom IoT solution.

And we also won the prestigious Golden Peacock Awards for our 5G RAN solutions. We launched our state-of-the-art ultra-compact and hyperscalable data center interconnect product at MWC, at Mobile World Congress in Barcelona. It was launched by the Honorable Minister of Communications.

We filed 63 patents in Q4, bringing the cumulative count to 676, out of which 371 have been granted. We also received PLI incentives for FY25, an additional INR69 crores, reaching a total of INR469 crores for FY25. A few corporate updates for the year. We had some changes at the Board as well as our senior management. So we appointed Mr. Srikumar Vijayasekharan as Additional Director, Non-Executive and Independent Director of the company, with effect from April 15th, subject to the approval of shareholders. Mr. Srikumar is a Chartered Accountant with over 40 years

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of experience, covering audit and assurance services, including eight years as COO at Deloitte. Mr. P. R. Ramesh, who was an Independent Director of the company, resigned effective closing business hours of April 18th. And Mr. Srikumar has taken over his spot as the Independent Director of the company. I am currently the Executive Director and Chief Operating Officer, but I've been appointed as the Managing Director and CEO of the company effective today till 2028. And this is subject to the approvals of the shareholders of the company.

Few more updates. Mr. Preetham Uthaiiah, who is currently the Vice President of Product Line Management of the company, has been appointed as the Chief Operating Officer of the company with effect from today. Mr. AVS Prasad, who is currently the Financial Controller of Tejas, has been appointed as the Chief Financial Officer of the company with effect from 16th of May. Mr. Sumit Dhingra, our current CFO, has resigned from the services of the company, and it will be effective from the close of business hours on May 15th.

So a quick review of FY26. So this year has been a year of consolidation for us. A lot of the technology and products that we developed over the last 3-4 years achieved commercial scale and deployment at a global scale. The BSNL 4G/5G network went live across 100,000 sites and was launched by the Honorable Prime Minister in 2025. We deployed our largest indigenous router networks in the country through the BSNL 4G backhaul network, or the MAAN network, as well as for the BharatNet Phase III networks.

We had a very successful global rollout of our WDM products with 400 gig and 800 gig wavelength services, both

in India as well as internationally. And we also continued the deployment of the world's largest satellite IoT network with our vehicle tracking system solution. We continued the innovation journey with our new products and technology launches.

We launched our 5G 64 TR massive MIMO radio during IMC at Indian Mobile Congress, and it was launched by the Honorable MOC. We launched our WDM system, our C+L band capable WDM system, which transmits over 76 terabits of data over a single pair of fiber. That was also launched by the Honorable Minister of Communications.

We launched our cloud-native converged 4G/5G core also during the year, and it is undergoing trials at multiple locations across the world, across multiple customer networks. And at MWC during last year, we launched our hyperscalable data center interconnect platform, which over a very compact form factor launches over 50 terabits of data in a single footprint. And we also talked about the patents filed during the year. 147 patents are filed in FY26, with more than 150 contributions to the evolving 3GPP standards.

Last year, we announced strategic partnerships with NEC and Rakuten, and in the last financial year, we developed these partnerships further. So we signed our first contract for the supply of massive MIMO radios with NEC for an international deployment. And with Rakuten Symphony, we have partnered with Open RAN Solutions, and we have multiple ongoing POCs across the world, and one of them was completed successfully very recently.

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A significant achievement was expanding our wireless footprint, both in India as well as internationally. We covered new geographies, and the two deals we talked about are the 5G massive

MIMO radio for the global customer and the Open RAN deployments. We also signed up several new applications. We did successful POCs for 5G private networks, and also the 5G RAN pilot for the Kavach network.

So looking forward from a future business outlook, we see that AI is going to be one of the killer applications which are going to drive the mega trends for a network transformation, both in terms of the traffic in the network as well as transformation of the network architecture. So with the rapid adoption of AI applications, by 2033, AI traffic is predicted to be more than 60% of the total network.

We'll have more than 100 million physical AI machines connected to the network by 2035. The profile of traffic is going to change dramatically from today's downstream-heavy traffic to upstream traffic, where upstream traffic will outpace the downstream traffic and that will require significant network transformation. Most enterprises will adopt AI heavily with running GenAI workloads off the cloud, and this is also going to drive from the traditional compute cloud-based traffic that they access is going to get transformed to an AI-based access from the cloud.

So, with this trend, AI is going to drive a network infrastructure build super-cycle, which basically means that the current communication service provider networks, the CSP networks, will not be sufficient to handle the traffic growth in the coming years. And the other transformation that will happen is that close to 50% of the new AI traffic will be processed at the edge nodes, where edge inferencing is going to play a big role in the architecture of the global AI networks.

There will be significant investments in new networks with 400 gig, 800 gig connectivity, even at the access and at the edge to cater to the significant traffic growth. And AI is also expected to accelerate the adoption of 6G, and AI technology will be natively embedded in the RAN and edge and core of the network.

From a business impact, we'll see a lot of convergence of not only access and backhaul, but also it will converge with compute at the network edge to support the edge AI infrastr

structure and the edge

inferencing workloads in the network. There will be significant scaling up of our optical solutions and packet switching and routing and convergence with the edge compute in the edge and access networks.

And the data center connectivity will go to multi-terabit scale, which is already scaling up to that level, but is going to scale up significantly to provide for the AI cloud interconnect. So we have built our current platforms to scale very efficiently for the networks of the future, to handle the traffic capacities as well as the traffic characteristics of future networks. Our new generation 5G products are being designed to scale and evolve into 5G-Advanced and 6G products with much higher uplink capacities.

Our high-capacity optical, which supports 1.2 terabit per channel, is going to scale to 1.6 terabit and beyond to support the terabit-scale data center connectivity of the future. Our multi-terabit

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edge node is going to again scale in capacity and interface and also going to integrate with compute capacity and compute infrastructure to support edge AI applications.

And our next-generation access will evolve supporting further convergence of wireless and wireline access solutions. And AI will be adopted in our network management all across for driving automation, for driving network management and fault prediction and network configuration and driving a huge amount of automation and optimization of the network.

So the key takeaways for FY26 is that it has been a year of consolidation and transformation for us. The technologies that we have developed in the past reached commercial scale of deployment in very large networks. We expanded our portfolio significantly and launched several state-of-the-art products in wireless and wireline.

We had several international wireless wins. They were the starting point of our international expansion for wireless business. And we made progress with the initial strategic partnerships that we had launched with several global partners. So we are well-positioned for long-term success. From an industry point of view, we see AI that will drive a lot of demand for network build-out and as a result for our equipment as well.

We have a product roadmap which is well-positioned to leverage the future opportunities that we see. And we have strong partnerships in place to expand our global customer footprint. So before I end the presentation, I do want to make a few comments about the financial results in FY26. As we mentioned, this has been a year of transition for us after the execution of the massive BSNL project in FY25, which gave us a significant amount of revenues.

We needed a runway in FY26 to consolidate and transition our business beyond BSNL. And several large customer projects that we were actually planning for, both for wireline and wireless products have got delayed, which resulted in significant revenue shortfall and the resulting financial loss. However, we had not cut down on the investments during the year because of our outlook for the future and the industry trends that we see. Based on our FY27 business outlook, we believe that

with our current investments and cost structure, we will be able to achieve better financial results. And net-net, while it has been a tough year for us business-wise, much has been achieved to set us on a path for the future. With that, I come to an end to our introductory remarks and open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Shailesh Jahagirdar from InvestYadnya. Please go ahead.

Shailesh Jahagirdar : Hi, am I audible?

Management: Yes, you are audible, Shailesh.

Shailesh Jahagirdar : So, my question is that in February we got a Massive MIMO deal for 5G networks and also a deal

for 4G network in South Asia. So, is there any data to quantify these orders or deals so that we can consider the future outlook of this deal, how it will affect the revenue and the overall financials

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and the timeline of this project?

Arnob Roy: So, Shailesh, typically we do not go into specific deal numbers and all, but a lot of 5G Massive MIMO business will actually get revenue over this current financial year in FY27. Some of the revenue of the 4G deal happened in the past financial year and we expect more expansion on that during the current financial year. But beyond that, we do not share any deal-specific numbers for any project.

Shailesh Jahagirdar : Okay. And my second question was the BSNL additional PO of 18,000 sites. So, the same PO is delayed and is there any upgrade on that?

Sanjay Malik: Yes, this is Sanjay Malik here. So, thanks for this question. So, yes, it is the same add-on PO which has been there. So, active discussions are still going on with the BSNL team on the sites at which they have to have these 4G sites and their configurations. So, that discussion has been happening and quite active discussion. We are still keeping our inventory here for delivering to these sites in a quick turnaround once we get the PO, but yes, as of now the discussions are definitely on.

Shailesh Jahagirdar : So, just to add on so we have inventory. So, the timeline for that order will be pretty much less than the previous BSNL orders?

Sanjay Malik: Sorry?

Shailesh Jahagirdar : So, we have the inventory for the upcoming PO of BSNL. So, the timeline, I just want to ask that the timeline would be much lesser than previous PO?

Sanjay Malik: That's right. So, because one thing is that now the sites are commercial. So, it's already tested out. So, once we receive the order, we have the inventory. So, definitely the delivery time would be much faster.

Shailesh Jahagirdar : Okay. Thank you. That's all from my side.

Sanjay Malik: Thank you.

Moderator: Thank you. The next question comes from the line of Pranav Kshatriya from Emkay. Please go ahead.

Pranav Kshatriya: Hi. Thank you for the opportunity. My first question is regarding the order book. I mean, this INR1,500 odd crore order book, you said almost 83% of that is coming from the India business.

Does that include the BSNL 4G project as well?

Arnob Roy: No, that does not include the BSNL 4G project.

Pranav Kshatriya: So, this is purely BharatNet and other private Telco whatever you might have?

Arnob Roy: Yes. This is from our customers, both in India as well as international, for our wireline and wireless business, but doesn't include the BSNL 4G at all.

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Pranav Kshatriya: And should we assume that most of this will be sort of executable in this year itself? And hence, potentially the revenue should be somewhat similar, if not higher than this number. I'm asking directionally, not the exact number?

Arnob Roy: Yes, a good portion of this will be converted to revenues in this current financial year.

Pranav Kshatriya: Okay. And the second question is regarding the cost of goods sold. So, the memory prices have gone up? Does that impact the margins for your product at all?

Arnob Roy: Yes. The cost of memory does impact the cost of our products, even though it's a small component of our product cost. Usually, those are much smaller compared to the much more expensive class -

A components that we use for network processing, for optics and all those kinds of things.

But yes, the cost and also the lead time is also a challenge for us. And we are addressing this in multiple ways, because there are newer products, newer technologies which are out there. And we'll be addressing that. And also, as a part of the increase, we are also renegotiating our costs, our prices

with customers as well as for the new opportunities which are out there to make sure that we protect our margins.

Pranav Kshatriya: Okay. Because, I mean, the purpose to ask this question was to understand how much should we expect the margin compression at the contribution margin level, because it's not only the memory, even the chip prices have sort of inched up because that demand for chips has also been higher. So, can you give some qualitative or quantitative number that how much could be the impact on the margins?

Arnob Roy: Yes. As I said, as you asked the specific memory where the increase has been the largest, right? I mean, other increases selectively have not been as dramatic as memory. But thankfully, memory is only a very small portion of our use. As you know, it's like high-volume components. So, even large memories, the cost of those are not very high compared to the several thousand dollars of BOM cost that we have of our product, upwards of many thousands of dollars.

So, it's a very small component. But nevertheless, I think we are kind of making sure it is accounted in our cost and basically renegotiating and re-offering our new prices with the escalation to make sure that we protect our margin. And the same holds for other cost escalations which are there, which are far more controlled and also in a very controlled way.

In the sense that we also have long-term pricing contracts with our suppliers also, right? So, those transitions happen very slowly and we have the window of negotiating prices on any new deals that we sign to account for the cost escalation.

Pranav Kshatriya: Sure. Last question from my side. Since you're not giving any revenue guidance as such -- I mean, last year you did give revenue guidance. How should we look at the revenue growth for FY27 and margin given various -- I mean, any quantitative or qualitative color will be helpful?

Arnob Roy: Yes. Pranav, we've never given revenue or any other financial number guidance in the past. And so, I think we will stick to that. I mean, we are not in a position to give any new guidance. However,

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as I said, we have a stronger business outlook and that's why I talked about that with all the investments that are made and with our positive business outlook, we have continued the investments during the year. Even though business didn't materialize because we figured out that the investments in product evolution and building the new technologies was very important for our future business growth. So, we continued on that. So, obviously, our outlook is positive, very positive for the future and we expect to see growth. But as a practice, we never quantified in terms of numbers.

Moderator: Our next question comes from the line of Ritesh Poladia from Girik Capital.

Ritesh Poladia: Question is on balance sheet. There's a good increase in intangibles under development from INR400 crores to INR960 crores. What does that part of it is?

Sumit Dhingra: Yes. So, I think intangible under development commonly consists of our product development effort and also related to the IP or the technology license or the technology transfer that we did with NEC early part of or towards the end of the previous year. And that is partly getting reflected in the intangible under development.

Ritesh Poladia: So, that investment was about INR550-odd crores. Everything has been done or still it is to be done?

Sumit Dhingra: A large part of it is done. I think it is linked to milestones and I think balanced milestones we expect to get done within the next one or two quarters.

Arnob Roy: With the commercialization of all the investments that we made, which are as part of the intangible assets, all of them will get capitalized as and when we have commercial feasibility and commercial adoption of all the new technologies and products that we develop

d, including this licensing.

Ritesh Poladia: Sure. And from that IP only you got this first order from NEC customer?

Arnob Roy: Well, that was part of the agreement with NEC that we licensed some technology and we built radios for the future.

Ritesh Poladia: So, is this part of the same agreement where you got the first order because your order book is INR1,500 crores and 80% is India. So, that would be very small amount, right?

Arnob Roy: Yes. As I said, we signed the contract for the supplies and so the revenue for that business will actually happen in FY27. So, it is part of the same partnership even though the two contracts are separate. The technology licensing contract and this supply contract are different completely.

Ritesh Poladia: Okay. So, when do we see the revenue from this technology agreement?

Arnob Roy: Yes, no, no. From this new contract with NEC, we will see the revenue for that in FY27. During the current financial year.

Ritesh Poladia: Sure. Sir, as this becomes a bit complex, could you at least give us some sense that what kind of Tejas Networks Limited

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what amount of opportunities you are chasing right now and by what times this will get fructified

or what are the milestones which we can look for it?

Sanjay Malik: Again, on this, definitely, we have been chasing quite large opportunities . Again, from wireless perspective, quite a few of those are international opportunities which we have built over last one year. And if you would have seen that we have started quite a few trials also. So, again, difficult to give the overall size of the funnel number, but it is substantial. And those will be getting again ordered in the coming year and revenue booking also should happen from that in the coming year.

Ritesh Poladia: Sure. I understand your constraint in commenting further, but just to take it a bit forward, will this opportunity be multiples of what you got in BSNL?

Sanjay Malik: Multiples of what we got in BSNL ? The original one, no it would not be that 100,000 sites kind of thing. But because those numbers outside India are a little bit smaller as compared to BSNL. But I think from our product perspective, reference building perspective, and coming to the international wireless area, I think that would be very, very significant.

Ritesh Poladia: Sure. And regarding R&D spend for FY27, will it remain? Is there any cut down or are you still going strong on your R&D investments, whatever you are looking for?

Arnob Roy: So, we will continue our R&D investments, but obviously we will tailor it to the business outlook that we have and how we see the business maturing. So, as I said, we will be optimizing it to make sure that we get much better financial results. But as of now, we plan to continue with our investments because the business outlook that we see in FY27, we should be able to achieve better financial results even with our current investments and cost structure. But we will keep optimizing that as we see the business progress during the year.

Ritesh Poladia: Sure. And one final question on receivables, where do we see this number going in FY27?

Sumit Dhingra: I think on receivables, two points . One is the number that you see needs to be looked at in the context of the corresponding advance that we have received as part of the BSNL 4G order, which is currently showing up in current liabilities. Having said that, we expect the remaining collections from BSNL to significantly happen during this current financial year. So, we expect the receivables to progressively come down over the next couple of quarters. Obviously, this will also increasingly be a function of also the incremental business scale -up that happens over the next few quarters.

Ritesh Poladia: Yes, that I understand, but the entire BSNL 4G will be collected in this year?

Sumit Dhingra: A significant portion

on of that should get collected this year. Okay, that's again also linked to milestones, and those progressively are getting complete. So, we expect that to lead to collections over the next few quarters.

Moderator: Your next question comes from the line of Avnish Kumar from Ritu Financial Services . Please go ahead.

Avnish Kumar : So, first of all, I had a complaint like the timing for the con call was 7:15 and we started around Tejas Networks Limited

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8:15, and the results were -- I mean, the presentation was out at 8:13 or 8:12. So, we didn't get any time to read or analyze the presentation before the con -call. And this has been repeated for the past seven, eight quarters. I requested four, five quarters earlier also that time should be given to the investors to analyze and read the report at least, but still the same story.

Arnob Roy: Yes, I think this time, especially, we had a lot of problems in uploading, and that took a lot more time. So, we had to postpone a little bit. And once again, I apologize for the entire delay and the short window between the upload and the start of this call. We'll make sure that it doesn't happen in the future.

Avnish Kumar : Thank you. And secondly, sir, congratulations on the patents that you've got in this quarter and the developments that you've got on the third side. Well, the presentation that you gave was too technical for a layman like me. So, it sounded like Greek and Latin for me, but whatever you said, I mean, congratulations for that. But as an investor, if we see the financials, I'm pretty disappointed with the way Tejas is going. And I believe the shareholders' money is being taken for granted. I do not see any progress in the financials. Even now, you're not able to give any kind of clarity on the future that we hold. Pretty bad situation that we are in right now. I'm very disappointed ?

Arnob Roy: I agree, Avnish . I think, of course, as part of the company and its management, I mean, it's been disappointing for us also as well. There was a lot of business that, as you said, as I mentioned, that we had planned for, based on which we had made investments that got delayed.

And Yes, so we think that after this BSNL project, this has been a year of transition for us. And going forward, with everything that we have done and invested in, we should be looking at a much more better and predictable financial results going forward.

Avnish Kumar : I just wanted to say, like, see, our share price has come down from the lifetime high of INR1,495 to it came down in the range of INR300 also. I understand that market forces are there that drive the share prices apart from the financials. But you know, you should take care about the shareholders' money also. And some guidance should be given about the future. This is just my recommendation. Rest, I leave up to your wisdom ?

Arnob Roy: Sure. We'll take this into account.

Moderator: Thank you. The next question comes from the line of Pratap Maliwal from Mount Intra Finance Private Limited. Please go ahead.

Pratap Maliwal: Yes. Hi, sir. Thanks for taking my question. I just wanted to have a clarification regarding that earlier participant's question regarding the NEC deal for the supply of the massive MIMO radios.

So is that part of our current order book of INR1,500 crores, or is that yet to come in? As you said that it will be revenue out in FY '27. So is that already part of our order book?

Sanjay Malik: Okay. So for this deal, actually -- so that basically means that we are entering this account with NEC. So that is the first PO which has been received, which is part of the INR1,500 crores. And as we go along, purchase orders would come as the rollout progresses through the year.

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Pratap Maliwal: Okay. And this would be -- can you give us any idea of how we kind of understand

that this will

scale up? Because, you know, as you're saying that the outlook FY '27 is that we get some better results this, you know, because FY '26 has been a year of transition. So can you give us some idea on how this is expected to scale up?

Management: You mean this particular deal or the overall business in general?

Pratap Maliwal: Both, sir. But in particular, the NEC deal, because as you're saying that we get some follow-on purchase orders as well. So, what can we expect the scalability to be?

Sanjay Malik: Yes, so it all basically depends upon the rollout which the customer does. So as the rollout happens, then the new purchase orders will keep coming. So difficult to, again, give a number projection on it. But I would say, I think the follow-on orders would be, again, better than whatever we have as of now.

Pratap Maliwal: Okay. Now, just one thing, when I look at our FY '26, we've had a PAT loss of approximately INR900 crores. Now, FY '27, as you're saying that, you know, it'll be a year of transition and we get better results. What is our path back to profitability? Can you give us some understanding on that front?

Arnob Roy: Yes, I think we expect much better business in FY '27 based on the opportunities that we see. And with that and with we will also manage our costs at the current level and optimize as required to make sure that we have a path to profitability because, you know, this has, as I said, this has been a one-off year where business got delayed, but we didn't want to compromise on our investments for the future opportunities.

But going forward, I think we will ensure that, you know, one part of it is the business which is out there and our cost structure which is there, they are in line. And we do expect that, you know, from the business outlook that we see in FY '27, we should end up with much better financial results. And as the business progresses, we will monitor and optimize our costs accordingly.

Pratap Maliwal: Are we expecting to be PAT positive in FY '27?

Management: Yes, we don't give the financial guidance, but yes, that's the goal.

Moderator: Thank you. The next question comes from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. Thank you so much for taking my question. Sir, as I understand, you're not going to give any guidance, but with regards to just our inventories and receivables, so that's putting a serious strain on our, you know, balance sheet. What is the company's aim regarding that?

I understand even if we -- if I net off the other current liabilities for receivables, that still is like nearly double the revenue than what we've done in FY '26.

So just wanted to understand, like, what do we expect out of this? And what is -- has company, you know, modeled out if, you know, BSNL order is even delayed by another year, because that's

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not in our hands, right? So the PO -- so what is the inventory level? Will there be deterioration?

Will there be some other write-off that we need to take? So what do you feel is the, you know, realistic outlook that we can have with regards to our inventories and receivables, sir?

Sumit Dhirga: So I think on receivables, I broadly clarified in response to the earlier question. We are expecting to get the balance collections from BSNL significantly during this year, and that should lead to improvement from a receivable standpoint. On inventory also, I think, as you alluded to, I think a large part of this is also coming from the advanced procurement action that we took for the BSNL add-on order.

Now, right now we continue to be in discussions with them with respect to getting the order, and, you know, obviously the inventory here is something that gets used in the radios that we sell, and those can potentially also be sold to other customers.

So that's where it is. For now, I don't think

we have any further clarity with respect to the BSNL add-on order.

Arnob Roy: See, the inventory for these products -- the BSNL 4G products -- are not unique to BSNL. I mean, they are like a wide range of radios for 4G and 4G upgradeable to 5G, which are applicable for customers, for any kind of customers, right? So many of the opportunities that we are positioning ourselves internationally in the private 4G networks and all those kinds of things all use the same products.

So, the inventory will also be used for many of those opportunities when they convert. So it's not very unique to BSNL. However, I mean, as you have noted that most of it had been procured for BSNL, so a significant part of it will go along with BSNL add-on order. But independently, they will be consumed along with other business opportunities that we have globally.

Darshil Jhaveri : Okay. Fair enough, sir. And just another question regarding like a cash generation ability, sir. So even in the current year, I think we've been able to only generate around INR135 crores of cash.

So that takes into account all the change in inventory advances that we've gotten. And on base of that, I think we have invested, I think, around INR700 crores in intangible assets, right, sir? So majorly, if I'm not wrong, our investment in intangible is debt funded. What is the rationale behind that?

Because I don't know if this is sustainable at a certain level, right, sir. If we are not going to be PAT positive in FY27, we might be -- our funding are intangible with debt, but it will take time to get traction, we'll get orders, we'll get minute orders. But in that time, I don't want that our company's balance sheet deteriorates so much that, we have bigger issues than research and development. So any comments on that, sir?

Arnob Roy: No, I agree with your observation. The point is that since we are in the deep-tech space, being in a situation where you don't invest in technology evolution is a bigger risk for the future of your business than the other way around, right? So from that point of view, in FY26, we took the call that even with the business shortfall that we see, with the transition that is happening and with the technology that we needed to develop to leverage the future, that we will continue with our investment.

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And we have done that. And as you see, we have launched many products, which will help us for the business of the future. But I think going forward in FY27, as I said, the financial diligence of investments versus returns and revenues and all will be far more tighter because I believe the significant investment has gone in and we have achieved much of the goals that we had in mind. So in FY27 and beyond, it will be a much more, you know, well-balanced investment that will happen in line with the business outlook, which we will continue to evolve and monitor very closely.

Darshil Jhaveri : Fair enough. So just one last question from my end. So right now we are at around INR1,500 crores of order book. If you may, is there any kind of target of the order win that we want? I'm not saying specifically for this year, maybe with the new technologies over a period of 3 years, what is the target that we can have in terms of order wins? Because even if some kind of direction we can get like, in this, that would be really helpful, sir.

Arnob Roy: Well, as I said, the investments have been made with an eye on significant growth, because and this significant growth will be, of course, year-over-year numbers, if you leave out the one-off BSNL project, those kinds of projects will come and there will be spikes in our business when they happen. But if you look at the business trend, without those one-off projects kind of thing, whatever you see, we will hopefully see business growth on top of

what we've seen earlier in FY24 and so

on. So that's all I can say.

I think the overall growth in our opportunities, there will be significant growth in our opportunities, there will be a lot more investments happening from operators, from enterprises, from ISPs, and so on. And we are well-positioned over there. So obviously this investment has been made with a business which is several multiples of what we have done in FY26, right. So that's basically the outlook based on which we have made all the investments.

Darshil Jhaveri : Okay, fair enough. That's it from my side, sir. All the best.

Arnob Roy: Thank you.

Moderator: Thank you. The next question comes from the line of Shailesh Jahagirdar from Invest Yadnya. Please go ahead.

Shailesh Jahagirdar : Hi, sir. I was in queue again. So I had a question about data center connectivity business. So TCS is actively building the data centers, actively participating in data center building. They have a plan of when we go to. Do we have certain benefits of being a Tata Group company and we can get a CEO from TCS in some way? Do we have a benefit, not in terms of amount, but in terms of being a group company? That's what my question was.

Arnob Roy: Well, I mean, independent of being a group company, we are engaged with not only TCS, but other data center builders for our products. And a lot of our success in Optical has been as part of those

data center build -outs.

So TCS is, yes, one of our important customers as well for that, for data center applications. And Tejas Networks Limited

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yes, we are closely engaged with them on their future business plans. But I'd like to highlight that they are not the only one for our data center business related growth.

Shailesh Jahagirdar : Okay. Thank you. That was my question.

Moderator: Thank you. The next question comes from the line of Arpit Jain from Wallfort Financial Services Limited. Please go ahead.

Arpit Jain: Hello. Can you hear me?

Arnob Roy: Yes, we can hear you, Arpit.

Arpit Jain: Yes. Hi, hi, hi. So over the last year, we filed on a couple of patents. I just wanted an idea regarding when do these patents generate revenue for us? And what is the rationale behind filing so many patents? So what's the future outlook regarding these patents?

Arnob Roy: Yes, see, as a deep -tech company, we need to file patents to one is to protect our inventions so that our innovations are not replicated easily. The second part of this is that especially in the wireless space, there is a lot of the patents that go into what are called the standard essential patents. These are patents which are used for building wireless products as per the new standards of 5G or 5G - Advanced or 6G based on 3GPP standard s evolution.

So as a wireless company, and also from our other business, we need this patent portfolio to be both from a point of protection of innovation as well as a defensive portfolio where you would be cross -licensing patents from other companies which are absolutely essential in nature as far as developing your wireless products and technology are concerned.

So in summary, both in terms of protecting your innovations and also for giving us a solid base for being able to cross -license patents and technologies with other technology developers.

Arpit Jain: Okay.

Arnob Roy: And this is more than a direct monetization of the number of patents that we have. It is monetization in a little indirect way.

Arpit Jain: Okay, thank you.

Arnob Roy: Yes, we have time for one last question.

Moderator: Sure, sure. Thank you. Our next question comes from the line of Rajakumar Vaidyanathan from RK Invest. Please go ahead.

R. Vaidyanathan: Yes, good evening. Can you hear me?

Management: Yes, we can hear you.

R. Vaidyanathan: Yes, thanks for the opportunity. So just a couple of questions. So the first question is, is it Teja

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reasonable to expect a breakeven in FY '27 and a PAT positive in FY '28?

Arnob Roy: That's the goal. I mean, we do not give guidance, but that's really the goal. As I said, FY '26 has been a year of investment and FY '27, we expect to see far better financial results in terms of the business outlook that we have and with the investments and the expense control that we will have within the company. The expectation is that, yes, financial turnaround as quickly as possible, starting with FY '27.

R. Vaidyanathan: Okay. And the second question is on this elongated DSO that you have with the BSNL order. So do you expect that elongated DSO even for the order that is under execution because you still not collected about INR3,000 crores. So will the same issue happen with the current order as well?

Arnob Roy: No, you're talking about the collections from the upcoming order, kind of thing there -- for add -on order. Is that what you're talking about?

R. Vaidyanathan: Yes, there are two issues. The one, whatever AR that is outstanding that we have shown in as of March 2026 that you said that you will be able to collect significantly in FY '27. So my question is the order that you are executing, which is about INR 1,500 crores -- the orders on hand that you mentioned, right? So there also the DSO will be elongated DSO or there do you expect the collections to happen much faster?

Sanjay Malik: Yes, so two things. So number one, out of this INR1,500 crores of order book, BSNL purchase order is still not part of that because as we said that we are still in discussion to get that into the purchase order. Second, the collection for this should be faster than the original order because first time we kind of delivered the product, tested it, then there is acceptance testing , and then there is kind of rigorous testing against integration with their existing elements and all that.

So those things will not be there when we go for this add -on PO because these add -on POs would be same technology, similar products to be integrated or to be installed. So the delivery time and installation time and acceptance time would be much faster.

R. Vaidyanathan: Okay, got it sir. So the last question is, can you give me what is the total headcount as of March '26 vis -à-vis March '25?

Sumit Dhingra: Total headcount is roughly about 2,300 employees and that has broadly remained the same compared to the previous year.

R. Vaidyanathan: Okay, thank you so much.

Moderator: Thank you. Ladies and gentlemen, with this, I now hand the conference over to the management for closing comments.

Arnob Roy: Yes, so thank you Mohit. So thanks everyone for attending the call and for all your questions. You know, again, once again, first of all, once again, my apologies for starting this an hour later than the scheduled time.

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And secondly, as you've seen the results of FY '26, the key takeaway I want you gentlemen to have is that yes, the results have been quite disappointing . But at the same time, we are positive about our future based on which we have made substantial investments during the year to make sure our products are ready , and technologically ready and capable for the business and the technology transition that we see.

So we look forward to a much better future , and with that mindset, the investment s have been made and I hope to work with you all and connect with you all in future again and deliver a much better FY'27. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Note: This transcript has been edited for clarity and readability and does not purport to be a verbatim record of the proceedings